Cartrade Tech (CARTRADE)

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Call: May 2023

Date: May 06, 2023

To,
Department of Corporate Services,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001

Scrip Code: 543333
To,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip Symbol: CARTRADE
ISIN : INE290S01011

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q4FY23 Earnings Conference Call held on Friday , April 28, 2023

Dear Sir/ Madam,

With reference to our letter dated April 21, 2023 intimating you about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of the CarTrade Tech Limited Q4FY23 Earnings Conference Call held on Friday , April 28, 2023 .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

______________________________________ _
Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose : a/a

"CarTrade Tech Limited
Q4 FY 2023 Earnings Conference Call"
April 28, 202 3

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th April 2023 will prevail.

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA MENON – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to CarTrade Tech Limited Q4 and FY ‘23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for yo u to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the con ference over to Mr. Vinay Sanghi, Chairman and Managing Director, CarTrade Tech Limited. Thank you, and over to you, sir.
Vinay Sanghi: Thank you. Good afternoon, everybody, and thank you for joining this quarterly earnings call and also the final -- the y ear-end financial call as well. First of all, it gives me great pleasure to welcome all of you. We have also uploaded a presentation and I'll go straight to the presentation to give you some key highlights for the quarter and for the year.
On Slide 3, gives summary of some of the key metrics. It gives me a great pleasure to tell you that we've achieved the highest ever revenue in the year in the quarter and also highest ever adjusted EBITDA in a quarter or in the year. Revenue has grown by 20% for the year, adjusted EBITDA has grown by 28% during the year. We continue to be India's leading automotive platform. We are almost now 200 -plus physical locations in the last year. March '23, we auctioned, 1.1 million vehicles. On our consumer platform, we received 34 million -- in the last quarter, we received 34 million unique customers every month. I think what, again, is remarkable is that 86% of these came organically, which shows why our margins have stayed strong.
Revenue for the year was at INR427 .7 crores, which is, as I said, a growth of approximately 20%. End of the quarter was INR116.6 crores, which is also the highest in any quarter. Adjusted EBITDA was INR124.9 crores for the year and INR39.8 crores for the quarter, which also is the highest ever. Profit after tax is INR40.4 crores. Do remember that this also after a deferred tax of approximately INR11 crores in this PAT. And adjusted PAT adjusted for ESOPs as well as deferred tax is approximately INR80 crores for the year. We continue to be a strong business with completely no loans or any kind of debt with a strong cash balance, almost INR1,100 crores in the company.
If I go to the next slide, which is the consolidated financials for the year, which is Slide 4. As you can see here, the revenue for the quarter is INR116 crores. The net revenue for the year is INR421 crores. The net is estimated for some of the transaction business and comes to growth approximately 20%. Expenses from last quarter to this quarter stayed stable. Adjusted EBI TDA has gone up to INR39.8 crores in the quarter, compared to INR36.6 crores in the previous quarter. And for the year, it's INR124.9 crores versus INR97 crores the previous year, which is a growth of approximately 28% during the year. I think the other th ing is the adjusted EBITDA margin, as you can see. It is 34% for the quarter. If you remove other income, then the adjusted EBITDA margin comes to 20% during the quarter and 17% for the year.

The other key highlights in the consolidated accounts are, of co urse, the adjusted PAT and the PBT, which are below. The adjusted PAT for the quarter is INR2 8 crores and INR80 crores for the year, which is a growth of -- the adjusted PAT has grown about 42%. And then as you can see her e, the profit after tax is actual ly turned profitable during the year at 17.49 for the quarter, compared to a loss last year. And the loss last year due to a new ESOP entry on an ESOP cost, which was taken in our accounts last year.

If you go to the standalone financials for the quarter, which is -- just the standalone accounts, which mainly includes the consumer business or consumer platforms. You can see that the quarters had a INR58.7 crores in net revenue, which is a growth of 35%. The year revenues are INR204.94 crores, which is a gro wth of 38% in a standalone. And as you can see, costs remaining stable in the quarter you can -- and then therefore, you've seen a big jump in our adjusted EBITDA for the quarter, almost 101% growth. And this is something we've been talking about in multip le calls over the years that increase in revenue results in a disproportionate increase in EBITDA.

As you can see here, 35% growth in revenue in the quarter has led to 101% growth in EBITDA during the quarter. And in a year, 38% growth in revenue led to a 94% growth in profitability. EBITDA margin is 41% with other income and 19% without other income, which has also grown in the year to 15% versus 5% in the previous year. So most of the numbers in the standalone accounts is extremely healthy, and we feel pr etty good about the business on the standalone consumer business for the last year.

If you look at the next slide, which is the remarketing business, we've had headwinds here. In the quarter, there has been a slight degrowth and for the year, we've had a slight growth of 6%. EBITDA has also been hit in the year. We are down 13%. And adjusted EBITDA margins are also hit from 24% to 18%, even though Shriram AutoMall continues to have an adjusted EBITDA of INR15 crores versus INR12 crores the previous quarte r. So there's slight better this quarter than slightly better than the previous quarter.

There have been quite a few headwinds in this business, and we've talked about this in the last two quarters where the headwinds are mostly on account of the supply co ming from repossessed vehicles, which has seen a little bit of a downturn with markets doing a little better. And the actual -- we've seen a good bit growth in our retail business. In fact, I'll share some of these percentages a little later on supply comi ng from various sources, but we're still seeing headwinds in the repossession side of this business and growth on the retail side of the business. So overall, we have seen headwinds in the entire consolidation of Shriram AutoMall business and we feel that, hopefully, in this year, at a later stage, it will correct itself.

If you look at the next slide, which is the organic monthly unique visitors, it's about 34 million in quarter 4 versus 29.8 million in the previous year, same quarter. So we've seen a reas onable growth in our unique visitors per month. As again, I want to stress that this is 86% organic, which is one of the reasons why the consumer business has seen leverage in its adjusted EBITDA going up.

The next slide is really a Google Trends on a popu larity around brand affinity, which is really a reflection of our online search popularity. And you can see here, the gaps continue to be there versus our competitors. CarWale index 83 versus 21 being the next and BikeWale is 90 versus 45 in the next. So w e've seen strength on online search popularity to continue.

The next slide about auction listings and volumes. And here, you can see the -- for the quarter has been 286,681. For the year, it was 1.1 million. I think listing have been more or less flat and so are the auction volumes, which is a reflection on SAMIL’s financials -- Shriram AutoMall financials by itself. These are high -level metrics. There are some other ratios I'd like to talk through. One is our percentage of used car to new car reve nue in t

he consumer group. This year,

the used car revenue has gone to 16% of our total consumer group revenues, which was 9% last year. So it is 91% new cars last year, which has gone to 84%, 16% used cars this year versus 9% the previous year. I think th e other thing we've seen here is the growth rates. The used car business has grown up almost 136%, whereas the new car business is going about 26%, which really makes up the entire growth of the consumer business.

If you look at the OEM - Dealers split in our consumer business, it was 65% OEM and 35% dealer that's become 61% OEM and 39% of the dealer business has got better. And if you look at the Shriram AutoMall some key metrics, which we give out the percentage of repo business has gone from 69% last ye ar to 55%. So we've dropped in the repossession supply in terms of percentage of our total business, and our retail business has gone from 21% to 33%. So we've seen huge growth in the retail side. And of course, as I've said, we've seen lots of constraints on the repossession business. It's gone from 69% to 55% of our business. These are some high -level metrics of the company.

I'm happy to answer questions which you might have and clarifications you might need .

Moderator: Thank you very much. We have a first question from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, just first a housekeeping question. This OEM dealer revenue mix or growth, can you share for this quarter how it has been for the standalone business?
Vinay Sanghi: You want the split?
Siddhartha Bera: Yes.
Vinay Sanghi: It is for the quarter, it's 62:38. I said for the year, it's 61:39, so it's 'not much different. Aneesha, is that correct?
Aneesha Menon: Yes. Vinay for the quarter, it is about 62 : 38 .
Siddhartha Bera: Okay. And the new and used will be, new car and used revenue mix?
Vinay Sanghi: For the quarter, it's been similar, 16 to 84.
Siddhartha Bera: Okay. So quarter -on-quarter, not much change...

Vinay Sanghi: Not much change.
Siddhartha Bera: Okay. And second question on the growth side, I mean, we have shown a good growth momentum in the current quarter. So what is the outlook for the coming years? Given the trends or given the sort of traction you are seeing from the OEM dealers, what is your expectation for some of this growth momentum? I mean will it sustain or normalize or how to look at the next one year?
Vinay Sang hi: We don't give any guidance, Siddhartha. But we generally think that if you see the OEM, I mean the new car sales in India has grown about 28% this year. I think most predictions are around the fact that it will grow at 8% to 10% in the coming year . We feel pretty good about the business environment in the last quarter. We are just hopeful the same business environment continues for the next three months, six months, one year.
So we feel pretty confident. I can't give a growth number but we feel pre tty confident. I just want to stress one more thing that if you look at the five-year CAGR of the company, growth rate in the past five years, it's there in the annual report, its at about 23% and 69% growth in EBITDA over a five -year pe riod CAGR. So we've had a consistent growth and profitability growth track record over last five years. We feel pretty good that this year should not be any different. I mean, the market looks fine at this point.
Siddhartha Bera: Okay. No, because, I mean, on the new car side, we expect growth to slow down meaningfully this year. It may not be more than 5%, 6% is our view. So , on that context, I mean, given that -- I mean, generally, like you have said in the past, in case demand slows down, it leads to mor e incentives for the OEM to advertise more. So should we expect that for us, growth should continue to remain in healthy double digits is what I was just trying t

o understand?
Vinay Sanghi: Yes. What we said is that when demand -- not demand slows down, bu t when supply is more than demand, it helps us in what we said, which means that there are no shortages in vehicles. And the supply of manufacturers is more than demand. It's a more favorable them and vehicles under shortages because naturally, manufacture r and dealers don't need to advertise. So yes, I think we're moving more towards a market where demand exceeds supply. But we still want the new industry to grow. I think it's a combination of all of that.
Siddhartha Bera: Okay. Got it. And second on the margin side, I mean, obviously, we have continued to demonstrate good margin trends for the last two quarters. So is it something we can expect that with at least a double -digit growth we should sort of continue to build on what we have reported in the last nine months or...
Vinay Sanghi: Absolutely. I think our cost structures and unit economic structures and the way the companies are built is that in revenue growth, you see a more disproportionate growth than EBITDA. And you've seen this demonstrated now across the whole year, 34% net to a 92% growth in profit. So I think that's quite clear that growth revenue lea ds to a disproportionate growth in EBITDA. So our basic business model and cost buildup has not changed. And this is typical to businesses like our marketplace business of cars where costs don't increase with proportional to revenues. In fact, we have two principal cost marketing and people. And if you see over five years, our

marketing costs are flat, over five years. And at 34 million customers a month, right? It's still flat over five years. So we do feel good about the fact that with the revenue increas e and costs don't go up in proportion.
Siddhartha Bera: Yes. Because on a quarter -on-quarter, basically, you're marketing costs have gone up. So given that if you're expecting demand to slow down, so shall we expect current trends to sustain, or I mean the re can be upside risk to that trend to get sort of…

Vinay Sanghi: I think we should assume the same cost structure as we have today.
Siddhartha Bera: Okay. And lastly, sir on the...
Vinay Sanghi: There will be some escalation in costs. I think there will be some escalation in costs because as you see in 1, April, we all have an increment cycle. So you will see some escalation in costs because of increments, but that gets adjusted through the year.
Siddhartha Bera: Okay. Sir, on the last one, the AbSur e side, we have not commented much this time. So just wanted your thoughts on what is happening there?
Vinay Sanghi: On the abSure side, actually, this quarter and the last three months I have slightly modified it. I think we've got abSure outlets and adde d another range, what we call signature outlets. And I did not stress, but we are close to about, I think, 90. Aneesha is that correct?
Aneesha Menon: Yes.
Vinay Sanghi: As I said, we've added a new dimension here because we want to scale up now. We're qu ite confident that we've tested the model. I think the whole abSure model is created, so someone can book a car online and other logistics or delivery, etcetera, get certified cars, etcetera. And a lot of that has now played out. As you know that we've tri ed to build a very asset -light model, and we continue in that endeavor. And our objective is to grow the abSure and signature outlets over the next two to three, four years now. As I've also highlighted that our used car business has grown 136%. Part of it is abSure, part of it is just a classified used car business growing itself. But we feel confident and bullish about it. It's a very, very small still part of our entire business. Used car itself is only, as I said, 16%. So it's a small part of the consum er group, but we're feeling confident about it for the future.
Siddha

rtha Bera: Got it, sir. Thanks a lot. I'll come back in the queue.
Vinay Sanghi: Thank you.
Moderator: Thank you. We have a next question from the line of Ankit Kanodia from Smart Sync Services. Mr. Kanodia, please go ahead.
Ankit Kanodia: Thank you for taking my question. And first of all, congratulations on a good set of numbers, especially in the consumer side of business. So my first question is related to the main pain point, which I see in your presentation in which you alluded to in your opening commentary also, which is the auction listing volume and particularly the repossessed vehicle. Would you throw

some more light there as to what is happening there and what can change for t he better in the coming time?
Vinay Sanghi: I think what we've seen is volume in the possession side slightly degrow. And I think that is we're hearing multiple reasons. One is, of course, the fact that the economy has done better. And clearly, people are able to pay loans. So that is one factor where repossession itself has gone down. I think the second factor, which is given is, and when we talk to our customers, is that resale value used cars or used vehicles is up. And therefore, people will not surrend er vehicles, but payoff their loans. So I think these are two big factors we've seen. We're not sure whether it's cyclical and whether this will -- but these are cycles with the repossession industry gone through several times in the past as well.
So these are cycles and a cyclical part of the business. I think where we made effort to counter this drop and we are 69% repossession of volume. So that's what it's hurt us. I think where we feel good about the businesses we've been able to substitute a large part of that with growing fragmented supply retail supply which basically makes us a healthier business for the future because when the repossession volumes do come back, our retail business would also be of certain strength. And therefore, i t enables the company to have a much, much stronger future. So that's the good part, but repossession has been a very tough six to eight months.
Ankit Kanodia: Thank you. That really helps. My second question is, I think we have been discussing this for the last two quarters now. So we are around INR2,000 crores market cap company now, INR1,100 crores of cash. At the Board level, are we having any discussion on buyback, maybe even a small buyback of INR100 crores or INR150 crores, can be a good confidence booster for investing companies. Do we have any discussion on the Board or have we decided...
Vinay Sanghi: Yes, we do discuss this from time -to-time. I think we also discussed the regulation around what quantum we are allowed to buyback and not buyback. And it's still under consideration with the Board . I don't think you've come to any conclusion as yet what to do or what not to do.
Ankit Kanodia: Sure. Thank you so much. And all the best. I'll come back in the queue.
Moderator: Thank you. We have a next question from the line of Raaj from Arjav Partners. Please go ahead.
Raaj: So first thing I want to say is for 12 p.m. calls, you are uploading everything at 11:55 a.m. So I think it is a bit unfair for all the investo rs, I guess, sir.
Vinay Sanghi: Yes, sir. I'd like to apologize for that. Sorry for that. We'll make sure that next time we do that earlier.

Raaj: Yes, please do. Other thing I wanted to ask you, sir, what is there in your other income?
Vinay Sanghi: Aneesha, you want to explain this?
Aneesha Menon: Sure. Other income includes treasury income, because we have large funds, which is about INR1,100 crores. These are found with highly conservative mutual funds and overnight funds, which in return, whi ch is classified under the other income.

Raaj: All right. And how much of int

erest is being earned on these funds?
Aneesha Menon: Ballpark about 6%.
Raaj: 6% in terest . All right. And also regarding I wanted to ask about adjusted PAT. So what adjustm ents have you done in it?
Vinay Sanghi: Adjusted for deferred tax, which is about INR11 crores, right, Aneesha? And cashless ESOPs is about INR27 crores, is that correct?
Aneesha Menon: Yes.
Raaj: INR27 crores ESOPs, okay.
Vinay Sanghi: Yes. And there's also PAT below, which is approximately INR40 crores. The adjusted is about 79.
Raaj: All right. Okay. And also for FY ‘24, can you give a rough outlook on the operations of the company? Like how do you see going ahead?
Vinay Sanghi: We don't give a guidan ce, but what I can say is that we feel pretty good about the state of the business and the state of the market on the consumer group, which is the new car and used car consumer platforms. In the near future, it seems that the repossession industry will sti ll continue to go through what it has gone through in the last six to eight months. But there, again, we're making lots of efforts to get supply from other sources. So we can continue to grow at Shriram AutoMall as well. We feel pretty confident about the business and as many reasons why. I think one is really the traffic of consumers on our platform and really the leadership we have on our first popularity and marketing costs related to that.
On the consumer side of the business, the traction of used c ar is growing, which we see a very strong positive for our business. And really, on the Shriram AutoMall, as I said, we've established a new vertical of retail segment and retail supply. So we feel quite confident about the business. There are some headwin ds on the repossession side, which continue to be there. But on the whole, we've seen very, very -- reasonably confident about the business.
Moderator: Thank you. We request you to come back in the queue for follow -up question. We have a next question from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Hi, Vinay. Congratulations on a great set of results.
Vinay Sanghi: Hi, Sachin. Thank you.
Sachin Dixit: So I wanted to talk regarding the OEM advertising spend, right? So I believe since COVID, the demand -supply mismatch has resulted in ad spend going down as percentage of revenue for these OEMs. What do you think is the trajectory on this? How long does it take to lever, or do you see this happening in a year, two, three yea rs? How do you see it?

Vinay Sanghi: It seems positive because the demand supply position has actually changed in the last six to eight months. So just to give you a context, OEM business grew by 29% for us this year. Am I right, Aneesha? This 29%?
Aneesha Menon: Yes.
Vinay Sanghi: So we feel pretty good about it. The markets are changing. OEM are starting to spend more money than they did. Digital emphasis is increasing. In fact, the year before that it was a tough year because really supply was not avail able and OEMs chose to cut -- not cut but hold advertising. But a lot of has bounced back in the last year, which you can see in our results as well. At this stage, actually, the market is reasonably favorable. It's very similar to what we should be. Th ere is demand -- there is in many -- in a couple of manufacturers, demand is much more than supply, but generally across the board, supply seems to be getting better.
Sachin Dixit: Understood. And my second question related to the first one itself. So when OEMs are shifting to more of the ad spend digitally, a lot of the spend is, I think, happening also on video and other such formats, which I don't think CarTrade has as of now. So how are you trying to get that wallet share from OEMs?
Vinay Sanghi: There are different segment. So, you’re right. I think out of a total digital spend, out of the tota

I
digital spend, manufacturer spend on OTT platforms and even horizontals. We are really a verticalized business for them, which gives them the lowest cost of cus tomer acquisition. So, I think the reason CarWale is compelling to manufacturers is just because it's the lowest cost of customer acquisition from them with all the 34 million customers coming on most people buying a new cars coming to our platform. This i s the single biggest destination for existing customers. And as I told you, as they have more -and-more supply and demand growth is lower than supply, they need these customers to increase as well. So, we are more, as I said, verticalized business with very focused set of customers for them, and in many cases the lowest cost of acquisition for them for a customer and that's where we make our own space in this whole digital advertising space. So they put out -- I don't know OTT platform is very generic custom er, who are seeing the ad, and therefore the cost of advertising is much higher for them versus putting up a ds or partnering with CarWale.

Sachin Dixit: Sure. And just one clarification on this one. Do you see the vertical versus horizontal shift in OEM a dvertisement spend or it roughly will stay like this?

Vinay Sanghi: We think it will stay this way. Both have their own purpose, horizontal gives them a different kind of reach and brand capability, verticalized is then individual customer with the lowest customer acquisition. So we will probably continue as it is. What we tried to do as a com pany is try and go deeper -and-deeper in our offer ings to manufacturers, so that we always relevant to the manufacturers. So the deep integration, even now it is multiple integrations with multiple manufacturers, so that their offering becomes strong for the customer. And that's where we invest all our product and technology today, so that we stay relevant versus horizontals. I think that's the…

Sachin Dixit: Understood. Thank you.

Vinay Sanghi: Thank you.

Moderator: Thank you. We have our next question from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain: Great. Hi, Vinay. Hi, Aneesha. My first question is on the standalone business. So you shared the traffic trends on a quarterly basis. Are there any other m etrics of traffic engagement that you can share in terms of say user -generated content like ratings, reviews uploaded every quarter or time spent, whatever makes sense, is that possible to do?

Vinay Sanghi: We can try and share it to you. I don't have it r ight now, but we can try and share with you, but it will also publicly available on many comp arative platforms. But we do look at things like time on-site, bounce rates, page views, and things like that which are clearly best -in class, even when you look at these numbers, but we do look at it. I don't have it right now, but maybe we can try and share that with you in comparison, what's available to us.

Vijit Jain: Got it. And Vinay, just related to that, is user -generated content or the website somet hing that you think is important and relevant to the business in the way you, do it? And do you track that, because at least those things, right, whether people are uploading their own reviews and stuff, could be indication of how copyright content for you or other proprietary content for you?

Vinay Sanghi: User -gen content is important, but it's not the primary content or the most visited content on our website. I think what tends to be comparative shopping comparing one car with be other car, people come with many reasons, and one of the big reasons they come to us is to understand what car to buy. And that partly comes from user content, but lots of it comes from understanding expert opinions, understanding comparative features, understanding maybe a vid eo or 360 or a different view of the vehicle to finding

a dealer to buy from what price to pay etcetera. So, even there is lot of digital content it's not the primary reason in India, why they come to us.

Vijit Jain: Got it. And my second question, Vinay, is on the remarketing business. So, I think, I believe in the last call also you mentioned, and you've said a couple of times now that the repo market is going through a tough time. The consumer market in the remarketing business is doing well. When I look at those metrics you shared, it looks like, likely the repo business is kind of flattish Q-o-Q, and the retail business continues to do well. So, I mean, just based on those numbers, 69% of the business last year versus 55% this year, 53% previous quarter , it looks like you're now at around INR29 crores, INR30 crores in repo, and retail is around INR24 crores, INR25 crores. So I'm just wondering, if on an absolute basis has repo bottomed -out in your view, because this used to be around INR39 crores, INR40 crores.

Vinay Sanghi: It seems to have bottomed out, yes, if that's the question. It seems to be. Although, it's pretty much similar for last two quarters, but it seems to be bottomed out , yes.

Vijit Jain: And in terms of margins, just on a sequential basi s, obviously in this business, while absolute revenues kind of flattish, Q -o-Q, you margins have improved, is that also a function of the mix?

Vinay Sanghi: Yes, the retail, by definition is little higher margin for us. So if you can build, I think the two things in retail. One is, if you can build retail fragmented supply as we call it, one is margin is slightly better, but also our ability to differentiate, from any kind of competition will come in

the future is very high, because there you have high leve l of fragmented supply, it's very hard for people to replicate. So there are two advantages on that. One is the immediate margin, but bigger thing is the ability to defend and create moats around that business which would be impossible for somebody to breakthrough a little later.

Vijit Jain: Got it. And Vinay, just to understand this right, the retail is essentially C2B2B, for you right, you're buying from…

Vinay Sanghi: It could be C2B2B, it could be C2B, it could be customers coming to us, it could be customer coming through a very small broker or middleman to us either, both ways.

Vijit Jain: I see. Got it. Understood. Thanks. Those were my questions.

Vinay Sanghi: Those are v ery fragmented, very small middleman brokers, they're not bulk. It' s not very insignificant in terms of per person volume.

Vijit Jain: Got it. Understood. Thanks.

Moderator: Thank you. We have our next question from the line of Sanjay Parekh from Sohum Asset Managers. Please go ahead.

Sanjay Parekh: Yes. Thank you. So my question to Vinay is that today on standalone, let's say, you may be doing INR156 crores turnover and the core operating profit, which is excluding other income is INR23 crores. So just three years from now, I mean, for a leadership t hat we have, clearly it is replicate, which is showing up in our ratings and viewership. I mean, the downloads. It seems to be quite low in terms of the overall pie, which is largely advertising and referrals from dealers. So the question is that three yea rs from now, can we grow at 25%? And if yes, then should this operating leverage kick in in terms of more like 25% margins in three years? I mean, I'm not trying to get a number. I'm just trying to get your vision for three years for this company on standa lone first.

Vinay Sanghi: Is the question that 25% on top line, is that the question?

Sanjay Parekh: Yes. So the first is the top line 25% growth because the pie looks quite small for the leadership we have and the opportunity that I'm trying to understan d. The second is, is that 25% growth were to come through, we've done 19% core profit, operating

profit margin in the fourth quarter,
should this be around 25% in three years from now?

Vinay Sanghi: Right. I think it's a good question. The one thing I want to highlight here is that about 13%, 14% of money spent by any manufacturer and dealers are advertising is on digital. In most countries, it's about 40%. So one can see that manufacturing dealer's money is in the next three, four years or five years, goin g on 13%, 14% or maybe 20% 25% or 30% digital. So that's one factor of growth for us. As I told you, the last five -year CAGR of our entire business about 23% and a 69% growth in EBITDA.

So we definitely feel that if we are able to grow as the number you go ing 25% or 30% or 20%, the EBITDA will go to higher margin -- at higher clip and the margins should improve. As we've

demonstrated last year as well, coming to the 19%. I think the same question was asked last year, and we feel that any kind of revenue gro wth from here, this will increase the margins, the re may be odd years where manpower cost go up a little higher, but generally we feel pretty confident that revenue growth will increase the margins.

Sanjay Parekh: Yes. Thank you. That is very helpful. Sec ond question is on the standalone. While there is a cyclical weakness currently, but again the same question here, I mean, our attributable EBITDA is 50%. And I think roughly, if I remove other income, we are at a INR50 crores EBITDA, INR45 crores EBITDA. So we as economic interest get very 50%, so that's INR25 crores. So, three years down the line again for the same question here, you're certainly not grow at that rate, but do you see once the cyclical part is over, this should be more like 10% to 15% top line and then again, we get an operating leverage or what would be your view?

Vinay Sanghi: Yes. I think, I tend to agree that as we build our verticals, one is we are hoping to the repossessed markets, and that's a cyclical, so three to six months later s hould come back. And secondly, we can build other verticals like retail, which have higher margins also more defensible. We should see a reasonable growth in the business. And as well, this is again a very similar business, where it's a marketplace, we don 't take position s on vehicles, it's an asset -light business. So as we see volumes go up, revenues go up, we clearly have a differentiated margin structure here as well. So I think it's pretty similar. They are both marketplaces. One is a C2B2B marketplace, and one

is our B2C marketplace, but the nature of the business are quite similar.
Sanjay Parekh: Sure. Very, very helpful. The last is, I mean, clearly, we understand you're conservative and that's a very good virtue as a management. So we have INR1,100 c rores cash now. So in terms of how do you think about acquisitions and in terms of the clearly the payback period, a little bit of your understanding of what are the areas, if at all you're thinking would help?
Vinay Sanghi: So the way we think about any i nvestment or acquisition, or use of money is that it's really got to be a business which is going to help our current set of users or is going to be a business where our current product and technology can be used to a new set of users, so consumers. But the intent here is, of course, to look at businesses which are synergistic to our current businesses. Obviously, a threshold for us to do this is high, because we like to see that when you look at the investment acquisition, the management team, which we are investing behind or the business model or the scale of that business is of a certain level.
And I think in the past on three such ac quisitions, all three have been successful, in fact, Shriram AutoMall, CarWale are both acquisitions involving successful and therefore you're right the threshold is high, because we want to make sure we get it right, we're not a company w

hich is
in the past done 10s and 20s or 30s of investments and acquisitions. And so we are prudent about it, we like to have a proper thorough look at what we're doing. And if we find something of even a little bit higher size of acquisition, we're not afraid, as long a s we are convinced that we can make it work.
Sanjay Parekh: Yes, thank you very much. Very helpful.
Vinay Sanghi: Thank you.

Moderator: Thank you. We have our next question from the line of Pramod Amthe from InCred Capital. Please go ahead.
Pramod Amthe: Yes. Hi. Thanks for taking my question. Couple of questions. One, what's your recent experience in terms of availability of used cars? Has it improved? And what's your outlook for the same next year? And second, relevant to the same is, what has been the inflationary price trends for used car and how do you expect that to be going forward?
Vinay Sanghi: Yes. We've actually seen suppliers, actually used cars , but it is actually really hard just post - COVID. But in the last six months, we've seen supply get b etter. And I think that comes from, as I said earlier, at that point of time that a new car supply improves, people tend to sell the old car and buy new cars. It's very hard to sell an old car when the new cars not available, because you tend to replace it . So as new car availability has gone up and delivery has increased and a new car market as you can see 28% used car supply has got better. So, I think that's one big trend which is good for the used -car industry.
The other thing, of course, we've seen not only in used cars, but also new cars is a trend you may be seen as well is that the average ticket size of customer preference or behaviour to buy has changed , which means that today if someone is buying a new car, they tend to now buy the highest variant of the same type, which is a very different behaviour to which was there maybe three, four, five years ago. So the average ticket sizes for most car manufacturers itself has gone up. And as a result, you're seeing even the used -car market, the average ticket size going up. So we've seen inflationary trends where the used -car average ticket size of price has gone up, number one. And that's similar in the new car industry as well.
So these are all good things for the car industry, when you have average prices of new cars and used cars going up, because people are making new choices one model make variant and suppliers increase the used -car market or sales increase in new car markets , these are just basically favourable trends for the entire car industry in the last year or so.
Pramod Amthe: And do you compare on a like -to-like feature, how have the used -car prices going up, what's the trend there? I understand people are moving…
Vina y Sanghi: We do actually on our website look at the average listing price today versus what it was two years ago or earlier about three years ago, we had that data, and also, we look at our abSure outlets the average selling price today versus what might b e some time ago. So we tent to compare this just to know what's happening in the car industry, and of course we've got relevant data available.
Pramod Amthe: The third one is related to the competitive intensity. Do you see that easing already considering the funding challenges which we see in global markets and that's percolating down? And as a result of which will also may get reflected to you in terms of reduced competition to procure these used cars?
Vinay Sanghi: So, we are a marketplace, all -inclusive marketplace. We, of course, as you know are profitable and generating cash and some of the other players in the industry are losing money or losing cash. We actually are not -- we are not a business which buys cars or takes position on vehicles,

etcetera. Ma

ny of the other players who may have funding this competition actually buy cars, refurbis h them, and sell them. So, they are almost like online dealers. Some of them are even our customers, because we don't see any conflict in them putting veh icles in our marketplace to sell. So, we almost with some people who were terming a competition, they actually now more customers to us and competition, I think we can put it this way.

For us, we've tried to keep a very inclusive marketplace where everyone can play a part, when you're a bank you can sell loans, when you are a dealer, you can sell vehicles, you are manufacturer, you can sell vehicles or if you're one of these online dealers, you can also sell vehicles in our platform.

Moderator: Thank you. I request you to come back in the queue for follow -up questions. We have our next question from the line of Pratyush Agarwal from White Oak. Please go ahead.

Pratyush Agarwal: Yes. So, I just have one sort of question. So both on BikeWale and CarWale. so we see these non-automotive advertisements as well. So I mean, do you have a -- so first question is, sort of, like you mentioned, these websites are very vertical -specific, and it makes a lot of sense for automotive guys to target on these websites. So one, first question is really that why are there sort of non -automotive advertisements? And second, if you can provide a rough mix of auto versus non -automotive revenue from these two sites.

Vinay Sanghi: Sorry, I didn't g et. Non -automotive / automotive on which website?

Pratyush Agarwal: So, both on CarWale and Bik eWale, we see these, I mean, on your website, there also seems to be non -automotive advertisement…

Vinay Sanghi: No, the non -automotive is very insignificant. I don't have number, but very insignificant. I think what happens is when you most advertising the automotive, which are rather manufacturers and agencies, etcetera and dealers, sometimes you have free space on a website. So, you use a program, which allows you to fill it up, it's like a fill rate. But the quantum of revenue generated is very insignificant from non -automotive. I mean, I would think -- I don't know, in terms of total company less than like not even a percent of revenue.

Pratyush Agarwal: Got it. And if you could sort of …

Vinay Sanghi: It's just a filler because you don't want to keep your ad space free. So it's just -- there are various programs which allow you to take ads for non -automotive. Yes.

Pratyush Agarwal: So it's not a function of ge tting more -- less traction from the automotive. It's just -- it's more of just filling ad space, is that correct?

Vinay Sanghi: It's just filling ad space, yes, it's not -- as I said, less than a percent, it's not significant and not something we focus on .

Pratyush Agarwal: Right. And sort of given last year, both and from what we understand from the digital ad market, so, how have your conversations on pricing being in the past year and how do you see it going forward?

Vinay Sanghi: For us, it's been a lot about work ing with manufacturers and dealers. Pricing has been stable, it's not gone up, it's not gone down. I think, for us, it's also about getting more budgets and providing more value. And I don't see us increasing or decreasing prices. I think, th ere may be some gradual inflationary increase, but not dramatic increase on prices or decrease.

Pratyush Agarwal: Got it. Thank you.

Vinay Sanghi: Thank you.

Moderator: Thank you. We have our next question from the line of Rakesh Jain from Axis Capital. Please go ahead. Mr. Jain, we're unable to hear you. Your voice is breaking.

Rakesh Jain: Yes. Hi. Vinay, just one question on bookkeeping side. The other expenses have seen a jump from last two to three quarters, right? Any particular reason or are there any one -offs being recorded?

Vinay Sanghi:

It is on – Aneesha, you – I didn't hear which…

Rakesh Jain: On a consol level.

Vinay Sanghi: On the consol, Aneesha you want to answer that?

Aneesha Menon: Sure, the last quarter was INR24 crores, which has gone up to INR25 crores . Is that the number you're looking at?

Rakesh Jain: So, INR3.2 crores is the number I'm looking.

Vinay Sanghi: Other expenses, Aneesha.
Aneesha Menon: I am also looking at the other expenses. Rakesh, if you could just explain. This is quarter ended December and quarter ended March. The other expenses at consolidated levels was INR24 crores last quarter and gone up to INR25 crores, is that the number you're looking at?
Vinay Sanghi: INR24.19 crores has become INR25.34 crores, I think that's…
Aneesha Menon: Yes.
Rakesh Jain: No, I'm looking at INR3.2 crores versus INR3 crores last quarter. Not sure if there is some adjustment to that.
Aneesha Menon: I am sorry. Can we come back to this slide? Because I think you are looking at…
Rakesh Jain: At the consol level, your consol level other expenses is INR3.2 crores at March quarter and it was INR3 crores last quarter.
Aneesha Menon: No. I think, you're looking at the wrong slide or…
Rakesh Jain: No, I'm looking at the press release, the quarterly press release.

Aneesha Menon: So maybe just we can have a look at that please and I'll come back to you. Give me a minute.
Rakesh Jain: Sure. Sir, and just one more thing. You men tioned that there is a one -off -- on the one -off, because you're mentioning the ESOP expense of INR27 crores, is that right?
Aneesha Menon: Yes, and this quarter was about INR7.3 crores. For the year was about INR27.9 crores.
Rakesh Jain: Okay. Thanks. G ot it. Thanks so much.
Moderator: Thank you. We have our next question from the line of Sagar Sanghvi from ADD Capital. Please go ahead.
Sagar Sanghvi: Yes. Hi. Thanks for the opportunity. I'll have two set of questions. Vinay, in the prior calls you have been talking of there'll be a couple of new revenue drivers or segments that would also kick in revenues for some period of time that is you are talking of insurance revenue, insurance commission revenue or loan disbursement fees, or maybe transaction -based revenue with car dealer. So when do you expect such revenues to kick -in and what would be the margins for this kind of a segment? That is one.
Vinay Sanghi: What we said -- should I answer this?
Sagar Sanghvi: Yes, please.
Vinay Sanghi: So what we'v e discussed and what we've said earlier is mostly today people like all of us come to CarWale to find a car, select a car, find out a dealer to buy, what price to pay, compare cars etcetera, and we monetize manufacturers and dealers for advertising revenue s. I think what we said in the future is building technology and product for our platform, as well as manufacturers for getting to a more purchase online methodology that basically means, can you get a loan approved online instantly, can you book your car online, and that's where the whole CarWale abSure signature movement came around.
So the intent is to get closer to the transaction, we can book online, book a loan online or maybe even buy an insurance policy online, etcetera. This is not a place where -- this is not a thing that you can do at one point of time, this is a journey, it m ay take two, three, four years, and that's where we are investing all our future product and tech in. So, I think our point was that as we go on today you can find a car on CarWale or select a car on CarWale, tomorrow you will be able to buy a loan on CarW ale, day after tomorrow you will be able to sell your old car instantly at CarWale, and the day after that you'll buy an insurance policy or get the car delivered. So these are all work -in-progress.
Over the next, I would say, two, three, four, five years, this is really w

here we will have an
additional source s of monetization, lot of like the loans are already online, if you come to CarWale today and get instant approval for a new car or used car already, right, so various elements of it being built as we go on. It's not significant today, the revenue, it will take some time for it to be significant, maybe two, three years, while our digital advertising revenue continued to grow there is some additional sources in the future.

Sagar Sanghvi: Okay. So l et's assume you would be having, let's say INR100 of incremental revenues from all the sources on the standalone business. And given your most of the cost is fixed, linked to inflation, so what kind of incremental EBITDA margins that we should be looking a t over next two, three, five years?
Vinay Sanghi: The incremental EBITDA, as I discussed earlier, would mostly come from our advertising revenue growth, because the leverage we have. This would -- yes, the cost against this would be

mostly product developm ent cost and technology cost, because the customer acquisition is really the same. So it's hard to say at this point to give a guidance around what incremental margins or EBITDA margin will come from this. But clearly, it's an investment we are making alre ady. If you see our financials, these investments are already being made. In fact, they are in operating cost, these technology and product investments and we continue to do that and investing it. So we do see margin increasing, I think, revenue stick in I can't exactly quantify the amount of margin increase, but yes, there is very little cost against some of these future revenue streams.
Moderator: We'll move to the next question from…
Aneesha Menon: So before we take the question, I would just want to go back to Rakesh's question. I even went through the press release. These numbers are not really there, Rakesh. Could you please help me and understand which -- what numbers are you referring to?
Moderator: Do you want me to unmute him?
Aneesha Menon: Yes, please.
Moderator: Just a moment, please. Mr. Jain?
Rakesh Jain: Yes, so maybe I'll get back to you with, maybe we can connect after the call.
Aneesha Menon: No problem.
Moderator: Thank you. We have a question from the line of Shrish Vaze from Moneyl ife Advisory Services. Please go ahead.
Shrish Vaze: Yes. Thank you, sir, for taking my question. My question pertains to we had announced setting up of CarTrade Ventures. So, I just wanted to understand our thinking behind this and the kind of corporate s tructure that we are looking for this. Would this be like an in -house VC fund or what exactly would be the structure for this? Thank you.
Vinay Sanghi: Yes. Thank you. See, one of the things we've always talked about is that we would like to invest or acqu ire companies in our automotive ecosystem. We have 35 million or 34 million customers a month coming. And today, they can come and find a new car or used car. Tomorrow, we like to avail of a loan or an insurance policy or service the vehicle or sell old ca r or other things in the automotive ecosystem right from automotive software etcetera. So what we've done is really formed a team, which is really looking at augmenting our current products and services wit h investments and acquisitions.

And I think the br and CarTrade Ventures was formed for that. And the intent is to use over a period of time are generated earnings or cash earnings every year. And some, of course, our retained earnings and look at whether we can add additional products and services to thes e set of customers or if you can buy technology with our current customers can use. And the intent here is that can we incrementally grow faster inorganically, apart from the growth rates you're seeing organically in our b

usiness.
I think the one good thing we feel about our businesses compared to all the other Internet automotive Internet companies and other in the Internet space itself both our businesses are cash profitable and generate cash. And a pretty stable over a five -year period. So we feel good that can we add more products and services to these sets of users or can we bring new products and service to our user or buy new technologies as well. So the intent of CarTrade Ventures is that.
As I said, we will keep l ooking at transaction s and investment s in automotive ecosystem and see something comes around.
Shrish Vaze: Got it. Thanks, sir. That was my question. I'll get back in the queue.
Moderator: Thank you. I would now like to hand the conference over to Mr. Vi nay Sanghi for closing comments. Over to you, sir.
Vinay Sanghi: Thank you. I just want to thank all of you for joining the call. It's been an eventful year for us, one of our businesses, the Consumer group has done well and the other one has faced headw inds. But overall, we had this highest -ever revenue and highest -ever profitability -- EBIT DA as well as PBT. Again, thank all of you and look forward to interacting with you in the future. Thank you, everybody. Thank you.
Aneesha Menon: Thank you.
Moderator: On behalf of Car Trade Tech Limited, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Date: August 28, 202 3
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE
ISIN: INE290S01011

Ref: Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the conference call with several Analysts/Institutional Investors/Funds with respect to discussion on the acquisition of OLX India's classifieds and Auto Business in India

Dear Sir/ Madam,

With reference to our letter dated August 16 , 2023 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of the conference call held on Monday, August 21, 2023 with several Analysts/Institutional Investors/Funds with respect to discussion on the acquisition of OLX India's classifieds and Auto Business in India .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

_____________________________________ –
Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose : a/a

" Business Update Conference Call of
CarTrade Tech Limited "

August 21, 202 3

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 21, 2023 , will prevail.

MANAGEMENT : MR. VINAY SANGHI - CHAIRMAN & MANAGING DIRECTOR - CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED
 Moderator : Ladies and gentlemen, good day and welcome to the Business Update Con ference Call of CarTrade Tech L imited . This conference call is to discuss the acquisition of OLX India's Classif ied and Auto Business in India and the discussions will be limited to this acquisition only. This conf erence c all may contai n forward -looking st atements about the company , which are based on the beliefs , opinions and expectations of the company as on date of this call . These statements are not the guarantees of future performance and involve risks and unce rtaintie s that are dif ficult to predict . As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Vinay Sanghi , Chairman and Managing Director , CarTrade Tech Limited . Thank you and over t o you Sir!

Vinay Sangh i: Good morning everybody and welcome to this analyst call. It gives me a great pleasure to announce the acquisition of OLX business in India. We have acquired 100% of Sobek Auto , which houses two distinct business verticals . There is a classified business which we all know a s OLX on our phones and there is a C2B or consumer -to-business automotive transaction business, so these are two distinct business verticals of Sobek and we have acquired 100% of Sobek Auto . This acqu isition was at a total cost of Rs.535 Crores . The compa ny Sobek itself has approximately Rs.115 Crores of liquid assets of cash which would take our equity acquisition value to our Rs. 420 odd Crores. This acquisition entails acquiring 100% of the shar es.

Sobek Auto al so signe d business trans fe

r contract to acqu ire entire OLX India classified business from OLX India, so it owns the classified business as well and Sobek Auto also entered into b rand license agreement for 20 years with OLX being the gl obal holding company an d enter also into tech nology transfer cont racts, all the technology created by OLX in India , transfers to Sobek Auto which will in a way transfer to our ownership. So , we are really excited to announce this. We believe that it is a fantastic acquisition for our entire portfolio. As I said there are two distinct business es, the OLX Classified business which carries an element of automotive and non -automotive. Automotive here is about 50% of the entire business and the non -automotive s ide, is another 50% . Non-automotive category includes electronics, jobs , furniture, real estate, etc ., etc.

We also acquired the C2B transaction business , which was 100% automotive , last year, the y transact ed almost 50000 vehicles in t hat business , so these are the two distinct verticals which we acqu ired. Just some key metrics - its the largest use d classified platform in India - over 100 million downloads, what we love about the classified business is it is a lot like
 current business es where it is a very large amount of organic traffic or traffic where they do not pay for and that is only the reason why the classified business is extremely profitable. They get monthly 35 million uni que visitors per month, almost 32 milli on listing s per year . Very, very dominant in the lis ting spa ce.

On the transaction si de, they inspected 3 50,000 vehicles for auction . Sold at the rate of about 35 ,000 vehicles a year in the last month, the GMV on the transaction side, it is Rs. 1,660 Crores . The total net revenue for the company - which is the c lassifie ds and the transaction, just the revenue and the fees , not the GMV it is approximately Rs. 285 Crores . It is a cash free balance . The Classified business financial s have been circu lated. The

Classified business itself has revenue of about Rs.177 Crores out of this and has profit before tech cost and I will come back to tech cost, so before tech cost of Rs. 111 Crores which is a high margin business.

The transaction business has a GMV of Rs.1600 Crores and net revenue of Rs.108 Crores and these are July annualize d number s and has a loss of approx imately at a run rat e of Rs.89 Crores a year. This has come down over a period of time . One of our big objective s going forward immediat ely is to fix the unit economic in a transaction business , the Classified business has been extremely profitable already and if we combine th ese numbers the transaction business , classified business, we get a GMV of Rs. 1,837 Crores and net revenue of Rs. 285 Crores and profit before tech cost of approximate ly Rs. 23 Crores per year which means i t is cla ssified is highly profitab le and the C2B transacti on business is of course losing mon ey, but of high potential in the future .

What we like to do immediatel y as an action is fix the unit economics in the transaction business and bring down the loss the re immed iately and of course keep continue to go in th e classified business. There is also a tech transition which is taking place . The entire technology built for running OLX in India has to be transferred and the tech transfer or the tech transition is going on. we expect it to be absolutely com plete sometime betwe en December this year and Marc h 2024. That work i s underway, so the entire tech is owned by Sobek Auto which is the company we acquired. There will be a cost for this transfer approximately we feel even tho ugh the transaction value or the purchase price wa s Rs.535 Crores minus the cash which is about Rs. 20 Crores , there will be additional cost of approximately roughly Rs.60 Crores till March on the

entire tech transfer and the migration of the tech . Post March, the tech cost will dramati cally come down as w e completely have in house with our own tech teams to manage and grow the technology an d products of this business. This is a very high -level amount of data here. As I said , we are extremely exci ted abou t both the Classified and transaction business , although the transaction business requires unit economics to get fixed . As you know our track record over the last few years of fixing unit economics and businesses, we will of course attempt to do so here as well.

 When we look at the Cl assified s side itself , the first time part of this business has got a non-automotive side which we are extrem ely excited , the electronic side, jobs, homes, furniture, etc., etc., but of course we are extremely excited about the a utomotive side itself , which i s 50% of this busines s and as we said for us in many ways changes the way we look at the CarTrade Tech group over the next two to three , four years . When you look at the total users , when you add 35 million users here a nd other 34 million CarWale , BikeWale and the other platfo rms of the group , we have almost 68 million users per month which is a phenomen al number and of course takes our revenue s and profitability to another level of scale . This is what I had . I thin k we have circulated a presentation earlier . I am happy to go into question , answer s and clarify all your doubts on the acquisition . I just wanted to reiterate how excited and happy we are to be able to get this done. Thank you.

Moderator : Thank you ve ry much. We will now begin the question and answer session . Our first question is from the line of Siddhartha Bera from Nomura . Please go ahead.

Siddhartha Bera : Thanks for the opportunity. On the classified business, I had a couple of questions. First is , some co lor can we share in terms of the history , how th ese revenues have grow n, say in the last couple of years an d given as you are integrating into our current business, so any thoughts you have on next three to five years? Where do you want to see in term s of the scale for this business and second is on the margin side, so we underst and that Rs. 60 Crores will b e the one -time cost of tech transfer, but after that , from may be Q1 of next year what can be the sustainable amount of this tech cost which may come and wha t will be the synergy benefits given that we already have a big classifi ed sort of business, so ho w to understand the synergy benefits between this and the new OLX business?

Vinay Sanghi : Sure. I thin k the first thing was the growth rate side. Over the las t three years and some of the data will become clearer i n the next few calls we ha ve, but roughly the growth was about 20% in the last couple of years for the classified business that is the first question you had. I think over a period of time, the investm ents from OLX globally has been in the transaction busin ess. We of course be lieve that the class ified business is extremely valuable and we are going to make a lot of attempts to invest in the classified business and look at catering to all the 30 odd million users so that is the first question you would have asked. I think the se cond one the tech co st and the tech cost that we incurred really for a period of six months to transition this and these costs are global costs that have been incurred to OL X global ly to transition the tech and use the services for this period . We believe t hat eventually some time between as I said January and March next year, we will incur or have our own teams running technology and products for this company and during the process,

we are making the trans ition. At that point, we believe the costs will come down
dramatically may be by 4 0%, 50%, 60% at least we believe that , so that

is the second part.
The third question was around margins next year right . The classified busine ss is ex tremely
 high margin as you can see Rs. 111 Crores tra iling profit right before tech cost. We are definitely see ing these margin will continue the classified business. We believe that the margins on the transaction C2B business, it will change and we feel pre tty confident that we will bring down the cost to get to very reasonable unit economic s in that business. So, our attempt is to fix unit economic s in one business , grow the classified s business and its profitability and revenue and transfer the tech internally and these are the three basic objectives for the next few months.

Siddhar tha Bera : Got it. Sir, on the C2B transaction business 6.5% net revenue margins are quite healthy, so can you slightly detail in which areas unit economic s is not currentl y sort o f good and we need to address that and if I look at like over the next couple of years, the business scale as you have said it has come down from 50 ,000 to 35 ,000 or so, for the next couple of years what will be our top priority , will it be sort of g rowing t he business or may be bringing down the losses , so some t houghts?

Vinay Sangh i: Yes. I n the two, three years, of course one is the cost of marketing right which we feel this whole acquisition and synergy giving access to CarWale customers , also to C2B plat form should bring down the market ing cost, so that is the first object ive for us and t hen the various intricate processes which are being done in the transaction business right now, flavor of which we said in the presentation as well which we obvio usly wan t to bring down and optimize right without sacrificing cu stomer centricity . You have to remember that OLX ran this a s a global business and therefore historically there were lots of costs which existed which we feel we can pull out of the system , at the s ame time enhance customer experience right, so that clearly in the transaction busines s, it is not the focus. On the classified business as I said highly profitable growth is the focus. On the transaction business , we are looking to fix th e unit economi cs even if we sacrifice a little bit of growth we are def initely going to fix the unit economics first .

Siddhartha Bera : Got it. Marketing cost will be what percentage of maybe I do not know net revenue or gross revenue is it sustainable or what yo u can lo ok at there ?

Vinay Sanghi : We feel it we want to bring it now to as you see in CarWale and you see in OLX , the classified business, we like organic businesses where customers come because of the exper ience and not because we spent a lot of money on marketi ng. I think i t is pretty similar here. We want to make sure the trans action business is r eally getting customers from OLX the classified platform or CarWale and really coming on because of the superior customer experience we can provide and not b eing built on marketing cost. We are very cle ar that we are going to bring it dow n from what it is to day.

Siddhartha Bera : Got it sir. Thanks a lot . I will come back.

 Moderator : Thank you. Our next question is from the line of Sachin Dixit from JM Financial . Please go ahead, Sir.

Sachin Dixit : I had a bunch of questions. First one, basi cally with regards t o this trans action figure, possible to share any data on unit economics because right now, the filing is very high level like we do not know what it is, because there is almo st Rs. 200 Crore s cost item between the net revenue and PBT profit?

Vina y Sanghi : Yes, we wi ll give you a split up in future calls and of course even cost buildup, but the two basic costs are people cost and marketing cost . Marketing is a customer a cquisiti on cost and peoples are re

ally for conducting all the processes which a re required . I can e laborate a little bit on the process . The process really involve the customer coming into OLX, the transaction business and asking for an inspection an d the ve hicle is inspe cted at the seller’s house which is you or me and when the v ehicle is inspected at the seller’s premises, the vehicle is auctioned to a large number of dealers in India and then there is an auction price which comes out. Once the auct ion price comes out, O LX or Sobek buys that vehicle from the customer , keeps it fo r a day or two and t hen collects the money from the dealer which won the auction and deliver s it to the dealer, so it is a like C2B platform even though there is no risk on the transac tion becaus e every quote given to a customer , has got a back to back dealer quote. It does hold inventor y for two to three days in that process , there is a very low amount of inventories, it is almost asset light, but it does hold it , so this is the process .

Ther e are most of the cost are - certification cost, the operating cost, picking up the vehicle, keepin g it, giv ing to the dealer that engine or that cost is what the people costs are and another cost is marketing and customer acquisition . So obviously we feel that in th is process , there is a bit of optimization which we can obviously do that i s what we feel.
Sach in Dixit : And there will also be some cost of warehous ing etc., right because….
Vinay Sanghi : There is some cost, but it is not significant, but there is a cost of keeping the vehicles for three days .
Sachin Dixit : Okay. My next questio n is with regards to basically t he profit…
Vinay Sanghi : That also you might see some synergy, becaus e Shriram Automal l have 130 autom alls in India, so we might see some cost synergy there itself in stocking these vehicle s, sorry, we might see some synergy there in cost.
Sachin Dixit : Next qu estion was on basically the profitab ility of this entire business, so currently PBT profit is Rs. 23 Crore s and even if we a ssume that the 40%, 60% dip in the cost that you talked about which is currently roughly Rs.10 Crores a month actually happens, so you still
 have at least Rs.5 Crores tech cost a month which is Rs.60 Crores of annualized numbers. So ba sically combine ….
Vinay Sanghi : Combine in where we will be saying, we will bring it down , but we also see the transaction losses coming down dramatic ally right that is what we see.
Sachin Dixit : Right, basically so Rs. 50 Crores assuming that the tech costs are coming down and then the transaction unit economics also improves further, so net -net this entity might continue to give us losses for may be th e next fiscal year at least ?
Vinay Sanghi : To give us profits? Yes, we feel pretty confident that sho uld happen , absolutely right.
Sachin Di xit: No, I mean like the entity might continue in losses for the next fiscal year?
Vinay Sanghi : No, I do not think so, b ecause if you have R s. 111 Crores profit in one business and you will have to bring this from the other one then you have tech cost is boun d to be profitable for the company , we feel pretty confident in the next year post the PBT cost we will be profitable .
Sachin Dixit : Understo od and just one final question this is more on like what differ entiate s basically CarTrade from some of the peers, so when you think of OLX which was running the transaction busines s earlier, they have a lot of classified or free traffic as you have ment ioned. Your peer Car Dekho which also has similar busin ess model where the CarWale model where there is a lot o f organi c free traffic, they also get the transaction as well and they actually shut it down and then gave a public interview that this business can never make money , what is givin g you the conf idence that you can actually

improve those unit economics if OLX has n ot managed to do it, CarDekho has not managed to do it ?
Vinay Sanghi : You are right. I feel one is the model itself - is less asset heavy, marketing cost needs to come down a nd there ar e tweaks I think the fact that they have to be tweaks in the proc esses to make sure that the unit economic changes , staying asset light . I feel that one of the things we are going to focus on is to stick to our core principle s like CarTrade Tech group which is staying asset light and that is why we have all been pr ofitable and applying these rules to C2B transaction business, we feel pretty good that we will be able to turn it around, but anyway bring down the losses we feel p retty confident abou t that .
Sachin Dixit : Thanks.
Moderator : Thank you. Our next question is fro m the li ne of Vijit Jain from Citi. Please go ahead.
 Vijit Jain : Thank you. I have two questions. One is on the classified s business, if I look at this number right, Rs.177 Crores t his is pretty similar to what you have in your standalone business have give or take, b ut pretty highly profitable business at Rs.111 Crores, so I am just trying to understand what makes the profitability here so high given that your marke ting spend itself also is not especially too high right, the cost structure is Rs.60 Crores for OLX 's in classified business is entirely in India, is that how we should understand it?
Vinay Sanghi : OLX classified that is correct at this point. You got to rem ember that the P BT o f the tech cost is kept out of this and there will be some tech cost here wh ich will bring down that 111 Crores itself, but beyond that one is to also keep in mind that OLX is general purpose classified s, it is a horizontal. CarWale is a verticalized b usines s. There is someone like you and I think that is one of the thing we are very excite d about , there is someone like you who is selling a car today on OLX and 100 million people have got it on their phone and tomorrow that same person is selling a phone and third day selling a furniture right so the user base, it is one of the few platfo rms in I ndia which has got a very strong 32 million listing, it is a phenomenal number. There is no equivalent probably market place in the

country . There are so many listings comi ng up every year and many of them are paid, so people pay to list that products . Consum ers like you and me pay , so I think the business is slightly different from CarWale. CarWale is the verticalized automotive 80% new car, new vehicle business. This is the u sed products sold on OLX and obviously the classified s is completely asset light a gain, almost zero marketing cost and therefor e the unit economics are extremely good and that is wh at we have been excited about the whole transac tion.

Vijit Jain : Got it an d Vinay, just to clarify the product in tech costs that you talked about 1.2 million a month which will come down by 50% to 60% next year, just one thing, is this primarily people cost or this….

Vinay Sanghi : It is the cost of gl obal OL X network to deliver this tech to us . Obviously, it is in their environment right now. It is not in our environment which means infrastructure or every cost is incurred by them globally and I think for us we obviously believe that whether the peopl e cost, whether the share ser vices cost , it will dramatically come down once you take it over in India.

Vijit Jai n: Would that entail you tak ing over some of the employees which are currently still within OLX globally?

Vinay Sanghi : Yes. The intent is to do that because there is a very high-quality talent th ere, number one. These people have actually been involved in buil ding the global products, so the inten t is to do that and the inten t also bring in people from out, it is a combination of both, but there is alr

eady a core team of people with transition s interna lly from the global team to our tech team to look at this produc t going forward.

 Vijit Jain : Got it. Understood. My second question is on this, C2B transaction business, just trying to understand from a dealer perspective, your whole platform as an off ering to used car dealers overall, you obviously have A bSure, you have Shriram Automall and there will be a dealer network for this business you are acq uirin g as well. So, is there a decent level of overlap there and is there a thought to kind o f combining your dea lers interf ace here, so that you show out combine uni fied offeri ng to de aler and I do not know may be optimize , how much you can make out of those dealers just general thought on how much from a dealer perspective these three bus inesses overlap?

Vinay Sanghi : There is a n overlap in terms of what the dealer needs to do w ith all these platforms or there may be some overlap from the dealers itself , so the different ways we are connecting the dealers right now. One is, dealers c an buy vehicles on OLX transaction platform. It is also the largest used car dealer, selli ng netwo rk on OLX classified s so most dealers in India would list the cars on OLX f or sale to customers and some on the classified s side of the business . So already OLX caters to dealer s who want to buy th e car and dealers want to sell their cars automatically. CarWale c aters to all dealers who want to buy cars and sell cars as well, so there is an overlap and then Shriram Automall caters to dealer s who want to buy cars in -auction as well , so there is an overl ap in all these three. Our inten t would be to in the medium term not the short term is to look at tech which enables dea ler to seamlessly do it that is the inten t here on any of these platforms and that is a tough job, but goal would be in the medium ter m to integrate tech in a way that are seamless for dealer to int eract in any of these platforms that would be the intend , just f rom a sheer convenience if you want to buy vehicle on CarWale or sell it or OLX you go for the dealer that is t he intend here, but that will take some time and make it very convenient for dealers actually , but al so I want to stress here that we intend is t o run OLX as a 100% subsidiary , it's got a phenomenal classified s side to it and a transaction s side and very different set of users and I feel users on OLX , our people who ha ve that app on phone and use it for multipl e things not just au to.

Vijit Jain : Got it. Great . Thanks. Th ose were my questions Vinay.

Moderator : Thank you. Our next question is from the line of Rahul Ranade from Goldm an Sachs Asset Manag ement . Please go ahead .

Rahul Ranade : Thanks Vinay and cong ratulati ons. Just wa nted to clarify one thing, from a customer standpoint CarWale and OLX will continue to exist separately right?

Vinay Sanghi : Absolutely , CarWale is first of all 80% new, OLX 100 % used and the objective is to allow customer with capabili ty of be st of everyt hing whether the OLX or CarWale absolutely, so both will exist, both will grow and both offer very different value to the user.

 Rahul Ranade : Suppose there i s a person who wants to list car for sale he will have to do it separately on a n OLX and on a CarWa le app.

Vinay Sanghi : In CarWale and OLX, one overlap is customer listing a used car for sale or dealer listing used car for sale. So, the inten t will be ove r time as I said in a medium term make it seamlessly easy , if a user wants to l ist on CarWale or OLX or only on CarWale or only on OLX make it simple for them to do so whether it is a dealer or individual . I think we will enable at some point the capabilit y for consumers or d ealers to do so, but it would probably be left th

e choice to t he user what they want to do, but we will try and handle the tech in a way that is seamlessly easy.

Rahul Ranade : Sure, and just one more clarification. If I were to look at this Rs.177 Crores of cl assified revenues you said half is auto so about Rs.90 odd Crores is used auto in OLX versus around Rs.25 Crores, Rs.30 Crores kind of a number in terms of our standalone used auto, so would that be a right comparison that OLX used auto is three to four ti mes of CarTrade used auto ?

Vinay Sanghi : The used classifie d side is correct , but the group also has used auctions, it is Shriram Automalls , it is 100% used , but it is a classified side, OLX is much, much bigger and t hat also is somethi ng would actually excited us when we looked at the acquisition. They got a sizable use d classified business which are multiple times CarWale that is absolutely correct.

Rahul Ranade : To your mind how important is this asset heavy C2B kind of business in te rms of OLX perspecti ve, if you were to kind of improve the unit economics on th at, the effort on that would also in some way start curtailing volumes in terms of that as well right, so will that have an effect in terms of the classified s space of used autos in OLX getting impa cted in some way?

Vinay Sanghi : No at all, the classif ieds not connected with this at all, it is like a universal market place. This C2B in some way is an option to a classified user to go through this path, so this C2B does not affect the cl assified in fact cla ssified affects the C2B if at all , it is the other way around . The classified universe is just so large and C2B is a fraction, just an absolute fraction of what the classified users are. A very, very small segment of all classified users comes to C2B at all . In fact, one of our attemp ts is to get more u ser than classified to C2B, but it is actually very small at this stage , so the classified is almost like a mother and C2B like a child in some way. I think our attempt with the C2B b usiness, what we wan t to do is what we have don e with Shriram Automall, wh at we ha ve done or what OLX is trying to do, both are auction s. We wa nted to enable a seller, someone like you or me or in Shriram Automall it could be a business seller like a bank. We want to e nable the system whe re we get a price immediately in a transparent manner and then get some kind of price discovery , now the question is how do you fixing the unit economy to do so ? For us it is impe rative that when we do something like this the customer must get fantastic value and the business

 must makes money that is the bas ic funda mental rule which we want to work through, we got to fix it. I think we will make sure that we first fix this before we start looking at growing volume s etc., etc. The first g oal would really t o make sure that we understand whether th ere is market ing cost, how do we make sure we fix this first - our processes that is our attempt at this point .

Rahul Ranade : Sure, and i n terms of the no n-auto classified the 50% part of the classifie d revenue , so over there should we think of it has well-oiled machine and no major in vestment etc ., will be required on the non -auto side and that will continue to chug along, so….

Vinay Sanghi : Absolutely. I think the non-auto is no t requiring cash investme nt, it will move around, it will keep going, but we want to make sure that we take advantage of the categor ies which exist out there. Many of the m are under monetized which is probably the large st destination where the people sell electronics or other items, so we want to make sure th at with the great products we will make it easier for the user to do so and g row these businesses. Of course , we are excited about the auto classified side, but we have also excited about the non - automot ive side of the business .

Rahul

Ranade : Got it.

Vinay Sanghi : But i f you asked me if we requir e cash investment, no the business does not require cash.

Rahul Ranade : Anything we probably will be in the existing categor ies that you highlight that electroni cs one, furniture etc ., would be another….

Vinay Sa nghi : Jobs, home s...

Rahul Ranade : Thanks a lot.

Moderator : Thank you. Our n ext ques tion is from the line of Nishit Jala n from Axis capital . Please go ahead.

Nishit Jalan : Good morning. Congratulation s on completing the acquisition . Just two, three clarificati ons and then I will come to my questions. Number one, we will continue to be allowed to use the OLX brand in India for the acquisition?

Vinay Sanghi : Yes, we have signed an IP licensing agreement for 20 years.

Nishit Jalan : And will the outgo for this be meaningful or it will be smaller?

Vinay Sanghi : It is small , not me aningful.
 Nishit Jalan : Okay. Secondl y, you t alked about bringing down the marketing cost, can you tell a rough idea, it is not t he actual numbers, what kind of marketing cost range is OLX incurring, just wanted to see wh at could be the red uction that you can do ?
Vinay Sanghi : Roughly, it is about at the rate of Rs.40 Crores a year on the transaction side at this point. It will be much higher, but round about Rs. 40 Crores.
Nishit Jalan : Rs.40 Crores is the total marketin g spend of OLX in I ndia that is the right way to look at it?
Vinay Sangh i: At th is point, yes.
Nishit Jalan : Okay and thirdly your presentation talk s about that the tech transfer cost will last till December and from January it will be completed and everything, but y ou mentioned that part…
Vinay Sanghi : Actually , these projects are underway, so its betwe en somew here in January and March that is what I said.
Nishit Jalan : Okay, so basically the actual….
Vinay Sanghi : It could be January, it could be March end and this is not….
Nishit J alan: By FY2024 , it will be done?
Vinay Sanghi : That is correct.
Nishit Jala n: Okay and just one last thing on OLX , what I understand in OLX is look into sell their auto business globally and this transaction is a part of that strategy with their follo wing globally, is that a right understanding and if yes then basically w as OLX a lso look ing to sell the non - auto bu siness or it came as a parcel and you had to buy the non -auto business also, I just wanted to understand the thought process around that?
Vinay Sanghi : No, clea rly when we have first told, we were excited about th e auto b usiness, because that is what CarTr ade Tech is about , automotive market places and that is the first intent and we were excited about that. As it went on it become apparent tha t is the entire classif ieds and the automotive business , to be honest the non -auto als o excited us because we s aw the data and the numbers and the categor ies which are not created and can be created in India and a very, very strong add on, so it did excite us much, we actually g ot more excited about the transaction after that.
 Nishit Jalan : Okay, but the marketing channels or where you market to get traffic for your auto related customers and for non -auto customers will be very different , don 't you think th at and for that rea son basically the marketing cost will need to continu e to inc ur for at least the non-automotive business?
Vinay Sanghi : The marketing cost on OLX is incurred only for the automotive business, not the non - automotive business , first. This 40 Crores incurred w as entirely in the automotive business , entirely in the trans action side of the business, not on non-automotive and as I said earlier if you have so many downloads on the phone s, I think it is a same user putting up a car today, putting up another item tomor row right or usi

ng it to buy a home or rent a home , so the us er is the same that is what we are excited about , unlike CarWale , there is some one will come this buy a new car or sell a car once in three years , the actually use s this very of ten and I think tha t leads to very low marketing cost sort of no ma rketing cost, because the app is used for multiple purposes , the user just always stays on.
Nishit Jalan : Okay and on the classified business, just wanted to understand I would assume that there are two revenues streams . One is the adverti sement revenue s and second c ould als o be basically the listing charges or subscription packages which OLX will be charg ing for dealers, right ? Is that the correct answer?
Vinay Sanghi : There are basically four di fferent revenue stre ams. The one stream which is used car dealers classi fieds revenues right. The second listing fees from consumers like you and me selling the product right, it could be a car, it could be electronic item, it could be anything. The third r evenue is ad sales which is advertisers putting advertise ments on OLX an d the fo urth stream of revenue is dealers of non -automotive s, advertising on OLX, so basically four streams.
Nishit Jalan : Okay and may be at some point in future I would appreciate if yo u can share the brea kdown broadly …
Vinay Sanghi : Absol utely.
Nishit Jala n: But r ight to assume that ad s will be a bigger part of it or fees which will be the bigger part?
Vinay Sanghi : If you can look at the order, the used classified is the largest then all the three like I would say the second largest proba bly, but similar the other s are similar .
Nishit Jalan : Okay and if I look at you also have used car dealer business dealer where you allow the

dealers to take subscription packages and list their product on your website right, so the
point here is I think you alluded to this, but at som e point of time if you can articulate the
medium term strategy because you have a lot of overlap in the business, your used car
 business and OLX used car business. I am assuming lot of dealers will also b e common between the two platforms would be listing their pr oducts and….

Vinay Sanghi : OLX is much larger platform, there is some commonality , but OLX is much larger platform.

Nishit Jalan : Okay, may be at some point of time , you might want to continue or you might want to adopt OLX for the used car busines s and Ca rWale for the new business and may be have…

Vinay Sanghi : Honestly, I am not looking at that. I think what we want to make sure that the dealer decide s, whether they want to be on OLX or CarWa le or both , this is going to make tech easy for them to do so , but event ually de alers decide what add value to them. There will be some dealers who like CarWale for the reason may be some of which like OLX, some may want both or some may have both already , do not matter.

Nishit Jalan : Okay and lastly the C2B transaction is basic ally als o kind of similar which CARS24 also do at a bigger level right?

Vinay Sanghi : It is actually very similar that is correct.

Nishit Jalan : What kind of synergy do you see from yo ur auction busi ness to this or may be you can use some of their tech to your auc tion business or how do you think that could allow to about a period of time because this is an interesting business and you get a lot of dealers who are buying vehicle from, c ould be buying vehic le from this auction business right?

Vinay Sanghi : Yes, obviously the auction o r the dealers being able to bid on both vehicles right , whether there is an OLX car or Shriram Automall car , that is one. The second is tech synergy clearly , whic h platf orm w orks bette r for what purpose and what are the technolog ies whic h OLX ha s which could work on SAMIL and vice versa. Third, massive synergy is data, if we look at the quantum o

f data between OLX , SAMIL and CarWale just data of underst anding vehicle pricing to other things lik e today for a user, if you could make with the amount of data we ha ve make it easier to make a decision on what they want to do - to sell a car or buy a car etc., the price data for example or ability for dealer s to give faster quote s just because of the number s of dealers on both these platforms . These are all synergy we are working through, but it will take time . These are medium term answer s, they are not short -term answers . Explo iting synergies like th is would take us may be I do not know 12 months , 24 months and I th ink the third synergy will be cost right , because if OLX the transaction business got location where the key vehicles and SAMIL has 130 Automalls can we leverag e those locations, so they are thinking a cost synergy, they are thinking of data synergies to help users, they are thinking of obviously tech syner gies, us er synergies, consumer synergies or dealer synergies all of that.

 Nishit Jalan : Just l astly one small point , in C2B business all the auctions on let us say if a customer has to go to OLX to get th eir car listed, it is completely online or do they h ave smal l, small stores or small, small…

Vinay Sanghi : You can get on OLX online and the flow takes you to say – listen I want to sell my vehicle to OLX auto the transaction side and it just goes th ere. No , you do not have to walk in to physical locations .

Nishit Jalan : There are n o office s, the re are no walk in physical …

Vinay Sanghi : You do not need to walk in . They have franchise to also B2C, but they do not like app store , but they do not have, that is not C 2B store, basically you do that online. You do not have to come anywhere as a user, somebody will come to your house and check your car.

Nishit Jalan : This B2C business also you have bought in with the franchise e stores they have or that is not part of this ?

Vinay Sanghi : No, w e brought everything , so any franchise store, OLX is part of the OLX classified platform .

Nishit Jalan : Okay.

Vinay Sanghi : We bought in almost I think 1 20, 130 OLX franchise stores.

Nishit Jalan : They also work on asset li ght model , I am assuming that the y are…

Vinay Sanghi : They are absolutely asset light .

Nishit Jalan : Thank you so much.

Moderator : Thank you. Our next question is from the line of Pankaj from Affluent Assets . Please go ahead.

Pankaj : Thanks for taking my question. Just wanted to understan d with th is acquisition where does it take our mark et share to pan India basis a nd secondly, do we plan as you in answer to previous participant questions , you mentioned that the business model is more or less similar to CARS24 , so do you plan to forward integrat e into scra pping the vehicle s and getting into that type of business?

Vinay Sanghi : There are two parts which we acquired one is the classified side, which is just about users like you and me and sell to consumers, so that is one part of the business. It is very hard to

 look at market share, beca use it i s a horizon tal versus some of the other automotive players , so it is very hard to get and then the C2B transaction which overlaps a little bit with CARS24 , so these are two players there , but we are not looking to getting into scrapping or it do es not c hange, scrapping does not come on to these exchanges really someone selling car and getting a simple easy manner to sell it off or convenient way to sell it off and that is what the system involves.

Pankaj : Okay, in the future timeli ne, when do you see thi s OLX business gettin g completely integrated into our business and thereafter what type of growth do you see over a period of time?

Vinay Sanghi : Obviously, we see the tech side

as I said it will take between may be four to six month s and the growt h we are very bullish about t he sector whether classified or the C2B side , so we believe that we have reason ably good growth, I do not give you a guidance a round it, but we have given you what the path growth will be so we definitely see r easonable gro wth rate in both the transact ions side and the classified side.

Pankaj : Any synergies leading to cost savings on…

Vinay Sanghi : There will be lots of synergy on cost, obviously the tech cost s is one, cost of locations, physical locations and other one acro ss the b oard we see cost syne rgies, so we are going to be working on it, but mostly on tech and physical locations.

Pankaj : How has been the profitability of OLX, where they better off in terms of profitability margins compared to us or lesser than us?

Vinay Sangh i: So, we have shared the numbers with you, the classified side of course is probably better than us . On the transaction side I mean SAMIL is far more profitable, so on one side, Shriram Automall is profitable than OLX transact ion and on th e other side, the horizontal classified OLX , in terms of the margins seems a little better than CarWale .

Pankaj : On overall basis, classified and transactions whether….

Vinay Sanghi : I will be honest, it is too early to compare I think it will take us about six to eight months to get the tech trans ition all of them and then you know draw comparison, but idea is not a draw comparison. The idea is to make them both grow , so…

Pankaj : I agreed, but at this moment, would attribution be margin dil utive in nature?

Vinay Sanghi : No, we do not think that will be the margin dilutive , after four to six month integration we do not believe any margin dilutive at all.

 Pankaj : Thanks a lot.

Moderator : Thank you. Ladies and gentlemen due to time constraint s that was the las t que stion of our question and session . I would now like to hand the conference over to the management for their closing comments.

Vinay Sanghi : Thank you everybody for joining. We are really excited about this new phase of our journey as it goes on we will keep communica ting and sharing more and more information and our excitement with you. Thank you once again for joining. All the best. Take care.

Moderator : Thank you. On behalf of CarTrade Tech Limited we conclude this conference. Thank you for join ing us and you may no w disconnect your lines.

Call: Aug 2023

Date: August 18 , 2023
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE
ISIN: INE290S01011

Ref: Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q1FY24 Earnings Conference Call held on Thursday, August 10, 202 3

Dear Sir/ Madam,

With reference to our letter dated August 07 , 2023 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of the CarTrade Tech Limited Q1FY24 Earnings Conference Call held on Thursday, August 10, 2023 .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

____________________________________ –
Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose : a/a

"CarTrade Tech Limited
Q1 FY 202 4 Earnings Conference Call"
August 10, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 10, 2023, will prevail.

MANAGEMENT : M R. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED

MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR
AND CHIEF FINANCIAL OFFICER – CARTRADE TECH
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to CarTrade Tech Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements of the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vinay Sanghi, Chairman and Managing Director, CarTrade Limited. Thank you, and over to you, sir.
Vinay Sanghi: Thank you. Good afternoon, everybody, and I want to welcome you to this quarterly earnings call and thank you for taking the time out to spend this next one hour with us. Just wanted to give you the highlights of the quarter to start with , we had also circulated and uplo aded a presentation. The first part was really the key metrics of the company. We have now 200- plus physical locations in the last quarter we auction at rate of almost 1 million vehicles a year. Monthly unique visitors compared to last year continue to grow at 34 million unique visitors. The organic traffic continue to be strong at 85%, which is really the strength of the brand and the company.
Revenues were approximately INR 107 crores, INR 106.9 crores. Adjusted EBITDA touched INR31 crores. PAT was INR13.5 crores and we continue to have free cash flows as well as a strong cash balance, approximately 1, 100 crores. Just to give you cont ext, revenues with about 18%, adjusted EBITDA by 74% and PAT was almost 3x, which is at 307%.
If you look at the stand -- the consolidated. We can pick up the consolidated financials first. As I already said, revenue is INR 107 crores --, INR106.9 crores, which is approximately 18% higher than last year. You will see the total expenses almost 5% up from last year, which is the reason why the adjusted EBITDA is up by 74%, which shows the leverage in the business.
Adjusted EBITDA percentage from 20% last year on 29%. If we took out the other income, it's about still higher at 12%. As you see here, PBT has grown by 316% and PAT by 307%. On a consolidated basis, we're glad to inform you the profitability has grown, the robustness in the model has been shown. Costs have remained more about 5%. It's mostly flat. Some breakups our stand-alone business now is 56% and the re marketing revenue is about 44%.
So I think that's a bit of a change and that's been reflected in the stand -alone accounts, which is the next slide. As you can see, our stand-alone revenue has gone up by 28%. Stand-alone adjusted EBITDA, that the operating revenue up by 28%. The total revenue is up by 48% on a stand -alone company.
The Net Revenue INR 60 crores & the adjusted EBITDA is up to INR 20 crores from INR 8.6 crores last year, which is a 141% increase in adjusted EBITDA. EBITDA margin is a 34 % stand -alone against 21% last year. If you took out the other income, the adjusted EBITDA margin up

from last year, 4% to 8%. And you can see the stand-alone profit is almost 6x -- 6.3x in -- PAT which is a INR 12.34crores and P BT is about 7.7x , INR14 cro res. So all in all, the financial have been strong for the company led by 28 % growth in operating revenue.
And so I just want to highlight a couple of things here. One is the expenses includes a one -time due-diligence costs pertaining to the Sobek Auto acquisition, and that's included in our other expenses. Th

at's number one. Some other key highlights here are in the stand-alone is that a new -- not much is chang ed in the split of use d car revenue and new car revenue still use about 17%, new is about 83%. The OEM dealer competition also is pretty consistent and stable . OEM is about 62%. Dealer contribution to this business about 38% , so this is in the stand -alone accounts.
Revenue has faced some challenges, which continues to be over the last 2, 3 quarters is the remarketing side of the business, where revenue over last year has de grown by 7%, although EBITDA is up by 11%. And that's partly because of cost reduction of 11%, which has improved

the profitability, the unit economics, but revenue still continues to be a challenge there.
And I think this is coming from what we've talked about in the previous quarters , it's a decline in the repossession business. Our repossession b usiness, which from banks and NBFC supply from all the various banks and NBFC is down and is now 45% of our business. Our fastest - growth segment is our retail si de of supplier to re marketing business, which now becomes 40% of our business.
So, the previous quarter, the remarketing of 55% of our business, come s down to 45%. Our retail was 33%. EBITDA was 40%. So we're seeing a segmentation change and we're hoping that the repossession also picks up in the next few quarters. But at this point, the repossession business is down, and that's actually dragging some of the revenues down. Al though the profitability is marginally better.
So this is the re marketing side of the business. If you go to the traffic on the consumer side or CarWale, BikeWale and other platforms, the traffic is actually up from last year, which was at 31.1 million is on 34.2 million in the same period. So it has grown. Auction volumes are down, consistent with the revenue being down by 8%, so it's down to -- in this quarter to an average of approximately 272,000 vehicles -- sorry, 250,000 vehicles this quarter, versus last year's 270,000, which is down by 8%.
On the Google trends , the brand we continue to have clear leadership over the competitors, both CarWale and BikeWale are several times or a couple of times in terms of Google brand Indexes on the digital brand index. And as you know, 85% of our traffic comes organically which means traffic we don't pay for. So this is a few key highlights of the financials and key metri cs for the quarter. It's been a strong performance at a consolidated level on a stand -alone basis.
The remarketing business has faced some headwinds, which we are hoping we will correct in the next few quarters. During the quarter, we also worked on the ac quisition of Sobek Auto,
which is also signed an SPA to acquire Sobek Auto on 10th of July. We had disclosed this earlier that we've acquired Sobek Auto, which not only runs the entire OLX Classified business, but

also the ir B2B transaction business. So we acquired 2 businesses from them, both in Sobek Auto and we acquired 100% of Sobek Auto and its businesses .
The OLX Classified business is something, which all of us use for selling a car or 2 -wheeler or electronics or any other item. There are multiple b uyers on the platform, 100 million downloads under classified site, more than 100 million downloads a nd that leads to a large amount of monthly organic traffic very consistent with our philosophy of working with strong brands and acquiring strong brands. It 's a very strong organic brand as well.
It also ha s a C2B transaction side of the business, which we acquired, which is helping consumer sell vehicles to peers in an auction mechanism. Even though a very, very small inventory, it generally does not pick up position on vehicles , which is typical to our approach on auctions.
These were two business acquired there. Of course, with the transaction -- we signed a share pur

chase agreement to acquire 100% of the company on 10th of July. We were likely to close this transaction in the coming few days.
And obviously, at the time of once we close, we will give out a lot more data and details around this transaction itself. But we're very excited about it. It's an acquisition for approximately INR537 crores and extreme ly excited about acquisition itself . We feel it will add a lot to the CarTrade Tech portfolio of companies, which are CarWale, BikeWale, Shriram Automall etcetera, etcetera.
This is what I had. I'm happy to pick up any questions and clarifications which you might have.
Moderator: The first question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: I had a question first on this Sobek Auto acquisition. I mean, would it be now possible to sort us share what will be the mix between the classified and the C2B business in terms of revenues?
And any update if you can share on the profitability side as well maybe for last year, whatever you can share here?
Basically, you have to understand more about -- I mean we have gen erally followed a very asset - light approach to businesses and Sobek Auto seems slightly more on the sort of asset heavy side but -- so any color if you can share on the current mix and how profitability? How should we think about over the medium to longer term to play out in this business?
Vinay Sanghi: Sure. Thanks for the question. As I said, because we signed SP A and not close d, I'm not able to disclose at this point the financial d ata of the businesses. But what I do want to say is that various principles of CarTrade Tech around running strong consumer brands, running strong consumer businesses, delivering value to its customers, having good unit economic s in that business is something which will apply to all our companies, not just Sobek A uto.
So, I think what we are prett y sure of or confident of is that Sobek Auto which is classified business or the transaction business , will deliver value and we have -- we will obviously want

to create strong unit economics in these new businesses and also maintain our stance on keeping up businesses as asset light as possible. I think that's something we do clear. We're building marketplaces which are going to have good unit economics and be asset light in nature.

Siddhartha Bera: Got it. Okay, sir will wait for more clarification on this acquisition? And on the current businesses now, sir, repos session has been subdued for now quite a few quarters. I think from next quarter, we might start facing some favourable base intact as well because now it's been like close to a year when we have started seeing a weak set of numbers.

So when do you expect some of these recovery in terms of volumes to play out? Will it happen in the second half of this year? Or do you think it may take longer now depending on your visibility at the ground level?

Vinay Sanghi: Honestly, the re are two parts to the question . The first is the repossessed side. It's hard for us to tell when that would recover. And yes, there will be some base effect. But the bigger factor is that the economy seems to be doing well and financial and financing vehicles seem to have better payments on the loans and clearly lower NPAs. And that's one of the reasons why seen the repossession business is lower. And it's hard to predict when the stir on the side will change. But what we're doi ng, and I think where we are feeling more confident about is , we're building other segments of supply by force, right? And I think that process has started some time ago. And as you see here, even though the repossession fall in an alarming rate, other segments have taken up and filled up these volumes, which is what we are confident about doing, is building our own retail business there so that the vehicles we bring in are more than compens

ating for the repossessed vehicles.

And if the repossessed suppl y was to get better, then of course, we'll be in a much, much better position as well. So I think our focus is really not just waiting for the repossessed business to come back, but really is about growing other segments of our business, which is actually partly what's one of the reasons why the business has still been stable, even though there have been high fall in repossessed business.

Siddhartha Bera: Got it. Sir, lastly, what will be the cost you have in regard for this due diligence which you have said they have come in other expenses?

Vinay Sanghi: Yes, sure. Aneesha, you want to just give a number it on approximately?

Aneesha Bhandary : It's approximately INR 1 crore , Vinay .

Vinay Sanghi: It's approximately INR 1 crore.

Moderator: The next question is from the line of Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: My question is -- so my first question is related to the acquisition only. So if you look at the competitive landscape in the used car asset heavy business, one of our competitors recently shut shop, then OLX is also right now, they have sold to us. So what is our thinking, or rationale behind making this kind of an acquisition?

Of course, something it is clear that probably the valuation at which you have got is very good. But from a b usiness perspective, looking at the competitors, it looks like it's a very, very, difficult space to be in. So what is our rationale and strategy to take it up from this acquisition now?

Vinay Sanghi: Sure. So we've acquired two businesses. I think the first business we acquired is the OLX Classified Platform, where a consumer like me and you are selling millions of vehicles, cars, two-whee lers, etcetera. And it is actually – and then other items, electronics, to various other things. It also has a signi ficant job platform and a significant real estate platform. So I think what we've acquired, the first is the entire OLX Classified Platform.

And as you know, the brand of users or the number of users on the platform is extremely high. It gives us strength on having a large amount of organic traffic in addition to CarWale and BikeWale and the platforms we have. Like CarWale and BikeWale, a lot of their traffic is, again, organic, as we say, which is not paid for, which makes its unit economics and its busine ss economics extremely attractive to us.

And this has been built on great customer experience that they've delivered. So, I think that's the first reason which we see, you know, the strength in the brand and the number of users they have and that's the bus iness we acquired, which is completely asset -light and not asset -heavy, as you know. The second business we acquired is the C2B Transaction Business, where they sell or auction vehicles of consumers like you and me who want to sell their car to dealers.

And there, you know, again, they tend to auction it out. It's a very, very minimal inventory with almost an asset -light manner. Where they're different from some of the other competitors is they

tend to be more asset -light, number one, and they tend to have a very large base of synergy or a
large synergy from the classified business, because many of the customers who sell the vehicles come from the core classified business. So that's where they're different.
We see a lot of synergies in both the classified s ide as well as the C2B Transaction side, naturally.
And that's what we believe. We also believe that because of all the traffic we get on OLX or CarWale, we have a differentiated advantage in the C2B business, right? It's the run, the Transaction business. So that's where we are at. I think we also believe that it'll take us some
time to, it's a significant, you know, it will be a significant event for the company .
And it'll take us some time to integrate variou

s things like technology, brand, people, etc., etc.,
which is what we are in the process of working through once we close the transaction.
Ankit Kanodia: Thank you so much. That was really detailed. So just a follow -up on this. So is it fair to assume
that given the kind of unit economics, all these a sset-heavy used car businesses have been, the
transaction business which you are talking about, when we integrate the books, I'm not asking
you for an exact number, but is it fair to say that again, right now Car Trade is profitable, but
once we integrate t his business, probably we will again see a ride in our consolidated numbers?
Vinay Sanghi: I can't comment on financials at this stage, you know, until we close the transaction. I think a lot of this will give out at the point of when we, you know, post -closing the transaction.
Ankit Kanodia: Fair, fair enough. So one last question. So when you are talking about the classified business,
I'm just clarifying my doubts. You own the whole classified platform. So like, even if I want to
trade on electronics, even that will be now under Car Trade, right?

Vinay Sanghi: That is correct. The entire classified platform in India is what we've signed a contract to acquire.
That is correct.
Ankit Kanodia: Great, great. Thank you so much. I'll come back in the queue . Thank you.
Moderator: Thank you. The next question is from the line of Vijit Jain from Citi. Please go ahead.
Vijit Jain: Hi. So my question is, first off, on the OLX classified side, just staying on that topic for a little
bit. When we see the financials, the future for Sobek Auto and OLX for FY ’22, which is
available, specifically on the classified side, there is two compon ents to that business, right?
There's the India business, and then there is stuff that OLX used to do for the global entity. So
is it sufficing to say that whatever is disclosed in FY ’22 on the India business is what you are
acquiring? And will there be bu siness bifurcation here as well? Because I imagine some of the
costs within OLX classifieds in India were also kind of attuned to their global business ?
Vinay Sanghi: We, just to clarify, and we've clarified this in the disclosures as well that we bought S obek Auto,
which acquired OLX's India classified business and already owned the C2B transaction business.
So what we are buying is a classified business and the transaction business, not OLX's global business. Just want to clarify that. I don't reflect or communicate on the financials of the previous year of th eirs, as I said, the way those companies were, we, both Sobek has actually acquired a
– signed a BTA to acquire from OLX India, which is the OLX classified business. So as I said,
I can only comment on the financials once we've closed the transaction.
Vijit Jain: Yes, okay. Then the second question is on just the standalone business, so you mentioned used cars is now 27%, new cars is 73%. From what I recall, last year, the used car business was 16% and new was 84%. So relatively speaking, new car business has been somewhat weak. Is that
accurate? And the second question related to that is, when I see auto OEMs make commentary
on their plans for this year and their general plans for this year, it does l ook like as it is going up
or is slated to go up, there are the new launch es from big OEMs across both two wheelers, as
well as four wheelers. So just your thoughts on that, new vehicle business this quarter and as you look forward into FY’ 24?
Vinay Sanghi : Just, you know, new car revenue is going by 29%, used car revenue is going by 33%. I mean,
there's not really much change in the ratio, 83 :17, 84:16. It's like not much change, to be honest,
in the ratios. But I can give you a little bit of the idea of the market. The new car market actually
has grown in the first quarter in India. It’s also not only has it g

rown, I think one of the problems
for not last year, but the year before that has been that supply has been a problem in the new car
industry.
That seems to have now gone away, where there is supply and there is demand and volumes
have grown, which is a good position and a good market position to be, which is why you see
the growth and robustness and growth as well across in our business as well. So, it seems to be
in a good position, the new car industry by itself, volumes are up, supply is better than it used to
be. Demand is also good, which is the best place for a consumer and for a manufacturer and a
dealer and companies like ours.

It seems t o be all okay. The used car market also seems to be growing and that's where we've grown as well. Yes , generally around in the car industry, things seem to be quite stable and seem to be in a position where, I think even on last year's higher base, I think growth. So all in all, I would say the new car industry, used car industry, reasonably good place in the first quarter. I don't think there's any reason for us to assume that it'll change in the next quarter either, in terms of car market, the new car and used car market.
On the two -wheeler side also, volumes have got better and we've seen reasonable growth on the two-wheeler side as well. So just generally all in all, even if you see our traffic has gone from 31 million to 34 million across these platform s. So all in all, it just seems to be that the auto industry, it seems to have a reasonable quarter, not a really, you know, high growth quarter, but a reasonable quarter. I think that's what it seems like.
Vijit Jain: Got it. Thanks, sir. And then the las t question on the remarketing business. What has been the growth in the retail segment within the remarketing side in this quarter, if you can give me a broad sense of that?
Vinay Sanghi: Let me just check this. Yes , what I can see, I don't exactly, but I think that, An eesha, correct me if I'm wrong, but the repossession has been down by like 25% or so. I mean, I'm not exactly sure the exact number, but in that range, and the retail has grown, I don't have that exact number, but that has grown by about 25%. Is that correct, An eesha? You can just check.
Aneesha Bhandary : The repo has declined by 2 8% - that you’re right . Retail, year -on-year, has gone up by about 6%.
Vinay Sanghi: Yes, retail has gone up, yes .
Vinay Sanghi: Okay, got it. Thanks Vinay. Thanks, Aneesha.
Aneesha Bhandary : Thank you.
Moderator: Thank you. (Operator Instructions). The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Hello, good evening An eesha. Congrats on the results.
Vinay Sanghi: Hi, Sachin. Thank you, Sachin.
Sachin Dixit: Hi. Quickly a question on basically how is the retail business in remarketing different from OLX’s C2 B businesses. Can you explain that?
Vinay Sanghi: Yes, OLX ’s is retail, OLX ’s auction business or the C 2B busine ss of consumers like you and me, who want to sell a car. Sh riram Automall's retail business includes people like you who want to sell a car, but also includes, it could be commercial vehicles, could be all types of vehicles. I think Sh riram Automall is actually product agnostic. It could be cars, it could be commercial vehicles, it could be even some tractors or farm equipment. OLX is only cars, consumer vehicles.
I think that may be the question you're asking.

Sachin Dixit: In terms of the structure of the transaction, I guess OLX basically buys the car from the customer and basically, they have some sort of bid for this car at the back end from some dealer. But in case of Sh riram Automall, you are never buying the car from the customer. You are just get ting the transaction done and taking permission

once the transaction happens. Is that right?
Vinay Sanghi: In Sh riram Automall, when you give a vehicle for auction, the vehicle is auctioned and the seller pays the buyer directly. That is correct. What you say is absolutely correct. In OLX, when they do an auction, the buyer pays them, they pay the seller. That's the only difference. But they do have a back -to-back auction done against every car they transact. So, even though it's quite similar, Sh riram Auto mall doesn't actually pay the seller and take money from the buyer. That's correct.
Sachin Dixit: Understood. So, basically, if my understanding is right, Shriram Automall is completely inventory free ; in OLX while there is a back -to-back bid. But in case the dealer runs away or something like that happens, there is some risk.
Vinay Sanghi: That is correct. That is absolutely correct.
Sachin Dixit: Coming to our a bSure business, I think that's a business that we have see m to have forgotten completely about . You are now buying an OLX transaction business. There was a transaction story that you yourself launched by doing abS ure. Any update on what's happening there? How is it going to work?
Vinay Sanghi: AbSure has gone to 99 stores now. The business is not c onnected with OLX C2B transactions because abSure is the place where people like you and me can buy a car from, whether online or offline. CarWale or abSure branded stores. And if you want to acquire OLX and close the

transaction, it will only help abSure outlets. But in any way, the C2B transaction business and abSure are not that correlated with each other apart from the fact that all the C2B vehicles with OLX may auction may be available for abSure dealers to buy, which is even available now. But otherw ise, there's no real link in their business. An abSure outlet is really a place where you go and buy a car. C2B auction is where you get onto OLX and say, listen, I want to sell my car. So it's a little different in that sense. I think the C2B auction business is more connected with, I mean, in similarity with S hriram Automall than CarWale, abSure outlets.

Sachin Dixit: Right. Got it. Just one final question from my side. Basically, on the OLX transaction again, the Sobek A uto transaction, basically, looki ng at how that business has grown in the past, they started quite close to , when the market leader in that business started, but they were, I think, third or at some point maybe even the fourth place there. Considering that their lead exists in classifieds business where they are the market leader in terms of used car classifieds in India? I don't think that's the seamlessness that you talked about, right? That classifieds business running, helping them do C2B auctions very well, really played out. How do y ou think it's going to change? What's different now?

Vinay Sanghi: So, I don't want to comment on the ir past at all. And I think the way we look at it is that we are acquiring a classified business where they have tremendous strength in helping consumers l ike

you and me sell something, right? And also a marketplace where a lot of buyers come to buy those products that are being sold. So we are very excited about the consumer marketplace or the classified marketplace, independent to the C2B business, which a lso we're excited about, because it gets us a certain sort of auction supply and transaction, which is quite unique by itself . Getting a large number of car single users to sell their cars in a completely simple manner, with very high technology being used. So one must not also put into account that they built excellent technology on both the classified side and the transaction side, which of course will be available to us. And that's what excites us. The synergies between the classified businesses and the transaction business, the supply coming from there, something

we'll talk about once we close.

But obviously, the classified business is a very strong platform and has quite rightly as you say, leadership in the classified business, whether it is cars, moto rcycles, electronics, etc, etc. So we feel good about all of it. I don't want to comment on what they did in the past or what they exploited in the past or not, but we see an opportunity here.

Moderator: The next question is from the line of Saurabh Shah f rom AUM Fund Advisors. Please go ahead.

Saurabh Shah: Hi, sir. A few questions on the remarketing business. I just want to understand, how does it go? So you said that the OEM supply has been good and it's good for all of us. But on the contrary, we are se eing a degrowth in terms of our revenues, first of all. So how do you see that growing in the next three years, three to five years, if you can give a mid -term view on the thing? And how does the profitability in this business go? So now that our costs are , I guess, more or less incurred, so what additional cost would be coming into picture for the business growth and everything?

Vinay Sanghi: So I think two things. One is the repo business is down you're right, the retail business is growing. We see along with retail adding other segments and we see a very strong, positive business in the next three or four years. It's a marketplace, the remarketing business is a marketplace where it enables businesses and consumers, all types of vehicles to sell their vehi cle in an efficient, transparent manner.

And we auction more than one million vehicles a year , so we see a very strong business model for the next three, four years. It is possible there is some segmentation change, which is repossessed and being replaced by retail currently in that business. And when repossession comes back, of course, Sh riram Automall will be the place where all these businesses will come to sell their vehicles. So we see that. I think on the cost side, you've seen one of the reasons the profitability o r the unit economics is better is because costs have remained flat in spite of revenues slightly degrowing.

And therefore, we see that also like any marketplace, most of the costs are incurred and we feel that as revenue grows, a large part of that revenue comes to profit or EBITDA. So we feel very good about the cost structure of the company. I think what we are working on is really growing the retail side of the revenue and other segments of revenue.

Saurabh Shah: So what I also want to ge t a sense is how has market share grown over the last, past three to five

years with, CarWale, BikeWale compared to Cars24 and now OLX autos and everyone coming
into picture. And of late, what has been the whole trend?
Vinay Sanghi: So CarWale, just CarWal e, BikeWale of course not connected with Cars24. BikeWale is a bike
platform and Cars24 and the others are car platforms. So it's not connected. But even CarWale
is a marketplace. It's an inclusive marketplace where everybody, whether it's people like you and
me or whether the dealers in India come and sell vehicles and buy vehicles. And it's an
independent asset -light marketplace. In a way, Cars24 , the way the mo del works is an asset -
heavy auction business and asset -heavy dealer, right?
Which buys vehicles and sells them to dealers and to consumers. They're almost complementary
and not competitors. So market share is hard to compare, but because you can't compare markets,
you're almost complementary to CarWale where even today Cars24 lists vehicles on CarWale
for sale. They're almost customers of CarWale. They're not competitors. So I think a lot of people feel that some of them are
competitors, but as I said, they 're quite complementary in nature to
what CarWale does. Just wanted to clarify that.
Saurabh Shah: And in case if you can just give a sense in terms of earlier, what kind o

f, what was the earlier traction in terms of an offline model where there used to be some dealers, distributors who used
to buy and sell cars to consumers and what has that trend changed from offline to online? What type of conversion do you
see in that?
Vinay Sanghi: There's no change from online to offline. I think what the way the used car market is structured
is that it is even now mostly dominated or controlled by fragmented dealers across the country. Many thousands of
fragmented dealers. I think I would still think about 80, 90% of it is mostly
with small, fragmented dealers. I thin k what's changed in the industry is that it's got platform
that CarWale and others, the dealers have become more tech savvy and their mode of acquiring
a customer earlier, you'd have to walk into one of these outlets and buy a car, find a car.
Now you'll c ome to CarWale and try to figure out which car to buy and then walk into one of
these dealerships. So CarWale has become the destination for, like O LX has, the destination for
many of these dealers to find customers to sell cars and buy cars too. And that' s how they are
connected with these platforms. The customer mostly still goes physically to the dealership,
chooses a car, and buys it. But what CarWale and O LX have become is integral to the dealership
network of used cars to really get customers to that outlet.
So a large, large percentage of all used car buyers now would come online first, find their car, do all their work, and then
maybe look for a certified car and then physically go into a dealer
and buy the car.
Moderator: The next question is from the line of Rohit Mehra from SK Securities. Please go ahead.
Rohit Mehra: Yes, thank you for the opportunity. So in the last call, we mentioned the CarWale signa ture
outlets in addition to or in place of CarWale abSure outlets and the number discussed was 90
outlets. So how many outlets do you have now and how do we see this ramping up?

Vinay Sanghi: As I said earlier in the call, the total outlets are 99, includi ng CarWale signature and CarWale
abSure. We continue to add outlets on both the signature side as well as the ab Sure side. A large
percentage are still CarWale abSure side dealers, but we can add both. We feel good about the
rollout. We also are quite happ y with the customer value proposition and the customer service
delivered by these outlets.
In terms of a total percentage of business to our total overall revenues, it's still small, but it is
growing and it's actually been one of the big growth drivers for us already in the last year, even
though in percentage terms of our total business, it's quite small, but we feel very good about the
whole CarWale signature and ab Sure locations.
Rohit Mehra: So secondly, on the car m ela organized in Vadodara, so what is the rationale behind this type of
event and will there be other such events will be organized?
Vinay Sanghi: We do many such below -the-line activities, which are regularly done across and I guess we'll
continue the very small below -the-line marketing ac tivities actually. So I think there was one in
Vadodara, but there'll be others as well. So, this is just tactical and below -the-line.
Mod erator: The next question is from the line of Nihal Kumar as an individual investor . Please go ahead.
Nihal Kumar: Hi, sir. Thank you for the opportunity and congrats for the good set of numbers. My question is,
since we are mostly through this acquisition decision of what to acquire, which was long
pending, and I assume that it will take one to two years to integrate the business.
Now, we will still be left with around INR 600 crores and since Car Trade is already generating
positive cash, any shortfall for running this new business can be met by that. So if my
understanding is correct, can we expect board to expedite the buyback decision? I m

ean, the
share buyback, it's been long due that investors have actually got something out of it.

Vinay Sanghi: It's something we discussed the board and, we want to first close this transaction. And at that time, we'll go back to our board and reassess whether it's possible or not, and look at whether, where we can grow this company and how we can grow the company. But it's something we'll take back to the board. I think the first part is to close this transaction.
Nihal Kumar: Because otherwise, again, this additional INR 600 crores will be lying in our balance sheet. And balance sheet has cash since last four or five years. So that is something I think the street is not appreciating having such a high amount of cash on balance sheet and earning 6% around yield is, daunting our return on equity.
Vinay Sanghi: I understand. I will take this feedback to the board and pick it up and debate this. But I think the first priority is to close this transaction. But yes , we definitely take this fe edback.
Moderator: The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.
Naitik Mohata: Thank you for the opportunity. Most of my questions have been answered. Just one question. What was the ESOP cost for us during the quarter? And what do we estimate for the entire year?

Vinay Sanghi: Yes, ESOP cost, I think for the quarter was broken up as a unit hour exactly. It is, as you see, has gone down from the previous year. But for the quarter, it is INR4.63 crores, which was INR5.3 crores last year. So it is down by 12% for the quarter. And we estimate it will be in similar lines to the first quarter, An eesha. Would that be correct?
Aneesha Bhandary : Yes, it is .
Vinay Sanghi: Yes, so that INR 4.63 crores for the first quarter. It is down 12% from the previous year.
Naitik Mohata: Okay, so we are planning something around INR 16 crores , INR17 crores for the year.
Vinay Sanghi: Yes, I think we estimated in that range. Yes, that's right.
Moderator: Next questi on is from the line of Ankit Kanodia from Smart Sync Services.
Ankit Kanodia: Thank you for allowing the follow up. So in one of the participants' questions, you answered that in case of the OLX transaction business, basically, you purchase a vehicle from the customer and then there is a back -to-back arrangement with the dealer who then purchases from you. So any ballpark number in terms of how much days it takes and how many days the inventory lies with us?
Vinay Sanghi: The inventory is just very, very short and it is auctioned. So it is in that sense completely there is a buyer on the other side. So it is auctioned, for seller vehicles auctioned. More for convenience of sellers and buyers, we pay and then pick up the vehicle and give it to a dealer. But t he inventory is very insignificant, very small. As I said, I cannot give exact data out. But we will at closing, give out some of this data.
Ankit Kanodia: So you need to say that only when you have a clear -cut transaction with a dealer, you then go and pick up the vehicle from the customer , right?
Vinay Sanghi: That is correct. The vehicle has to be bought in auction before that.
Ankit Kanodia: So my next question is, in our C arWale platform where we have dealers onboarded on our platform. So, in our channel check, we got to know from some dealers, I don't know whether it is correct or not and please correct me if I'm wrong, that they also get free leads. Is it that possible for -- free leads. Like I understood that it's a paid platform where they pay a fee to you every year.
Vinay Sanghi: Is it new car dealer or a used car dealer?
Ankit Kanodia: I'm talking about new car and used car both.
Vinay Sanghi: In new cars, you have to be a paid dealer. In used cars, it 's possible that very small dealers register as individual. It is possible that

they register as an individual. But if you are a registered dealer, it is paid only. Unless I'm not sure, there may be very small cities where we've not launched paid, maybe C -class towns, etc. It's possible. If it's a very small city, it is possible. It is possible. I'm not exactly sure which city because there will be some long tail cities that we've not started paid as yet. It's possible.

Moderator: Next question is from the line of Govinda Alagi from Natve rlal and Sons Stockbrokers. Please go ahead.
Govinda Alagi: Yes, thank you so much for the opportunity. My question is about the commission on auction selling of cars. Any rough idea about how much percent do you all charge on selling those cars? And also, can you also provide us the percentage revenue split between different verticals?
Vinay Sanghi: No, I'm not going to provide at this point, the vertical split, but roughly, I think the take rate, Aneesha, is about 4%. Corre ct me if I'm wrong. Approximately 4% on auction of the vehicle.

Govinda Alagi: So, the second one is can EV penetration, specifically on two wheelers, affect the business of BikeWale verticals like going forward?
Vinay Sanghi: The penetration of EVs is very slow to the total volume in India at this stage. But it actually doesn't affect us either way, whether a vehicle is an ICE or an EV. We're quite indifferent to it. Either way, manufacturers and dealers have to sell these vehi cles on platforms like Bike Wale or CarWale. So, it doesn't really matter whether it's an ICE or EV to us.
Govinda Alagi: The third one is, so, do we expect the same operating leverage on the business provided the employee cost and the product development c ost? Will more or less remain the same or perhaps reduce further going forward?
Vinay Sanghi: Yes, as you've seen last year, the results of the company stand alone as well as remarketing and consolidated and even this year, for us, increase in revenue is a lot of contribution to our unit economics and profitability. It's just the way it's architecture, asset -like businesses, where costs are stable. And increase in revenue results in profitability. So, we see this, that's just the architecture of our busines s. Yes, we see it this way.
Govinda Alagi: And the last one is, relying upon multiple business models like B2B, B2C, C2B, so that could be like a stable business blueprint going forward for exponential growth potential?
Vinay Sanghi: Yes, because of the number of customers we have on Car Wale or on Shriram Automall, and then we have sellers and buyers, we tend to be across segments. Also, we're a very open marketplace. So, you can come and sell a car on Car Wale, you can come and buy a car from CarWale, new cars, used cars. On S hriram Automall, we cater to retail users, people selling the vehicles, we cater to big businesses selling vehicles.
Yes, I think one of our goals and aspirations is to build a marketplace for the entire automotive industry. And that's how we feel that many of the buyers and sellers build a network of effects on these platforms, which is why we see - being in multiple segment s is correlated a little bit to growth. That is correct.
Govinda Alagi: And lastly, I want to know the accuracy rate of your ERP tools. L ike you're providing the inspection ERP tools, right?
Vinay Sanghi: We provide ERP solutions to – we provide dealers on our platform, can use our management software to run their business. So, what did you ask? What was the question?

Govinda Alagi: I want to know the accuracy rate? How accurate is that is that the whole inspection go behind in that ERP?
Vinay Sanghi: No. S o, you mean the price tool, the used car price tool, is that what you mean?
Govinda Alagi: Yes, yes.
Vinay Sanghi: I got it. No, no. Of course, we believe i

t's accurate, but it's like something which is used by all consumers. So, if you're coming to CarWa le today and you want to buy a used car, again, almost all cars we provide what we think is the right price for that car. It's done by a lot of data science among figuring out what price's cars are sold in India or bought in India. And then we come out with these price tools. So, we believe it's quite accurate. I mean, it just depends on what the user wants and wants to see.
Moderator: The next question is from the line of Sachin Dixit from GM Financial. Please go ahead.
Sachin Dixit: Hi, I had one more ques tion regarding the cost items. So, if I look at employee cost, excluding ESOP expense for this quarter, they have grown only 8% Y -O-Y. Similarly, if I look at other expenses and I remove the effect of the diligence cost, they have actually de-grown Y-O-Y. How should we think of steady state sort of growth in these cost items? These grow at 10%, 20%. How do you think of it?
Vinay Sanghi: Yes, normally, you think that that would be the growth rate. And that's what we think will be the growth rate as well. I think we've also gone through a quarter where, S hriram Auto mall's revenue has been, slightly lukewarm. And I mean, that's part of the reason why cost escalation also has not taken place. But, but yes , the nature of you see our revenues over the last three quarters, four quarters, and more or less, I'm sorry, the costs have remained very stable. As I said, these businesses tend to be where costs are stable and our basic push is to increase revenues always , right.
Sachin Dixit: But fixed costs should still i ncrease at what rate is what I was trying to understand ?
Vinay Sanghi: I think normally, wage inflation rate, there's very, I mean, manpower increases are based on just, mostly on a very conservative basis, because for increasing revenue, not necessarily you have to increase manpower in some of the businesses. So it tends to be inflation, more incremental and increments in inflationary in nature, and some increase, but not completely. If we increase our revenue by 100, doesn't mean we need to increase our cost or manpower by equal number, right? I think it just tends to be naturally, that's the leverage in the business these platforms are showing.
Sachin Dixit: And if I, if we exclude any potential impact of the OLX transition coming in, in, how should we, what sort of

steady state EBITDA margins would you forecast the businesses to reach?
Vinay Sanghi: So, if you see the last four quarters, I mean, if you see last year and this year, it's increased in every, our continuous effort is to increase our EBITDA m argin. So we're still far from, best in class. And, but the effort is to, as revenues increase over the next few quarters or next few years to be best in class in EBITDA margins. I mean, the numbers right now, if you look at, we are at about, on a consolidated basis at about 29% with other income, 12% without, right. But the last

quarter, we were at almost 20%, which is March and in March, the demand, last quarter seems to be the highest always, right. Because the cyclical nature in the business, but yes , the effort is to get to best in class, just keep growing it.
Sachin Dixit: And so the reason why I was asking was like, you're probably peer in China, A utohome, like EBITDA margins of 40% to 50%. Is that something that you aspire to? Our effort will be --
Vinay Sanghi: Absolutely aspire to, absolutely aspire to achieve. If you already had 20% last quarter, I mean, in January to March, right ? I think we definitely want to, in the next, I don't know whether it's one year or two years or three years but aspire to get to those kinds of margins. We are asset light in nature, so as revenue grows up, we'll get there. But I think that it's more a factor of revenue growth than cost

control.
Moderator: Next question is from the line of Raghav Behani from Citi. Please go ahead.
Raghav Behani: I want to ask about the INR 40 crore inter -corporate loan, which was disclosed to the stock exchange today. Can you highlight what this loan is about?
Vinay Sanghi: Sure. It's an enabling resolution . We haven't yet actually given th e loan. It's an enabling resolution is that when, then if we close the OLX transaction, we will give an inter -corporate loan, which will, to a company called Biz loan, which gives loans to dealers who buy on OLX. So I think that is the intent. It's more inter -corporate loan to, and BizLoan gives or lends money to many OLX dealers who bid on its platform. So that's the intent here, to grow the OLX transaction business.
But this will be done only post -closing of the transaction. It's just an enabling resolution. And since, it is material and to be disclosed to regulation, we've disclosed it today because our board has approved it. But as I said, this transaction will, or this loan will only be given when we close the OLX transaction.
Raghav Behani: Sure. So, this would basically facilitate dealers to make the transactions and from what's given in the disclosure, it will be, there will be, it will be against the receivables for the dealers.
Vinay Sanghi: It is securitized by the receivables of the dealer. That is correct.
Moderator: Ladies and gentlemen, due to paucity of time, that would be our last question for today. I now hand the conference back to the management for their closing remarks. Thank you. And over to you.
Vinay Sanghi: Thank you everybody for j oining this call and look forward to catching up soon. Thank you everybody. Bye -bye.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of CarTrade Tech Limited, we conclude this conference. Thank you all for joining us . And you may now disconnect your lines .

Call: Nov 2023

Date: November 17 , 2023
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE
ISIN : INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q2FY24 Earnings Conference Call held on November 09, 2023

Dear Sir/ Madam,

With reference to our letter dated November 02, 2023 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q2FY24 Earnings Conference Call held on November 09, 2023 .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

_________________________ _____________ _
Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose : a/a

“CarTrade Tech Limited Q2 FY-24 Earnings Conference Call”

November 09, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 09, 2023, will prevail

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ANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED .
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED .

Moderator: Ladies and gentlemen, good day and welcome to CarTrade Tech Limited Q2, and H1 FY 24 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you wish to speak or need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Vinay Sanghi – Chairman and Managing Director for CarTrade Tech Limited. Thank you, and over to you, sir.

Vinay Sanghi: Thank you, I want to welcome all of you to this earnings call for CarTrade Tech . It’s been an extremely exciting quarter for us, where, as we earlier announced acquired OLX business in India. And obviously we are very excited about the future potential of that business. Some of the things we talked through today, and then compare some of the numbers, they may not be all comparable, just because there’s been 50 days of OLX ’s operations in our financial statements. But we ’ll try and clarify, through multiple repor ts and try to clarify all of this to you. So, once again thank you for joining .

I want to go straight on the presentation we have shared to page number #5, and just want to highlight we ’ve seen a 44% growth in revenue in the quarter, and a profit after tax has gone to 132% . We continue to be the number one portal in India. We also now , one of the leading classifieds businesses in India . 70 million MAUs per month, monthly active users across all OLX, CarWale, and other platforms of ours more than 100 million downloads. So, really all our platform s are strong brands, and the great part about all these 70 million MAUs, 90% is organic, which means we pay very little marketing cost to bring these users on board a lot of it is just brand and relevant search. We have 350 physical locations now after the OLX acquisition. So automalls, abSure, and OLX stores make up the 3 50 physical locations . 1.2 million vehicles, at a run rate of 1.2 million vehicles we have auctione d through last quarter. R evenue jumped up of course to Rs. 148 crores in the quarter and this is net revenue , this is not GMV or turnover, it is just net revenue. EBITDA is about Rs. 32 crores for the last quarter , PAT is about Rs. 13 crores and we continue to be strong, at a strong cash balance almost Rs. 700 crores and of course debt free.

If you go to the next slide, which is Slide # 7, which talks about consolidated results till September 23 rd, this is including OLX . So, the growth for the first si x months is 32%, and

quarter -on-quarter 44% o f course there’s some OLX numbers in there . EBITDA for the six monthly is 30%. Quarter ’s is slightly muted at 4% but it’s more like numbers in there as well. PBT is up 78% for six months and 13% for the quarte r and again that ’s a factor of some OLX related cost there and PAT is up 132% versus 198% for the six months so that ’s Slide # 7. If we go to the next slide, which is really without OLX and looking at the three month and six month performance, revenue has been tough at about 9% to 10% in the six months or three months and that’s been on the back of Shriram Automall the remarketing business having a flattish period as we have been talking about in the earlier call as well. So , the net revenue has grown 14% for six months , 9% quarter -on-quarter . Adjusted EBITDA is up 31 % , six months and about 6% quarter -on-quarter and in that there has been some cost related to our diligence of OLX as well attached for the quarter, a nd therefore the EBITDA is slightly lower . PBT is up 26% and 88% and of course PAT is up 164% and 2 18%. So, all in all, CarWale, or the consumer group has seen some level of growth , Shriram Automall has been slightly muted growth, has been flattish and the OL X numbers that added in the quarter are showing a largish growth for the business.

If you go to the next slide, which is a standalone result for the quarter and for six months, which includes mostly the consumer business for CarWale business, six month growth about 25% , the net revenue from operations for three months is 22%. EBITDA is up 55% for six months , 9% for the quarter again you've got some one -time cost built in or related to diligence on the acquisition. The adjusted EBITDA we take on other income has gone up 26% and 51%, f or the six month period, if you look at PAT is up 36% and 146% for six months. If you look at PAT of 36% on a standalone basis, a big factor here the growth would be even higher is because last year, there was a six crore dividend , internal dividend from Shriram Automall to CarTrade Tech , and that 's why the comparison is showing 36% it would be much higher if we normalize it for the dividend it comes to almost 1,000% growth in PAT . So, that's the standard alone results.
The next slide is the re marketing or the consolidated results of Shriram Automall. And that 's where you see 2% growth in the quarter , minus 3% for six months. EBITDA is also a 3% growth for the quarter and + 6% for six months. Overall, flattish, PAT and PBT slightly down but flatt ish PAT is down 3% for the quarter. This is really the concern for us still, where we feel now we see the quarter , revenue and quarter EBITDA seems to have bottomed out, from the last three, four quarters. Even here, when we talk about the repossession bus iness coming down. In fact, the repossession business has now come down to a share of 48% from 57% last year so, 48% is the business that we repossess which was 57% last year. So from 5 7% of our total volume, the repossessed is only 48% and our retail business has gone to 38% from 31%. So as a retail supplier to Shriram Automall goes up the repossession business is coming down.
If you go to slide on OLX and I want to spend some time here . As we discussed in the call earlier, when we required Sobek Auto which owned OLX is classifieds business and OLX is C2B transaction business, we bought two businesses within the same company, the classifieds business in the last quarter has shown a revenue of Rs. 23 crores but this revenue is only for 50 days and a profit , or a profit of PAT of Rs. 10.6 crores. So, it 's a high margin business for us. And as I said , this is only for a 50 day period. On the other hand, the transaction business on a revenue of Rs. 12 crores , has shown a loss of Rs. 13 crores to the same period. So, the classifieds

business showed a profit of Rs. 10 crores , the transaction business showed a loss of Rs. 13 crores .
As you may have read in a public announcement and statements a few weeks ago and has been talked on the call earlier, we have now in the last two weeks shut down or scaled down the transaction business. And obviously, therefore in an attempt to do two things, one is focus on the classifieds business we remain extremely optimistic about which is having , which brings in all those 34 , 35 million unique users per month and has a strong , strong presence in the market for used cars to other products and goods. And therefore classifieds business is something you want to continue to invest behind and back and we have scaled down or brought down to zero the C 2B transaction business in an attempt to obviously bring down the

loss making part of the
acquisition . This has already been initiated and we believe in this quarter it will completely be done . In order to bri ng it down a closer there may be an approximate cost of Rs. 25 crores onetime cost to, shut down the business. And what would the normalized business or the normalized financial the business will really come in from the Jan to March quarter after this oneti me costs have been incurred, where the classifieds business and its unit economics and the growth from there will continue to work.
So, this is something which we 've indicated in the past and now in the process of c ompletion. And therefore, this acquisition, which had two parts of it, the classifieds business and the transaction business will now only have a classified s business, and which has an automotive side to it and a non-automotive side. And we are extremely excited about both those b usinesses, which you can lead to now, which is what we will continue to invest behind and grow.
Obviously, as you can see these numbers, this is the profitable side of the business. And the intent was to bring down the losses from the loss -making side of t he business. And as I said, by December end this action should be complete. Also, what we had indicated in the last call was that, we have a one-time tech cost of approximately 10 crores per month, we had indicated that
it might take us six months to do the entire technology transfer, which is part of our purchase contract to get the entire tech transfer red over a period of six months . We feel that today, that is likely to happen three months before schedule, and rather than incurring a six -month cost of 10 crores per month, which is again one -time, it'll be only for three months. And therefore, from January, our tech cost will also dramatically come down. So we feel good about the fact that the loses of the transaction business, where we incurred some one time cost this quarter, and in the October to December quarter would come down in the Jan to March quarter, as well as the one-time tech cost which were being incurred from October to December, will probably not spill over to January, and only three months . So these are two major points of announcement on the acquisition.

As we continue to, look at the acquisition work on it. With the teams there, we seem even more excited about the acquisition from what we were when we assessed it. So we continue to inves t
in the classifieds business and continue to grow it. I want to add here that , within this Sobek
Auto acquisition, the classifie ds side as a huge use car par t. As you all know, CarWale is the
other used car classifieds player in the country. CarWale, of course as you also know is 84%,
new and 16% used. And OLX 's used car side is very, very significant to the entire used car
industry. So we feel really excited about the whole OLX Classifieds business.

So this is, on the next slide you have Google Tre nds. And as it shows CarWale continues to be
well ahead of its peers. We've also this time given Google Trends versus other competitors
Quikr, and you can clearly see where OLX stands 68:1 clearly having leadership in the whole
classifieds space automotive and non -automotive. So, this is what I wanted to highlight. I 'm
happy to go into a Q &A or a question-and -answer session to elaborate or clarify any doubts on
the financials or the acquisition of OLX in India, and solve all your doubts and questions now.
Moderator: Thank you so much. We will now begin the question -and-answer session. First question is from
the line of Sachin Dixit From JM F inancial. Please go ahead.
Sachin Dixit: Quickly, I wanted to understand in the P &L that you 've shared for OLX , where is the production
and tech expense parked right now ?
Vinay Sanghi: In the last quarter, we didn 't have this global product tec

h cost till September end, it was very
minimal. And therefore, there was a very minimal cost , as I said in the last call, it will come on
1st October. And we actually looking anticipated we can close the month from 1st October to
1st April. But, because of the progress we made, we believe it will only be for three months. So
it is not really there in the P &L we share because it didn 't exist at that time. It's not there in the
last quarter. It 's very minimal , it's not significant.
Sachin Dixit: So, s ee it in this quarter and then it should die down.
Vinay Sanghi: Yes, it will be a onetime Rs. 30 crores this quarter. So, this quarter Rs. 30 crores of tech cost and
some shutting down costs is going to be , we will have two extraordinary items. But, from 1st
April, the acquisition will be absent of , of course one time shutting cost as well as the tech cost
will come down dramatically from there. And I wanted to add here that although we clarified
this earlier that when we acquired the company for a consideration of Rs. 523 crores, some of
these things were known and were almost considerations made a t the time of purchases.
Sachin Dixit: You meant from 1st January they will be not that cost ?
Vinay Sanghi: Yes, we originally thought it will be till 1st April but now it's probably 1st January.
Sachin Dixit: And the Rs. 25 crore onetime cost that you just mentioned. Does it include this tech cost o r its
on top of it?
Vinay Sanghi: No, so it's not the tech cost has nothing to do with this. The tech transfer costs and tech migration
is on the classifieds business and the transaction business. T his one -time shutting is just shutting
the transaction business, various contracts, nominations, etcetera, etcetera.
Sachin Dixit: And any inventory losses or anything that might come up, because you might be liquidating
vehicles .
Vinay Sanghi: This all is in that Rs. 25 crore s, it's all in that.

Sachin Dixit: Just one more question on the piece of re marketing business , obviously you mentioned like it
looks like its bottoming out. You might have seen some data for the last one and a half months
as well. Where do you see that tracking ? Secondly when you say retail for re marketing business,
does this only have individuals or this is of a nyone who is not an OEM or a bank?
Vinay Sanghi: Yes, sure. So the repossessed business, to be honest , the last q uarter has been flattish over the
previous year a little bit. So what' s clear is that , it's bottoming out. But it 's not clear i t's growing,
that is a difference. And, whether it takes one month or three months or six months i ts hard for
us to predict, at this stage it's just that it seems like the asset quality of people lending in the
automotive sector is just good , it just seems like that. Now is that reflection of , the industry at
large is a reflection of India as a country at this point. It 's hard to tell, but that is the reality. So
we actually focus a lot on g oing to the retail side, which is the second part of your question. And
that supply comes from individuals like you and me, it comes from small operators, but it 's
basically most peopl e, one , one vehicle brought in at the time, not like institutional times may
give us 2000 , 1000 or 500 vehicles a month not like that .
Sachin Dixit: Sure. Just one final question on the OLX fees again, is there any color that you can provide on
historical, I know you guys are providing for this quarter for which you have consolidated, but
we don't have any context there?

Vinay Sanghi: Sorry, you mean by historical on what I can, but historical what ?
Sachin Dixit: Historical of OLX business , like how did that business do in the last year , whatever period you can provide?
Vinay Sanghi: So, the numbers we have given you in the first two months, and we have also given some rough

run rate projections of the business in July when we acquired the company, you know, the classifieds business roughly at that time we had given you clocked about a Rs. of 170- 180 crores revenue a year with a stand alone , without tech built-in profit of about Rs. 100-110 crores. And that's just been the historical way i t's been . What we want to do obviously - and there was the transaction business, which had a net revenue of about Rs. 100 crores, a little more over that, and a loss of Rs. 100 crores. A nd then there were tech cost below this. Now , what we 've tried to do is say, l isten it's really hard to fix the unit economics of the transaction business. And therefore, we will need to forsake that Rs. 100 c rore revenue, and the Rs. 100 crore loss goes with it. So in a way, it leaves us with the classifieds business with a profit. And to be honest, that's one of the reasons we acquired the company, because we 're really excited about the classified s business. And within that classified s business a very large part of it is use d cars, which is what we obviously use synergy for us as a business which affects all our other businesses as well. Now, what is over and above that, is there is going to be some tech and corporate overhead, which will come into the classifieds business, which was being charged to the transaction business. And a lot of thi s will get normalized on the January quarter, because in this quarter, we had t wo one-time costs, tech transfer cost which is completely to do with transfer during the tech platform due to the acquisition, and the one -time shut down cost of the transaction business. Does this answer your question?

Sachin Dixit: No, I basically wanted color on previous years. So just for this is then historically, that's what I meant.
Vinay Sanghi: So some of these are hard pressed to get because we actually have bought the classifieds business in a business transfer contract.
Moderator: Thank you. The next question is from the line of Vijit Jain from Citi. Please go ahead.
Vijit Jain: My question is first, I 'm just curious was this always the plan when you were acquiring the company to, take a hard look at the used car business and shut it down a nd was that , I'm just wondering, was that something that came from process that you had to consider or buy both businesses together . That's my first question a nd then I had a couple of other questions.
Vinay Sanghi: Sure. W hen we bought the company, we looked at the classifieds business, which we were really excited about, and it had a used cars website, which was huge ly synergistic and then they had this consumer to business, transaction business is of course loss making, but they were pretty good at it in turn customer experience and many other parameters and metrics. For us, when we bought it our first, we obviously had t wo, three choices. One is to buy it and fix it, the unit economics , second to scale it down and bring down the losses and third was to shut it. W e did think of all the se three things over the last three, four, five months . Eventua lly we came to the conclusion that this is going to be hard to fix. The way it 's run now, not to say here we are not running a C2B business, i ts just that we don 't want to run it the way or follow the processes which is being followed in the past. W e still think that there is a huge C2B part in India, the consumers want to sell cars. And , I don 't know whether you will know but OLX is probably the largest platform which car sellers used to sell the cars even today on the classified s side, millions of people list their cars every year to sell on OLX , it's the number one platform for car sellers. What we could not fix is the C 2B auction model, which is auctioning these cars out if we continue to be in the C 2B business, and even C 2C bus iness in the c

lassifieds side. As time goes
on, we will look at how we can continue the C 2B business in a different form. It 's just that we didn't think that this model , the unit economics can be fixed at all. And actually, there 's not just as it came from the team at OLX too .
Vijit Jain: Got it, understood. And Vinay my next question is it's a slightly different variation of I guess what Sachin was trying to ask, but just trying to get a sense of what the underlying growth in this classifieds business is for you. And, like you give these metrics around users, unique visitors
and engagement and those kinds of things, what kind of metrics should we expect to see on the OLX side of the business a nd the growth trends a nd I also have a question tha t I would like to ask on the margin side, but maybe if you can answer this first.
Vinay Sanghi: Yes, perfect. So for us, when we looked at the business and OLX had the classifieds business , I don't talk about the transaction business growth because it is may not be relevant anymore, even though it had rapid growth i t may not be relevant anymore, because it doesn 't exist now. W hen you look at to classifieds business i t had reasonable growth in revenues, high growth in profitably between the last three, four years. As I said, these numbers is a BT A, so we don't have

all the facts of it but it 's just transferred, sold in a business transfer contract. Th is is one part of it. The second part I want to highlight here is we remain extremely excited about the u sed car classifieds side, which we believe we can keep growing over a long period of time. Though OLX being the leading player in the country, OLX ha s got m ultiple other categories like real estate, electronics, mobile, two wheelers, which also were extrem ely dominant act , actually if you want to sell something in India, outside OLX are very, almost no other platforms in India. So we feel there is a huge monetization opportunity. And that 's got nothing to do with the past , it's just what we believe about OLX. A revenue of Rs. 180 or Rs. 190 crores of classifieds revenue. We believe there's a rapid growth capability out here itself, but this is one part of it. The second part of it is , when you look at CarWale, SAM IL, both the companies, they tend to grow over the last few years about 20% , 25% net revenue and profitability is maybe slightly higher. We believe that now , we've bought something which is almost 40% of our size a utomatically. So in a way, if you look at the revenue as the business, it goes up by 40% automatically on day one. Our question now comes around that there has to be some focus around the unit economics of the business and the margin structure in the business as well. So not only are we saying this OLX will help us grow revenues, which it already has and will continue to do so by growing itself as well. SAMIL will go independently as well and so will CarWale but we also believe that the combined unit economics should get better and better every day. So it 's like almo st growing OLX, the combined entity growing just because of the acquisition and OLX's growth and CarWale and SAMILs growth , and then getting the unit economics and margins to improve in all these businesses, and OLX 's nature of business is very similar to CarWale where increase in revenue does not lead to increase in cost. The metrics to measure would be things like traffic, of course related revenue, EBITDA, profits, all the same metrics we always declare for CarWale,
very similar businesses. One is just a horizontal and one is a vertical business t hat's it.

Vijit Jain: Got it Vinay. And Vinay my last question is, so in the classifieds financial thread that you guys have shared, I can see the adjusted EBITDA margin is 47%. And you are reporting Rs. 11 crores of profit for the 50- day period. So , if I'm just going t

o be a bit approximate maybe 8, 9 crores of
EBITDA on a monthly basis versus the PDT cost that you say you will incur of about 10 crores per month in the next three months.

Vinay Sanghi: This is only three months, this is actually as I explained this way, this is only because the tech is being operated in a global OLX platform, not in our own environment, that transfers on 31st. December, and therefore, it 's a onetime cost actually it is supposed to be six months its down to three, which we had committed to incur as part of the purchase transaction. So, it doesn 't mean we will incur that cost tomorrow . That 's my only point.

Vijit Jain: Yes, so my question Vinay was, what should we think of as more run rate once January comes, is the margins in that 20% handle, you think s o Rs. 10 crores of EBITDA minus say 5 crores of PBT in your own hands a nd so you get like 20% hand hold margins , is that?

Vinay Sanghi: It may take some time, I 'll be honest, it may take some time for full transfer . We do anticipate that there are two things which will happen one is the PDT cost will come down dramatically, I would think probably is between 4 0% to 50% of what they are, number one . It's hard for the

estimate because the transfer has not fully happened. And the second thing which could happen is that, there is some corporate o verlo ad, overhead going to come here because they were all sitting in the transaction business, we want to contin ue investing, see if we were not going to invest in OLX classified s at all, then what the arithmetic would be this. But we want to make sure there's a vibrant product tech team , management team, adding to the team to make sure this run rate revenue grows at a rapid rate. We don 't want to keep it dormant, we believe in this business. And so there is some investment in overhead which we will do in this business. But that will be , the overhead will automatically start paying for itself very quickly. It might take two, three months, but very quickly will start paying for itself. Not that we anticipate losses at all in the next quarter. But the profit might be a little more muted than you think it is that's what I am saying. In a very short term.

Vijit Jain: Got it. My very last question Vinay, if you can, from an overall company perspective give some color on product roadmap, product development plans in the next one year post this acquisition, not just for OLX , but also for CarWale and everything and related to that, I suppose the auto cycle seems to be recovering a re you seeing signs of that in your own business?

Vinay Sanghi: The auto cycle is recovered , I wouldn't say recovering. But to be honest, our focus I am just looking at OLX as well as CarWale. CarWale is 84% new and 16% used, OLX is 100% used in everything and out of that 100% used almost 45% to 50% is used cars. For us number one focus here, between CarWale and OLX is we have a very high share of user classifieds business. A number one objectiv e on product development and capabilities again, is really to start growing the use d classifieds business on both sides CarWale as well as OLX, a nd product related to that. So, on the CarWale side you always said we are trying to get close to the transactions more on moving from a place where you can just find your car and select your car to really buying a car. And that development is underway and continuously making improvements on that on every side. On OLX too, we are going to go and invest in product c apability not on the used classifieds side, but OLX is very, very strong on two wheelers, electronics, and mobile phones, real estate, etcetera and start looking at those categories to have disproportionate growth in them as well. So, right now as I said we are setting up these product teams in OLX . There are about 44 people in the product team right now,

just for setting it up. And, once the tech transfer is done, we should have a good product team out there, which starts building differentiated, cutting edge
technology for OLX, for many, many years to come.

Moderator: Thank you. The next question is from Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: I just wanted to check on this improvement in the unique visitors we have seen in the qua rter, it's been quite a good improvement compared to the last quarter. So any thoughts , what is driving this and given this backdrop, do we expect that the revenue growth trend which we are seeing in the standalone business of close to 22% for quite some time now, that can have some upside here also, as well in the medium term ?

Vinay Sanghi: The growth rate seems to be this for the last few quarters, the last year was much higher. But generally, this is the growth of the new ca r, of
CarWale car which is 8 4% new cars. What I said

earlier is, we feel that actually the new car business is pretty strong in the first six months of the year across the industry. And supply seems to be good i n fact, there was a period a year and a half ago, where supply was lower than demand today, the supply is good a nd demand is as good actually. So it's a very good place to be in the new car industry for everyone including us. There are no shortage as such, but at the same time, demand is pretty good. And supply is pretty high, this trend is probably going to continue for a while, where we see and where we are focused on and my take a few months is really the used car side of CarWale and the use d car side of OLX
where we see a positive growth and is what we are working on. I come back and the used car industry has been very buoyant as well, we really see that CarWale numbers on the used car side, as well as OLX numbers on used car sides going up.

Siddhartha Bera: Got it. And second is on the synergy side. So, I understand on the cost side, but on the revenue side also do we feel that there will be some synergy which we can sort of derive post this acquisition or transition of OLX into our system . And what are the areas a nd how much can that go up to?

Vinay Sanghi: The main synergies of used car business, because that 's where the overlap exists. And again as I come back, we basically see whether we can add CarWale and OLX and give a much stronger product out to all the dealers in India, who use classifieds products. And that 's where we see the number one synergy between the two companies. But we see a significant upside in the next year, two years in this business.

Moderator: Thank you. The next question is from the line of Payal Shah from B illion Securities. Please go ahead.

Payal Shah: I have two questions. One being on the remarketing business. So FY 23, was the year of de - growth for the auctions business on the back of m ultiple factors like the Mahindra incident , higher ASP for used cars, etcetera. So , I just want ed to understand that, H1, FY 23 has been relatively flat so how does the remainder of FY 24 and 25 look like for this segment of the business?

Vinay Sanghi: Yes, this s ix months have been tough. And it 's a lot has been due to the fall in the repossessed business. There's also been growth on the other side of the business, the waterfall here, has been made up by the retail business in other businesses. We are hopin g that things turn around, probably in this quarter , or the next quarter because the repossessed numbers seem to have bottomed out. And, as I said in the previous calls, that even though the repossessed business is down, we made a lot of efforts elsewhere. And when the repossessed business does come back whether it takes three months or six months, we will be a much stronger company. And we keep saying that, so, I don't want to give any growth guidance , but we do beli

eve that the next three
to six months Sh riram Automall will be in a much better place than it is today.

Payal Shah: Okay . Sir my next question would be like CarWale has approximately 35 + million monthly unique visitors which is similar to the average visitors on OLX, so what is the number of visitors

we aim to get once the two platforms come under one umbrella since there will definitely be an overlap between these visitors too?
Vinay Sanghi: So there 's no intent t o bring them under one umbrella, OLX.in and OLX app wi ll continue to function as they , CarWale and its products will continue to function as they are . Many people come to CarWale as I said 84% people come to CarWale for new cars , 100% people come to OLX for used products . So the users or the consumers or people who come , come for different reasons. Like someone like me and you might go to CarWale to buy a new car and someone like you and me will go to OLX to buy a used car or sell a old car or even buy a refrigerator or sell a refrigerator . So it's just th e different platforms and used by different people for different purposes. But , as I said the engagement metrics are different , the methodology of acquiring is different , 70% people coming on OLX come through an app which they download on the phone and the y use a multiple of thing , they use it from selling a car to a two wheeler to buying a sofa to different , different reasons today someone moving houses and want s to sell three items in the house, whether it 's a comp uter or a sofa or refrigerator that will go onto OLX. So, OLX is a very different place in the heart of consumers and CarWale is a different place, if you want to buy a Rs.10 lakh new car you are going to go to CarWale for that. So both are going to function depending and both have to grow independently.
Moderator: Thank you. The next question is from the line of Pankaj Bob ade who is an Individual Investor . Please go ahead .
Pankaj Bob ade: Just wanted to understand we are closing down the C 2B business which had gross revenues of Rs. 194 odd crores and net revenues of Rs. 12 odd crores. A nd we have paid around Rs. 523, crores for the whole business. So , did we not overvalue the business at the time of purchasing it?
Vinay Sanghi: No, we don't feel that because in a estimation of valuation. We have factored many of these things into account of the transaction business and the asset business. So we actually feel that , when we valued it we arrived at fair value keeping some of these considerations in mind.
Pankaj Bob ade: Okay now when we are closing it down …
Moderator: The next question is from the line of Yug Mehta from AP Capital. Please go ahead.
Yug Mehta: I have a couple of q uestion s. My first question would be on abSure signature outlets. In the last call we mentioned the number of outlets being 120+ , what is the number of outlets now a nd how do you see this ramping up?
Vinay Sanghi: I think this is a similar number, I did stress that we also have now over 100 OLX similar kind of outlets. So we 've actuall y doubled our stores already. In the next month or two months, we 're working on a strategy around, the 110- 120, which are the CarWale, and 110-1 20 with OLX and figuring out whether what we should do with the combined 230 -240 stores . So, one other thing which OLX has done is given us a lot of reach and distribution as well, through these stores.

Yug Mehta: Okay. Owing to the acquisition of OLX , a significant portion of our cash has been deployed, thus other income will significantly be lower. So by when do w e expect the returns from this transaction to cover that shortfall?
Vinay Sanghi: No, that 's a very good question a nd all said and done, we ha ve lost a certain amount of other income, which is obviously beca

use we 've deployed a large amount of cash to the transaction, we do believe that it will take some time but definitely in the short to medium term, the OLX will more than compensate for the losses we have on interest income, but we do feel conscious about that.
Yug Mehta: Also, what are the company 's plans for the remaining Rs. 600+ crores on the books, any other acquisitions in store?
Vinay Sanghi: At this point honestly , we are just looking at the consolidation of OLX, the tech transfer, the growth of the classifieds business, the integration with our current businesses and growing our current businesses. If something did come up in the future, we 'll look at it, but at this point , the whole focus is on getting this right.
Moderator: The next question is from the line of Sachin Dixit from JM F inancials. Please go ahead.
Sachin Dixit: A couple of follow up questions. So the first one being , when the plan at least the communicated plan was that we will have OLX transactions as well as classifieds then also you were sayin g the product and tech cost will fall by 40 % to 60%. Now that transactions have gone I was expecting maybe a sharper drop in that expense. But even now you are saying 40% to 50% decline only ?
Vinay Sanghi: Sachin what you are saying is correct and is possible , it's hard to a ssess at this point but it is

possible.
Sachin Dixit: Alright. And secondly on the 110 odd OLX stores, I believe those are part of OLX autos again the transactions side?
Vinay Sanghi: No, there is no further transaction , that is p art of the classifieds business .
Sachin Dixit: Okay, so that's part of classifieds ?
Vinay Sanghi: That's right.
Sachin Dixit: Okay , sure. On the OLX classifieds space now, honestly there is a lot of competition in the non-auto portion of OLX , mobiles and all maybe but I believe last time it was mentioned 15% of the revenue actually comes from real estate. Looking at the number of real estate portals that exist in India, how much sustainable or how much moated is the other revenue on OLX other than autos ?
Vinay Sanghi: Of course, auto there 's very high level of market share and relevance to the used car dealer today , you talk to used car dealers, they will tell you a large part of their sale is OLX dependent. The

other categor ies, in fact the m ain categories I 'll talk through , one is mobile phones and electronics. I don 't think there 's any other verticalized or horizontal player, which is able to cater to the millions of people who come onto this platform to sell their mobile phone or electronic device, whether you're a consumer or a dealer, so very large amounts of traffic comes from cellular mobile phones, electronics. The third category they have got is , two wheelers. Again very, very high percentage of users sell their used two wheeler s on OLX and again consumer and dealers as well. A nd people want to buy these products whether the electronics, mobile phones or two wheelers, need to come to OLX to get this , sort of supply source available. So , yes, whether it's used cars, mobiles, electr onics and two wheelers, this i s a more or less the situation . When you come to something like real estate, which is another reasonably strong category for them. There are two types of real estate, advertisers, one is the user like you and me, who've got a flat to sell or a property to sell, or which is like a resale, which is almost not like a new development. OLX is only on the resale side today, which is existing homes being sold, a lot of the other real estate sites are on new developments, which is new developers advertising, it's almost like CarWale is on the new car side, the new other websites or the new development site . OLX is 100% on the home s side, which is my house and your house, single home si de. And on that site there were reas

onable market sh are and strength, that 's where their strength is. So, it's segmentation is different , but as I start explaining all these categories and talk you through what OLXs strength is.
Sachin Dixit: And my understanding was even for secondary sale and rental also we have decent number of portals . But anyways, moving on, on the monetization piece for OLX classifieds , my guess is most of it is coming from either used car dealer or a shop owner, or people like those, how much would the breakdown according to you will be between individuals like you and me versus someone who's running a business out of it?
Vinay Sanghi: Clearly on the car side, the breakdown is evident for us because we have to comput e it. When it comes to mobile phones and fragmented supply, it 's hard to tell who 's the user and who is the dealer it's very hard, because you can run the platform and pay and list. But, as I said in the car side a significant part, I would say 75%, 80% is from dealers. O n the other category it is very hard for us to comment at this time, how much is user and dealers, but on either side, we have seen from the platform, the traction is fantastic. And there 's a lot of options improve monetization and performance for the users, from the user s and for the users it 's a mass ive, massive opportunity across category not just cars. We've given some numbers out earlier in our press but they get 35 million s listing a year .
Sachin Dixit: Yes, I have those numbers from the monetization part.
Vinay Sanghi: You look at the number , right, and you say my god 35 million. That's a very large number.
Moderator: Thank you so much. The next question is from the line of Sanjay Sood , who is an I ndividual Investor. Please go ahead.
Sanjay Sood: I just wanted to understand what is the ROI p eriod for this acquisition?

Vinay Sanghi: What is the ROI , sorry what is ROI?
Sanjay Sood: Return on investment?
Vinay Sanghi: Immediately at this point, it's hard to quantify ROI investment. But when you look at the ROI investment over a long period of time we believe, obviously we have our own hurdle rates in the company of what return it should give , the parent and then of course the shareholders. But we believe there is significant value creation, for CarTrade Tech and of course CarTrade Tech

shareholders. OLX is, if you look at the multiples of the valuation in terms of revenue terms, or even any other terms, it 's a reasonably cost acquisition. And we do believe that the amount of synergy it adds and on its own feet, and known strength it has got a tremendous value to us over the next three to five years.

Sanjay Sood: Okay . And one request from my side, if you can provide used car s sale data on monthly basis, like what basically major OEMs are providing this data, since you have grown big now a nd becoming bigger, hopefully. So it will be making some sense for all of us to understand , we are moving in which direction ?

Vinay Sanghi: I understand since we are classified s platform , we currently provide an auction platform, we sales data on the used vehicles side, but here on these classifieds side, we 'll try and provide some of the proxy so that you get a good idea of the used car business and, and its metrics if that 's okay.

Sanjay Sood: Okay. And then, last just want ed to understand you have close d down this C2B business, what exactly it used to do, because I have not understood your point?

Vinay Sanghi: Sure. W hat it did was , if you list your OLX and millions of people a year, list their car on OLX a small percentage of them wanted to auction the vehicle to dealers. So , what they had done was built a electronic exchange, where what they would do is first they would come to your house and inspect the vehicle. And then they would auction your vehicle to a large number of deal

ers

in India who would bid for it and then they would pick up that vehicle from you and give it to that dealer and make that margin in between that was the model. We just found that the whole cost of operating it. First of all, v ery few percentages of OLX customers wanted it but more than that, we found the cost of inspecting it from you, collecting it, deliver ing to a dealer, and the margin made in between the unit economics was very broken. That 's what we found.

Sanjay Sood: Okay. So, it is not like Shriram Automall business ?

Vinay Sanghi: It is actually the auction business Shriram Automall is similar. But Shriram Automall has actually got very high scale in what it does a nd it's got its own location. So it doesn 't go to your house to inspect but people bring in vehicles to the ir physical locations for auction. So slightly different . The business is similar , but t he execution of Shriram Automall is far more efficient.

Moderator: Thank you. The next question is from line of Vijit Jain from Citi. Please go ahead, sir.

Vijit Jain: I have two questions. So, o ne just looks at the standalone revenues in P&L this quarter. So your adjusted EBITDA, excluding other income is about six crores a nd if I remember, there 's one crore of provision for the due diligence stuff done here. So should we think of the adjusted EBITDA excluding other income sustainable number here as 7.3 c rore roughly . That's again a pretty decent jump, Y -o-Y, Q-o-Q and I can see your costs, if I look at it that lens have been fairly controlled. So just your thoughts on whether that 's the …

Vinay Sanghi: Is it 1.5 or was it higher , I just want to check, I think it was 1.5 crore I am not 100% sure, let me check.

Aneesha Bhandary : For half year it's 1.5 Vinay.

Vinay Sanghi: Yes, that will probably be correct Vijit .

Vijit Jain: Okay, so the due diligence cost was in 1Q and so it's not a part of Q2 expenses is that what you saying?

Vinay Sanghi: It's in both.

Vijit Jain: Okay , got it and the second question I had was, just wanted to understand what do those 100 OLX outlets do for the classifie ds business , are they similar to the abSure in terms of model and how it works ?

Vinay Sanghi: Yes, it is quite similar, the way abSure works , abSure is a little more refined, well abSure was created so that you could buy a vehicle online on CarWale, and the backend services of, the products and services or exchange, warranty and the money back and all that could be on the abSure store. It was created to enable whole digital environment to your purchase . What OLX did was , it had a very premium dealer whom they certified to be an OLX auto dealer and even though it didn 't offer them the money back, they offer the warranty, but even don't have the money back, and the online experience, they made it into a curated marketplace within OLX the classifieds business and kept growing it out. So these are almost differentiating, where they almost adopted these dealers. Again, it 's an asset like m odel, dealer owned, dealer operated , dealer 's working capital , dealer 's fixed assets, etcetera, etcetera. So very similar , it's just that our vision was slightly different, where we wanted our stores to be really looking at the next phase of our growth, in a few years from now where, if you and I want to buy a car online, then these are the stores, which should be able to get this entire experience completed in a particular way. They did this with a view of giving a high -quality car to the user ,that was the intent.

Vijit Jain: Got it understood. And the second question just on the OLX part so, I would imag ine and when I look at the app charts for example, I can see that OLX usually is among the t op 10 , top 15 apps on both Android and iOS. So is it safe to assume that most of the traffic for OLX comes from the app

?

Vinay Sanghi: More than 70, yes and it reverse for CarWale actually .

Vijit Jain: So, 70% for OLX is apps while 30% i s apps for?

Vinay Sanghi: Yes, CarWale would be like about 25%, 30%, may be something like that . It's partly because OLX is used for multiple purposes. CarWale is like a high engagement one -time, like buying a car is like one-time. So , it's a little different , the usage is different.

Vijit Jain: Yes. And so related to that obviously, in addition to getting a much bigger scale in the used car business, you are also getting a much bigger play in mobile app space with this. My question is, is there anything from th e ad tech products that OLX has built that you think you could use in CarWale. Any thoughts on those kinds of things ?

Vinay Sanghi: Lots of cross learnings, it's very, very early days, but lots of cross learning on, programmatic ad selling to AI to , there is so much learning in between the two teams b ut as I said, it's only , it's day 90 today, exactly day 89 t oday actually, so it 's just very early days, and a lot of time went in tech transfer, and then the shutting of the C 2B, and all of that s o. Now's there is time for us in the next year probably 30 to 60 days to put in these processes in place then people will continuously learn from each other on many of these issues.

Vijit Jain: Got it, I asked also that because I 'm just wondering you mentioned that those product development cost will go down by 40% to 50% possibly more, in general for India internet, when people , when companies build all these different kinds of products, add solutions and what not, etcetera it's usually pretty expensive to build those. So from a continuing to support the product and building new products , how confident are you that you w ould be able to ?

Vinay Sanghi: We are very confident on the cost reduction.

Vijit Jain: Both tech cost as well as product development?

Vinay Sanghi: Yes, definitely on the tech cost, because as the product development, because currently these costs are being incurred by them globally, and th ey are being charged to us because it 's in their environment. It 's not completely co-related to what cos t may incur in India for this. So , the first part is the entire team is now part of our team, which is part of the Sobek Auto or OLX India team which is our not their team handling it number one . Number two, all the third parties, infrastructure, etcetera, etcetera created by them is what this platform used - its slowly , slowly moving to our environment of our infrastructure, et cetera, et cetera. So it's completely different in my mind, in fact it's hard to quantify fully, but definitely significantly going to be lower than what it was.

Moderator: Thank you The next question is from the line of Pankaj Bobade, who is an Individual I nvestor . Please go ahead sir.

Pankaj Bob ade: Just wanted to underst and, when we are closing down the CTX transaction business of Sobek Auto . So, what are we going to do with it, I understand that the losses which were draining out of them that will be closed down, plugged down rather, but then it would have some fixed assets, would we be able to salvage some?

Vinay Sanghi: There was no fixed assets in this , minimal fixed assets because a lot of the places they kept the vehicle were leased properties and the business was an asset light business so it is then auctioning cars on behalf of sellers to dealers , the only real asset would be the tech platform itself which of course we have with us and we'll see what other use we can make in the future and of course another asset would be the data and some of the IP related to it which also we would see what we will do in the future but , the intent is to so, I clarif ied that earlier on the call , the

intent is to

shut the current way they operate the C2B business, as I said a large number of people list the ir car for sale on OLX which continues , so it's not like we are exiting the C2B business as such, we exiting the C 2B transaction business. So still someone like you can list your car on OLX and sell it to a consu mer or to a dealer which is happening . Millions of people are doing that every year. A small percentage wanted us to auction it in a transaction model which is what OLX did, which is what is shutting down it' s not the C2B shutting down , it is the C2B trans action business shutting down.

Pankaj Bobre: Right , I understand that what I meant to say that we have paid the seller at that time was valuing the whole business and the valuation was done on the overall revenues. So Rs. 523 crores which we valued for the business and a big chunk of revenues was coming from this business. So if we

are writing off that.
Vinay Sanghi: No, we won't because when we did the valuation for it. We had factored some of these scaling down, etcetera, etcetera.
Moderator: Thank you, gentlemen a nd ladies, due to time constraint, that was the last question for the day. As there are no further questions , I would like to hand the conference over to the management for closing comments. Over to you sir or ma'am.
Vinay Sanghi: Thank you. And thank you for all of you for being here today. I just want to tell you how excited we are about the last quarter and the acquisition of OLX once again. Happy Diwali to all of you and enjoy your weekend and the festivities ahead. Thank you, eve rybody. Thank you.
Moderator: Thank you. On behalf of CarTrade Tech L imited, we conclude this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2024

Date: February 15 , 2024

To, To,
Department of Corporate Services, Listing Department,
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Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q3FY24 Earnings Conference Call held on February 08 , 2024

Dear Sir/ Madam,

With reference to our letter dated February 05 , 2024 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q3FY24 Earnings Conference Call held on February 0 8, 2024

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

_________________________ _____________ _
Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose : a/a
Page 1 of 15

"CarTrade Tech Limited
Q3 FY 24 Earnings Conference Call"
February 08, 2024

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 08 2024, will prevail.

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to CarTrade Tech Limited Q3 FY'24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Vinay Sanghi, Chairman and Managing Director, CarTrade Tech Limited. Thank you, and over to you, sir.
Vinay Sanghi: Thank you, and good aftern oon to everybody, and thank you for joining the Q3 Earnings Call . I want to now present the Q3 earnings data and details today. We've uploaded a presentation and if we can go straight over to slide five of the presentation itself, it talks about the key metrics. I want to first tell you that we're delighted that there were 48% growth in revenue and a 56% growth in profit of continuing businesses in the last quarter.
We are the number one automotive platform in India. We are number 1 used classified platfor m in India with OLX now, and the number 1 vehicle auction platform in India with Shriram AutoMall, all our 3 businesses. As you know, we have almost 70 million monthly active users, unique users per month across our platforms, including OLX, CarWale, BikeWale, etcetera , etcetera . OLX itself has more than 100 million downloads on a mobile phone in India.
We have 350 -plus physical locations include all our AutoMall outlets , abSure outlets and OLX outlets as well. 90% of our 70 million users come organically, which means we have very low marketing cost. In fact, in OLX a large part of the users are app -driven, almost about 80%, 85% of our users come throu gh an app. We have Shriram AutoMall auction at a rate of almost 1.4 million vehicles a year. Our net revenue is -- for the quarter is INR152 crores -- INR151.9 crores. Adjusted EBITDA is INR43.2 crores and profit from continuing operations after tax is INR22 crores.
As you know, we're also around INR720 crores cash balance and of course we are a d ebt free company. If you go to s lide seven , which talks about the consolidated financials of the company, as you can see here, we have a 48% growth in revenue and a 35% growth in net revenue, which is INR151 crores, which is also -- and a growth of 32% growth of revenue from operations in the 9 -month period. Our adjusted EBITDA is up 67% without or excluding other income and the adjusted EBITDA with other income is INR43 crores for the quarter, is also INR115 crores for 9 months versus INR85 crores last year, which is up by 36%.
The adjusted EBITD A, excluding other income, is up by 57%. So the operating metrics of the company has been very strong as a group. The profit without considering discontinuing operation, which is our transaction C2B business in OLX, but including our classified business

is up 33% for the quarter, which is at INR26.75 crores is the profit before tax. And the profit before tax for 9 months is up 81% at INR68 crores. The profit after tax for continuing businesses is up 56% to INR22 crores and 156% for the year. I just want to highlight the continuing operations, operation which are continuing as of 31st December, got a INR22 crores profit for the quarter -- profit after tax for the quarter October to December.
Of course, then there is the last pertaining to discontinuing

busin esses, which is the C2B
transaction business which we acquired in August this year, which is total of INR63 crores for the 9 -month period ended 31st December.
I just want to again highlight that the health of the continuing businesses is strong at a 22% -- or INR22 crores profit after tax. The other thing I want to highlight is on the EBITDA margin. If you look at the adjusted EBITDA margins without other income, it's up to 19% from 16% last year, 9 months.
So as I again said -- again say, the continuing business has been quite strong. When you look at the stand -alone results of the company of CarTrade Tech, as you can see here, the revenues up for 9 months is 22%. Revenue up for the quarter is 18% at INR49.4 crores. If we include other income, it is flat because other income is slightly down because of the money used in acquiring OLX itself. But over the 9 -month period, the net revenue is up by 19%. If you look

at the adjusted EBITDA excluding other income, it's up by 35% for the 9 months, showing the strength of the CarWale business.

And if you look at the EBITDA margin, excluding other income, it's up to 23% from 14% last year. And for 9 months period, 15% versus 14%. So the October -December, the margins have gone up to 23%. The profit after tax is up to INR9 crores. It's slightly down because of loss in other income due to the acquisition of OLX as a stand -alone basis. If you look at Slide number nine, which is the remarketing results, the remarketing -- it's been a tough quarter for the remarketing busi ness as has been for the year before. It continues to be primarily because of the sluggish nature of the repossessed vehicle supply, as we've talked earlier.

In fact, the repossessed business itself has gone down from a contribution to now totally from last year same time, it's gone down from 53% of our business to 49% of our business. And our retail business has gone from 34% last year to 39%. So the contributions to the business are changing.

For this 9 -month period, the revenue is down 6%, profit is d own -- PAT is down 11% and the adjusted EBITDA is flat at INR26 crores for the 9 -month period. If we look at the Sobek Auto results, the results are -- if you look at the quarter itself, the revenue is about -- for continuing operations is INR45 crores.

As you can see here, this is all the business we're continuing to the next quarter. So INR45 crores continuing. The adjusted EBITDA is INR12 crores and the profit for the business itself now is INR11.46 crores for the quarter. Discontinued business last, wh ich is INR45 crores, which is a combination of the losses incurred in the business and a combination of the shutting

down cost incurred in the business -- but as I said on 1st January , what is going to continue is the INR45 crores revenue line item.

And o f course, in this quarter, we expect that business to be profitable as well. If you look at the brand scores, CarWale -- is slide number 11. CarWale Google score tend to be strong still at 78, much higher than competitors. As is BikeWale, if you look at slide number 12, which shows the strength of OLX versus any of its competition and the brand of OLX as well.

This is what I wanted to highlight as part of the presentation. I'm happy now to answer any questions on the financials or any of the metrics of the company. Thank You.

Moderator: Thank you very much. We will now begin the question and answer session . Anyone who wishes to ask questions will press star and 1 on their touchstone telephone. If you wish to remove your self from question queue, you may press star and 2. Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vijit Jain fr om Citi. Please go ahead.

Vijit Jain : Good set of re

sults, congratulations on that. I just wanted to quickly understand and I know you covered it a little in your opening remarks, but I'm not sure I got it. Where is the PDT costs currently sitting? And because when I look at what you reported in September versus now, it looks like some of these costs have maybe moved on the OLX side. So if you can just clarify where the PDT costs are sitting. And within this cost structure t hat you have in slide 11, barring that loss from discontinued operations is everything else pretty much how one should expect this business to see numbers going forward? Thankyou

Vinay Sanghi: I think very good question. We had indicated the PDT cost -- external PDT costs, which we incurred for transition of technology is about INR60 crores for the period till December. In fact, and this has to be INR60 crores till March. We've actually preponed the transaction of tech, and we did it 3 months early.

And therefore, this tech transition is completely finished now on 31st December. As on 1st January, we are completely operating in our own environment. And some of these costs are being established still. Of course, part of that entire tech c ost on the last quarter and the period prior to that were incurred in both businesses, the Transaction business and the Classified businesses.

Both businesses carry their relevant tech costs, the Classified and the Tech. So the way the Tech costs are laid out in discontinuing operations and the Classified business, they carry the relevant cost pertaining to that business.

If you look at, I think next question, which is more pertinent to us, is the financials are INR44 crores and 11.46 is this likely with cost baked in or not? I think that is the question, if I'm not mistaken. This is more or less a reflection of the classified business. There will be, in this quarter some additional investment in cost and technology, etcetera which we're doing .

And it's possible that, that cost will be incurred in this quarter -- being incurred in this quarter. And also, it requires full normalization of tech cost, optimization of tech costs, it's still going on. But I don't answer about a short -term answer, bu t generally, this is going forward. I mean I would say, if not this quarter will be the next quarter, this would be the normal way to look at the finance of the company.

As I said, it may take 1, 2 quarters, but this is where we're lined up. The reflection of October, December will be a reflection of the company's financials going forward. As I said, may take a quarter to normalize and get to here.

Vijit Jain : I see. So basically, if I understand that right, what you're saying is about -- if I remember this right, it was supposed to be INR60 crores incurred over the course of 6 months, so INR10 crores a month. And that is essentially INR30 crores for the quarter of October to December that you might have incurred? Now those INR30 crores are currently split b etween loss from discontinued operations costs and in your costs above that and you could see further reductions.

Vinay Sanghi: We could see -- there's no actually, I think in this quarter 2, slightly higher to be honest, slightly higher. But it will norma lize -- I mean, this will be normalization which will come to eventually. There's some work we have done transitionally. So that cost of INR30 crores is fixed. It is just fixed because it is outsourced to -- by us to -- in the transition process. Now it's internalized. So it is more variable. So it is possible that it may see little up now. But will normalize, it will come down and normalize then optimize.

Vijit Jain : And you would believe that this adjusted EBITDA number that you have, let's say, in 4Q on the INR446 crores of net revenue, or rather INR430 crores of revenue from operations -- sorry, INR43 crores, my mistake, INR12 crores, give

or take a few depending on how much success you have in cutting those costs, you could go to maybe INR10 crores or INR8 crores or somewhere thereabout? So 20% margin.

Vinay Sanghi: It's hard to answer this quarter, but we will come to that definitely in a quarter or so -- definitely. That is the objective we have to optimize with that. That should be best -- that is correct.

Vijit Jain : Got it. And then just a follow -up question on the overall rest of the business. So if you can give your quick comments on both the retail and repo part of the remarketing business. And then on what you're seeing in the stand -alone CarW ale, BikeWale bu siness?

Vinay Sanghi: Really actually from the Shriram AutoMall repo and retail side, repo has been a real challenge for us . Actually, this is a reflection. Indian NBFCs and banks NPAs are under control. It's a reflection on that. And what' s been good for them has hurt the supply which we get, and that's been hurting for 1.5 years as all of you can see the economy, the way it's been functioning and the economy how well it has done, especially for banks and NBFC with respect to NPAs as a conc ern.

It's a clear reflection of supply of repos you're getting. And it's hurt us, and I think over 1.5 years, we tried to mitigate that hurt by adding other segments and partly that has been in our

retail supplier vehicles. Retail continues to grow. In fac t, it's up by 25%, 27% in this year, but it is -- the repo is still hurting. And just because Shriram AutoMall was very dependent on repos supply, it's been hurt because of that.

The fact that we managed and maintained numbers over the last 1.5 years is ju st because we have built another segment. So when repossession does come back and as banks give out more loans. And then we will be in a better place because we are building an alternate supply channel, which is growing. And as that continues to grow and r epo come s back, I think Shriram AutoMall will be in far better position. But it's been a tough year, 1.5 years for them.

I think on the CarWale side, things have been, as you can see in the numbers in the growth, healthy, right? The used car side of CarWa le has grown, the new car side has grown. the new vehicle side has grown. And actually, it's a reflection of partly further digitization of the automotive industry, but also the reflection of the robustness of the auto industry.

If you see new car sales, 2-wheeler sales, both have been up in 9 months and that volume increase plus further digitalization efforts of manufacturers and dealers, and I think the other part, which is actually little better than the industry, is supply constraints are not really th ere. So the demand is strong for cars and 2 -wheelers, but also supply has not been a constraint for manufacturers. There are some manufacturers with shortages, but generally product and supply is available, which is a good thing for companies like us, whic h depend on transaction and

advertising revenue from manufacturers and dealers.
Vijit Jain : Got it. And if you or Aneesha could just give me the housekeeping numbers for the quarter, the split between new and used, and dealer and OEM that will be great.
Vinay Sanghi : In CarWale, I mean, the CarWale reads it at 84% is new, 16 is used, dealers 60 to 38 -- OEM is 62 and 38 is dealer for the quarter -- actually for 9 months. But the quarter, 9 months has not changed much, they are not much changed.
Moderator : The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Congrats on the result. Quickly coming to repossession basically on the remarketing piece, I understand you did talk about supply being slow and all. But if you look at the numbers that you have posted in Retail slides, it looks like the bankers listed for auctions have actually gone up recently over the quart

er as well as Y -o-Y. It's just a conversion rate that seems to have dipped a bit?
Vinay Sanghi : Yes, that's true. There is a significant supply from and that's what reported from a couple of sources which didn't convert. One was from the flood kind of vehicles, which are couple of floods in India and the supply from there, which the conversion rates are very, very low. So it's looks really skewed for the quarter. But there were a couple of sources of supply, which are not really high conversion sources -- new sources. One of them was this whole flood situation in the South.
Sachin Dixit: Understood. So basically some of this onetime supply came that...

Vinay Sanghi : Exactly.
Sachin Dixit: Coming to that same question that Vijit also asked like breakup of that INR30-odd crores of product and tech , so if I recall correctly, last quarter, you mention ed that onetime cost of discontinued operation, obviously, of the transaction business is likely to be INR25 crores to INR30 crores. The number that we are seeing is roughly INR46 crores. S o does it imply that you have...
Vinay Sanghi : Number is ? Sorry.
Sachin Dixit: INR46 crores? Loss from discontinued operations?
Vinay Sanghi : That's not onetime, Sachin, what the 45 and -- there was roughly INR25 crores, INR30 crores one time shutting cost. But the 45 is all costs related to that business. It's not the shutting cost. That's just a loss...
Sachin Dixit: So basically onetime is the right, as you guided off roughly? Yes but you were sa ying that the other product and tech costs or any other costs that were involved for this business that are also passed in the INR46 crores .
Vinay Sanghi : And even the carry forward losses of that business, right? So the business was when we acquired from August 11, was a loss -making business. So there was a period of operations, which incurred a loss, which includes in that 45, there was also the onetime shutting cost in that and provisions related to that. So everything pertaining to discontinue that bus iness -- and a tech cost pertaining to that as well. All of it is in that INR45 crores.
Sachin Dixit: Got it. Can you break down the tech costs, how much is here and how much is in the classified business P&L?
Vinay Sanghi : Aneesha, would it be fair to say that about INR15 crores is in 63, 71? Is that correct? PDT cost in transaction will be INR15 crores, right?
Aneesha Bhandary : Yes.
Vinay Sanghi : That's it.
Sachin Dixit: And going forward, this loss from discontinued operations should be 0, right? In the current quarter, 4Q. There should n ot be any of the credit forward?
Vinay Sanghi : No, no, not at all. Yes, the business is shut, so it's -- there are some transition, as I said, as I did tell to the other question that there are some costs -- or people management costs, which we retained because we believe the land value is classified business, which have come on to the OLX Classified business, but the continuing -- even that business is shut. So there's nothing to limit from there.
Sachin Dixit: Unders tood. And just one final question on basically the consumer business or the new auto business. So new auto, obviously, as we all know, the volume -wise, it's growing well, value

wise it's growing even faster. I know our numbers at 18% Y -o-Y growth do look g ood in isolation. But the industry seems to be doing much better.

And as far as my understanding is there's also some shift happening to digital advertising. So ideally, I would have hoped for a 20% to 25% odd growth in this business. What is happening -- is the new advertising that's coming to digital platform going to some other channels or some other methods that we are not a part of. I mean, our growth related to industry seems a bit low.
Vinay Sanghi : Wel

l, 20%, 25% is normally what we feel and 22% for 9 months, 18% for the quarter, I wouldn't say it's gone to competition as such. It's just more -- I mean, I would say there's more quarter management and management from the previous quarter of this year, a quarter growth, but really the amounts or the nu mbers are pretty much in this range. Competition has not changed much, right? Honestly, because competition is still probably Google and Facebook. So not much has changed in this business to be honest.
Sachin Dixit: So I was thinking from the perspective o f like there is a decent trend of video advertising happening or short format advertising happening. Is that taking some market share? Not your direct competition maybe, but something that's chipping away from digital advertising pie [inaudible]?
Vinay San ghi: You see, what is happening is that when you look at video, it's mostly on OTT platforms or digital platforms like I don't know, maybe like sports advertising, which is -- cricket matches or other advertis ing is taking place on like Jio , or Hotstar etcetera , etcetera , or Sony Liv. So you find that is happening, but that's not really a competition of us. For us, it's more about -- the competition is not so much on advertisements on video, but mostly television.
It's mostly around -- because they're v ery performance -driven. For manufacturer, dealer advertising with us, they tend to calculate return on investment by cars sold, right? So competition tends to be more Google, Facebook than video or advertisements in OTT platforms.
Sachin Dixit: Sure, thank you
Moderator: Before we take the next question, a reminder to participants that you may press star and 1 to join the question queue. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera : Sir, again on the OLX, I just wanted to understand how has been the integration process. And you had indicated that we can look for some more synergies on the growth side when the platforms that consolidated. So some thoughts how you are looking at t he growth from the current numbers which we are doing in the coming year?
Vinay Sanghi : Yes. We've actually -- the whole last 5 months was about after the acquisition was about stabilizing the classified business. But I think the biggest risks were 2 risks, right? One was the loss-making business, which we had to shut so that we arrest the lo sses in the loss -making business and then the classified side are profitable. And then it was the technology transfer and

traffic transfer from a global environment to our own control and our own environment, which took place in 31st December.
So really O LX the platform or the consumer platform or the back -end platform and the technology coming to our possession on January 1, which is about a month ago, and traffic stability happened, right? I mean, traffic is quite stable -- consumer traffic is quite stab le on the new platform. So that are the first two risks and the first two tasks, which we had.
Now from here for us it will be , how do we go to the classified platform, the business which we are really excited about, and we continue to be excited about tha t, whether it's the automotive side or the nonautomotive side?
I think we are right now in the planning stage of execution so that we have a reasonable growth and definitely a margin growth in the OLX classified business. And the biggest synergies of costs are the automotive side, right?
The used vehicle side, whether it's the buyer and sellers business, the dealers listing, consumers buying or consumer selling and dealers buying, that's where a synergy exists for us, where we are trying to see th at how along with CarWale, we can provide better value to our dealers and grow our revenues and of course, grow sales for dealers in India. Tha

t's the intent
here. So that work is going on. And I think we should see a reasonable growth in the automotiv e and nonautomotive side of OLX.
Siddhartha Bera : Got it. Some sort of outlook, like can we grow in the -- like the trajectory which we have for the standalone business, similar trajectory can we expect for the next year from the current levels? Or do you think that may take longer depending upon the execution about in the business?

Vinay Sanghi : No. Is the question that , can we see a similar growth in OLX as in stand -alone -- is that the question?
Siddhartha Bera : Yes, yes, correct.
Vinay Sanghi : It's hard to compare and say it will grow at the level of stand -alone business. But the intent is to, of course, grow the automotive and non -automotive side both. And the intent is to grow margins along with that. I did discuss in the last call that one of our main objectives was to make discontinue the loss making business and get OLX to a profitable high -margin business. And that effort is still on to be honest.
Siddhartha Bera : Got it. Sir, on the SAMIL side now, any colour . I mean, we have now close to a year se eing decline in revenues for this business. Any thoughts or outlook about when can we start looking at growth according to your ground level understanding of this business?
Vinay Sanghi : We feel -- we actually thought the repossession fall has bottomed out , right? We actually thought that even 6 months ago. I want to say that it bottomed out now, the repossession fall. And therefore, all our growth in retail becomes growth, but the repo continues to fall. It shows

the strength of the economy itself. It's ha rd to predict the repo side will fall, it's still 48% of our business.
So it's hard to say it's completely stopped, right? I think -- but it's hard to predict to be honest. I would think that the volumes are now on the repo side should not fall further. An d therefore, an increase in retail should be growth for us. But every time we think that the repossession models continue to fall. So it's hard to tell, but I would think it's probably bottomed out.
Siddhartha Bera : Okay. Okay. But will it be fair to say t hat this is a representative of the industry and not have...
Vinay Sanghi : No, absolutely representative -- you can see in the financial performance of the banks and NBFCs.
Siddhartha Bera : Okay. So no market share gain perspective from any players?
Vinay Sanghi : No. Not at all.
Moderator: Thank you. The next question is from the line of Ankit K, from Smart Sync. Please go ahead.
Ankit K : Congratulation on good set of numbers. Sir, my first question is related to the remarketing business. In your opening commentary, you alluded to the point the repo is now down from 53 to 49, and the retail has gone up from 34 to 39. I just wanted to know what is the balance? So 49 in repo, 39 in retail what is the balance?
Vinay Sanghi : I again repeat. Repo is 48%. Retail is 39%.
Ankit K: Okay. But there is still 25%, 30% odd.
Vinay Sanghi : Yes, that's a long tail, the other corporates and other sellers. I mean, that's a long tail.
Ankit K: Okay. So you don't have any growth there from that side. You're focusing only on re tail...
Vinay Sanghi : No there is growth. I think what I was trying to say the repo, the 48% has been falling over a period of 1.5 years. The retail is something which has rapidly grown. This is in percent age- to our volume. It is not a growth percentage. This is really -- suppose we sold 100% or our revenue is 100%, 48% comes from repo, 39% comes from retail. And that adjustment is taking place is what we are saying.
Ankit K: Okay. And is it fair to say that p robably only when the auto finance companies start showing up NPA, we will see repo volume go...
Vinay Sanghi : That's exactly the point.
Ankit K: Okay. One last question relate

d to the mix, which you mentioned, the new is 84% and old is 16% and OEM 62% and dealers is 38%. I'm talking about a percentage of revenue. So how do you see this going forward given that we have now have OLX in our scheme of things ? So how do you see the percentage moving in the next 2, 3 years? I know you can't give an exact number, but directionally, how do you feel?

Vinay Sanghi : We feel, over time, it's logical that the dealer share should grow. The 62%, 38% should probably change and the dealer business should go faster is what we feel. I mean, that's just because if you see the history of digital advertising, it starts with the bigger manufacturers and then flows down to fragmented dealerships. So logically, over the next 2, 3 years, the share of dealers will grow faster than the share of OEMs.
Ankit K: And in terms of new and ol d? 84% is new today and old is 16%.
Vinay Sanghi : I think because we've now acquired OLX 100% used, it's possible this may -- CarWale will remain mostly new. I think that probably will get factored in OLX's results and may remain

similar.
Moderator: Before we take the next question, a reminder to participants that you may press star and 1 to join the question queue. The next question is from Pankaj from Affluent Assets. Please go ahead.
Pankaj: Sir, this quarter, we have reported losses from the discontinued operations. So in the discontinued -- is the operation completely discontinued and closed down? Or do we have any negative loss or any negative loss or any negative news coming from that end?
Vinay Sanghi : No, the C 2B transaction business is d iscontinued completely.
Pankaj: Closed down completely?
Vinay Sanghi : Yes.
Pankaj: So what are the growth mix for us going forward, do we expect to see this INR20 crores per quarter, bottom line next year onwards? Or do we have any more room for growing for the bottom line.
Vinay Sanghi : I think there are two parts. One is that the profit for the last quarter after discounting operations is INR21 crores to INR22 crores. That is at the current level of revenue and the current level of performance. Obviousl y, if our revenue grows next year or as the revenue grows, we do expect the profitability to grow as well.
Pankaj: Sir, do we have any operating leverage playing out here?
Vinay Sanghi : We have a lot of operating leverage. Because see our two main costs ar e people costs and marketing costs. Our marketing costs are not growing with the revenues and our people cost go in proportion to our revenues. So as our revenues grow, and actually, our profitability grows at a much faster rate. As you can see in the last 3, 4 years, our margin are continuously improving.
Pankaj: So what are our internal targets? Where do we need -- where do you want to take this company to? What are targets for top line, bottom line in FY '25, '26 or so.
Vinay Sanghi : So we don't give gui dance, but if you see our consolidated results, and you see our adjusted EBITDA -- or profit -- EBITDA without or excluding all our interest of treasury income, it is

22% in the quarter, right? Last quarter. That is -- and for 9 months, it's 19% versus 16% the previous 9 month -- last year.
Pankaj: I got that. That is history.
Vinay Sanghi : Obviously, our intent is companies which are really good tech marketplace kind of companies, over a long period of time, you want to get about 30%, 35% margin, right? An d we are in that direction and increase revenues to keep improving our margins. That's the intent. But I think that 30%, 35% will take us time. But eventually, our goal would be to keep improving our margins.
Pankaj: Any sales target for next year?
Vinay S anghi : Of course, internally have made budgets and targets, but we don't go out and give guidance at this point.

But we have, of course, internally have targets and objectives on profitability and revenues.
Moderator: Next question is from the line of Vika s Kasturi from Focus Capital. Please go ahead.
Vikas Kasturi : I had a couple of questions. So one is on -- in the presentation, I saw this brand Drive A Smile. Is this same as abSure?
Vinay Sanghi : No, it's not. Drive A Smile is our section or part of our CarTrade foundation, where we help people in medical , education needs within the mobility ecosystem. So it's really our initiative -- CSR initiatives within the group, which helps out the needy within the automotive industry -- or the mobility industry.
Vikas Kasturi: Got it. My next question is, sir, I was just looking at the OLX acquisition and at that time, sometime in August, September, you had put out a presentation, and in it you have given the breakup of both OLX and at that time, they had that used car business. And I think you paid around INR560 crores -- and when I look at the OLX, the profit number that you have shown, which is about INR111 crores. So it comes to something like 5x earnings. Is that correct, sir?
Vinay Sanghi : What we had said is we had a acquired the company INR520-odd crores. And the OLX classified business had a profit of INR111 crores that time what we had declared and the OLX transaction business had a loss of INR100 crores, if you remember. This was before tech cost s were factored in and what we had showed clearly there.
And therefore, we added the tech costs, the profitability which was INR11 crores net would come down. So we -- obviously, we've felt that the loss -making business, which does INR100 crores a year, so mething we could not possibly turn around or manage .
So, we shut it down, and what was left with the Classified business which was showing INR111 crores, and there were tech costs allocated to that, which is what we've done now. And

therefo re, you see in this quarter, the continuing businesses which is INR11 crores or
INR11.46 crores profit.

Vikas Kasturi: Yes. Yes. Okay. And sir, on this tech cost, you had also said that it is kind of -- it will taper down at the end of December and from January onwards it will not be there. So how much of that would reduce, sir? So you had shown INR111 crores for OLX, and that is the only continue -- the Classified business. That is the only continuing piece. And from January onwards that tech cost is also not there. So what would...
Vinay Sanghi : The 111 was before any tech costs, we had indicated that the tech costs are l ikely to be INR30 crores for the quarter with INR10 crores per month. Over and above this, which is, of course, what is showing -- which is what is showing in the continuing business as well as the discontinued business equally. What we are now saying is t hat the car tech cost being born just by the Classified piece is already born, and it may optimize over the next 1 or 2 quarters because it's moved to our own environment. And for that it requires a lot of optimization on cost from our side. But INR11 crores -- but what you see in the Classified business now, the continued business is a reflection of what is carried on 1st January.
Vikas Kasturi: Okay. Got it, sir. Sir, just changing gears a little bit. And is there any plan? I remember speaking to y our management about 2 years ago, when you had just IPO'ed. And at that time, one of the thought processes was that at some point, you would want to integrate your online auction and your off -line auction business. You have a CarTrade exchange and you have SAMIL and there would be some sort of an integration between those 2 pieces. Is that still on the card, sir?
Vinay Sanghi : Yes. CarTrade exchange is 100% subsidiary of Shriram AutoMall. Methodology there is integrated, which is Shriram AutoMall provides p hysical facilities, which is the Aut

oMall --
130 AutoMall across the country, etcetera , etcetera . And Shriram AutoMall does hybrid off physically keeping vehicle and doing online sale. So it is pretty much integrated, yes.
Vikas Kasturi: Okay. Okay. Got it , sir. And one last question, sir. Any -- is this kind of your model? I mean I think you own about 55% of Shriram AutoMall. I think the rest is with the Shriram Group. Is that going to be the end state? Or is that also likely to change with you acquiring m ore percentage?
Vinay Sanghi : That is the current state, there's no intent to do anything else. That's the current state. Shriram Finance added lot of value to the Shriram AutoMall. It is also a big supplier to Shriram AutoMall plus they've got a fantastic experience and foothold in the whole commercial vehicle market. And on top of that, they are one of India's leading automotive financials. So they add tremendous strategic value and a great partner to have, and intend is -- this is what the current state is, yes.
Moderator: The next question is from Sachin Dixit from JM Financial.
Sachin Dixit: I just had one follow -up question. In OLX business, we don't see any tax expenses there. Are those likely to come in the coming quarters or...
Vinay Sanghi : It may not be split, but of course...
Aneesha Bhandary : Sachin, is your question about tax expense?

Sachin Dixit: Yes. There is no tax in OLX. So I'm just wondering, will it come in the future.
Vinay Sanghi : I think the carry forward losses, right? Aneesha? If I'm not mistaken.
Aneesha Bhandary : Sachin, for this financial year as a legal entity, they do have losses, so there's no tax expense. And for whatever tax expense or for losses that will be recorded in this year, we will not la nd up paying tax in the next year. All brought forward taxes we have lost because of the change in shareholding on account of the acquisition. Is that clear Sachin? Or you would be...
Sachin Dixit: So basically until we run out of the current losses, which is roughly INR63 crores of losses, we don't end up paying any taxes. Is that right?
Aneesha Bhandary : That's right.
Moderator: Next question is from Ankit K from Smart Sync. Please go ahead.
Ankit K: My question is related to the cash which you had on our books right now, which is close to INR700 crores and as we have been seeing -- ever since we got listed ones, our businesses predominantly asset -light and doesn't require much cash.
And we have also done a good acquisition where we have used around INR500 crores, but still we have INR700 crores of cash left, so do we have more acquisition plan? Or do we -- are we

thinking on buyback route? Because given the kind of growth which we are seeing over the next 1 year, 2 year probably the -- it is not priced in today's market data. Any thoughts on that.
Vinay Sanghi : Yes. We do a have INR700-odd crores cash in the parent as well as in subsidiary. We intend and also we feel confident that we will -- with the company has been profitable and generating cash, we continue to generate cash over 1, 2, 3 years. The obvious answer would be that we are, of course, looking at related M&A and investments. We're a company which has been very strong with M&A and made successes on the M&A we have done and grown the company a nd its revenue and its profitability through M&A.
So obviously, we are continuously on the lookout for adjacencies or synergistic businesses that we can make a difference, which add value to our consumers and users. So that is obviously an exercise for the company. I mean of course, we don't find any use of this cash for M&A or investments, and we continue to generate cash, the idea would be at appropriate time to buy back, or so will get return it back to the shareholders That would be the intent.
Ankit K: Last question. This is a follow -up to the

Vikas's question where you answered. If I got it correctly, so is it fair to assume that the OLX business now, which you have -- the business which you have that INR111 crores profit, minus -- cost, which is going to continue to reduce over a few of time, right?
Vinay Sanghi : No, what I told, Vikas was that the continuing business is absolutely correct. It's a business which is INR45 crores revenue and INR11.4 crores is profit. To get to INR11.4 crores, already has some tech costs in it. In fact, I answered to say that the tech cost may slightly go up in this quarter, but will come down to these levels in a quarter or two.

So it is and make up not any further after that. But our intent is to keep optimizing tech cos ts because the infrastructure costs, server usage costs, multiple other costs, which we're still getting a hang off and it will move from a global environment to our own environment. So it is still a little bit of work in progress. But the continuing busin esses is this INR45 crores and INR11.4 crores. It may, as I said, the cost might got slightly in this quarter, but they will eventually normalize to these levels is what I said.
Moderator: The next question is from the line of Palak from MIV Investment Management . Please go ahead.
Palak: So, I missed one of the previous question regarding the tech cost in the Classified business. So can you please explain the cost for the Classifi ed business? And in which line item it is included? Is it a part of other expense?
Vinay Sanghi : Sure. I'll explain the cost and Aneesha can explain the line items. But what I said earlier is that the tech costs in the last quarter has been factored in the continuing business in the classified business as well as divided in the discontinuing business. The total particular the tech costs incurred in the entire period of 5 months has been divided equally between the Classified business and transaction business.
The Classified business, which is the continuing business is got the tech costs already included pertaining to it. We think that these costs will continue from Jan to March onwards, they have a slight escalation in this quarter till they fully normalized, but eventually come back to this level. Aneesha, you want to explain where it is factored, these tech cost in financials?
Aneesha Bhandary : As you rightly said it, for the CLA business, it's included in the other expenses that we disclosed in the deck. And the discontinuing of business is all the part of the INR45 crores or INR18 crores that they see as a single line item.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Vinay Sanghi : I want to thank all of you for joining in the call today. And we'll -- as time goes on, we continue to have conversations with all of you. Thank you once again for joining and take care and all the best. Thank you.
Moderator: Thank you very much. On behalf of CarTrade Tech Limited that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2024

Date: May 11, 2024
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE

ISIN: INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Ob ligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q4FY24 Earnings Conference Call held on May 06, 2024

Dear Sir/ Madam,

With reference to our letter dated May 01, 2024 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q4 FY24 Earnings Conference Call held on May 06, 2024 .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited
Q4 FY '24 Earnings Call ”
May 06, 2024

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 06 2024, will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Call for CarTrade Tech Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vinay Sanghi, Chairman and Managing Director.
Thank you, and over to you, sir.
Vinay Sanghi: Thank you, and good afternoon, everybody. Just want to thank you all for joining this Q4 earnings call. Just wanted to start off and say it's been a very exciting quarter for the company. And we had also uploaded a presentation, which I'll go through a few slides to give you all an idea of what the company's performed through this quarter.
I think on first, Page five, I want t o highlight that revenue has grown by 52%, profit after tax grown by 43% in Q4. We are still the number one automotive platform in India, the largest used car classified business, the largest vehicle auction platform. Almost 70 million unique customers vis it our platforms, OLX, CarWale, BikeWale, etcetera, in the last -- per month -- at an average of per month in the last quarter. OLX, as you know, also has 100 million downloads on the phone.
There are 350 -plus physical locations now for us. 90% of our 70 million customers a month come organically, which means we don't pay for this traffic. Our auction platform, Shriram Automall and the remarketing group had 1.2 million vehicles auctioned last year. Our revenues for the quarter Q4 are the highest ever at almost INR161 crores. Our adjusted EBITDA was also the highest ever in a quarter, which was at INR49.1 crores for the quarter and a profit after tax was INR25 crores in Q4 FY '24. As you know, w e are a debt -free company, and we have a strong cash balance of almost INR750 crores.
When we go to the consolidated results, which is Page six of the presentation, as you can see here, the same -- the revenues grew by 52%, the operating revenue has grown by 52% for the quarter, the year ended revenues have grown by 37%. As you know, your OLX only were eight months in the year, consolidated from August 1 2. If you see the adjusted EBITDA was highest at INR49.1 crores for Q4. The EBITDA without other income, without our interest income was up 77% for the quarter, and the adjusted EBITDA without other income, without all our interest income for the whole year went up 63% or almost INR100 crores.
If you see the profits of the company, the PBT was INR29.72 crores in the quarter, our highest ever again, up by 30%. The PBT for the year was INR98 crores versus INR60 crores, which is

up 62%. And our profit after tax for continuing operations was up 103%, which doubled from INR40 crores to INR82 crores during the year. The profit, including discontinued operations, was INR25 crores for the quarter. So it's been a very healthy financial and strong financial performance for the Q4.
If you go to Slide seven , which is our stand -alone result, if you see, I think that' s one of the things, which most of you have asked is on our margins for our stand -alone business. In the quarter, margins have grown from last year 19% to this year, 26% for the quarter, which has shown a sharp increase in our margins, which is adjusted EB ITDA margin without other

income. This has sharply grown up.
Our revenues have grown up by 20% on a standalone basis for the year. Our adjusted EBITDA is up 41% during the year. Excluding other income, it shows that our adjusted EBITDA is going up at doubl e the rate of our revenues and profit after tax on a stand -alone basis up 29%. It is slightly lower at 29%, up because of the reduction in our interest income because of the acquisition of OLX. So really, it's been a strong performance on the stand -alone b usiness as well and margins have grown out there.
If you look at Slide eight , which is our remarketing results, even though it's been a flat year in terms of revenues for it, its profits are slightly improved at 8% in this quarter. Adjusted EBITDA is up 8 %. In fact, adjusted EBITDA at INR16.3 crores is also reasonably good with 29% margin. But on the whole, revenues have been flat in the business, and profits have been also flattish during this current year. And this is as a fact of repossession vehicle su pply coming down, which has been mostly replaced by our retail supplier of vehicles.
If you look at Slide nine, which is the OLX India results or Sobek Auto results. As you've seen

here, we had last quarter a discontinuing, continuing operations. Now this quarter, March 31, we only have a continuing operation. And as we had indicated at that time, the revenue is now close to INR45 crores, and the profit or the adjusted EBITDA is close to INR11 crores, which is very similar to last quarter. Some marginal costs have gone up from last quarter, which have come to the continuing business. But overall, it's almost at a INR9 crores profit for the quarter, and we're quite confident of sustaining and growing this from here. It's a tremendous base.
As I said, a lo t of the work last year for OLX India has been the technology transfer, putting together the product and the technology team, getting the management team in place, shutting down the loss -making businesses and all that has been completed. And as you can see in Q4 , a completely only classified result of INR45 crores and INR11 crores profit out here. This is what I had to say. In fact, the brand also on Google Trends, if you see Slide number 11 shows strength of the brands of CarWale and BikeWale. On Slide 12 , you can see the brand of OLX continue to be strong. And as I said, our traffic continues to grow.
So this is what I had. I'm happy to open up for questions and answers now, to answer and clarify all your questions and doubts. Thank you.
Moderator: We have our first question from the line of Mr. Vijit Jain from Citi. Please go ahead.

Vijit Jain: Vinay, congratulations on a pretty terrific results here that we can see across the three businesses. My first question is for the OLX India classifieds busines s. Are we looking at what will now be the recurring cost structure for this business now? And also, if you can talk a little bit about growth in this segment because since you acquired this company, it seems to be somewhere around INR43 crores a quarter re venue business pretty steady at that. So your thoughts on that. That's my first question.
Vinay Sanghi: Thanks. The OLX, the costs are fully now -- this is what the costs are. I think this -- the continuing operation is probably steady state. The reflectio n of the finance in Q4 are the reflections of steady state for this business. Obviously, our attempt is to grow this INR44 crores quarter revenue from here. And it is a typical classified kind of marketplace, where as revenues grow, costs don't grow in rel ation to the revenues.
And you'll see that now in the next few quarters that our revenue continues to grow here, that profitability will rise at double the pace, which is, as you see, even in the consumer group, I mean, as revenues grow, our profits tend t o grow at 1.5 or 2x the speed of revenu

es growing.
And we want to have the same dynamics here, where increase in revenue, increase -- multiply growth in profits. So I think this is the leverage we have on our cost. Again, here, there's very low marketing cost, almost zero marketing cost and reasonably high leverage to profitability with revenue growth.
Vijit Jain: Got it. And any thoughts on sharing more metrics around OLX India, traffic, trends, category - wise, mix, those kinds of things now that this busi ness is on a recurring basis?
Vinay Sanghi: Yes, sure. We will -- and I think the traffic tends to be about 30 -odd million UVs a month. As I said, a large part of it is on an app on a phone, almost all of it is -- I mean, zero of -- net of market -- there' s no marketing cost to this revenue to this traffic, sorry, which is making it -- giving the OLX business, strong margins. We'll start sharing the traffic metrics with you, I mean, very soon. I mean, now that there's some stability, that's something we'll start doing. If you look at the segmentation also, automotive tends to be about 45%, 50%. The rest is non - automotive. That's the other segmentation of the classified revenues, which also, over time, we'll start sharing in the breakup of automotive and nona utomotive.
Vijit Jain: Got it, Vinay. Vinay, my next question is on the remarketing business. So fair to say that overall, this business seems to have bottomed out here. I mean I see the volumes are still down on a Y -o-Y basis, but the decline seems to hav e reduced and revenues are flattish Y -o-Y now, so declining for three , four quarters. So that's my first question on the remarketing business. And is this coming from continuing growth in the retail side? Or has the repo business also bottomed out? That's my second.. question .
Vinay Sanghi: The repo has definitely -- the repo rate is flattish now. So it's bottom to flattish. The repo -- and actually till last quarter still going down, but we're hoping that it is flat now from this year.
Actually, last year, it has begun, and we're hoping that it's flat this year. But it's hard to p redict.
I think what's driving even the flattish nature of this business is the retail growth. I mean, clearly, which we're putting tremendous efforts to continue to grow. That doesn't change how

we're thinking of the business. So we need to continuously g row and what we have control on, which is the retail business. The repo business will bounce back as and when it does.
So we are hoping that it flattened out, and it's bottomed out as a matter of fact. We're hoping it bottomed out. But we thought that las t year and it still went down. So we're just looking and saying, listen, what's in our control is growing, all the other stuffs, supply sources and focus ed on that. But we do believe it should have bottomed out, yes.
Vijit Jain: Got it, Vinay. And my last question is for Aneesha. Just on this -- so just -- if I just look at the costs below EBITDA line, right, and the balance sheet and the cash flow statement. So if you can just talk about the lease cost trends, the financing costs and the working capital in tensity for the full year F Y '24 versus F Y '23. And if there's anything to understand over there, that will be helpful.
Aneesha Bhandary: Sure, Vijit. So I think you are referring to the consolidate d a set of accounts , which includes OLX in it, and hence it looks like a jump. If you go through the standalone disclosures independently, these are kind of status quo , Also, to clarify we don't have debt in the company, so we don't have any finance costs , what you see is on ly on account of lease accounting.
Vijit Jain: Right. And why have the lease costs gone up so much? Is that all related to OLX itself? Or there are lease cost increases related to the remarketing business as well?
Aneesha Bhandary: It's disclosed independently in each of

the slides, Vijit. So, if you look at the stand -alone entity,
there, the total finance cost itself is only INR16 lakhs and including depreciation, that cost has increased by about INR48 lakhs in the quarter, which includes both depreciation and lease costs. Majority of the i ncrease in the consolidated number, is on account of the OLX.
Remarketing has also marginally increased on account of additional leases that we have taken.
Moderator: We have a next question from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Congrats on great set of numbers. Sir, first question on the OLX side, again, I mean, would it be possible to share some insights into what can sort of help improve the run rate from current levels? Which are the areas you plan to target i n the first year and when can we see that sort of benefit sort of coming in the revenues? It can be both on monetization or the segments which you think can help us sort of scale up faster?
Vinay Sanghi: Was the question on, how we go revenue? I mean, simp ly -- I mean was that...
Siddhartha Bera: Yes, yes. OLX, right, right.
Vinay Sanghi: Yes. OLX got two sides, it got auto and it's got nonauto. That's a 45%, 50% is auto. Within auto, it's used cars basically. And obviously, we believe that the used car classified business has a lots of runway to grow. And OLX is obviously focused on growing used car class ified revenues by adding more dealers, by increasing ARPU per dealer, providing more value to the dealers, increasing traffic and supply more traffic to dealers. So it's a typical classified

model of dealers paying subscription revenues for listing vehicle s. And as I said, the 30 million customers who come to OLX and that is why dealers list on this platform.
So clearly for us in the immediate future, I would say, next two quarters would be focusing on the use d classified business, something we understand well as a group. And that would be the big focus for us, I would say, next two quarters. Post the two quarters, we're also extremely optimistic about the non -auto side.
The non auto side got homes, jobs, electronics, two -wheelers, primarily, and household item -- and household. The idea is to grow those five segments as well. And obviously, we're putting together a plan of action, a team, et cetera, et cetera, in those segments, which will probably take a couple of quarters for us to understand better and t hen focus on growth there.
But it's almost like a short -term growth objective and a little -- I would say an immediate plan of action, which is growing use d cars and a short term would be the nonautomotive segments.
And of course, then in the medium and l ong term going other segments as well, which are not here even though today. So we intend to focus on growth over the next one, two, three years in OLX and the multiple, in fact, that -- we believe TAM is just unlimited. So whether it's used cars, whether it's the nonautomotive, in many ways, it's enhanced TAM of the entire group, not just OLX.
Siddhartha Bera: Got it, sir. And just a clarification on this OLX, again. I mean, when we acquired this entity, we had highlighted it had about 35 million plus MAUs. Now we are talking about 30 million.
So has there been any moderation or the way accounting has changed or something like that...
Vinay Sanghi: I think we are also finding ways of -- it's about 30 -odd million now, but it's also about how analytics ar e at work, and we've given a brief indication that evolves, but we also move from a global environment to our environment and the analytics related to it. So our traffic is pretty steady. I don't think -- in fact, it's now we feel -- there's a marginal gro wth we feel, but it's also all how the analytics are laid out in this business.

Siddhartha Bera: Okay. Okay. Got it, sir. Sir, second question on this st

and -alone business -- or the consumer
business. Here, we have seen growth rates sort of slightly coming off from, say, beginning
early 20s to now mid -teens over the last one year. So going ahead with the industry tailwinds
from like the supply normalizing, inventory levels building up, do we expect that growth here
can be faster as we go ahead into the year because OEMs will need to spend more to sort of get
customers. So any thoughts or any indications you are seeing here?
Vinay Sanghi: The new car business in FY '23 is more than 40% -- about 40% I think. And this year, it's
about 20%, right, the new vehicl e business for the consumer group. And I think the car
industry, last year grew by 8%. So it's clearly ahead of the car industry, and it's also grown at
20% last year on a higher base of growth the previous year. We've always indicated that this is
the rat e of growth we normally see in the businesses and the car industry is reasonably, I
would say, demand has been strong and supply has been strong, which is a good place to be, I
would say, both demand and supply are reasonably strong. In fact, we had margin al growth in
the car industry in April. The car companies have declared their volumes.

But last year, the car industry grew by 8%. One of our analysts -- and manufacturers are here, I
think they think the car industry will be between 0% and 5% growth this year. They believe
that. I think that's reasonably okay for the consumer group. We're going to have that level of
because it's growing on a high base, too.
Siddhartha Bera: Okay. Okay. Sir, lastly, in terms -- Aneesha, for you, basically just wanted to cl arify this, that
the presentation says that the cash balance is about INR750 crores, but if you look at the
balance sheet, the investments and cash in banks, the numbers add up to close to INR670
crores. So just if you can point out where the remaining num ber is sort of sitting?
Aneesha Bhandary: Sure. You will see th at clubbed under the caption investments, cash and bank balances and the
balance is under be other financial assets .
Siddhartha Bera: Okay. And the ESOP cost of INR6 crores per -- sorry?
Aneesh a Bhandary: Sorry.
Siddhartha Bera: So I just was mentioning this ESOP cost of INR6 crores per quarter. So this is now a
sustainable run rate for the next year also? Or should we expect some normalization in this
number going ahead?
Aneesha Bhandary: We can expect the ESOP cost to be around this range in the next year too.
Moderator: We have a next question from the l ine of Ankit Konakia from Smart sync. Please go ahead.
Ankit Kanodia: Congratulations on a good set of numbers. So my question is related to numbers. So in the
OLX business, this quarter, we have seen a rise in ESOP, finance and depreciation costs. So
any color on to whether this will be continued in the subsequent quarters? Or will we expect
some moderation here?
Vinay Sanghi: Yes. I think all OLX costs are almost like steady now, right? And I think one should anticipate
that some of this will -- I mean, this will be a reflection of cost, then almost...
Ankit Kanodia : Okay. And trade receivables have almost jumped, I think, 50% compared to last year. What is
the trade receivable if you can clarify? What are the nature of trade receivables?
Vinay Sanghi: Aneesha, you can add on, but I'll -- trade receivables are receivab les from customers, which
could be manufacturers or advertising agencies and that's the nature of it. I think with revenue
growth of 50%, trade receivables accordingly grown as well. I think that's a ratio. Aneesha,
you want to add on to anything?
Aneesha Bhandary: Yes. In fact, even in the trade receivable, there will be an element of OLX, which gets added,
because what we are looking at is the consolidated set of accounts. So there is about INR10
crores , which is from OLX, which is a

dded.
Ankit Kanodia : Okay. Do you expect that OLX number to come down in the subsequent quarters?

Vinay Sanghi: It will be trade receivables number. I think it'll be almost steady state, right? Aneesha, is that
correct?
Aneesha Bhandary: Yes, it will be a steady state number.
Ankit Kanodia : So this trade receivable of OLX is basically on the continuing business, not from the
discontinued business?
Aneesha Bhandary: Yes, yes, it's from the continuing business.

Ankit Kanodia : Okay. My second question is related to the synergies. So what I see in CarTrade like generally is that we have acquired several business over several times. But I still find it unable to understand how is the synergy playing out because I see CarWale as a separate platform. I see Shriram Automall is a completely different separate.
Similarly, OLX also is a wonderful platform. But how are we synergizing the benefit of all these different platforms? Because I don't see that synergy coming in -- maybe I'm unab le to understand, but if you can throw some more light as to what we are working and in how many quarters we can see that synergy benefit accruing to the company, that would be very helpful.
Vinay Sanghi: I think the first thing I want to clarify that when we acquire a company, we try and look at synergies, but we also try and make sure these businesses are good on a stand -alone basis, which means that if there was no synergy applied to new businesses, they must grow revenues, margins and customer experienc e in their own field independently.
So these acquisitions are not done only for synergies, they were done as good independent businesses, too. Of course, we believe there are customer synergies. For example, a used car dealer today is bidding for a vehicle on Shriram Automall , that same dealer is listing a car on OLX or CarWale for sale. So that's the obvious customer synergy, right? The person is -- the consumers coming to CarWale to sell a car or buy a new car, it's also selling a used car on OLX, right, the same customer.
So there is a lot of customer synergy, which exists across, which is not apparent to everybody, but exists across these platforms. Just so also when we acquired CarWale, CarWale had a used car classified business and CarTrade had a used car classified business. So the first thing we did with synergy was, we allowed dealers who are selling used cars to list on one technology platform, cars on CarWale and CarTrade seamlessly, which means if you are a dealer and you want to sell your car, e arlier, you'd have to go to CarWale separately and then buy a separate package with CarTrade and then missed your car. Here on one list, you can do it both.
Obviously, when we acquired OLX, the intent would be that if you're a used car dealers using CarWa le and you're using OLX, the intent would be, which is what our tech team is now currently working on, that if you want to sell your car on CarWale or OLX with one press or one button, it will go on to both platforms, which gives dealers an access to both platforms, give consumers to access on both inventory in both places and obviously, it helps us monetize it even better. So some of these synergies, whether it's customer synergies, whether it is technology synergies, we've been exploiting over the last ma ny years.

I think -- and we've always tried to work at synergy in our -- at least in the group has been on a very arms -length win -win basis, which means we don't enforce synergies on our teams. if they believe there's a win -win relationship with another sister concern, then they choose to work with them. And it's always completely on arms -length basis, and that's the way we function.
But there are a lot of customers and obvious technology synergies also. Let me give you some examples. I want to g

ive you two, three examples of it, but yes.
Ankit Kanodia : Yes. And I think you only missed Shriram Automall ...
Vinay Sanghi: Shriram Automall . So Shriram Automall , there are two, three obvious synergies, dealers buying vehicle from Shriram Automall list on CarWale for sale. So the same dealer is being tapped by the group in 2 different places. So that's the first customer synergy, which exists automatically. I think the one we're trying to make work, to be honest, which is harder, is people coming t o CarWale or now OLX to list their car for sale, consumers, like you and me. Can we get them to auction the vehicle on Shriram Automall ? And that's been a harder challenge than we think. But that would be the other obvious synergy, which is still not fully exploited, I would say.
Ankit Kanodia : Yes. If you can share some data related to like what you said just now, as in where a dealer who has auctioned the car can also sell the car on CarWale. So if you can share some data related to how many cross -selling opportunities or those things are there? I think that will be very helpful to us.
Vinay Sanghi: I think, for me, from a competitor angle, we won't want to potentially share the data. But I'll tell you one thing that -- in fact, I said something else. I sa id dealers who are buying vehicles from Shriram Automall are also selling on...
Ankit Kanodia : CarWale and OLX...
Vinay Sanghi: I think the other way round. But obviously, due to competitive dynamics of the business, I'm not sure that we will want to give out a number of dealers using all our platforms, etcetera, etcetera.
Ankit Kanodia : Right, right. One last question related to the stand -alone numbers. So over the year, it is showing 20% growth. But towards the last quarter, it is showing only 15% growth. What

would be the reason for this slower growth and...
Vinay Sanghi: No, no reason as such. I just think that even the last base of last year is probably higher, but no reason as such. The Q4 was probably the best quarter in the consumer group ever anyway . So closer to best quarter ever. So I don't think there's anything at all. Nothing from a business standpoint we've seen.
Ankit Kanodia : Sir, I know that you don't provide any guidance, but generally 20% to 25% growth rate is achievable in the foreseeable future also in the stand -alone business?
Vinay Sanghi: Yes. As I said earlier, we tend to grow those rates in decent years. Our track record is that. So I don't want to talk about the future, but our track record is what one should see. It may be a

little different in M&A here because last year was an M&A year , this year there's part effect of M&A because OLX is not fully factored last year. So it may be a little better in M&A years, but otherwise, it tends to be in that range, the track record is such.
Moderator: We have our next question from the line of Atul Borse from JM Financials. Please go ahead.
Atul Borse: Yes. So first of all, congratulations on a good set of numbers. Sir, my question is around OLX business that there has been a dip in margin for OLX in this quarter. So where do you see this margin stabilizing in the future?
Vinay Sanghi: There's been a slight dip just because some costs, as we indicated in the last earnings call, have moved from discontinuing to continuing operations. B ut this is normal now. So this is a normalized. Now we'll see the margins will improve from here, and margins will improve account of revenue growth now. I think all the costs are factored. This is probably a completely normal quarter for OLX, and it's sta ble.
So from here as revenue grows, we believe that margin will continue to grow. And I said earlier on the call that when revenue grows, we expect margins to outpace. And like the I expect to see in the consumer group from 19 to 26. We just also would lik e to

see, and we
believe that OLX revenue growth will see disproportionate margin growth as well.
Atul Borse: All right. And if you can share any color on how will the OLX revenue will shape up from long-term view...
Vinay Sanghi: We have given some discus sion on the call earlier, but there are two segments. There's automotive and nonautomotive. Obviously, our intent in the immediate term right now is to grow the automotive side, which is 45%, 50% of the business. And over the medium, I mean, I would say, l ong -- short term, this is after six to 12 months would be to grow the nonautomotive side.
But we all believe that OLX has very, very strong growth potential. If the acquisition itself was probably game changing for CarTrade as a group and obviously given us an opportunity to explore other segments outside automotive. Although we are continuing to be very bullish about used cars with OLX, it also gives us a chance to do homes and jobs and electronics, 2 -wheelers, etcetera, etcetera.
Moderator: We have our n ext question from the line of Arpit Shah from Stallion Assets. Please go ahead.
Arpit Shah: Yes. Just one. Just wanted to understand the ESOP cost for FY '25. Would it be around INR25 crores?
Vinay Sanghi: Yes, I think, maybe, that's probably right. It's p robably the same rate at this quarter. So probably same, Aneesha, am I right?
Aneesha Bhandary: Yes.
Vinay Sanghi: That's correct. Do you have any other question?

Arpit Shah: Yes. Yes. So in Q3 call, I think so we have highlighted there are going to be som e one -off costs in Q4 and Q1 pertaining to OLX. So can you quantify what is that number in...
Vinay Sanghi: No, no, we have not indicated that. And there is no -- everything is done. There's no one -off cost now. We had indicated that in Q3, there were some one-off costs. They're not -- there's no one-off costs in Q4 or Q1 next year.
Arpit Shah: Like we are going to see some depressed profitability in OLX business due to some reorganization, which we had to complete in the auto classifieds business. So I'm j ust asking about that ?
Vinay Sanghi: No, no, there is nothing. Aneesha, am I correct? There's nothing now, which -- I mean, as you see the quarter of Q4, I think that's more than a stable state. There is no further one -off kind of cost.

Aneesha Bhandary: What we had indicated in the Q3 results was that in Q4, we would see a bit of a decline in the profit on account of CTX overhead being absorbed by CLA, which is already factored in the Q4 results. And Q1, the only impact that we had indicated previously wer e increments because one of our largest costs is the employee cost. So those are the only two hit s we had spoken about .

Vinay Sanghi: But I would just confirm – I would say that Q4 is now all factored at this time.

Arpit Shah: Got it. Now I just wanted to understand the growth for all the three businesses. If I see the consumer business that I think we should be growing around 2x of the auto industry, 2 to 3X. Remarketing business will depend on the repo business, which has been degrowing for FY '24. How should we look at the growth part in OLX business -- the auto classifieds and the nonauto classifieds because there, you have a big potential in terms of property, electronics and everything, which is there on the nonauto side. S o how should we look at it? Should we -- should it be a similar at consumer business kind of growth of 20%? Or should we look at it like a 30%, 40% kind of a number going ahead in the next couple of quarters?

Vinay Sanghi: First, the consumer group. This y ear, at least, it has to go higher than the car industry does because car industry is supposed to be zero to five. So we're hoping that the consumer group growth is much, much stronger than double, the new car industry growth for sure. That's one. But it i s a factor of growth in the car

industry factor growth and digital advertising, a factor of growth of digitalization of dealerships and manufacturers and all of that. But we feel pretty optimistic about the position of the car industry or new vehicle indus try.

Shriram Auto mall, you're right. I think the two things, one is to keep in the retail business and the fall in repossession is probably we're hoping bottomed out. But yes, it is to keep growing the retail business, and repossession during the year wil l probably come back and volumes will increase there. That will give us the growth and potential is there.

On OLX, actually, we are very bullish on growth. And I don't know, put a percentage to it, but OLX is not governed by car manufacturers or car dealers or new car sales. It's governed by a very fragmented used car market. 45%, 50% of this revenue comes from the used car industry,

and the used car industry sells 5 million to 6 million cars a year. It's been robust and buoyant for the last three, four years. There are thousands and thousands of dealers who use OLX for selling these cars. OLX has reasonable rel evance to the dealers. A large percentage of the dealer sales comes from OLX. It is the number one in used car sales platform in the country. And we believe that OLX has a tremendous opportunity to grow this business. And this growth is something we're ex tremely optimistic about. And one of the reasons we acquired OLX is probably for its growth. The second area of jobs, homes, especially, OLX is the second -- has two categories in OLX, biggest categories. In terms of revenue, they -- both these categories, OLX is reasonably strong in B and C towns in India for both jobs and homes and especially in your home, it's mostly for low -ticket size homes. So it got its own segment there. And as I said, in the -- not in the immediate term, but probably in the short t erm, let's say six months -- it will take us six months to put teams behind this. We see tremendous growth opportunities in both jobs and homes as well.

There are two other categories, which is bikes and electronics, which is OLX extreme impact today if a ny one of us want to sell a 2 -wheeler or a mobile phone, OLX is probably the platform we will use. And that's -- again, very, very strong at that. It is a category we believe also we can monitor extremely well in the next two to three to four to five years . So we have lots of plans around all these categories. And therefore, we put -- as I said, I don't put a percentage of growth, but we feel very optimistic about the growth at OLX.

Arpit Shah: Got it. I just wanted to understand, like now we have complete dominance on the used cars market, like from the CarWale acquisition in 2016, the way you started in 2012 CarTrade, now we have OLX Auto also. So how should we look at the J curve in terms of profitability? Today, if I see your profitability, we are all pr obably on a run rate of INR100 crores PAT, maybe in FY '25. How should we look at the J curve because we have worked really hard for the last six, nine years to make this kind of a dominance. So when should we expect to see a very big jump in profitability for a company? Now you're very early dominant player in the field that you're operating. How should we look at that?

Vinay Sanghi: Yes. So first, we have good relevance with -- especially in used cars, we have strong relevance with used car dealers and us ed car consumers. I agree with you. I mean with this INR24 crores , INR25 crores PAT , that's probably the current run rate of profitability. We do believe that revenues -- the growth of the revenue, the profit should rise and margins should rise. That's the nature of the business. The cost don't go in relation to revenues. So we feel very optimistic about profitability for the next one, two, three, four years, clearly. And we also believe that one of the b

iggest opportunities within the company are used car classifieds. We do believe that.
With the acquisition of OLX, our ability to focus on used car classifieds with consumers and dealers becomes even stronger, being -- OLX being the largest player at this. So clearly, used car classifieds is important. Clearly, it will help drive revenue growth and profitability growth for the group. Used car classified, the business is already profitable for us. In fact, all our businesses are usually profitable. So we feel quite optimistic about profitability growth as well as revenue growth.

Moderator: We have a next question from the line of Mr. Sahil Doshi from Thinqwise. Please go ahead.
Sahil Doshi: So the question relates to OLX. In terms of , could just help us understand what is the kind of paid listings we have? And what is the growth which we are seeing there organically? And how much of it is dr iven by ARPU possibly? I understand it's a little too early, but if you can just help us get a direction of that, that will really help us to understand the size of the opportunity.
Vinay Sanghi: Sorry, can you just -- the ARPU of -- sorry, I didn't get th e last part. The ARPU...
Sahil Doshi: Yes. I mean if you could possibly bifurcate how much of it you are expecting from the ARPU driving and...
Vinay Sanghi : It's hard to give a percentage, but we expect a growth in number of dealers, the number of people paying as well as ARPUs both.
Sahil Doshi: Okay. So could you possibly quantify the number of paid listings we would have today in OLX?
Vinay Sanghi: As of now, we are not -- we're not sharing that. We're just -- in future, we will try and say some of the metrics, but it is one of -- it is probably the largest marketplace in India with consumer paid listings. We have two sets of paid listings. One is consumer listing for paid and dealer listing for paid. We are still not sharing a total number of paid vers us total number of listings. Going forward, we'll try and share some of these data, but the objective is to grow all paid listers, and the objectives are also to grow ARPU's per paid lister, both.
Sahil Doshi: Understood. Appreciate that, sir, any sense on the average ARPU, meaning what will be an average ARPU for paid listing...
Vinay Sanghi: We'll have to give it distinctly because it's by segment, right? So it could be a consumer listing a phone, consumer listing a car is different, and that's live on th e website actually the cost for it. Or it could be a dealer again, listing a car or a 2 -wheeler or home model. So it's just -- it's hard to put an ARPU to this. This is different rates for different listers.
Sahil Doshi: Okay. Understood. Appreciate, sir. And the second question is on the stand -alone business, where we see a little bit of a dip compared to our past run rate of growth at around 15% Y -o-Y this quarter. Any reason why this is happening? Is it -- because this is contrary to the fact that the nu mber of users and the conversion, the organic traffic has actually gone up ?
Vinay Sanghi: That is correct. The organic traffic that has gone up. It's higher because the stand -alone business probably had the best operating revenue growth, the best revenue -- operating revenue ever in the history. So it is on a high last year base as well. The last year, we grew again at a very high pace. And this has grown 20% Y -o-Y over above that base. But also, you got to remember that the growth in the car industry from double -- more than double -digit growth the previous year has come down to 8% in FY '24 and only 2% in April, right? So there is also a bit of car industry growth factor here. But as I said, we feel pretty good about the industry state

and the consumer gro up state. And I think these are now normal growth rates, what we're
sh

owing in the track record we had in the last two, three years.
Sahil Doshi: Understood. Final question from my end, sir. When do we see the initiative which we are working on, the one click and a lot of other initiatives around financing or the card paid or basically on the website, which you're trying. When do you see that actually becoming meaningful in terms of monetization for the platform?
Vinay Sanghi: So the one -click journey of giving an ability to someone buy a loan or a vehicle is going on. There are already some elements of that like, for example, on financing is definitely live on CarWale, BikeWale and multiple other platforms, where you can get a loan immediately approved. W e also work with various car manufacturers on their -- under their leadership and

their website to allow this finance products to work. And that's a continuous exercise for us. It's already become significant in terms of customer experience. I mean, tens o f thousands of people get approvals every month on this technology of a financing or a fintech products.
And the fintech product of the buy OneClick has got two parts of it. Again, the first part, we've always said about customer experience, allowing cons umers to have a superior financing or buying experience, which is what we primarily work on. The second part of it is, can you monetize it better? And the monetization becomes significant. I think the monetization is something which is secon dary to us righ t now around it.
We've always said that this whole financing of b uy one -click is about customer experience and giving visibility for a consumer to have a quick convenient experience to do something on CarWale, BikeWale and even OLX. In the next two quarte rs, the financing product will get launch there as well. So the intent is, of course, to take because buying one -click journey across all our platforms, including OLX. And the intent is also to get better customer experience.
Monetization. This customer i s already monetized by way of charging dealers etcetera, etcetera. We're not so worried about it. Our margins are also improving as increased revenue. So we're not worried about that. I think the biggest thing for us is how do we enhance the use of this pr oduct and then how do we make the experience of the journey of buying a vehicle or a used car or a 2 -wheeler more easy by this one -click financing or one -click buying approach.
Moderator: We have our next question from the line of Aniket Kulkarni from BMSP L Capital. Please go ahead.
Aniket Kulkarni: So you're giving your presentation that you have close to INR750 crores in cash balance here. So how do you plan to utilize this cash and if you can give any outlay for the same for the current year or the next year?
Vinay Sanghi: Yes, the cash which is there, obviously, the intent is to look at future growth in the business. OLX is a very game -changer acquisition for the group and obviously over the next two to three years as and when we find another opportunity , we would look at it. And if you don't, we won't. And obviously our intent will be over a period of time, we distribute it back to

shareholders and stakeholders as we go on. So there could be two use , as I said, one is probably the near term or medium ter m, if we do find another M&A opportunity.
As you know, it takes a long time for us to find something after Shriram Auto mall in 2018, OLX was in 2023, so five years later. So until we find something and we feel really good that we can turn it around and exploit all the synergies, obviously, we won't make an acquisition. And if we do not -- as you know, we are profitable, generating cash and the INR750 crores will keep growing. And we will obviously look at returning it when it's possible to do to shareholders and stakeholders, obviously.
Moderator: We have our next question from th

e line of Rahul Ranade from Goldman Sachs . Please go ahead.
Rahul Ranade : Vinay, I just wanted to get an update in terms of the abSure foray that we had in terms of certified vehicles. How is that going? Because I think a couple of quarters, we've kind of not mentioned the number of outlets, etcetera. So just wanted to understand how th at's going, what's the throughput over there?
Vinay Sanghi: Actually, the -- yes, it's a good question. The OLX acquisition has actually changed this a little bit, where OLX also had an equal number of -- a similar number of certified stores, OLX stores. S o by force, obviously, a number of stores, we have doubled, which I think is close to 220 or 230 today automatically. We are working on a very deep strategy on how to look at these stores in relation to where you want to grow it, number one, of course. But also, do we want to combine the OLX, CarWale store or not or at least if not combine the stores, at least provide similar technology and features and products to both stores, right? So that's a big game -changing thing.
But independently, the CarWale, abS ure and signature stores have grown and independently, we acquired OLX. So it's actually doubled our coverage automatically, and it's something very big focus area for the next 12 months to first come out of the product, which is uniform for both OLX and C arWale stores. And the second is to, of course, then keep growing the stores, both of these.
Rahul Ranade: Got it. Got it. So currently, we are running independently, but you wouldn't look to -- let's say, there is someone who sold his vehicle on an OLX, t he same car probably sometime down the line will also be available to sell on CarWale, abSure. Is that...
Vinay Sanghi: We are still working through the modalities of how does a franchise store of OLX and CarWale get the same products and services. So it w ill take us some business synergies come

in. It will take us some time. But the fact that 220 coverage points makes us very excited about this area. It's actually doubled our coverage automatically actually.
Rahul Ranade: Understood. Understood. And on a s tand-alone basis, in terms of abSure, would they have kind of stabilized now in terms of profitability on a per store basis? What's the throughput number of cars required per month? Any kind of metrics around that...

Vinay Sanghi: It is quite stable, but i t's also always because our -- we have no -- it's an asset -light business for us. So again, it's a reasonably high -margin business. It doesn't -- there's very little cost against except variable manpower. As I said, no marketing cost against it or no capex against it. So it's just variable manpower, which work on the process at some of the stores. So we feel it's a very attractive business for us. And that's why we feel excited about the OLX acquisition, not only have to use d classified business, but definitely has the signature /abSure business as well.
Rahul Ranade: Got it. Got it. And just on the consumer piece, if you could kind of say for the full year FY '24 versus '23, a broad split between our revenues, how much would h ave come from auto manufacturers versus the...
Vinay Sanghi: Yes, really stable. Actually, we didn't, it's not my mistake. We didn't do it. It was an original presentation. But it's pretty similar. 85%, 15% is new and used, OEM dealers about 65%, 35% in Q4 , which is quite stable. In fact, some of the other metrics were repo for the year is about 49%, which is down -- 49% is slightly lower. So I think the percentages are quite stable to what were the previous quarter, so we have not given it out. But yes, yo ur question was on OEM versus dealer 65%-35%.
Rahul Ranade: 65%-35%. And this number, let's say, going forward in a scenario where now there is no kind of pent -up demand on the customer side. One would assume that OEMs

will need to spend
more in terms of a dvertising, right, to kind of attract demand. So this proportion would ideally move in favor of OEMs. That would be the right way to think about it?
Vinay Sanghi: No, we think the other way round . Logic is sue win sigh a dealers , but has been quite stable over the last four, five quarters. So it's hard to say, but we actually believe that it should be quite favoring dealers as dealers advertise more. It is more from that angle. But as of now, it's been quite stable, actually, to be honest.
Moderator: We have our next question from the line of Nitin Shakdher from Green Capital Single Family Office. Please go ahead.
Nitin Shakdher: First of all, congratulations on the steadily bounce back and the promise that there will be no further write -offs on the business. So can we take that as gospel that there shouldn't be any further one -off write -offs because that's called the annual trend?
Vinay Sanghi: Actually, the only write -off we had was on discontinuing a business, which we had said we're discontinuing. Otherwis e, we never had one anyway. So I don't want to talk about the future, but clearly, in the last couple of years, the only thing has really been the one discontinuing business, which is a company, which we acquired and kept the classified as discontinuing C2B, but there are no anticipated write -off. That is the question.
Nitin Shakdher: Okay. Great. And my second thing is you spoke about it briefly, but I just want to get a bit specific. Like obviously, the cash and bank balance is far healthier right now to what it was last year and the closing position seems fairly good. Now while you're doing acquiring and M&A and strategies which take time and synergies built up over time. I just want you to consider specific solution for existing institutions as well as s hareholders in terms of can you evaluate a buyback?

If that's accretive towards your ratios and things like that? Or dividend strategy because it has to be something given to shareholders as well considering you came in at 1,500 on our IPO and it's already 2.5, three years, where it has to be something you're constantly expanding where you saw full. But I don't see you returning a lot more back to the shareholders at a significant push there. Any thoughts on that?
Vinay Sanghi: Sure. I think there are two things, one is that in the IPO, we did only second -- no primary raise into the company, number one. The second part is actually the -- if you see the ESOP cost for the last three years have continuously come down. So that is the second part of INR27 crores , down INR22 crores this year. The second part is that.
The third was, we would absolutely look at buybacks and dividends as we think that money can be distributed back. There is regulation today dictating what quantum of buybacks and

dividend distributio n we can do. So we obviously have to work within the guidelines of the regulation, and we're restricted from doing certain things by regulation itself. And as and when the regulation allows us to distribute in terms of buyback or dividends, we absolutely w ould like to do so.
Nitin Shakdher: Yes. I mean just a request, the company knows better in terms of financial management and engineering, but I think you should consider that also significantly for this year considering start of the year and put that as h ow you could sort of work on that. That just...
Vinay Sanghi: Yes. We will, but we can only do it within the constraints of the regulation. That's all I'm saying. And the company's act.
Moderator: We have our next question from the line of Rishikesh Oza fr om RoboCapital. Please go ahead.
Rishikesh Oza: Sir, for FY '24, our net revenues have grown by 32%, while our adjusted EBITDA has grown 63%. Can you indicate like how are we looking our revenue growth at for, let's sa

y, for next two to three years? And would it be fair to say that our EBITDA growth would be 2x of revenue growth going ahead also?
Vinay Sanghi: Yes, we see a strong position in terms of revenue growth, et cetera. But -- and you also indicated earlier that our profitability tends to grow at a much sharper pace than our revenue growth. It tends to be 1.5 to 2x. I would say more 1.5% if revenue was INR100 and profitably INR150. I think that is by 100%, 150%. So -- or 1% or 1.5%. I think I would take that ratio. That's what tends to be sometimes better than that, but now it's currently better than that, but it tends to be that's the way it grows because our cost will go up along with the revenue growth and we only have people costs.
Moderator: We have our next question from the line o f Tushar Sarda from Athena Investments. Please go ahead.
Tushar Sarda: Congratulations for a good set of numbers. Yes, I wanted to ask on this CarWale, your revenue has grown, but your expenses have grown higher, and this is a fairly mature business. So h ow does the operating leverage play out in this business?

Vinay Sanghi: So if you see the revenue growth is for the year is about 20% from operations, stand -alone, which is our consumer group. And our expense has grown by I think 16%. Aneesha, is that correct? 16%. So the actual expenses have not grown the same rate as revenue. That's why we have 41% growth in adjusted EBITDA. So actually, the way to look at it is revenue growth is 20%. Adjusted...
Tushar Sarda: Sir, one should look at the annual, not the quarterly numbers. Is that what you're saying?
Vinay Sanghi: Yes, I'm looking at the annual numbers. And...
Tushar Sarda: Because annual -- revenue has grown 19% and even employee cost has grown 19%. So...
Vinay S anghi: Employee cost size, but as I said, the marketing costs only up 7%, other expense up 15%. So I agree with you.
Tushar Sarda: But this is a business based on Internet advertising, right? So why would the employee cost go up, sir?
Vinay Sanghi: It is n ot necessarily -- it's a mix of, of course, Internet and I think from manufacturers and dealers, but it's also about adding all our technology development in the future goes to revenue expense. So if we develop future technologies in our tech product team, any expansion goes to employee costs, any expansion of field force or call centers goes also to employee costs. And that's the number one cost, which tends to go up. As I said, in a lot of companies, employee cost, marketing cost, operating costs all go u p. In our case, variable manpower is what goes up and we, as a company keeps growing. And therefore, you see even then a 20% revenue from operation growth has got a 41% growth in adjusted EBITDA.
Tushar Sarda: Okay. And on the OLX acquisition, what is goin g to be your policy to write off the cost of acquisition? Are you going to expenses to P&L? Or would it carry on in the balance sheet?
Vinay Sanghi: The OLX acquisition has been captured in our goodwill. The acquisition will value itself is captured in our goodwill, which is reflecting on our balance sheet. And actually, the objective is to give a return on that capital employed and not write it off because we obviously believe that the acquisition itself is value creating.
Tushar Sarda: Okay. So no plans t o amortize it?
Vinay Sanghi: No, no, no amortization or goodwill, no.
Moderator: We have our next question from the line of Vijit Jain from Citi. Please g o ahead
Vijit Jain: Two follow -up questions. One, Vinay, in general, for the stand -alone business for the industry overall, just your comments on do you see dealers being subdued generally in F Y '24 relative to other segments of the business across new and used businesses? In general, whatever you can talk about what you see on the dealer's side for the i ndustry? Th

at's my first question.
Vinay Sanghi: You see, dealers means in terms of supply? Or do you see them in terms of the health of dealer?

Vijit Jain: Just in terms of the willingness to spend on platform or on your kind of platforms, et cetera for marketing and for acquiring vehicles in the used side, both those things.
Vinay Sanghi: Yes, we've generally seen -- we've been to a trend -- I'll give a new car industry trend. Basically what we've seen until two, three years ago, maybe two years ago, that dealers and manufacturers are reluctant to spend because certain vehicles are not available for supply. There were supply chain issues, etcetera . There were force coming out of COVID. Then volumes of sales have gone up and now demand seems good and supply seems good. So we're in a favorable situation, where supply is available and demand is good as well. So dealers tend to spend, manufacturers tend to spend, too, to increases sales because there is supply available. I think in the used car industry, it's very early days and monetization by itself, even the OLX is very strong at it. It's very, very early days. The used car dealers are still not used to spending large amounts of money on advertising or selling the vehicles. And I think that change is now ready to happen, where if dealers have to divert losses and money towards digital advertising or spending money on selling the vehicles on platforms like OLX. So that trend is still, I would say, probably going to start in India now.
Vijit Jain: Got it. And m y last question on the stand -alone business side. I know you don't have a guidance as such on the growth side, but I'm just wondering if there's a certain growth rate you need for margins to expand in F Y '25 versus what you had in F Y '24. Is 15%, 16% growt h rate in the stand -alone business is good enough for margins to expand? Given I ask that because obviously...
Vinay Sanghi : Whether you have 10% or you are 15%, you are 20% or 30%, margin expansion will probably happen in all our businesses. I think inter nally also and we said in the last call, and you've seen this in the consumer group, 19% to 26%. We have given tremendous guidance to all our teams to improve margin. I think -- we are a management or a company, which is not only focus on revenue growth an d customer growth and customer satisfaction and delight and building great product and tech, but we also believe in working around and making sure our margins continues to improve. And even over the last three, four years, the company has continuously demo nstrated how the margins have gone up as increase in revenue. So we believe that this year, in addition, we should see -- irrespective our revenue growth, you should see margin growth.
Moderator: That would be the last question for today. I would now like to hand the conference over to management for closing comments.
Vinay Sanghi: I do want to thank all of you joining in for this one hour session, and we feel pretty optimistic about the position of the company as demonstrated as well as the foundation, the base we have from our last financial results in Q4 last year. We look forward to seeing you again in the next quarter results. But thank you for joining in today. All the best. Thank you.
Moderator: Thank you. On behalf of CarTrade Tech Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Date: August 06, 2024
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE

ISIN: INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (L isting Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q1FY25 Earnings Conference Call held on July 30, 2024

Dear Sir/ Madam,

With reference to our letter dated July 24, 2024 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q 1FY25 Earnings Conference Call held on July 30 , 2024 .

The above information will also be available on the website of th e Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

for CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

"CarTrade Tech Limited
Q1 FY '25 Earnings Conference Call"
July 30, 202 4

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 30 2024, will prevail.

MANAGEMENT : MR. VINAY VINOD SANGHI – CHAIRMAN AND
MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR
AND CFO – CARTRADE TECH LIMITED
SGA, INVESTOR RELATIONS – CARTRADE TECH

Moderator: Ladies and gentlemen, good day, and welcome to CarTrade Tech Limited Q1 FY '25 Earnings Conference Call. This call may contain forward -looking statements about the company, which are based on the beliefs, opinio ns, and expectation of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode an d there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to the Chairman and the Managing Director of CarTrade Tech Limited, Mr. Vinay Sanghi. Thank you, and over to you, sir.

Vinay Sanghi: Good afternoon, everybody, and thank you for joining CarTrade Tech's Quarterly Earnings C all. It's been a very good quarter for the company. If we go to slide number five , the company has shown a 64% in operating revenue growth and a 46% growth in overall revenue, and the profit after tax has grown at 69% in Q1.

CarTrade Tec h continues to be the number one automotive platform in India, the number one used classified platform, the number one vehicle auction platform and also the number one horizontal classified platform. More than 70 million unique visitors or unique customers visit our various platforms, CarTrade, CarWale, BikeWale, OLX every month. What is more important is that 95% of them come organically or come because of brand or organic search and affinity to these platforms, giving us a very low cost of customer acquis ition. We have more than 400 physical locations, which include Automalls, abSure outlets, OLX India outlets. We auction at a rate of more than 1 million vehicles a year.

Revenue is the highest ever in the Q1 in any quarter 1 ever in history at INR156.4 crores. Adjusted EBITDA, which is INR43 crores or close to INR43 crores, is also highest ever in any Q1. And PAT is INR22.9 crores for the quarter. We are obviously a debt -free company and carrying a cash balance of equivalent of INR782 crores.

If you look at slide number six of the presentation, it shows the revenue growth of 64% from operations, which is up to -- total income, including other income is up to INR156 crores. The EBITDA, which shows a leverage in our business, as we've spoken repeated ly, incremental revenue growth needs to disproportionate increase in margins. And you can see, the EBITDA is up 295% or 300%, close to 300%.

Operating margins and EBITDA margins have gone from 6% to 15% Q -on-Q, I mean, year -on- year, sorry, which shows agai n the leverage in the business. Revenues increased at a far greater rate than cost move. Within the profit for the year at the bottom in a consolidated accounts is 69% up to INR23 crores. And adjusted EBITDA, as we calculate, is up at INR43 crores from INR30 crores last year.

If we go into the standalone accounts, which is slide number seven , which is really a proxy for our consumer group business, CarWale, BikeWale, the operating revenue is up 18%. The other

income is down because of the OLX acquisition l ast year, and therefore, there's a reduction in the cash balance, which has led to reduction in the other income or a treasury income. But operating revenue up 18%. And again, here, you can see the leverage in the business. Costs have gone up. Just three -- the cost actually down by 2% for a standalone account, which has shown a 700% increase in our EBITDA. It was actually negative INR1.25 crores last year to this year, a positive INR7.23 crores of EBITDA.

And again, it resulted in a minus 3% margin, g

oing to 14%, again, shows an increase in revenue that will disproportionally increase our operating profits and profits. PAT is at 13 -- PBT at about INR13.71 crores, PAT is up to INR12.87 crores. And it's on th e standalone accounts slightly -- growth was slightly lower just because of reduction in the other income and treasury income.

On an operating basis, as you can see, EBITDA is up almost from 1 point -- negative INR1.25 crores to positive INR7.23 crores.

In slide number eight is a remarketing results. I think this is the one area where we would, of course, like to do a lot better from a position of most of the vehicles being repossessed to almost

42% of it now being retail supplier vehicles. This has enable d us to get to a flattish to plus positive 4% revenue growth, but a 12% increase in profits. We continue to work hard in this business to grow revenues and -- but it's been a difficult 12 to 14 months for this company. And we feel committed. We feel fully committed to it as well as we feel pretty optimistic about the next 12 to 24 months. But at this point, this is the one area where we've been difficult for us to grow considering the fall in repossession of vehicles and increase in retail of vehicle -- supply retail vehicles.

We'll get to slide number nine , which is the results of our OLX classified business. Total income is up Q -on-Q. We don't have a year comparison because we acquired this in August last year. But Q -on-Q up by about 8%. EBITDA is up from INR7.25 crores to INR8.05 crores for the quarter. And adjusted -- profit for the -- profit for the year is up to INR8.57 crores as of June end. Adjusted EBITDA, which is a proxy for our ope rating performance, is up from 24% margin to 27% margin for the quarter.

If you look at slide number 11, it shows, again, Google Trends, CarWale versus competitors and BikeWale versus competitors, and we clearly still show a big difference between our com petition in terms of brand affinity. Slide number 12 talks about OLX versus other competitors. And as you see here, OLX is much, much stronger and has a very well competition in the horizontal classified side.

So this is what I had on the presentation, a brief summary of the quarter, the financials, and a few operating metrics. I'll be happy to go into a detailed question and answer. We feel very optimistic about the quarter. And we feel OLX and CarWale have had a very good quarter. SAMIL has had a flattis h revenue quarter, but a little bit of profit growth. And we're very, very optimistic about the next few quarters coming.

Thank you, and happy to answer any questions at this point.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone, who wishes to ask a question may press star and one on their touch -tone telephone. I you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladi es and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Hi Sir, thanks for the opportunity and Congrats on a good set of numbers. Sir, first, on the consumer business. If you can give some more color on the growth, how has been the used car and the new car segment growth? Any mix if you can share? And generally, going ahead, how do we look at further areas of monetization in terms of growth drivers for us -- for this business going ahead?

Vinay Sanghi: Yes, the consumer group, as you can see, has grown by 18% operating revenue with a huge profit growth as well as the 18% growth. The mix is pretty much the same, and I say not covered. It is pretty much the same across quarters. 84% - 85% of the business is new cars and new 2 - wheelers. So we feel that -- look

at the industry itself, there has been a 3% to 4% growth in the car industry. The 2 -wheeler industry growth has been stronger. But we feel very optimistic about the business itself.

If you see the consumer group in a single quarter, its highest ever performance as well, even though your 18% is highest ever quarter performance ever. We feel very optimistic about the business. The dri vers continue to be the same. I think it's about more of a dealer and manufacturer listings and advertising. And we feel pretty good about not only the growth -- of the growth rate, which are at, but also the fact that the leverage in the business is start ing to show, where you can now evidently see that with revenue growth, there's a big, big profit growth coming in these businesses as well.

Siddhartha Bera: Sir, as we look at the marketing expenses, it has been, as a percentage of revenue, been coming down for the last few quarters. Do you think -- I mean, in case if we try to push more, there is a possibility of stronger, like 20% -plus growth by sort of raising our sort of spend on the marketing side? Or do you think this is the level of profitability we will try to achieve going ahead?

Vinay Sanghi: There are 2 things in this, the marketing, obviously, marketing numbers, something -- revenue for the revenue is increasing. So that's coming down as a percentage. So once you keep in mind also that the traffi c is simultaneously going. It's not that the traffic in this platform is not growing. So we feel an increase in marketing expenditure is not necessary at this stage. The traffic in the consumer group is almost 40 million users a month, which is reasonable growth there as well. So -- and if you look at the brand affinity versus its direct competitor, it's again very, very strong. So we feel the marketing expense is okay. Obviously, we keep trying and saying listen, can the 18%, which is in Q1 be growing at a stronger rate or not, and that's what we keep working on.

But we feel it may not be at this point necessary to increase the marketing expense in the business.

Siddhartha Bera: Got it, sir. Sir, lastly, on the OLX side, if you can talk a bit about -- we ha ve been now working on this for the last few quarters. So how do we look at a step -up in the growth? What are the monetization areas you have already capitalized and which all the other areas you are working on? And does this current financials reflect ful l impact of all of the cost initiatives you have taken? Or do you think we should expect more costs to come? Or we should expect more margin expansion on a sustainable basis?
Vinay Sanghi: Yes. I think the first question is it's been about a year since the acquisition. The first few months, maybe first 5, 6 months were really spent on technology transition, moving to our environment, product development, team stability, many such things, which normal M&A takes. I think it's in December, January that we've b een able to look at the business and start focusing on growing the business. And you see now over the Jan -to-March quarter and the April to June quarter, the consistency and stability in the business across whether it is revenues or margins. And we feel this is not different from any other business we run where revenue growth will lead to margin expansion.
You can already see that in a very small way. It's gone 24% to 27% Q -on-Q last quarter to this quarter. And this nature of the business very similar , costs are fully baked in. In fact, costs are a little inflated because in the first quarter, we took increments too in this business, which will not come in the next 9 months now. So the costs are slightly higher in the first quarter on account of increments . And now you see the benefit of costs remaining stable over the next 9 months, but revenue is growing.
As you know, in all companies, the increm

ent cycle is 1st April and therefore this Q1 for us across our businesses, even consumer group is carrying incr ements in them. And as actually in July to March, these costs will not go up, whereas we believe that the revenues can grow from here. So yes, there should be margin expansion in the consumer group business. I mean, in OLX, again, the consumer business. An d in all our business, actually, it's pretty similar. It's not all that different.
Siddhartha Bera: Got it. Thanks a lot.
Moderator: Thank you very much. The next question is from the line of Natraj Shankar from DSP Mutual Fund. Please go ahead
Natraj Shankar: Hi, thanks for the opportunity. I just want to understand the OLX part as we build -out over the next couple of years. How does that -- what is the TAM? How does it look like? And what will it take to get there from investment and back end and front -end point of view?
Vinay Sanghi: Sure. So OLX has got different verticals. I mean the one vertical, which is very associated and connected with our overall group, is the use car classified part, which is about 45% of OLX India's revenue, which is created in the entire used car market with dealers advertising and consumer buying. So it's very, very strong in that segment, and 45% revenues come from there. The TAM for that is, in our opinion, extremely high. There are almost more than 5 mill ion used cars sold in India.

And obviously, we are catering to -- OLX is a very, very strong enabler for dealers to sell used cars in India. It is the #1 used car platform in India, and thousands of dealers, advertise on OLX to sell their cars to consume rs. We obviously feel very optimistic about the size of market and the TAM in the segment.
The second segment for OLX is a non -auto business, which carries classifieds for homes, jobs, electronics, 2 -wheelers, et cetera. That TAM is really catering to all consumers in India, who want to sell a used product or buy a used product. It is the largest used product listing platform in the country. It's also the largest platform for people to buy used products in this country.
So obviously, in a country like Ind ia, where there are more than 1.4 billion people, the need for most Indians is to buy or sell a used product, right? And we feel that the TAM of that is also limitless. Obviously, for us, as a group, we -- in the first few months of the acquisition, a litt le more focus on the used car side because that's what we understood better. And obviously, our plans are to grow in the medium term to used car classified side. But we are also making strong plans for the non -used car side, which is homes, jobs, electroni cs, household items, 2 -wheelers, et cetera, et cetera. And we feel that TAM could really be the future growth driver for the

company over the next few years.
Natraj Shankar: Okay. On the non -used cars part of it, what kind of investments would you need ove r the next 2 to 3 years from an opex point of view to get there? And would that -- how would that play out in your balance sheet and P&L?
Vinay Sanghi: Yes. So there's obviously a lot of tech and product investment as well as investment in in various other the processes, like sales and other operations, etcetera, etcetera. But the non -auto, the non - used car part is profitable as well today. We don't see further cash going into it. I think the investment is really in resources and bandwidth more than cash. A s I said, it's already profitable, the non -auto part. So we don't see that issue. But we do see a lot of investment going from our side on various other things.
Natraj Shankar: Okay. Thank you.
Moderator: Thank you very much. The next question is from the line of Ankit Kanodiya from Smart Sync Services. Please go ahead.
Ankit Kanodiya : Thank you for taking my question and Congratulations on a good s

et of numbers. My first question is related to the OLX business. So I know that we don't have numbers to compare for the previous June 2023 quarter. But if I look at the August to March 2024 period, so broadly, it will be a monthly run rate of around INR13 crores. And in this quarter, we have done more than INR15 crores. So…. (disturb ance in the background)
Vinay Sanghi: I think we missed your question. The signal is weak.
Moderator: Mr. Kanodiya , you are unmuted.
Ankit Kanodiya: Hello? Am I audible?

Moderator: Yes.
Ankit Kanodi ya: Shall I repeat the question?
Vinay Sanghi: Yes, we didn't get the last part , we got the -- yes, could you repeat the question , anyway ? I mean we didn't get the full question.
Ankit Kanodi ya: Yes. So what I was saying that in the August to March period , we had INR110 crores i n Olx India. And out of that, INR13 crores was the monthly run rate. So if you could divide it by 8 months, it would come to INR13 crores. And it also included -- I'm assuming it also included -- it doesn't lead to any of the discontinued business...
Vinay Sanghi: No, it does not. That is correct.
Ankit Kanodi ya: Yes. So now in this quarter, when we see the monthly revenue run rate comes to about 15.3. So , is this a seasonal jump? Or do we expect this to continue -- similar level to continue going forward a s well? That was my first question.
Vinay Sanghi: Yes. Thank you. I think actually -- the season is actually weaker now than it is. Normally the automotive or non -automotive season in India for shopping is mostly from October to March, and April to June is normally the weakest quarter of the year in terms of revenues normally across auto and non -auto for us. But we do feel there's some revenue growth, but I think a lot of this is just us getting more focused on the efficiencies of both the auto and nonautom otive business. And actually, we do expect -- and we are working towards stronger revenues in the coming months. It's not a seasonal jump in April to June, if that is the question.
Ankit Kanodi ya: Great. So that's very helpful. Second question is related to the expense. In the last quarter also, I asked this question, and I think you mentioned that the current level of expenses in the OLX business will continue. We don't have any one -off anymore. So INR36 crores was the total expense last quarter. In this quarter, it has been INR38 crores. Do we expect a similar kind of run rate...
Vinay Sanghi: Yes, we don't see much change. I think the costs are fully baked in, as we answered earlier. I think, in f act, as I said again, this carries increments in April for OLX -- the team at OLX, which, of course, is now fully baked in here as well. Every company has increment cycle and ours is April, and that's also been factored in here. So definitely, in the next 9 months, we should see a very stable cost environment.
Ankit Kanodi ya: So other expenses here includes the marketing a dvertisement costs or….
Vinay Sanghi: It's only operating costs. There's almost no marketing in this company. It's a very, very -- OLX, as you know, is a very, very strong brand. It gets almost 31 million customers a month, unique customers, which comes almost through brand -related apps which people have on their phones. So the marketing expense is almost 0 in this company, and this is rea lly operating expenditure, also operating spend, including technology and infrastructure as well.
Ankit Kanodi ya: Yes. Got it. So technology -wise, we have already done all the expenses, we don't expect...

Vinay Sanghi: No, there are obviously monthly costs in our team and server cost, et cetera, we incur, but these are fully factored in this result.
Ankit Kanodi ya: Okay. Sir, my last question would be related to our remarke

ting business or SAMIL business,
which I think in the last 4 to 6 quarters has been v ery, very, very difficult. And in the last quarter, I think we all got to the point that we are trying to focus more on the retail than the repossession side. So any color as to how we progress...
Vinay Sanghi: Yes. Same thing. Yes. I think unfortunately, the same thing, repossession continues to be -- repossession suppl y for us continues to be a challenge and that speaks well of the Indian economy, I would say, the fact that NPA are lower in banks and NBFCs for automotive, automotive lending is a result of repossession being lower. The reality is the team out there focused very, very strongly in the last 3, 4 years on building an alternative supply segment, which is retail, which is almost now equal to repossession suppl y. So that is the reason results are marginally up because of that effort. But repossession is still not showing any uptake for which hurts the re marketing business actually.
Ankit Kanodi ya: I just want to clarification. You mentioned that retail is almost equal to repossession...
Vinay Sanghi: In terms of volume supply for us. Yes, correct. Yes.
Ankit Kanodiya: Thank you so much.
Moderator: The next question is from the line of Vijit Jain from Citi. Please go ahead.
Vijit Jain: First off, congratulations. This looks like a pretty decent ly good set of numbers across all 3 businesses to me. My first question is on the OLX side, so growth looks pretty solid in the quarter, right? I mean the only way to look at growth, I guess, is Q -o-Q, and it's about 8%. And you guys had called out that gr owth should start to pick up from this quarter onwards. So congratulations on that. And I'm just wondering, how should one look at this Q -o-Q number from a going -forward perspective? And related to that, any thoughts on additional disclosures on user metri cs on OLX?
Vinay Sanghi: Yes, obviously, the idea is to keep these revenues growing. I mean, obviously, I'm not able to give guidance on whether it will be 8 or Q -on-Q or what the rates could be. But for us, in the last quarter, we're heavily focused on ge tting the operations of the company and process in the company in place. I think the first 6 months, we spend on technology transition and other things. And obviously in the last 3 months from April, we got heavily focused on the automotive, non - automotive processes and strategy of the company.
And it takes time, but we're pretty confident looking at the TAM on the used car market and the non-automotive side, we should have a strong revenue growth in this business. A lot of efforts are on, and this was aff ecting partly in the first quarter. But it's very early days. I think a lot of work is still to be done in the company. And I said the TAM is just limitless as far as we think, in both the auto and non -automotive side. So optimistic place to be in, but a l ot of work to be done by the team as yet, I would say.

In terms of user metrics, I think the big ones are for us have always been traffic, which we talked about in the business. The other big metric for us is the revenue split by auto and non -auto. But is there some specific metric you want, if you tell us what they are, then maybe we can consider them and start giving it out...
Vijit Jain: Yes. So Vinay, just a quick clarification, the traffic metric that you shared, the 40 million unique visits, that doe sn't include OLX properties, right?
Vinay Sanghi: No, 40 million is only consumers group CarWale, CarTrade, BikeWale. OLX is another 30 -- I think 31 million last month...
Vijit Jain: Yes, I think -- to start off, I think that metric would be useful, I suppose. And also transaction activities...
Vinay Sanghi: We will do that. We'd do that separately.
Vijit Jain: Great. And Vinay, my next question is, in general, now OLX is also hi

tting that comparable to
stand -alone business margins and obviously the gro wth seems to be a bit higher. So where does the margins grow from here? I guess, you are already at 24% adjusted EBITDA margin, I think, 17%, 18% if we include ESOP costs. So with this -- and this looks like it's growing ahead of the stand -alone business, right? So I'm just trying to get a sense of where do you think margins go from here? And will that be a function mainly you think of growth, or you have further cost savings to achieve here?
Vinay Sanghi: No. I think margins in both OLX, or the consumer group were better in April, June and will rise

with increase in revenue. As revenue goes up, as we always said, margins will go up, and profits will go at a much larger rate, which is obvious from the first quarter results. In fact, the fi rst quarter results carries as I said increments. If they were not there, the rates of growth would be even faster. I mean, the profit growth would be even faster.
Vijit Jain: Yes. I mean it's pretty -- yes, it's well above what I would have thought. So I' m...
Vinay Sanghi: Exactly. So that is just nature of the business. It will continue. There was no change. I don't think cost reduction -- there may be some minimal cost reduction, but I don't think cost reduction is now. I think we've done a lot of optimi zation of cost across the group in the last six months. So I can't see cost being the driver of margin growth, it has to be revenue as a margin growth driver.
Vijit Jain: Got it. And the last question on the remarketing side. So thanks for the earlier comm ent on retail and repossession and metrics around that. In general, if I see your revenue, and the way I look at it is remarketing revenues per vehicle auctioned and that number seems to be up decently on a Y-o-Y basis. So even with seasonality, it seems t o be a pretty decent number. So I'm wondering, is that driven by used car prices going up?
Vinay Sanghi: No, it's a little driven by supply chain mix because the more retail goes up, it does help our margins a bit. It's harder to grow retail, but it does h elp our margins a bit. I think the challenge here is that if half the business is growing and half is not or degrowing, half is degrowing, that becomes a challenge sometimes. And I think the repossession has actually been degrowing for

like some time now o ver 12 to 16 -month period or 12 to 15 -month period. So that's been the challenge. Retail continues to be strong, and margin growth is coming a little bit from retail.
Vijit Jain: Got it. And sir, Vinay, if I can ask a last question related to it. Within th e OLX business, since nearly half of its revenues comes from used vehicles. So in general, when you have this revenue number for June quarter, right? And if I, let's say, just for comparison, say, compare it to March, are you -- this growth mainly come bec ause of more transactions on the platform? Or was there better monetization because of the same dynamics at play here? Basically auto industry dynamics, whatever they might be.
Vinay Sanghi: No. So we don't -- OLX used cars is a classified platform. Dealer s pay subscriptions to be on the platform. It's a little like CarWale used cars, where also dealers pay subscription to be on the platform. It does not actually monetize a used car transaction, right? Dealers don't do the transactions. They pay for buying packages to list on OLX or on CarWale. So the revenue growth is coming from more dealers or higher ARPUs from existing dealers, right? It doesn't come from transactions specifically. In fact, April, June is actually a sluggish period for the -- for car industry in general, I mean, compared to the rest of the year. If not -- the automotive cycles have now become less evident. But then still April, June is normally the worst quarter of the whole year for the automotive industry

, right, normally?
But yes, so I don't think it's being driven by doing transactions. It's just about more dealers or high ARPU to existing dealers. That's what comes in this particular model. And we keep working on adding dealers to the platform, renewing existing dealers, a lot of upg rading, how would you charge existing leaders through providing more value to them. So that's a continuous, continuous effort for us over the next many years is how do existing dealers renew faster, renew on time? How do we upgrade them to -- give them m ore services so they pay more money to us. And the third part is, how do we keep adding new dealers to the platform? There applies to OLX and applies to CarWale as well. The only difference is used cars in …,CarWale is 85% new, OLX is 45% used. And OLX is the #1 used car platform in the country as well.
Vijit Jain: Got it. So, Vinay, I guess this also helps me answer your earlier question to me better because if you could share more metrics around how many dealers subscribe to packages and the yields on those packages that you get and so we can better gauge whether you are seeing growth in -- what amount of growth is coming from adding new dealers versus upgrading them adding new services. If it's relevant to include details around how many services and w hat kind of packages dealers are availing so we could really track how those things...
Vinay Sanghi: What kind of package, of course, is completely public information already because dealers buy those packages...
Vijit Jain: In terms of mix in your revenu es.
Vinay Sanghi: But some of these metrics, we are still after because it's a new acquisition. We're still maturing, reviewing, getting into the details. But we will, at appropriate time, absolutely share some of the data as well.

Vijit Jain: Great. Thanks, those were my questions and congratulations once again.
Moderator: Thank you very much. Ladies and Gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, pleas e limit your questions to two per participant. The next question is from the line of Jitu Punjabi from EM Capital Advisers. Please go ahead.
Jitu Punjabi: So on this whole OLX thing, I just want to be clear. Everything that was in OLX, the autos, non - autos , technology cost, everything is folded into this number and the INR8 crores EBITDA is an outcome of that. Is that a fair assumption?
Vinay Sanghi: That is correct. Everything we do, which means we -- that's the company Sobek Auto, which is called OLX Indi a, which is basically classified for used cars , classified for home, jobs, electronics, 2 -wheelers and household items and other items as well and all its associated of technology or people or anything else. So it's stand -alone . It's 100% subsidiary, and t he accounts are reflected in that.
Jitu Punjabi: So the question linked to really is that you had 2 parts of the business fundamentally. One was the non -auto, one was the auto and then you have the tech cost around, which is a separate line you guys paid f or, right? The idea was to cut the auto losses, consolidate on the profits coming out of the OLX classifieds and then the tech costs can come out of the number. Is there more to cut on the auto side losses...
Vinay Sanghi: No, no. First of all, the 2 busin esses we bought, one was the classified business. The classified business carries in automotive, non -automotive side, which is what is reflected in all our accounts now. There was an automotive transaction business, the C2B, which is asset -heavy business, that bought vehicles and sold vehicles, which was reflected in us discontinuing operations last year, which we discontinued. So what you have seen in the last 2 quarters is what is left after discontinuing the asset -heavy business.
An

d the continuing ope rations, which you're seeing in the accounts, has a used car classified business, which is 45% of its business, and has a non -automotive side , which is 55% of its business. And all tech costs related is moved to our environment on 1st January this year, about 8, 9 months ago, which are completely reflected, and all those costs reflected in accounts now. So they had been in fact for the last 2 quarters actually, not just down, but for last...
Jitu Punjabi: Yes. Okay. So sorry, my bad that's...
Vinay Sanghi: These are a full reflection of the company is classified business, automotive and nonautomotive, these current accounts.
Jitu Punjabi: Okay. The sec ond question is really around -- I mean the chitter -chatter out there is a lot of PV inventory, passenger vehicle inventory sitting out from the OEMs in the system. The system is heavy, whatever. Now can you just take us analytically through whether that's an advantage or a disadvantage for you guys? How do you play that out? And what are the implications on CarTrade over the next year because of that?

Vinay Sanghi: Yes, sure. You can see the PV, the passenger vehicle industry was at 3%, 4% in the first qua rter. And normally, for companies like ours, where manufacturers and dealers spend money to sell vehicles or advertise, it is favourable that supply is more than demand. So normally, a market which is growing, but supply exceeds demand is better than when demand exceeds supply because if demand exceeds supplies, dealers and manufacturers tend to mute or control their advertising, which happened in the past 2, 3 years ago, when we had the supply chain issues around semiconductors, etcetera, etcetera. But cle arly, an environment where the market is stable and growing and supply is more than demand or manufacturers want to sell more vehicles or dealers grew, it's a little better or a better market situation for companies like us.
Jitu Punjabi: Yes. So you'd expect that there will be a positive outcome...
Vinay Sanghi: And that's why you see this big growth, 18% growth as well as this big profit growth, which has come in, in the first quarter in the consumer group.
Jitu Punjabi: Okay, Superb. Thank you so much , really appreciate it.
Moderator: The next question is from the line of Akshay J from Xponent Tribe.
Akshay J: Hi, Thank you for the opportunity. I want to focus on the OLX side of the business. First question I have here is that on the cellular platform, I mean my broader understanding is that our platform should probably be also compared to Facebook Marketplace, given that the way people sell there is also similar. So have you got a chance to compare how the seller side of the platform looks there versus here? And what are the areas in which we can improve the targeting capabilities that we give to sellers?
Vinay Sanghi: Yes, we've looked at all similar kind of sites, of course, and our product and tech teams continuously do that. I mean, obviously, the s cale of OLX on the used side is very, very strong,

whether someone listing, as I said, cars or 2 wheelers or electronics, houses or even household items. You obviously feel there's a tremendous product and response and strength which OLX has got in terms o f sheer usage of these products, right, by consumers, who list or buy, right, compared to any other platform in this country. I mean, you've obviously always looked at Facebook Marketplace and other s and tried to do competitive benchmark marking ...
Akshay J: I'm sorry, what I meant is that which are the areas in which we can kind of improve because when I use -- as a seller, I use it, it seems like there is very few things I could do as a seller. And so could you -- for example, target -- I mean, there was -- at least I couldn't see a single capability to target my ad better.
Vinay Sanghi: So as an individu

al seller of a product, like we have 2 types of sellers. We have dealers who sell and consumers who sell. Consumers like me and you, who sell a car or a 2 -wheeler or a phone or any other item, can list their product and buyers for these products can sort and find these products in the geography and where you are. So if you are selling it in one area or one location or one PIN code in Delhi, someone can targ et you from that PIN code and find you and find the product, right?

OLX is best -in-class in the responses per listing, which means if you list -- and you have 2 options to list, you can list for free or for paid. . Once you list, obviously, the user has a chance to look at your listing and then pick and choose and see whether they want to buy this product or not. But just to tell you, the consumer response to listings is probably the highest best -in-class in OLX, maybe across the world even, not just in I ndia…the response rate.
Akshay J: Sure, sure. And second question was on the -- I'm sorry, just on the revenue mix. How much of our revenue would be coming from people paying for ads versus coming from Google delivering ads on our landing pages ?
Vinay Sang hi: You're saying how much -- consumers paying for listing is what do you mean, right?
Akshay J: Merchants paying for their own ad on the product...
Vinay Sanghi: I'll just stick with the percentage, consumers paying, not businesses paying, maybe about may be 10-or-less percent. I'm just guessing a bit, but maybe 10 -or-less.
Akshay J: Okay. No, sir, what I meant is from the Google ads or the various open Internet ads that get delivered on a landing page, right, which are not our ads?
Vinay Sanghi: Sorry, wha t is the question?
Akshay J: So what part of revenue comes from ads that are not from consumer or businesses, but from the open Internet?
Vinay Sanghi: You mean just through Google ad networks or any ad network, is that what you are saying?
Akshay J: Yes, yes.
Vinay Sanghi: It's about just a little more than 10%.
Akshay J: Okay. And do you see scope there?
Vinay Sanghi: Yes, we see -- that's kind of a little correlated with the traffic. Of course, the scope will increase, but kind of correlated with the amo unt of traffic you get.
Moderator: The next question is from the line of Sachin Dixit from JM Financial.
Sachin Dixit: Vinay, congrats on a great set of results. I had a few questions, some of them have already been covered. So the first question is basically on the new auto. Obviously, that 18% growth is good. But I just wanted to understand from your angle, how much growth is achievable in this business? Is this a 15% on an average sort of level growth story? Or this is a 20, 22 -odd percentage story ? Where do you think is roughly the sort of steady -state growth for this business?
Vinay Sanghi: Very hard. We don't -- very hard to give exact guidance, whether it's 15% or 22% or some other number on it. But we've got to look at the fact that the new pas senger car market is only 3%, 4%. It's hard for me to predict what the market will grow in the next 9 months, the new car market. But I would think we would outpace that by a big number, right . And we -- as

you've seen here, when we do -- whether we do 15 % or 22% or whatever the number is, our profits will grow multiple times. And I think you can see in the results , I think that is very, very clear. But it's hard for us to go around guidance exactly what that percentage of growth might be.
Sachin Dixit: Got it. And my...
Vinay Sanghi: Just to add to that question, that the new car -- I mean, our new car, not only a new vehicle, rather the consumer group itself as a whole is achieving its highest ever quarter performance

quarter after quarter, right? I thi nk that one should keep in mind that every q

uarter, it delivers its
highest ever number.
I think that's one thing one should keep in mind given the numbers delivered this last quarter.
Even though April to June, which is not typically the biggest in term s of the seasonality or the
cyclical nature of this business, it still achieved highest ever number or its highest ever number
in a quarter.
Sachin Dixit: So basically, that part -- it has done better than Q4 of last year, I think...
Vinay Sanghi: Yes. It is not normal for the automotive industry. It's not normal.
Sachin Dixit: Yes. So that's it. Coming to basically on some pieces like in remarketing business, what we are
seeing is that there seems to be a dip in employee expense, both on Y -o-Y as well as Q -o-Q
basis. I understand that the business is not growing in company so you might not need more
people, but are we getting rid of people or are they not filling in people who are leaving?
Vinay Sanghi: No, we're not doing that. We're obviously very cautiou s about cost, the business which is flattish.
We're reallocating costs, right? Suppose the repossession business is degrowing and the retail
business is growing, obviously, reallocating jobs. But we're very conscious of cost in a business
that doesn't grow , right, is not growing.
We do feel like we are not cutting investment with that attention if that's the question, whether
it is technology or product or people or operations, et cetera, et cetera. But we are conscious of
costs in that business to make s ure that even in kind of growth we get contributes directly to our
bottom line. But we are conscious -- as I said, we are conscious of costs.
Sachin Dixit: Just one final question for me. I mean this is more of a follow -on to Vijit's questions, that in cas e
of OLX, we have gotten decent 7.5%, 8% of sequential growth. This growth is driven by more
sort of businesses, obviously, more people getting listed on the platform and giving you listing
as a subscription fee? Or this is also driven by price hikes? So I remember you were talking
about low -hanging fruits and the acquired OLX and price hikes was one of them.
Vinay Sanghi: It's mostly -- it's a combination of it. But obviously, our attempt right now is not so much right
price, but it's about really making s ure we get more people onto the platform. I mean whether
it's traffic on one side or it's dealers or advertiser on the other side, I mean it is important to
increase liquidity on the platform. It's just healthy, and we obviously have to be very careful of

just increasing prices. It's more important to get more people onto the platform in the near term,
right? So we're obviously focused heavily on it.
But it's very early days, a lot of work to be done. I think it's, as I said, a year from the M&A.
And in th at period, we had to do many, many things in the first 5 months. We've got a very, very
stable, that is a good part of the business. Maybe if you can see the last 2 quarters or even the
last 3 quarters, you see a tremendous amount of stability to growth in the classified business and
margin expansion and complete transfer of technology and other things.
And not only that was not coming out this presentation is really people stability. I think in lots
of M&A, you find that's the challenge, which in this ca se, as I said earlier, almost all the key MP
or the key management of the company, all of it in fact, there's actually no one from the key
management who has left the team.
So it's all of these things. There's lots and lots of work to be done on revenue g rowth . We are
just starting our work, I would say it will take us. And as I again said, I think the question asked
earlier, the potential to grow on the used classified side or on auto and non -auto side is just
tremendous. And as I said, we feel very optim istic. But at the same time, we got a lot of work in
t

he next many quarters coming.
Moderator: The next question is from the line of Sahil Doshi from Thinqwise.
Sahil Doshi: My question pertains to OLX, where if you can get some metric related to the paid listing that
we have today? And how that number has grown over the last 1 year? And what will be the
strategy in terms of that because that's when you want to really like you alluded to the fact that
you want to grow the number of transactions in the listi ng.
Vinay Sanghi: We acquired it August. So reflection of growth in paid listings is the reflection of growth of the
revenue of the company. As you can see, the company's revenue growth, as earlier discussed,
has gone from INR43 crores in the last quarter, operating revenue, 43.4 to 46.68 in this quarter.
So that is the growth 7% or 8% quarter -on-quarter sequential.
And obviously, as we've won, our objective is to, as we discussed, to keep this increasing number
of advertisers. And advertisers for us are 2, 3 times, there are dealers for various products, cars,
2-wheelers, et cetera, et cetera. And then there are consumer advertisers, people like you and me
who come on the platform to sell products. But the objective is, of course, to increase both these

sets of paid listings or advertisers as we call.
Sahil Doshi: Sure. Sir, would we be in a position to quantify some of this paid listing?
Vinay Sanghi: We don't normally give guidance on the revenue and the number of paid listers, which will go up or likely to go up in the future. But obviously the effort of the company is entirely to increase the paid listers whether they are the dealers or consumers.
Sahil Doshi: Sure, sir. And I think the past conversation you alluded; you have said that you'll be buildi ng out a team for developing the non -auto business. Where are we in that journey? And how do you plan the investments in this for the rest of the year?

Vinay Sanghi: Sure. That's a good question. And we've actually, in the last few months, appointed a hea d of our non -auto business, who's always taking charge of all our nonautomotive businesses. He was the CEO of OLX India. And obviously, his job is to run homes, electronics, jobs, household items and various other categories exist.
He's also now started building out his team and building out a strategy to grow this business. For us, in the first phase, obviously, used car classified came on, actually it was in a group, and we focused heavily on that in the first few months, but now we're starting to spend a lot more time on the non -automotive side.
And the objective is we start to keep doing that business as well in the next few months and quarters. But we have built up the CEO. But as I said earlier, the investments are in bandwidth and people and our o wn focus is not so much about money because this business is profitable. So whether we invest in field people or we invest in technology and product teams out here, it's not likely to cause any financial investment. It's more likely to be more bandwidth in vestment, actually because the business is already profitable.
Sahil Doshi: Okay. Got it. So if I think Q -on-Q, we've seen -- at least on the OLX side, we've seen a sharp increase in the employee costs and also the ESOP has also increased. So just on accou nt of the new hirings under the new CEO is coming in place, and hopefully, they should stabilize going forward? Or how do we think about this?
Vinay Sanghi: OLX cost increase of manpower is mostly on account of increments. There is some manpower increase b ut mostly from the account of increment cycle, and increments are given on 1st April. We also acquired the company between the year end and the first increment we've given. So that's what's happened. The ESOP cost actually not gone up.
The ESOP cost was actually the same rate as the last quarter. It is last quarter. It's g

iven -- I think
it was in February. So we factored 2 months in the previous quarter and now it is 3 months. So that's what it is. The CEO hired was actually previously in the quarter. So it was not new to this quarter if that's the question. Yes.
Sahil Doshi: Okay. No because the question because I see a 26% growth this quarter employee cost, right? So meaning that is slightly higher than the normal increment, which I see in a classified business, so...
Vinay Sanghi: Yes. It is on account of -- a bit of an account of increments, and I would say some new hires during the quarter. The employee cost is up , yeah okay if you add ESOPs . But otherwise, incremental cost is actually -- is it 26 Aneesha? 13% to 16%?
Aneesha Bhandary : Yes, Vinay.
Vinay Sanghi: Okay. Got it. It's been increment s and hires
Sahil Doshi: Understood, sir. And sir we really appreciate if you can incrementally share out more data points of valuating OLX business for better, like how you do give out the operating metrics for the last five years. Similarly, if you can possibly list out the number of paid listings you ha ve. Or any

other metric which could give us a sense on how the business is growing, wheth er in auto or non-auto will be really helpful, sir.
Vinay Sanghi: Yes, we will come back on this. I think it's a point which an earlier speaker had made as well on some of the metrics for OLX evaluation.
Sahil Doshi: Sure. And just the last question...
Mod erator: Sorry to interrupt, sir. May we request you that you return to the question queue for follow -up questions.
Vinay Sanghi: It's okay. We'll just quickly finish this. Go ahead.
Sahil Doshi: Yes, sir. Just related to the cash balance, do we have a plan on buyback or something of that sort?

Vinay Sanghi: Aneesha, you want to answer this question?
Aneesha Bhandary : Yes. Sure. So on the buyback, as per the Companies Act compliance , unfortunately, we're not able to do a buyback right now. But the question I think is also to say that because we have the INR782 crores of balance, we will buy back when probably the Compan ies Act allows us to do so which is once we wipe out all the brought forward losses.
Sahil Doshi: Understood. Thank you.
Moderator: The next question is from the line of Akshay Satija from Alpha Invesco. Please go ahead.
Akshay Satija: Congratulations on a great set of numbers. Sir, I actually wanted to understand a little more on the a bSure side of the business. I believe you already mentioned that we are operating INR400 - plus crores, and I believe the OLX stores are also included in that portion. And the closing of C2B business for OLX? So I just wanted to understand, I had a little confusion like what's happening on the OLX stores fund? And secondly, if you could throw some light on what sort of revenues come in from the abSure business? What's the take rate for that-- yes, slightly on that side …?
Vinay Sanghi: Yes. So we've got -- in CarWale, we've got abSure signature outlet as well as OLX, and we acquired the company and OLX franchise stores. These OLX franchise stores have got nothing to do with the C2B transaction business that we shut. That was more a transaction operating business for a different kind of business. The OLX franchise stor es continue to be there. I think collectively, between abSure and signature stores, plus OLX franchise stores will be more than 200, 220 -- I mean probably 225 -- unsure about the number, but 225 to 230 stores.
Obviously, our objective is to keep growing this. It's a big part of our focus. It's part of our used car classified businesses on both CarWale as well as OLX. And a lot of discussions happened the last 2, 3 months on taking this franchise network of OLX India stores and abSure plus signature stores of CarWale and growing this out. And we feel committed to this, to

establish a
very differentiated retail network. So that's the objective here. I think the total, as I said, the total number of stores are close to over 250 stores between OLX and CarWale abSure plus signature.

Akshay Satija: Okay. Sir, if you could throw some light on the -- so we believe all these retail numbers are included in the remarketing business. If you could throw some light on what's the volume between retail and probably the B2B business, what will be the take rate for us in retail and B2B business?
Vinay Sanghi: The retail is about 42% of our business, and the B2B repossession, supply from repossession is about 46% of our business. So this is a rough ratios of the percentages o f revenue. The margins, we don't have a cut right now on the different margins, but we did disclose -- I mean, we did indicate the previous speaker as well that obviously, the margins from retail are higher than the margins on repo because just from the na ture of supply coming from individual source or single source versus bulk supply coming from corporates or big banks and NBFCs. So the margins are higher here. But we are not, at this point, got a margin cut in the financials between the two.
Akshay Satija : Okay. So my understanding is we roughly get -- so in terms of revenue, if I just simply look at the remarketing revenue and the number of cars that we have sold , it shows we will get roughly INR10,000 revenue per car. So I just wanted to understand, woul d it be somewhere around INR12,000 for a retail car and probably INR8,000 for...
Vinay Sanghi: I can't give the exact margin, but the margin in retail are higher. That's the p oint. I can't -- I don't off hand can say 12 or 8, but the margins in retail are high, that is correct.
Akshay Satija: Okay. If you could also just throw some light in terms of what -- so I believe India sells 5 million used cars. What would be our percentage in terms of market share? Because I believe the 2.5 million -- 2.5 lakh cars that we se ll every year, it also includes maybe some commercial vehicles. It's not just passenger vehicle...
Vinay Sanghi: From SAMIL's point of view or from all our platform's point of view? I think the different things -- there are different way s we addr ess the market. If there are 5 million -- more than 5 million used cars sold every year, about -- I mean, there are some estimates given that about 25%, 30% of the consumers were consumer -to-consumer transaction, which is like me and you selling to a frien d or somebody we know. OLX caters to that in a very big way , where consumers list and consumers buy. So we address the used car market across the group in different manners. So OLX completely is the strongest C2C platform in this country for consumers buying and selling. So that's one part of the used car market.
The second part of the us ed car market is goes B2C, which is dealers selling to consumers, right? And again, OLX and CarWale are dominant there where a large, large percentage of the dealers who sell 70% of India's used car sales advertise on OLX and CarWale. And obviously, OLX an d CarWale are big, big contributors to that balance part of market, right?
So it's just, as I said, and then comes the auction side where some part of India's market is of

retail consumers or big businesses, taking used cars and selling them across, or u sed vehicle, selling across an auction. So there are different, different segments. I think Shriram Automall caters to one of that segment. OLX is another one. CarWale is some of the segments. So different, different ways, we're addressing that 5 million u sed car market across the different businesses.

Moderator: The next question is from the line of Gunit Singh from Counter Cyclical PMS.

Gunit Singh: I just want to understand certain basic thin

gs about the business. So in OLX, our main revenue stream is from the listing fees that the people listing on the platform provide us. Is that correct?

Vinay Sanghi: Yes, the people include people like you and me, who lists products and dealers in India for dealers, for car, 2 -wheelers, electronics, brokers for real estate, etcetera, etcetera.

Gunit Singh: All right. So one -- would be dealers selling to consumers, one would be consumer selling to consumers...

Vinay Sanghi: That's right.

Gunit Singh: And sir, I mean, what does the remarketing business basically cons titute?

Vinay Sanghi: The remarketing business is about -- it's got 2 different segment or 2 main segments, I would say, where it's a physical and online auction platform, where if you're a big bank, like any big bank in India or a non -banking finance comp any, and if you repossess vehicle, you need a platform to sell them. So these big banks keep the vehicles with us, in some cases, and they do an online sale on our platform to dealers. So there's a B2B side, and that's one part of our business.

The secon d part is retail users. It could be a taxi owner to a truck owner to a car owner saying, listen, I want to sell my vehicle to a dealer. So they come in, put up an online sale for these vehicles on our platform to dealers. So it's a B2B, C2B transaction sys tem. That's remarketing business.

Gunit Singh: All right. Got it. And sir, what about the retail stores that we have? I mean, what part of business do they...?

Vinay Sanghi: That's part of our classified B2C platform. So if you're a dealer in India selling used cars to consumers on OLX or on CarWale, as a dealer, you can also say, listen, I want to become a franchisee of your brand, CarWale or OLX. And I'll take your brand and processes and a technology and your product, and I will in a way being just from a retailer, I'll become a CarWale curated store, which is operated by the dealer and owned by the dealer but operated under a CarWale or OLX brand plus the software elements of that brand, which is technology product, et cetera, et cetera.

Gunit Singh: All right, sir. So all of our outlets are basically franchise...

Vinay Sanghi: All franchisees . We don't own any stores. We don't -- we're completely an asset -light company.

Gunit Singh: So sir, what is the margin difference between selling by ourselves and s elling the cars, say, from the franchise?

Vinay Sanghi: We don't sell cars ourselves. So we don't buy, sell cars in any one of our businesses. We are a platform where we're a marketplace. We're a little like the buyers and sellers come and sell cars and bu y cars. We don't … dealers list and consumer buy.

Gunit Singh: Involving the franchise versus selling this from a platform...

Vinay Sanghi: Obviously, the margin on franchisees are obviously higher, th ere are more value -added services provide to a franchisee than to a standalone dealer. Even the standalone dealer selling on CarWale or OLX or a franchisee doing it, obviously, our margin of franchisees and our fees are much higher on a franchise store than a normal store.

Gunit Singh: All right. Sir, I also und erstand that we also benefit from sale of new cars. Is that correct?

Vinay Sanghi: That's true. 85% of CarWale business is new cars, where the manufacturer and dealers put up their products for sale to consumers, cars, and 2 -wheelers both, that is. Yes.

Gunit Singh: How does this new car, I mean, business work? In my understanding what I understood was that -- I mean new cars are just bought from, say, if I wanted Toyota, I'll go to the Toyota dealership, and I buy a car from there...

Vinay Sanghi: So I thi nk consumers come to CarWale because -- to find out which car to buy, whether it is Toyota or Honda or Ford, any car. And then they do all their work on CarWale and then eventually connec t to a dealer through CarWale, that's how it works, or a manufacturer through CarWale.

Gunit Singh: So I mean does this happen online? Or is it from some physical stores?

Vinay Sanghi: It happens completely online. The stores which advertise are physical or the dealers advertise on CarWale.

Gunit Singh: All right, sir. So I mean, what kind of revenue do we earn...

Vinay Sanghi: I think what we can do because this is more into detail -- I think what we can do -- this is an earnings call. What we can do is maybe offline if you contact us, we will spend time and explain this en tire thing because we're going into -- as I said its earnings call. So we should better stick to the earnings in the later quarter performance. We're getting in the very core of the business and the strategy of the background of the business. It's probably better to do it in a separate conversation.

Gunit Singh: Sure. Thanks a lot, most of my questions have already been answered.

Vinay Sanghi: Thank you so much. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Vinay Sanghi: Thank you, everybody, for joining the call and going through this earnings performance update from the company. As I said, we're going to be very excited about the company's future and also excited about the results for the last quarter and look forward to seeing you again. Thank you so much. Bye -bye.

Moderator: On behalf CarTrade Tech Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Date: November 04 , 202 4

To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE
ISIN : INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing O bligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q2FY25 Earnings Conference Call held on Monday, October 28, 202 4

Dear Sir/ Madam,

With reference to our letter dated October 22, 202 4 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of the CarTrade Tech Limited Q2FY25 Earnings Conference Call held on Mon day, October 28, 202 4.

The above information shall also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur P al
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited
Q2 FY '2 5 Earnings Conference Call ”
October 28, 202 4

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
SGA, INVESTOR RELATIONS ADVISOR – CARTRADE TECH LIMITED

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 28 2024, will prevail.

Moderator: Ladies and gentlemen, good day and welcome to CarTrade Tech Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performances and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conferen ce over to Mr. Vinay Sanghi, Chairman and Managing Director of CarTrade Tech Limited. Thank you, and over to you, sir.

Vinay Sanghi : Thank you. Good afternoon, everybody, and welcome to CarTrade's Q2 earnings call. I want to -- of course, we've uploaded ou r presentation and the financials for all of you to see in advance.

I just want to start off with saying that it's been a good quarter for the company. In this quarter, we achieved the highest ever revenue and profit before tax in any quarter ..

We're th e number one automotive platform in India across use classifieds, horizontal classifieds and of course, vehicle auctions. We received almost 77 million monthly active users on -- across all our platforms, CarWale, BikeWale, OLX, etcetera. We -- I think what is more remarkable that drives the performance of the company, 95% of these users come through organic sources, which means we don't pay for these users to come on to the platform.

We are now covering almost 450-plus physical locations. The auction at a r ate of 1.4 million vehicles a year. Revenue for the quarter is at INR172 crores, which is highest, as I said, adjusted EBITDA is at INR57 crores, INR56.8 crores is also our highest ever. Profit after tax is almost INR31 crores. And as you know, we have a s trong cash balance debt free with about INR832 crores of surplus cash.

If you go to our consolidated results, which is on Page 6. As I said, our revenue is INR172 crores. Revenue has grown by 27% in Q2 over last year. Half yearly revenues at INR328 crores , which has grown by 35% year -on-year. So the 6 -month results showing a 35% growth in revenue.

You see our margins, our EBITDA margin, EBITDA is up at INR32.7 crores for the quarter and EBITDA margin jumped from 15% last quarter to 21%, which shows the leverage in the business. When increase in revenue, what we able to demonstrate an improvement in our operating and EBITDA margins. As you can see, even the EBITDA is up from 21.5 last quarter, which is almost a 50% jump in EBITDA quarter -on-quarter, 54% jump from last year. And half yearly EBITDA jumped 104%, INR54.8 crores consolidated from INR26.65 crores last year.

And therefore, you see the margin gone up 11% to 17% half yearly.

PBT is up by 44% to INR37.14 crores for the quarter and INR61.29 crores for 6 months at 48% half yearly from last year. And that's what showed the leverage of the business, a 35% increase in revenues resulting in a 48% growth in t he profit before tax. PAT for the year -- for the quarter first time the INR30.72 crores, which is up 500% from last year and 53.62 half yearly which is up 189% from last year, INR18.55 crores. So generally, you've seen a very strong set of revenue and pro fit growth with increase in margins across all periods.

If you look at adjusted EBITDA, which is just removing the ESOP cost and adding the interest income, it's at all time high of INR56.81 crores, up from INR42.8 crores last quarter and 37% year-on-year growth and almost INR100 crores fo

r the 6 months ended, which is up 38% from last year.

So this is on the consolidated results. We got the stand -alone results, which is for the consumer group contains CarWale, BikeWale, some of these brands. Revenue was up -- operating revenue is up 23%, which is INR55.62 crores. Other income is down because of the acquisition of OLX last year, our cash balances have gone down, and therefore, see a slight dip in interest income , but operating revenue is up 23% for the quarter, 20% 6 months INR106 crores.

It's been a strong quarter performance of the Consumer Group. I think the highest ever revenue in any quarter. You see the employee costs and other costs well in control now, w hich shows the operating leverage even though the revenue is up quarter -on-quarter and year -on-year. You see the actual costs, overall expenses are flat or close to flat, which is really resulting in the massive 464% growth Q -on-Q on EBITDA and last year 73 lakhs becoming INR18.4 crores of EBITDA in the first 6 months here. So massive growth in both EBITDA over the small increase in revenue increases in revenues. PBT, again, is showing a 71% up to INR19 crores and half yearly up at 30% to INR32 crores.

Whe n you look at profit after tax, INR15.75 crores versus INR12 crores last quarter and INR10 crores last year was up by 55% and INR28 crores for the 6 months on the stand -alone side, it's up by 27%.

So you see a strong operating performance here, slightly l ower other income just because of the reduction in cash balances due to the acquisition of OLX. But overall, again, very, very strong operating metrics being reported in the stand -alone results. When you look at the remarketing result, which is on Page 8, you had a modest growth of about 3% and 57.24 and 3% for the year at 105.84. But we've kept our expenses under control, and there's been slight cost reduction, which has resulted in a 34% growth in profit before tax at INR10.26 crores and INR14 crores for the half yearly, which is up by 29% to last year.

PAT is also up 32% at INR7.59 crores and INR10 crores for the 6 months ended at 26% up from the last year. So generally a strong financial performance. We like the revenue growth to be stronger, but the f inancial performance has been quite strong even in Shriram AutoMall and the Remarketing Group.

When you look at the OLX results, which is on Page 9. OLX, obviously, there's a growth over the previous quarter from 49.48 from 48.23. It is difficult to compa re over last year just because

only 2 months of operation during the first half of last year. But at 6 months now, we've achieved 97.72 crores revenue for the 6 months ended September '24. EBITDA is up at Q -on-Q from INR8.05 crores to INR8.55 crores and half year ly is now at INR16.6 crores. I see a small improvement margin from 17% to 18% quarter -on-quarter and PBT is up as well. PAT is slightly down, and that's partly only because of tax incurred on other income on some of our interest income we incurred some tax, and that's why the PAT is slightly lower than the previous quarter. But generally, operations are stable. We feel it's a reasonably strong financial performance. Revenue growth is something we feel we'll achieve a stronger revenue growth someth ing we'll achieve in the coming quarters, but generally a strong, stable performance from OLX as well. This is a good summary of the consolidated and subsidiary accounts in finance and operating metrics. I'd be happy to take questions now from each one of you. Thank you.

Moderator: Thank you so much sir. We will now begin question and answer, anyone wishes to ask the question, may press star and zero on your touchtone phone, if you wish to remove your self from question, may press star and two, participates are request to use handset while asking the question . Ladies and gentlemen we will wait for moment

once the question assemble. We have the first question from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera : Hi sir, c ongrats on a good set of results and Happy Diwali greetings to the entire team .

Vinay Sanghi: Happy Diwali.

Siddhartha Bera: Sir, first question I have on the OLX business. So if you see the ramp up, now it's been like close to 1 year, we have this business, we are o perating and running this. How do you think has been the performance? Is many of the improvement still yet to play out? Or do you think it is taking longer? If you can guide us about how to look at the revenue scale up in the OLX business and some more col or about which are these segments? Any mix or any more data, if you can share in terms of OLX? How the business is changing or what are we doing here to sort of scale up the revenues it will be helpful.

Vinay Sanghi: Well I think Happy Diwali to you that's first. The second thing is we've over the last been about 11 months to the end of September, for the -- from the acquisition of OLX, I mean, sorry, 13 months or so and obviously, the 10 in those first 13 months was around stability of technology platforms , teams, recruiting all the product technology teams, moving all of this technology and product to our own environment, stabilization and growth traffic, consumer traffic, processes and sales, etcetera, etcetera.

And the segments are pretty much the same. It's 45% of it is auto, used cars and used 2 -wheelers and the rest is non -auto, which is like the real estate jobs, electronics, mobile, etcetera, etcetera. We've obviously -- there has been revenue growth in the last 13 months of operation during this period. And we feel a lot of the things we've done and a lot of the foundation we've laid the significant part of that growth will come in the future.

When you take over a business, I think you'll have a foundation where over the next 5 to 10 years, you can s ee that growth. So some of it started to play out. Obviously, the auto side is

something we were more comfortable with and obviously, a lot of the initiatives we launched in

the automotive side first.
But now we are also working heavily on the non -automoti ve side, which is other segments of real estate mobiles and jobs, etcetera, etcetera. And we do feel in the coming quarters, we'll start seeing a more -- a stronger growth in revenue, I would say, across various sectors, which we're working on there.
So we feel very confident about that. We also feel very confident about the quality of traffic and users and the brand of OLX, right? I mean almost 30 million people a month, some every month. And as you know, we spend no advertising in OLX, which just shows th e affinity of the brand, right? It's one of the leading -- or probably the leading used product platform in the country where people can come in and sell their products or buy use products, right?
So we feel of the initiatives we're taking will -- a lot of the growth, which is -- will show in the next few quarters by the initiatives we've taken in the last 13 months. But when we took the business, it's important to bring full stability and transfer of technology and product to our environment first.
So that 's what we did. And what we feel now we are actually working on the business very hard on various aspects of sales processes. And other things to make sure or to -- and a strong foundation for growth in the future quarters coming ahead.
Siddhartha Bera: Got it, sir. Sir, second question is on the consumer business, where we did see a very good growth sort of playing out. Here, again, if you can throw some light about how is the mix between OE and new and used car and where is basically the stronger traction if you are seeing any particular segment worth highlighting?
Vinay Sanghi: Here, the consumer group is mostly 85%

new vehicles, right, as you know. And there itself, the car industry has been at a very modest 2%, 3% growth in the first 6 months of the yea r. In fact, in the last 2, 3 months, it's been de -gegrowing. And the 2 -wheeler industrial had a robust growth of 18%, 19% for 6 months, as the industry has been.
We've actually seen growth across segments across all new and used segments. I feel one of the -- even though the industry of car growth -- the growth in the car industry only 2%, 3%, it is still at a high base of last year, and that's helped us as well. So we feel good about the car industry, whether the 2 -wheel industry and the used car industry the way they stand.
Some of the results have come in the first 6 months, and we just hope and we think that some of this will play out still in the 2, 3 quarters coming. So it's been a reasonably strong performance from the consumer Group, both on the car side, bike side, even us both, I think.
Siddhartha Bera: Got it. Sir, lastly, on this auction business, now volume seems to have gone up quite a bit compared to last quarter or year in the current quarter. So are we looking at any signs of turnaround in th is business also as we enter the second half of the year? Or do you think this business also may take still longer for some of the recovery to play out?

Vinay Sanghi: Do you think that this -- it definitely seems to have bottomed out the reposition cycle, right? It doesn't seem to be getting -- it seems to have bottomed out. We do feel confident that this business now seems to be getting better. And of course, the other segments when we position have gone down, we've built other segments, which are also hel ping at this point of time.
So it's a mixture level of cost control a little bit of revenue growth, but we do feel that in the next couple of quarters, SAMIL should deliver a reasonable performance. And it's hard for us to right now say with the repossessi on in banks and NBFCs are getting stronger or not. I mean if it is early to say that, but we do feel it's bottomed up, that's for sure.
Siddhartha Bera: Got it, sir. Thanks a lot. I'll come back in the queue.
Vinay Sanghi: Thanks Siddhartha. Thank you.
Moderator: Thank you so much sir. The next question is from the line of Ankit K from Smartsync. Please go ahead.
Ankit K: Thank you for taking my question. And c ongratulations on the good set of numbers.
Vinay Sanghi: Thank you, Ankit.
Ankit K: So my first question is related to all the 3 segments, actually. So if I look at the segmental revenues, coincidently, all 3 businesses are having roughly the quarterly revenue run rate of INR50 crores today. And -- but when you look at the life cycle of all the 3 bus inesses, probably all 3 are completely different in their life cycle revenue.
So I just wanted to know from our side, I'm not looking for any guidance, but just directionally, how do you see these business -- these 3 businesses to distinctly different kind of businesses growing or going from here over the next, say, 3 to 5 years? Qualitatively speaking, I'm not talking relatively any numbers per say, but how do you see the…?
Vinay Sanghi: Thanks for the question. I think the first part is because the consum er group, which is CarWale, BikeWale. It's 85% new vehicles, right, which is cars and 2 -wheelers. And obviously, we feel

with the car industry, India is the largest in market in the world, right? It is also top 5 car markets of the world. And naturally, fo r countries to grow, when you look at the penetration of cars in India, if you're going to be at 30 or 40 or 1,000, the penetration is extremely low.
So you do feel over a long period of time, 3 to 5 years what you've asked, the car industry will grow and the 2 -wheeler industry will continue to grow with personal mobility on the rise. And therefore, we feel very strongly on the hea

lth of the consumer group by itself, which is 85%
dependent on new vehicles, right?
We also feel for us if you have seen 2, 3 ye ars ago, it is harder because when there was a semiconductor issue and other supply chain issues in the automotive industry, and demand was more than supply, it affected us because you stopped manufacturer s and dealer from advertising on our platform beca use they didn't need to.

They were sold out because of just the availability of vehicles is low. Then availability is high, which is what the situation is today, where supply is more than demand, it's a little more favourable for the company, and we do see a strong demand cycle for the next 3 to 5 years in the automotive industry, but you also see supply being available.
And therefore, we feel very confident about the consumer group by itself over a 3 to 5 period. And obviously, what our attempt is not only is to go, as we said earlier, in CarWale or in BikeWale too not to move from a situation or go deeper into our transactions with our manufacturers and dealers.
And for our customers who will not even be able to find their car, select their cars, connect to a dealer online, but also borrowed by cars online. So we're moving and building technology and going deeper and deeper with the process for all our customers a nd dealers and manufacturers.
So that should we feel confident about that. On the Shriram AutoMall, in the last 1.5 years, the repossession of vehicles coming down and supply to us coming down from that source. We had built a whole retail segment, which is almost 40% of our business today.
So obviously, we believe optimistic about growing the retail side of the business. But we also believe in times to come, it financing went up demand for vehicles going up, new vehicles, the repossession will also grow. And obviously, in the next 3 to 5 years, we feel got both the retail and the repossession market will grow and Shriram AutoMall will be a strong player will be a big beneficiary. So, we feel confident about that.
And then the third is OLX where the TAM of the business we operate in is limitless, right? It is basically handles all used products in India. It's the number one or leading place where any consumer can sell a used product or buy or used product. So, we obviously feel that TAM in India is just, as I said, limit less cant quote a number even. We have a large set of Indian consumers, who -- I mean, as some of the data we've shared before, more than 30 million users a month come on OLX to sell a product or to buy a product, use d product. And we have obviously a significant leadership here.
So, there's limitless growth opportunities here, whether it's used cars, whether it's used bikes, whether it's used mobile phones or good household goods, like furniture, etcetera, etcetera, or even homes. And we feel very confident about OLX's future here as well over the next 3 to 5 years. So, on the whole across all 3 businesses, we see tremendous amount of levers to grow. I think one thing I would add here, as you might know, that -- and we've demonstrated succ essfully over the last 5, 6 quarters, is that every increase in revenue in this company, the results in a very strong profit growth.
We have a lot of levers in our business as normally when our revenues go up, only a small amount of manpower cost goes up with it. But a large part of the revenue growth leads to profitability, which you've seen.
Ankit Kanodia: Got it. Thank you so much for the detail answer. Is it fair to assume that, say 3 to 5 years down the line probably our consumer business will form a large chunk of our revenue coming toward because that is the fastest growing also?

Vinay Sanghi: No, we don't think so. I think we did all the three businesses have opportunities. I mean

they're
all similar size today, but we don't -- it's hard for us to s ay that one way with other. They all have the reasonable opportunity to grow. So, I wouldn't want to predict that the consumer group will

be the largest or OLX would be the largest or Shriram AutoMall will be the largest. I don't want to predict that right now. But all the levers to grow.

Ankit Kanodia: Got it, yes. So, second question is related to the competition. So ever since we got listed and we started doing con-call and presentation. One client which has been always there is what you share regarding the Google trends where CarWale is always on top compared to all the other competitors, which you share. When I look at the on -ground feedback from maybe customers or dealers, we get some really good feedback about the competitors also in terms of the busin ess, which is happening. So, can you share one reason why on Google Trends we are so high on the chart and consistently?

Vinay Sanghi: It's a brand, right? So, Google Trends is basically how many people search your name when it's OLX or CarWale or BikeWale into this search your name, right, and come to a platform, which means that it is -- the number of people who remember CarWale versus other people. That's what it is. It's a digital brand index.

And that's what it is. It's got nothing to do with dealers. It's got to do with consumers. It's the reason the 77 million MAUs come to these platforms. Just to give you context, 77 million people a month come to CarWale, BikeWale and OLX. That's a huge number. And 95% come in an organic manner, which we don't pay for it, completely free of advertise . That's why you have the margins we have in the company.

With 95% of our users come out without of any advertising costs, which is partly a reflection of Google trends, as you see, right? And which is why the consumer group or CarTrade Tech as the company is extremely profitable is because of the brand affinity of CarWale, BikeWale or OLX. These are strong brands now in the businesses we run. And that's a flex of Google Trends.

It's got nothing to do with talking to dea lers actually. It's not connected with that. It's a consumer.

Ankit Kanodia: Thank you so much. That was very valuable and all the best for the future.

Vinay Sanghi: Thank you.

Moderator: Thank you sir. Participants, if you wish to ask a question, you may press star and one on your touchtone telephone. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi Vinay. Congrats on a great set of results.

Vinay Sanghi: Thank you.

Sachin Dixit: Quickly coming to questions, I wanted to understand that we discussed at obviously, we had a bunch of low -end that we can educate to, first of all, I wanted to just check on that.

Vinay Sanghi: The voice problem starts getting. Can you say it again, please?

Sachin Dixit: Sorry, I was saying that on OLX side, you -- we have discussed that there are a bunch of low - hanging fruit s which we can cater to in order to deliver the growth that we wanted. I wanted to just get an update on that. Where do we stand on that? Have you seen any ramp -up in terms of advertising income coming from OLX or any price hikes any such things? Can you please give an update on that?

Vinay Sanghi: So, wallets I think what the things we've been working on are for the automotive side, which is the used car classified side of OLX, right? And then in non -automotive side, there's also an advertising side, which is driven by advertisers coming and putting this advertising on OLX side, the 3 different revenue sources in a way.

That is -- I would say a lot of work has gone in. I wouldn't say that a lot of the revenue, what we -- what we feel would kick in very quickly has all come in. I think we will probably see some of this growth coming in the next 2 to 3

quarters. And obvious ly, a lot of the foundation platform work is done, right, which is the products side, technology side, people side, processes side, so many small, small things after the M&A.

But as I said, some of it has come in, in terms of revenue growth, which you can see and some of it is a lot of it yet to come. And we just feel like OLX is a kind of a platform where we'll always be saying this over the next 3 to 5 years because this is so much the TAM is limitless, as we say, right?

Once we get one side, we got the other side and keep going deeper and deeper to monetize more and more aspects of the platform, right, and get more of more consumers on board. So, it's a nonstop effort. I think we all are spending lots and lots of hours on it. And we do feel in the comin g quarters, you'll see some of that. And even the coming years, not just the quarters because, as I said, there's this no limit to can be achieved in OLX over the next 5 to 10 years.

Sachin Dixit: Understood. So quickly on revenue side on OLX again, right? So, we delivered roughly 2% Q - o-Q growth. Now if you recall like when this acquisition have been last year, we did talk about almost 20 -plus percent class or growth. In order to deliver that, it looks like we'll need to deliver anywhere between 30 -odd per cent, 30%, 32 -odd percent Y -o-Y growth over H2. Do you think

we are on track for that? Or that's going to be less on that piece.
Vinay Sanghi: I don't know, I don't want to give any guidance on revenue. As I said, we don't want to give any guidance. So we' re working on, obviously, all the growth levers. And some of them will happen next 6 months, some will happen in the 6 months after that. But all I can say we see a very long - term growth opportunity. I don't want to talk about the next 3 months or 6 months , very specifically.
I mean the one thing is happening in OLX that every quarter we get better than the last month, right? And not just in OLX accessing that applies in the consumer group and as well, where we actually make progress every single quarter. Y ou see the numbers, almost every single quarter, but year -on-year better, right? So, we'll keep doing that. And some of it will play out now or some will play out after 3 months, 6 months, but the effort to continue to do that. And as I said,

again, when w e grow our revenue, the margin expansion is quite high, right? The moment to grow revenue.
Sachin Dixit: Right, yes. That's fair. Coming to new auto very quickly on that piece like we delivered close to 23% growth in the quarter while auto industry continu es to struggle to say the least. Do you see this trend sustaining? Obviously, you have highlighted that this is probably the best time on advertisement spends at its peak ?
Vinay Sanghi: Yes, we see some of this continuing. I think I do feel like October, December normally is a better quarter than even the major then even in July and September, normally every year. I don't think that's changed at all. I do think October, December, it is going to be better. And probably this trend might continue, if possib le that I do see that volumes are generally at the highest ever for 2-wheelers and cars, even though the growth is low for cars. Although absolutely no growth, but the volumes are pretty high and supply is higher than demand. So it's reasonably a favourabl e market condition, I would say.
Sachin Dixit: Sir, the reason why I asked that question was last year in H2, our Y -o-Y growth dipped quite sharply compared to H1. So that's why I am asking this question.
Vinay Sanghi: The growth rate -- not the absolute n umber, the growth rate may be lower.
Sachin Dixit: Yes, growth rate. So which is where I'm coming from, like do you see that growth rate like this 23% Y -o-Y growth rate sustaining in H2 or…
Vinay Sanghi: I don't want to give a guidance on

growth rate, but all I can say is normally the market conditions are slightly better. And I do feel like these quarters will be better than the previous quarter. That's what I do feel. Is that -- but I can't -- I don't want to give a growth rate guidance.
Sachin Dixit: No worries. Thanks so much. Happy Diwali.
Vinay Sanghi: Yes, thank you. Thanks Sachin. Thank you, happy Diwali.
Moderator: Thank you sir. We have the next question from the line of Akshay Satija from Alpha Invesco. Please go ahead.
Akshay Satija: Hi, congratu lations on a good set of numbers and happy Diwali to all of you.
Vinay Sanghi: Happy Diwali.
Akshay Satija: Sir, my first question will be, for our remarketing business, our EBITDA per car sales have improved from what it was in Q1. So I just wanted to und erstand is it because of contributions from maybe retail sales, higher number of retail sales, or it's just that, as you said, the operating leverage that you sold more cars…
Vinay Sanghi: It's part of the operating leverage -- it's also some cost. It's al so the remarketing. There's also some cost reduction, but it is also -- the product mix has not changed much, but it's -- there is some cost reduction as well, which will help.

Akshay Satija: Okay. If you could specify the numbers for retail and B2B that y ou do for remarketing?
Vinay Sanghi: Aneesha, you want to give it? But I think it's 40% is retail, which is quite similar to what it was earlier, 39% earlier, it's 40% now I think. So it's quite similar actually. Not much has changed.
Akshay Satija: Okay. Sir, could you also share the new versus used car ratio for the consumer business? And if you could just go a little into detail for the abSure business that we have. So what would be sort of revenues? My belief is that we report abSure revenue under the c onsumer business, so what would be the revenues or volumes for the abSure business and how many stores that we hold of abSure as of now?
Vinay Sanghi: Sure. So I think the first part, about 86% is new in the consumer group. That's one, which is pretty similar to what it was, 85% and now it's 86%. That's the first question. The second

question is abSure. So Aneesha, you want to tell how many outlets we have, but I'm sure plus - - abSure outlets are actually growing. What's that? What is that?

Aneesha Bhan dary: 165.

Vinay Sanghi: 165 are the number of outlets. We normally don't disclose the volume and the revenue as yet. But the 165 outlet is something obviously we are growing. And not only are we growing it here, I think OLX has a very similar number of OL X branded stores as well for used cars, right. Am I right, Aneesha? Similar number? Sorry, go ahead.

Aneesha Bhandary: About 170.

Vinay Sanghi: 170, so that would be actually 335 such stores now. So the intent of these stores, I'll be honest was and still is the ability for a consumer to come online and select a good certified car and then buy it with a -- eventually buy it in a one click experience, so they can actually have a completely online experience. And we're working towards that, but the coverage a ctually improved with the OLX acquisition. The 165 actually become about 330 now, or 340 stores.

Akshay Satija: Okay. So my final question is, could you just elaborate a little on the auto mall stores and on that front, so say we list roughly 1.2 million c ars a year, but we are selling only 20% of those cars. Just wanted to understand what happens to rest of the cars? Are they kept as an inventory? Not with us, but with someone who's listing it with us. Just wanted to understand is that inventory carried fo rward to the next quarter or just wanted to understand the business trend there?

Vinay Sanghi: Sure. First, a large part of that inventory does not come physically. It's not -- I don't have the exact number yet, but a large percentage only comes onl

ine. It doesn't ever come physically to us in the auto malls. Some percentage comes physically and even in that percentage, if the seller decides not to sell it, they can take the vehicle back and then give it back whenever they feel they would like to sell it ag ain. So, the 20% -- I think it's 25% or 28% is a conversion ratio, which is of every hundred vehicles coming to auction that many get sold, I think that's what it is.

Akshay Satija: Okay. Do you see this number probably could go up or --?

Vinay Sanghi: No, it's been quite stable actually. It's not gone up. It's not gone down. It's been quite stable. I think the conversion ratio would probably be stable. Our attempt here is of course to improve conversion ratio by getting more buyers, but it's also through i ncrease in volume on supply. I think they're two different efforts here, but we don't see much -- there's not been much change over the last couple of years in the percentage actually.

Akshay Satija: All right. That's it from my side. Thank you.

Vinay Sang hi: Thank you. Thank you.

Moderator: Thank you, sir. We have next question from the line of Vijit Jain from Citigroup. Please go ahead.

Vijit Jain: Yes. Thanks.

Vinay Sanghi: Hi, Vijit.

Vijit Jain: Hi, Vinay. Hi, Aneesha. Congratulations on great 2Q across the three businesses. My first question is, so I note on the presentation that organic traffic growth was especially stronger than the overall growth this quarter. But you did increase your standalone marketing spend about 20% this year -- this quarter, r ight. So my question I guess is, is that with an eye towards the next half of the year? Are you seeing any trends which makes you want to increase your marketing spend here?

And I think a related question to that is, in addition to what you show on Google Trends, one can see on app traffic and other third party data sources as well that you have taken market share in both cars and bikes from the competitors this year, especially on the bike side. So if you could give a view on what is happening there really ? Have -- is your business in the bike side, for example, particularly higher now this year versus last year?

Vinay Sanghi: Yes, okay. The first is the marketing spend. Marketing spend in these businesses is very -- I would say, tactical, but it's very -- it's not brand driven expense or traffic driven expense, it's very targeted at manufacturers who may want to sell a certain kind of product. And who are spending money on advertising and they try and build a specific consumer for them and that traffic and their advertising has incurred with them. 20% is up, but it's a very small number. I mean, the numbers are really small, right. Our total -- are insignificant, so the amounts are very insignificant here. That's one.

I would not think and correlate that wit h any increase in advertising or any significant increase in advertising spend in the next six months. I would not think that would happen. It may be -- directly a little bit in correlation with a bit of revenue, but it's not likely to go up substantially in the next six months at all. This is also not driving the growth in traffic, as we said. This is -- actually the organic percentages are going up. It's 95% now across platforms. So it is going up.

The brands are getting stronger.
Our consumer traffic act ually in absolute terms if you see, it is in the deck as well in one of the last two slides, is substantially up. So, the quantum or traffic up cannot be done by advertising.

This is just done on brand and organic basis. 2 -wheelers have gone up a lot and s o have cars gone up. So both traffic on both concepts gone up. We do feel that -- one is that, as I said earlier, the demand for cars is not down, it's just that the growth rate is down, right. If you loo

k at the
first six months actually it's grown by 2%, 3%.
So it's not negative, number one. Number two, the 2 -wheeler industry has been very, very strong, which has shown growth in every parameter, right. I mean the volumes have gone up. Traffic is of course going up. Everything is going up. So, it is -- it's a massive opportunity for us as well, the two wheeler side but both cars and 2 -wheeler have been quite healthy. So this traffic -- in fact the traffic growth has been very, very healthy I would say. Also some of the new launches, have fuelled this, right , I mean we had a couple of big launches in the car market where there's a lot of interest on traffic, right. I mean, the traffic side.
Vijit Jain: Right. So, Vinay, any broad sense on, I don't know if you want to -- if you don't want to disclose split bet ween say 2 -wheelers and 4 -wheelers, maybe some sense in terms of what growth rate you saw in the two categories this year?
Vinay Sanghi: It's been strong on both sides, I would say. I mean 2 -wheelers on a smaller base, so it's outpaced the growth, but gene rally it's been strong both places. The revenue split is something, Aneesha, have you given the revenue split on 2 -wheelers and 4 -wheelers?
Aneesha Bhandary: Not yet.
Vinay Sanghi: Not yet because it's quite -- okay, it's actually we didn’t mix up vis-a-vis OEMs and dealers, not so much on 2 -wheelers and cars. That's the reason we have given the OEM and dealer split, but the -- I think we see robustness in both actually cars and 2 -wheelers both has grown.
Vijit Jain: Got it. Great. And my next quest ion is the remarketing business. So I guess, the shift -- the mix shifted a little bit in the repo favor this quarter because, obviously, I can see the auctions went up, but the realizations went down.
Vinay Sanghi: Slightly better. I think there's some su ppressed pricing of used products is used cycles as well, which is affected a little bit. But generally that I said, reposition seems to have bottomed out. It's always hard to predict because it's not something in our control, but it seems to have bottomed out, what I said earlier in the call, it seems to be a little better.
Vijit Jain: And you have -- I mean I think you mentioned it around the end of 4Q results, but you have added about 100 locations across Shriram Automall, abSure and OLX this calendar ye ar. I think last 4Q you were around 350, now you're at 450 thereabouts. So could you give us a sense of where these additions are coming? Are these mostly in abSure here?
Vinay Sanghi: Mostly in abSure Signature and OLX, they're not Shriram Automall is a v ery few. It's almost all there.
Vijit Jain: And so basically about 50 to 100 store ads on the abSure site?

Vinay Sanghi: Probably to 100, I don't know the exact number. But almost all the additions will be there. I mean, I don’t think Shriram Automall. I couldn't be more than I mean maybe 5. We don't really add very many Automalls. So it's mostly come in OLX and abSure.
Vijit Jain: Got it. So with abSure, do you think you -- this is a pace that you could probably continue to?
Vinay Sanghi: Yes that seems l ogically the pace. There's a lot of work to be done on the pace which is like probably will continue both from the OLX side and the abSure/Signature outlets. What we're looking at doing is obviously adding a lot more tech and product to it and over time as consumers want. The whole idea is getting also is to give a differentiated experience for a user on CarWale or on OLX.
And I think that is still something we're working on. Distribution seems to be catching on, but now we've got to also -- when you come t o the consumer provide this one -click like ability to buy a used car if you want to do so. I think that maturity will also come in consumers over time.
So it's a combination of all of that.
Vijit Jain: Got it. An

d my last question Vinay. Just the OLX busin ess, given the nature of the business, the October, November, December quarter should have a fair bit of seasonality related uptick. I

mean not just -- I mean I know you said that for the auto business, but non-auto parts?
Vinay Sanghi: I think OLX too it should be better because normally October is definitely normally better. November the holidays and stuff so you don't always know because Diwali by the time businesses will really start all over again. But generally, this O ctober & December is normally a little better than July to September.
Vijit Jain: So the question I was trying to -- the answer I was trying to get to also in part Vinay was we have a lot of the festive season sales that the e -commerce platforms run and I would imagine some of that wi ll drive traffic to yours for used transactions. Is that a fair understanding of how this would work?
Vinay Sanghi: No, I don't think they're really connected with even though every e -commerce platforms have sales not convinced that directly correlated wit h the traffic on OLX or definitely not CarWale. But I would think that this season is normally better for anybody. I think normally October is always this year, Diwali and Dussehra both happened to be the same month as well. So normally, it is a strong mo nth always.
Vijit Jain: Got it. Understood. Thanks Vinay. Those are my questions and Happy Diwali to you and Aneesha.
Vinay Sanghi: Happy Diwali. Thank you Vijit.
Moderator: Thank you so much. We have the next question from the line of Rahul Ranade from G oldman Sachs Asset Management. Please go ahead.
Rahul Ranade: Hi. Thanks for the opportunity. Happy Diwali Vinay.
Vinay Sanghi: Happy Diwali Rahul.

Rahul Ranade: So just a couple of questions. So one is what answered partially in terms of seasonality for OLX. So you're saying there could be some bit of a seasonality element in Q3, so that is answered. But just on the other side OEM to dealer we used to share the split earlier on, did we share that now?
Vinay Sanghi: Yes, we can give it Aneesha you have th at. Can you give the OEM was it 67?
Aneesha Bhandary: Yes 67 and 33.
Vinay Sanghi: 67-33. It's not changed much. I think it's a model that's been.
Rahul Ranade: Okay. So is it the right understanding when we say new to use is 85 -15 during the 67 -33 this 67 is out of the 85 and then the 33 is a split between new and used ?
Vinay VSanghi: That is right.
Rahul Ranade: Okay. Got it. And lastly, I just wanted to check i n terms of progress on these allied services that we kind of talk when we say buying vehicles at the click of a button. So, let's say, financing or insurance have they started contributing to our revenue in any way in terms of?
Vinay Sanghi: They are very small revenues. Insurance is not , financing is a very small revenue contributor. But the important thing is the tech and all of that has started to play in. So you can see on almost all our platforms now that one click you can get a loan. I think those ar e the kind of things and lot of the products were launched whether it's abSure or these loans to enable a lot of the future transactions which might come online as consumers want to do more and more.
So when you buy a loan today and you come to CarWale or BikeWale or OLX even now and you apply online and you have sanctioned instantly by multiple, multiple banks and vendors. You've got a sanction, but from sanction to disbursement is not necessarily that all the banks and other partners are ready to at this point or able to do it even at this point, it requires also documentation, KYC customers, etc as for their processes. So it's not fully, I would say the product is all the business sanctions differently. It doesn't still probably give you a loan in account in the next 1 minute or something. I mean the dis

bursements -- the sanction
disbursement cycle is not fully online yet.
Rahul Ranade: Got it. So the meaningful attrition in terms of monetization, I mean, will only happen when that piece also falls in plac e? Is that the right understanding.
Vinay Sanghi: I think the important monetization might improves it, but that's not the intent here. The intent was always that we give this journey to a car buyer or a 2 -wheeler buyer or a used kind of a buyer. Initially when you buy a product I think get a loan instantly so you can buy the car online. So large part of two wheelers and cars are financed. So if you don't get a loan instantly then buying a car on one -click on one is almost impossible. Because if you want a loan the journey they never going to get broken. And I think that's what we work with banks and other stakeholders to see this is journey can be completed online. But it's more from a customer experience angle. Monetization is one thing, but it's also expe rience.

Rahul Rande: Yes understood. And just lastly, this is not many CarTrade or CarWale value specific. I just wanted to understand from a financing penetration standpoint, if you were to look, let's say, 4 years, 5 years back to now for used vehicles b oth used cars and used 2 -wheelers, do you see a significantly greater proportion of people going for financing for their used vehicles or is it more or less the same how?

Vinay Sanghi: New cars as you know for last 4 years, 5 years maybe last 10 years, it' s been -- it's very high as a percentage. In used cars, we've actually seen it being not move much. I feel like industry has grown one. And second bigger thing is that you still don't have a large number of organized financials, financing used cars. A lot of people buying used cars are taking loans from unorganized sources, right? It could be a personal loan. It could be like a personal secured loan? Or could we even be from an employer or someone else, right? So you feel like the long, long way to go use f inancing in India. It's actually a massive opportunity. I think for any bank or any NBFC, it's just a big, big opportunity.

Rahul Rande: Understood. Thank you.

Moderator: Thank you so much. The next question is from the line of Mohit Madhiwalla from Envisi on Capital. Please go ahead.

Mohit Madhiwalla: Thank you for taking my questions. A great set of numbers, so congratulations on that. Just a few bookkeeping questions. Number one, I can see on the balance sheet that in the noncurrent assets, other financia l assets have gone up, while in the current financial -- other financial assets have gone down

kind of a similar amount. Just wanted to understand what that movement has been firstly?

Vinay Sanghi: What is that Aneesha? Do you want to explain that?

Aneesha Bhandary: What's your question is that your other financial assets have come down and the investments have gone up. Is that a question?

Mohit Madhiwalla: No. So my question is that in the current assets part of it, it has gone down by about INR50 crores from March 31, September 30. Whereas in the noncurrent part, it has gone up by INR58 crores. So just wanted to understand what this is related to?

Aneesha Bhandary: Second because most of it was because fixed deposits, we would have moved into inves tment in mutual funds. But give me a minute. The other financial assets (current / non -current) includes deposits by SAMIL. The increase in non -current assets is mainly due to shifting of current portion of deposits to non -current on account of holding per iod more than 12 months.

Mohit Madhiwalla: it must be that

Aneesha Bhandary: No, both of them. I even in SAMIL there have been some, but no other change. Well, cash balance has improved by INR50 crores.

Mohit Madhiwalla: Okay. Next question was basically that there's been a bad debt written off or that it is a

very

small amount, sort of 75 lakhs. I just wanted to understand where this has come from?

Vinay Sanghi: Aneesha, I don't have much client report, but is it the consumer group?

Aneesha Bhandary: Yes. So we have done a cleanup or debtors which are more than 3 years, you have provisions in the only what was beyond 3 years portion of this year.

Vinay Sanghi: Yes. So what we do is the provisioning of course, as per accounting policies and then we move from provisions to writing off. I think that's what's probably more from provision bucket to the write -off bucket.

Aneesha Bhandary:: Yes, you provide for.

Vinay Sanghi: But fully provided for earlier is what she is saying.

Mohit Madhiwalla: And the ESOP cost , we are still at the run rate of INR6 crores per quarter, right? So is expected to continue going ahead?

Vinay Sanghi: Yes, I think for this year, it is going to be similar. It should -- as per the vesting schedule will come down from next year further. A t this point, it will continue, yes, through this year. And I think it comes down next year as to the vesting schedules.

Mohit Madhiwalla: So for FY '25, we would still be around a full year INR24 crores kind of on an ESOP cost…

Vinay Sanghi: That's right.

Mohit Madhiwalla: Slightly lower in FY '26.

Vinay Sanghi: They'll come down ' 25. '26 will come down. That's correct.

Mohit Madhiwalla: Okay. Got it. And just 1 last question. What would be a reasonable kind of overall tax rate to assume as for the full y ear FY '25 because we are currently at around 21% on an effective tax case? I just wanted to understand where we can end for the full year, given all the OLX kind of net sale losses what have been absorbed?

Vinay Sanghi: I think there is no -- Aneesha, cor rect me I'm wrong, but there is no tax in OLX, right? And they'll go back in the stand -alone entity, the only tax in Shriram Automall. The tax has seen on

the stand -alone entity is deferred tax, which has come from the change in the budget .
I think it's a full change from long -term capital gain tax on debt funds, right which is not actually
pertaining to the quarter, it's pertaining to a previous period. So the deferred tax impact on
account of change in indexation rule will probably continue for quarters this year, and then will
go away , there is no tax from business profit in stand -alone or in OLX (both these Companies
have tax shelter due to brought forward losses) .
Mohit Madhiwalla: Right. Okay. So I think I misspoke previously, the effective tax rate for this quarter was 17%.
So that's why.
Vinay Sanghi: Mostly Deferred tax, which is in the budget, right, when they move this indexation on mutual
fund.

Mohit Madhiwalla: So then for the full year, it would be at like what below 25%?
Vinay Sanghi: It's exactly the same. It did.
Mohit Madhiwalla: Great. Thank you so much.
Vinay Sanghi: And deferred tax has to be lower because the profit goes up, the tax rate should come down. This
amount of deferred taxes identical for next 2 quarters. This exactly the sam e amount. So the
profit went up, the effective tax would see would go down actually. Because on our normal
business income, there's no tax.
Mohit Madhiwalla: Thank you, sir.
Moderator: Thank you so much. We have the next question from the line of Sachin Di xit from JM Financial.
Please go ahead.
Sachin Dixit: I have a couple of bookkeeping questions. So the first 1 being that when I'm mentioning the
depreciation expense across the 3 segments or it's not matching up with the console number by
a decent margin. Why is that the key?
Vinay Sanghi: What is not matching,, sorry?
Sachin Dixit: Depreciation expense. And this is consistent across a few years in, like this is what we keep on.
Vinay Sanghi: You're saying we add up depreci

ation doesn't total? Is that what you said?
Aneesha Bhandary: Because there's an entry ad consolidation Sachin. T here is a contract asset that we've created on
the SAMIL acquisition. That entry gets passed only a consolidation. So the one plus one will not
equal to the consolidated number of depreciation.
Sachin Dixit: Is it fair to assume that you use that plug to b e a part of Shriram Automall business or the
remarketing business? Any think of segments?
Aneesha Bhandary: No, it's a very specific entry for the Shriram acquisition, which was done in 2018, where our
contract asset was created is a depreciation on the pa rticular asset, which is created in the
consolidated set of accounts. It's not to do with OLX or Consumer Group. It's only for the
Shriram acquisition.
Sachin Dixit: Yes, understood. Second question is on lease liabilities. So we are seeing that the lease liability
went up by roughly March 31 and September 30. Question that the business is largely non -asset
heavy. Where are these lease liabilities arising from?
Vinay Sanghi: It's also from OLX, I think a come from.
Aneesha Bhandary: Yes.
Vinay Sanghi: Yes. But is rental for OLX, right? Because it's only been 2 months of the year -- last year, only
2 months, 1.5 months in this year's whole year.

Sachin Dixit: But this is a balance sheet entry, right? You were giving a snapshot as of March 31 or September
30. Number of months accounted that should not the change?
Aneesha Bhandary: Sachin, which number are you comparing? The balance sheet early?
Sachin Dixit: Yes, in balance sheet, lease liabilities as of March 31, INR 112 cr. They went to 122 this
September 30. What are the in coming from?
Aneesha Bhandary: So the increase is coming from SAMIL . There was 7 millions us new lease are ers added in
SAMIL, I mean from the compared to that, you see from March to September.
Sachin Dixit: Thank you so much.
Moderator: Thank you so much. We will take this as our last question for the day. I would now like to hand
the conference over to management for closing comments.
Vinay Sanghi: Thank you, everybody, for joining this earnings call. And we are quite buoyant by the quar ter
we just had. I look forward to talking to you again in the next quarter. Happy Diwali to you and
all your families. Thank you, everybody.

Moderator: On behalf of CarTrade Tech Limited , we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Date: February 04, 202 5

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BSE Limited National Stock Exchange of India Limited
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ISIN : INE290S01011

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Sub: Transcript of CarTrade Tech Limited Q3FY25 Earnings Conference Call held on Wednes day, January 29, 202 5

Dear Sir/ Madam,

With reference to our letter dated January 24, 202 5 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q3FY25 Earnings Conference Call held on Wednes day, January 29, 202 5.

The above information shall also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited Q3 FY25 Earnings Conference Call”

January 29, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on January 29 2025, will prevail .

MANAGEMENT :

MR. VINAY SANGHI - CHAIRMAN & FOUNDER , CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY - EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER , CARTRADE TECH LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY25 Earnings Conference Call of CarTrade Tech Limited.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of the future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an oppo rtunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then 0 on your touchstone phone. Please note that this conference is being recorded.
I now h and the conference over to Mr. Vinay Sanghi – the Chairman and Founder of Car Trade Tech Limited. Thank you and over to you, sir.
Vinay Sanghi: Thank you. Good afternoon, everybody. And welcome to the Q3 Earnings Call . It's been a really strong quarter for the company. And in the next few minutes, I will try and run you through some of the key highlights.
We have circulated a presentation in advance. If you look at Slide # 3 and the first part of the presentation is, of course, as you know, we have had record -breaking revenue and profits. Our Q3 revenues stood at a record Rs. 193 crores and the profit after tax at Rs. 46 crores. We have had exceptional growth from all three business verticals and all our ve rticals have delivered the highest ever revenues and profits and margins. For the nine month of the year, the revenue surged by 32%, EBITDA grew by 100% and profit after tax zoomed to Rs. 99 crores. Our Q3 versus Q2, which is consecutive quarters, the profit soared sharply by 48%. What's driving this growth? A consumer group, which is CarWale and BikeWale, revenue increased 38% year -on-year, resulting in a profit after tax growth of 172%. We achieved a 35% margin in this quarte r in our consumer group business, which is now getting to be a benchmark of excellence in the industry. Our r emarketing business, which has been, where growth has been a challenge in the last few quarters has delivered a 28% growth in revenue in the quart er and also has 178% profit after tax growth. And OLX where on a quarter -by-quarter basis, we have seen continuous growth, we have had 80% surge in our profits. In OLX, you remember from the date of us acquiring it last year, we have always had a growth qu arter with every consecutive quarter has done better than the previous. So, there's a lot of work to be done there, but we obviously feel very optimistic about OLX India's future .
If you look at Slide # 4, it talks about our first three quarters of the year. As you can see, from the first quarter to the third quarter, we have added 23% growth in revenue within the same year . The EBITDA has grown 132% from Rs. 21.58 crores in the first quarter to Rs. 50 crores in quarter 3, which would mean 132% rise in EBITDA within two quarters. Overall margins have increased 28% on a consolidated basis for EBITDA. Profit after tax from Rs. 22.90 crores in quarter one has gone to Rs. 45.53 crores in quarter three. So, it's shown not only strong Y -on-Y

growth , but our busine ss ha s show n stron g Q-on-Q grow th in revenue s, EBIT DA and profitability.
If you look at the next slide, Slide #5, we are continuing with the "#1 Automotive Platform " in the country. The "#1 Used Classified Platform " in the country, the number one vehicle auction platform in the country.
If you look at traffic, we have achieved 79 million monthly active, unique visitors across all our three platforms. As we have shared earlier, we have three platforms, CarWale, BikeWale, and OLX India, which get more than 150 million customers per

year, which is more than 10% of
India's population and it comes from these three different platforms within our group, which gives you a very strong sense of the brands, CarWale, BikeWale and OLX. 95% of these users come organically, which means we don't pay for the traffic and that reflects in our strong EBITDA and profit margins. We are now out of (+450) physical locations for our Shriram Automall outlets, our abSure outlets, as well as OLX India outlets.
Auction volume went up and we are auctioning at the rate of 1.5 million vehicles a year now.
As I have already covered, revenue is Rs. 193 crores. Adjusted EBITDA, which is, taking into account ESOPs as well as Other Income is Rs. 70.2 crores, which is almost like a cash proxy for us. Profit after tax as we have disclosed is Rs. 45.5 crores. And our cash balance has increased to Rs. 885 crores.
If you could look at Slide #6, which is the consolidated results, the revenues drawn 27% year-on-year to Rs. 193 crores, 32% growth for nine months at Rs. 521 crores, EBITDA surged 98% for the quarter at Rs. 50 crores and Rs. 104 crores for the nine months, which is at 100% growth.

As I have again said, EBITDA margin is at 28% versus last year 18% in the same quarter, which is up 10% in the quarter compared to last year. Profit stands at Rs. 46 crores versus loss in the previous year. And Rs. 99 crores for nine months, which is of course a small loss in the previous year.
If you look at Slide #7, which is a standalone results, you will see the highest ever revenues of course on the standalone accounts. 38% growth in revenue for the three months. 27% growth in revenue for nine months, which of course is a massive growth in profitability. 237% growth in EBITDA for the three months or the quarter in the consumer group business, 442% growth in EBITDA or the nine months ended , which is at Rs. 42 crores EBITDA. PAT has grown by 172% in a standalone accounts and PAT for nine months stands at a growth of 69%. And again, as I said, the 35% margin in a standalone business is now getting best in class. Many of you had asked through the last many quarters, will our margins ever get best in class? And at least one of our businesses now getting there.
Let me also highlight that even though the group margin is 28% and the consumer group is 35%, almost in fact all our businesses, the margins are more than or excess of 20% now. If you look at Slide #8, the remarketing business, which has a few sluggish quarters, has come back to the growth trajectory. And again, here you can see the levers of the business working. We have 28%

growth at Rs. 63.64 crores of revenue in the quarter lead to a 73% growth in EBITDA and 178% growth in profits.
So, we believe that , something we have been talking through the last few quarters, the repossession business has slightly improved and that is reflecting in the accounts of the quarter.
If you look at Slide # 9, which is OLX, as I said earlier, OLX in every consecutive quarter has grown. From the time we have acquired the company, margins have grown, revenues have grown, and profits have grown every consecutive quarter. The revenue's grown 16% at Rs. 52 crores, Rs. 51.97 crores. EBITDA is up 24%, and PAT is up to Rs. 14.68 crores versus the loss of last year. But here again, the margin s are up to 26% from 24% last year and 18% last quarter.
The rest of the presentation covers segment al results, our Google Trend numbers and some of our organic traffic and auction listing numbers. So, I want to stop here, and I am happy to take some of the questions -and-answers from you.
Let me again once highlight that it's been a strong quarter perfor mance, built on a strong fundamental business. We feel pretty good about the situation of the industry and the business itself. And I am happy to take any questions you might have for me. T

hank you.
Moderator: Thank you, sir. We will now begin with the question and answer session. Anyone who wishes to ask a question may press “*” and 1 on their touchtone telephone. If you wish to remove yourself from the queue, you may press “*” and 2. Participants are requested to use handsets while asking a question.
Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vijit Jain from CITI . Please go ahead.
Vijit Jain: Yes, hi. Thank you.
Vinay Sanghi: Hi, Vijay.
Vijit Jain: Hi, Vinay. Hi, Aneesha . Congratulations on a comprehensively spectacular results here. So, my first question on the consumer group business, if you can comment on the growth rate that you're now seeing in the business, I mean, this is a pretty decent acceleration, pretty sharp acc eleration versus what you've seen in the last many, many quarters. So, is this what we should expect in the near term ahead as well? And broadly, if you can talk about whether you think you've taken wallet share from competition across OEM , ad budget walle t shares and across major dealers ad budget wallet share? That's my first question.
Vinay Sanghi: Sure. Yes, I think the one thing is that the industry seen a very minor growth in the first nine months. As we have discussed many times, supply is than demand . And that makes a little more favorable market condition for consumer group businesses, where OEMs and dealers depend a lot more on our platforms for sale of vehicles. So, these are reasonably favorable market conditi ons at this point. And we have also seen a small growth in the industry, but the supply is

more than demand. So, we have always highlighted that these are the , and this is normally the situation in most markets where supply is more than demand and there is some growth in the industry. So, we expect that to continue in the next few quarters. I don't think we are seeing any real change in market conditions at all at this point. I think the industry growth rates are probably what they're going to be at this po int. I think supply will exceed demand for the next few. So, I

think from an industry standpoint, we don't see much change. Clearly, CarWale, BikeWale have grown in terms of traffic, in terms of user experience, in terms of their deliverance to car manufac turers and dealers consistently, right? And if you see the traffic growth is also pretty significant. And therefore, we feel good about the business. Whether we have taken wallet shares too early to tel l. My sense is that if you see the advertising n umbers, generally, we would have taken some share, but generally, the spends have also gone up, which is also affecting or helping our business, right? It's a combination of wallet share as well as spend having gone up as well. But our traffic growth numbe rs are pretty sharp, if you see as well.
Vijit Jain: Right. Thanks, Vinay. And on the remarketing business, I can see that there's a pretty solid, again 30% odd growth in auctions listing volume. So, most of the growth seems to have come from this side. I know in the opening remarks, you mentioned repossession business has slightly improved, but this looks a little bit more broad -based than that. Or is that the base -effect in play here? Again, just looking at broader ecosystem, are you seeing repossession coming back just to normal or is there more to it?
Vinay Sanghi: Yes, we see repossession having definitely grown in the quarter and it is a driver for us because almost half our volume comes from repossession. It's about half now . It was about 42% at flow , it's back to 50%. So, it's clearly growing . Whether it also seem s likely these are not one-quarter phenomenon , so it seems likely that it could be a there for a while. But it's hard for us to predict beyond that. But generally, it seems

that these volume s from here should sustain itself or grow from here. It seems like that. And it is a factor which is driving part of the growth.
Vijit Jain: My last question on the OLX business. So, OLX business since you've acquired, focus has been on integration and reducing some of the costs and those things were achieved earlier. I think this is the first quarter where we're seeing meaningful jump in the absolute revenues also collected. So, if you can throw some color on where growth is coming from more recently an d if I look at the number on a YOY basis, we are maybe at around, maybe somewhere around 15% YOY versus the first full quarter after your acquisition. Do you see enough to believe that the growth should stay here or improve from here? Any colors on that wo uld be helpful?
Vinay Sanghi: Yes, right. In the first year, we spent a lot of time on stability of the platform, technology transition, stability of the team , putting our product teams together, technology teams together. A lot of the things, what took th e first year, I would say. A lot of the initiatives we have been running in the last six months on sales, product marketing, traffic, etc. are things we have had very little time to work on. Some of these things are in a small, small way starting to play o ut. In most, we think they've played out. It's still, to me, a lot of the , whatever the growth coming is coming from a lot of the early initiatives. There are lot of long -term fundamental initiatives being taken and we're hopeful that in the coming quarter s, we'd ideally like this to grow a lot faster.

So, that's revenue metrics, profit metrics, all of it. The margins have got better. We have a better handle on margins. But we would like the revenues to grow stronger in the coming quarters and years for sur e. We believe there's tremendous opportunity both on the used auto side at OL X and the used non -auto side at OLX , both. Both are almost going at the same rate. This is another question you had, almost at the same rate. But it's important to know that the potential of both is equally large, and we're just very early stages of really catering to that potential which exists , its very early days.
Vijit Jain: Alright, Vinay, I have just one last question, and I will jump back into the queue. Is there a collaboration or a partnership that you have with the likes of Car24 OR Spinny in the works. I think I saw something…
Vinay Sanghi: We continue to work with them, I think over period of time, a lot of people confuse what our relationship with them is. Cars24 and Spinny are full stack companies which buy vehicles, refurbish them, and sell them to consumers. But they tend to be fu ll stack, we are completely a marketplace. In both Car Wale and O LX, we tend to work with them pretty closely because the y are companies that list vehicles on our platform , CarWale as well as OLX. So, we tend to work very closely with them. And they actuall y complement our market -based model and add value to our users as well. So, yes, we tend to work very closely with them, actually.
Vijit Jain: Okay, got it. Thanks, Vinay. Those were my questions. And again, congratulations. Thank you.
Moderator: Thank you. The next question is from the line of Sachin Dixit from JM Financial . Please go ahead.
Sachin Dixit: Hi Vinay. Hi Aneesha. Congrats on a great set of results. I had a couple of questions. The first one is regards to growth rate. So, if I look at the growth rates in consumer business, they spiked very sharply. Obviously, some of it was driven by the fact that OEMs were not spending a lot earlier, and those spends have started to come back now. But do you see this 38% growth rate likely to sustain? I am sure like next few years not, but even in the next quarter, do you believe such a growth rate can sustain?

Vinay Sanghi: We don't gi

ve guidance Sachin around revenue growth rate, but we do feel that market conditions are reasonable and you know, all the October, December tends to be a little high in terms of the quarter for the consumer group always. I mean, generally we don't, we just feel comfortable the way the market is right now and CarWale or BikeWale's positioning is. So, we don't feel, you know, I don't want to comment on the growth rate, but we feel confident about the business.
Sachin Dixit: Understood, And coming to OLX, right, obviously a lot of things are still in the works at the time of IPO, when we discussed, there was some understanding that the business is likely a 20% odd growth business, which is where it has grown in the past. I think that growth rate should revert at some point. What is happening on the cost side there? We noticed that there is a sharp

drop in employee expense in this quarter. Is it just because of one single senior person leaving or there is more to it?
Vinay Sanghi: Yes, there is some cost side rationalization because of that, absolutely on the employee side. But it takes us time because after the M&A, it takes us time to balance tech costs, employee costs, organization charts. So, we understand everything. And I think now we have reached to a very stable, we think a stable margin basis, right? Where we can think the margins will only improve with revenues. And that's across, it's not just in OLX, also we have seen Shriram Automall as well as CarWale , where the nature of our company is almost that we wan t to grow, but we want to keep our unit economics growing with it, right? And we want leverage in our business. And I think OLX is no different where with increase in revenue we have very marginal increase in costs. This typically demonstrated in the consu mer group and you can see it now play over the last few quarters. You can see SAMIL in a quarter which has grown. And OLX is no different where we want to see margins growing. And the way we're trying to structure the company OLX or any of the others is th at revenue should grow as we increase our value to our consumers or dealers or all listers in OLX's case. But not necessarily that we have to increase costs in relation to that, a large part of revenue for OLX is an online collection method, it's paid onli ne. So, it doesn't mean that manpower or other costs go up with revenues. And I think that's the methodology we have used for all our businesses. And that's the architecture of how we build products in these companies. So, it's playing out now, as you can see, the first sign in the last quarter for OLX or the other businesses. But that's the nature that we worked on for the last 3- or 4 years or -5 years to get this basic DNA of, or this leverage of revenue growth, not increas e in cost.
Sachin Dixit: Completely fair enough. Just one final question on the remarketing side. Basically, we do not notice that there was any sharp jump in NPAs for some of the vehicle financials. So, the growth rate that we got even on sequential basis , is it a function of our investments into retail or repossessions have finally bottomed out for good?
Vinay Sanghi: No, I definitely think the growth is coming from repossession. Of course, our numbers compared to the industry are much smaller. So, even t hough the industry may not be showing it, repossession has definitely been a factor in the growth of the Shriram Automall . Other segments have grown too, but repossession has definitely grown as well. I am not sure if, I don't know, I don't know numbers of various banks , NBFCs , NPA's is going up or not, but definitely here we find that repossession is contributing.
Sachin Dixit: Sounds good. Thanks so much .
Vinay Sanghi: Thank you.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura . Please go ahead.
Sid

dhartha Bera: Yes, hi, sir. Thanks for the opportunity, and congrats on a good set of numbers.

Vinay Sanghi: Thank you.
Siddhartha Bera: Sir, first on the consumer business, if you just can share the mix for the quarter between old and new and used and …
Vinay Sanghi: Aneesha, you want to take that up quickly? Just share the various metrics of consumer group , the breakup ?
Aneesha Bhandary Sure. It's pretty similar to what we have declared in the past. The new versus used continues to be that 85 to 15 or 86 to 14. The OEM Dealer mix is pretty similar at 65: 35 . Any other ratio that you would like to know?
Siddhartha Bera: Okay . So, the growth basically is coming across both OEM & dealers. There is no specific

segment which is growing faster than others. Is that the right assumption?
Vinay Sanghi: It's similar. Actually, the OEMs itself has grown sharply as earlier the dealers' was little bit stronger, b ut the OEMs have started to grow. And I think this is a bit of a factor in the last, about maybe 18 -20. If you've seen the last two years nine months for the consumer group, it's continuously growing. It's not just been last quarter. If you take the previous year's fi nancial and the year before that, the consumer group has grown continuously, actually. So, it's still, as I said, I still feel we are at this phase of an early stage of digital advertising, and we're seeing the growth. It's been two years nine months, actu ally. It's continuously been growing, the consumer group. It's not a one quarter thing. The sharp increase in this quarter, you see in the margins, etc. is because the leverage in the business. But the growth, if you see this business, it's actually been continuously growing.
Siddhartha Bera: Got it. And how has been the performance in the abSure business? How are we looking at ramping up there?
Vinay Sanghi: Yes, it has got stronger. We have got two sides of it now. We have got an abSure/S ignature outlets for Car Wale, which is, I think, the 180 odd stores now. And we acquired OLX, we got another, I think about 170 -180 stores there as well. So, there are, if I am right , Aneesha, about 375 to 400 such used car franchise stores now in the group. So, it's become a very strong business model for both OLX and CarWale. I mean, again, very early days, as I said, but it's become a reasonably strong business model for both.
Siddhartha Bera: Got it. And if I look at again the consumer overall growth, will it be fa ir to say that, I mean, digital advertisement overall industry would have grown in that case or we would have gained probably some market share from some of the other digital segments like Facebook, Google and all. So, any sense you have there?
Vinay Sangh i: It would be both, I would think. I will tell you what happens is when manufacturers are having little more string of selling vehicles, they tend to choose little more direct from advertising which is us which is very performance driven in a way. So, if you spend money on Car Wale or you list a car on Car Wale, it is almost you're directly getting to the most, I would say, serious customer

or the most relevant customer. If you put money on, I don't know, Star Sports or Star TV or I don't know, Times of India or whatever, some newspaper, it's a little more brand kind of advertising. So, when sales are strained, you tend to go to the most direct source for sales. I think that is one factor. The other factor you have to see, if you look at the traffic it self, I think we have gone from, if you look at Q3 last year, we were 38 million in the consumer group, we have gone to 49 million. So, on our 38 million per month, we have gone to 49 million a month, which is a tremendous increase in consumer traffic itse lf as you see. So, I think these are the mu

ltiple
factors we look at in the growth of Car Wale.
Siddhartha Bera: Got it. Lastly, in slightly longer term now, if you look at the annual numbers in the consumer business, we probably are closer to that 30 %-31% EBITDA margins and OLX we are at close to 26 %-27%. So, do you think over the longer term, the margin potential for both of these businesses will be similar or any particular business where the potential of increase will be much higher compared to others? Any thoughts?
Vinay Sanghi: No. We feel like these are typical businesses where the margins only go up with increase in revenue. We don't see any major cost escalation. And we don't see, so therefore we see what we have said always that with revenue in creasing, the margin will continue to grow. So, these are early days for these companies, all these businesses. As we grow in the next 1-2-3-4 years, margin will continuously grow. And we'll get even better with our margins as they stand now. I think the c onsumer group is 35% today , so in last quarter and it will get even better as revenue grows.
Siddhartha Bera: Got it , sir. Thanks a lot. I will come back in the queue.
Vinay Sanghi: Thank you.
Moderator: Thank you. The next question is from the line of Aman Saifee from iWealth Management. Please go ahead.
Aman Saif ee: Hello sir, I hope I am audible?
Vinay Sanghi: Yes, we can hear you.
Aman Saif ee: Thank you so much , sir, for the opportunity and congrats on a super set of numbers. Sir, what I have noticed is that in your consumer business, what you have delivered the highest growth of 38%.
Vinay Sanghi: Okay, I think we can't hear very clearly. I think it's smudging a bit.
Aman Saif ee: Hello .
Vinay Sanghi: Hello.

Aman Saif ee: Yes, sir. So, what I have noticed is that in terms of the passenger vehicle industry, the inventory level were at the highest in October at 80 to 85 days. Then it went down to 65 days and further down in December month. So, sir, is it right to assume that a high growth which has been coming in this quarter i s due to high industry, high inventory level in this quarter?
Vinay Sanghi: I won't actually high industry level, inventory level. One is that October -December tends to be, at least October -November tend to be high selling months anyway. So, it does help us. But otherwise also, I think whether the inventory is three months or one month or six months , generally wherever there's a supply availability, I think we get better. So, the inventory may not be high, but if the supply is available and dealer or manuf acturers want to sell more vehicles, it's generally the more favorable market condition for us.
Aman Saif ee: I understood, sir. So, basically, is this inventory level getting rationalized in the industry . So, the contribution which has gained from tha t particular new OEMs in your consumer business will get down eventually, right?
Vinay Sanghi: No, I don't look at it that way. I feel like consumers come to buy vehicles on CarW ale. The inventory is one factor, but the reason consumers come is because they want to buy. So, you know, it's many, many factors, I would say. The fact that the industry is growing, the fact that the markets are growing, the automotive markets are growing, the fact that inventories …
Moderator: Hello sir, you're not audible. Ca n you hear me? Mr. Sanghi, can you hear me?
Vinay Sanghi: Hello.
Moderator: Yes, Mr. Sang hi. You weren't audible. Please go ahead.
Vinay Sanghi: Oh, sorry. Can you hear me now?
Moderator: Yes.
Aman Saif ee: Yes, we can hear you. We lost in between when you were explaining about the spend .
Vinay Sanghi: Yes, I don't think the spend or the business has been related to one or ten manufacturers having excessive inventory. That's the question. I think it's related to the fact that people find they want to com e to a platform l

ike us. People find that you get the inventory they want here. They get the selection they want here. People also find that they want to buy cars in that month or two - wheelers in that month. So, it's a multiple factor thing. It's not about high inventory. So, that's the question.
Aman Saif ee: I understood, sir . Thank you so much.
Vinay Sanghi: Thank you.
Moderator: Thank you. The next question is from the line of Nishit Jalan from Axis Capital . Please go ahead.

Nishit Jalan: Yes. H i Vinay, thank you for taking the question and congrats on a good sort of numbers.
Vinay Sanghi: Thank you.
Nishit Jalan: So, see, I have three questions. First question on the consumer business. Yes, I think you said rightly that when suppl y is higher than the demand , it's very good for your business. So, just wanted to understand when this is a scenario, growth is coming more in terms of your lead cost per vehicle you are charging higher to the dealers, your advertisement rates have gone up or is it simpl y that more and more vehicles are getting sold through lead generation? So, just wanted to understand the drivers of the growth here.
Vinay Sanghi: It's actually all the above. One is the manufacturer spend more money, second is as I gave the figure a litt le earlier . The traffic itself is up substantially year -on-year in CarWale and BikeWale. I think the third is you know platform selling obviously more vehicles. So, all of it, I would say, it's not one of these things, it's all of them.
Nishit Jalan: Okay, so there's nothing one odd factor which is the last thing.
Vinay Sanghi: No. I think Nishit that's one of the reasons we feel good about the business , because we don't think that there's a reason why, a very specific reason where we have seen this growth. As I said earlier, the consumer group business has grown over many, many quarters. It's not a one -off. And I think that's why we feel good about the business because it's not a one -off. It's just been consistent growth over many quarters, actually.
Nishit Jalan: Correct. So, that's why I think the only factor here is the growth has picked up substantially. Yes, this business was growing earlier, but it was growing more in mid-teens earlier. But in the last couple of quarters, we have seen growth picking up substantially. So, the idea is to understand what is the more sustainable growth basically ? That's what we have to understand. And obviously, there will not be data available for this, but as per your experience or as per your understanding , right, what w e understand, we know the advertisement budgets of the OEM. So, at least they tell us how it has grown or not grown. And it has not grown at 30% or 20% the way your top line has grown. So, does that mean that these verticals, basically, domain, CarWale, CarDekho , all these domains are getting more and more traffic now, more and more share of

OEM's wallet or any sense around these numbers or anything you can talk about as to any other structural changes that are happening? These changes are supposed to happe n anyways, but now I think it looks like we are starting to see that pick up happening. So, any sense on what is driving this or exactly what is the wallet share now, where it can go in the next three years, five years?
Vinay Sanghi: Yes, it is correct that, one is OEM has spent more money. That's one. You may be right that OEM has not spent 30% more money. That is also correct, probably. But the reality is they are spending more money on digital. I think that change does take place when you want more di rect results or very quick results. You spend money on digital or more measurable results. All this required digital spends. It would be, I mean, we don't have complete data yet for the last 3-4 months, but it would be correct to assume that some share wou ld have been gained by

platforms

like Car Wale or Bike Wale. It would be fair to assume. But it's also fair to assume that there is a slight shift in the pattern of OEM spending to digital. There's also , part of it is that advertising spends of OEMs are grow ing. It's all those factors. The fact that share is growing is also true. I would again put in all the three factors that are actually taking place. We're seeing the first signs of all of this happening actually.
Nishit Jalan: Okay, that's a good thing to hear. Vinay, you were taking a lot of other initiatives also in the consumer business, lending through your portal, making a lending platform through your portal or maybe some other things as well. Ha s any of these things started working out well or starte d leading to some revenue generation for you guys?
Vinay Sanghi: It's not leading to significant revenue generation, but it's leading to traction. I think the first signs of something working is how consumers react to products like financing, for example. As you can see on our platform, today, finance offers for new cars, new two -wheelers, used cars, etc. CarWale , BikeWale , even on OLX it has just gone li ve. And we find that some of these are starting to be adopted by consumers getting instant approval for a loan for a two-wheeler or a car. Some have scaled, especially in two -wheelers, we find the volume is pretty high. So, these are all products for the future. And eventually, people like you and me, when we buy a car or a two-wheeler, definitely a two -wheeler is not a car. We'll want a one -click -like experience. Click a button and get the bike home. It'll just come to your house. You will want that kind of an experience. And obviously, a lot of these initiatives on our tech produ ct side are trying to solve these problems for the future. Even if today consumers don't want it, maybe in a year -2-3-4 years, they will want it or some percentage of customers will want it. And that's what we're doing. We're building these products for o urselves, for bikes and cars. We're also building this for the OEMs. Many of the OEMs are using these products on their websites. I mean, today many two -wheeler and car manufacturers are using some of the technologies we created for their own customers on their own websites and their own showrooms. So, I think pa rt of our role is also trying to get the entire industry digitized. And then, it just helps serve all our customers better and give them a better experience. So, many of those initiatives are going on in parallel. They may not become big monetization tools immediately in the next 3-4 months or 6 months but they're definitely ways of changing consumer behavior. And they're also improve consumer experience. And that's one of the reasons you see CarWale and BikeWale traffic going up on a base of 30 and 39 mill ion a month last year. To go up from there to 49 million, it's no mean achievement . I mean, it's a tremendous achievement to increase traffic by that scale over a 12 month period. It is these kind of initiatives which get more consumers to come. And you've got to remember, we are 95% organic , still.
Nishit Jalan: No, I understand that. Maybe I will get into a separate discussion with you to discuss this in detail. Just one thing which I have always been curious about. Typically, if you look at, in India, new car market is around 4.2 million. Maybe used car market is around 5 million. So, there are about 8 to 10 million car, bikes sales that happens, new car, used car combined put together. So, when we see the traffic numbers coming out to be 38 million, 50 million, who are these people?

Vinay Sanghi: There are also two wheelers here. But when you look at two wheelers, the numbers go a little more, but even if you look at cars alone, if there a re 10 million

probabl e buyers for cars, they're
probably 80 to a hundred million looking for cars or shopping for cars, which may become, the next 12 months, 16 months, whatever. And then there are another 4-5 million selling cars. So, the multiple sections of this data, right , come around. And then there are almost like 4-5 million, maybe many users of cars, who just come and understand about their own car or want to know

more about their car. So, traffic is got all sorts of people, people who own c ars, people who are looking to buy new cars, use d cars, people who are going to sell cars, all of them, right? Anybody who's trying to do this for the next 6 months or 12 months will be there. And you got to remember also, market share of CarWale is very h igh to car users, car owners or aspiring car owners. It's very, very high at the market share.
Nishit Jalan: Sure.
Vinay Sanghi: Very few people buy your car and not come into one of our platforms. Very few people.
Nishit Jalan: Correct. And my second ques tion is on the used car side. I think when we bought OLX , we at CarTrade had an existing used car business as well. So, have you integrated those businesses? Have you been able to offer a better deal to the dealers , used car dealers and charge a higher subscription revenues from them. So, anything, any of these steps you have taken on the OLX side, because it's like essentially number one and number two players getting merged together, right, or becoming one. So, what kind of benefits have you se en because of that, or any strategic steps you have taken to improve your positioning or to expand the size of the industry basically, right? Basically you are the one who has to create opportunities for monetization, so what have you done to do that?
Vina y Sanghi: We have got two used car businesses under CarWale and under OLX. OLX is almost 3.5x-4x the size of Car Wale in the used car space. For Car Wale, 85% is new, 15% is used. For OLX, about 40 %-45% of its business is used cars and it is three times the size of Car Wale. The customer profile, both platforms, by the way, get over 150 million customers a year. So, both are strong, both have independent brands. Customers go for different users to both. What we found, I mean, what we find in the data is genera lly we find that customers want to buy a car, let's say, seven to eight lakhs and over , tend to come to CarWale , a little more, I would say, big city, a little more, probably buying a little more expensive car. In OLX you find very strong coverage across a ll cities in India, especially B -class, C -class, D -class towns in India. And the ticket sizes seem to be more 0 to 8 lakhs. So, it's almost like CarWale has very strong strength because it's such a new car platform on cars above 8 lakhs for used cars. And OLX is strong up to eight lakhs. It's almost how they complement each other. Of course there's overlap between the two as well. We find that dealers and consumers come for different reasons to both. As I said, OLX is 3.5x the size. We find that dealers in OLX tend to advertise for cars or want to be there for all small towns, very, very strong coverage in small towns and very, very strong coverage on cars up to Rs. 8 lakhs rupees and CarWale tends to be in the top 25 cities and up t o 8 lakhs. So, that's how it is. The question of merging, you know we thought originally whether we want one business other than two, we find that people come for different reasons. The brands

are strong, dealers have different reasons to come, consumers c ome for different reasons. What we tend to merge always or tend to make it easy for people to do is the backend. So, there's a dealer on OLX and Car Wale, can we give them one simple tool to upload cars on both platforms, right? Can we do things like that? And that's the work we have been working on the technology side,

where the backend is one, but the front end of consumer and dealers are two, right? So, you as a consumer can go to either platform, or you as a dealer can go to either platform. And I think that's how we tend to be running these businesses. It's still in the process of completing that. I think the first steps of that in this quarter, where we'll have some functions of our backend systems common, r ight? So, I think those are the kind of things we have a roadmap towards on the tech side and synergy side at this point.
Nishit Jalan: Sure. And one last question , one housekeeping question. If I look at Q3 this quarter's PPT, last year auction volumes in remarketing is a shade lower 300,000 units an d auction volume is around 35,000 something. But if I look at the last year's PPT, these numbers were much higher. Auction listing was 3,55,000 and auction volume was 51,000. So, has there been any restatement in the last year numbers on the auction volume s and auction sales because …
Vinay Sanghi: In SAMIL?
Nishit Jalan: Yes, in SAMIL .
Vinay Sanghi: I don't think there's a restatement for anything. Aneesha , anything, but I don't think there's a restatement of anything.
Aneesha Bhandary No, if you look at the foot print, we have clarified these are all vehicle auction listings.
Nishit Jalan: No, I understand that, because, Aneesha , if you look at auction listing in current year PPT for last year, you have given 2 ,99,712.
Aneesha Bhandary Yes.
Nishit Jalan: But in the Q3 F Y24 PPT, for Q3 F Y24, the auction listing is 3 ,55,363. And similarly, the auction volume was 50,925. But this year's PPT last year number is 45,000 something. So, there's a big difference.
Aneesha Bhandary Yes, which is the one I was clarifying, Nishit. These are all vehicle auction listings. Previously,

we had put all listings, which is why in the last couple of quarters, we have clearly called out only the vehicle auction listings.

Nishit Jalan: Oh, okay. So, you have removed some no n-vehicle things from that and that is the reason it is happening ?

Aneesha Bhandary Yes.

Nishit Jalan: Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Hi.

Vinay Sanghi: Hi, Arpit.

Arpit Shah: Am I audible? Yes, hi. Just superb results, super show. Just wanted to understand, in terms of monetization, like given the strong platform that we have, be it on the used cars, also on the new cars, our monetization is a little under -leveraged , right? So, you believe that we are at a J-curve in terms of monetization and that revenue growth should be accelerating going ahead, given our position in used cars and new cars?

Vinay Sanghi: We believe we have had a 32% growth in revenues, righ t? So, we believe the growth drivers are in place. 32% growth over 9 months. So, we believe that definitely the revenue drivers are in place. We also believe that there's a lot of potential in the industry itself. And most of that is around having more con sumers coming to our platforms or having more dealers or more manufacturers on our platform, providing more services to our customers, like loans, etc. So, yes, of course, we believe at an early stage, the TAM is massive. The idea would be to keep growing consumer experience as well as keep growing monetization with it. And that is why we're growing at 32%. So, it's all on these things I will give you, to be honest , Arpit .

Arpit Shah: Got it. So, you think thes e numbers , once all the steps that you've taken in the last couple of years and couple of quarters, this whole initiative now will translate for you from going from a 20% growth company to being a 30% growth company. Is that a thing that you're looking at?

Vinay Sanghi: I don't, we don't think , we're not giving guidance. We don't think about that. But to be

honest,
we have got to, if you see our growth rate in the first nine months, right, which is what should be looked for. It's a 32% growth in the company , right? On a consolidated basis. Of course, the consumer group maybe be at 27% in different, different growth rate. But at the company, it is around 32%. So, you know, our attempt is to obviously serve our consumers better, grow fast, fast as we can, but growth based on profitable growth, right? Which is keep improving our margins as we grow. That's how we tend to be as an organization. That's how the last few quarters have demonstrated our thought process around some of these things.

Arpit Shah: Got it . So, let's say now you are at Rs. 176 crores kind of revenue run rate, Rs. 180 crore kind of a revenue run rate for the third quarter. You think this run rate , let's say will move to 220, 230 crores maybe by next year and that's how we go on to become a Rs. 1,000 crore revenue company where the cost would not escalate but your margins will just keep accelerating, keep going high. How should you look at these costs going ahead once the revenue growth keeps coming at 25%?

Vinay Sanghi: I can't obviously give gu idance on next year's revenue, but what you are saying is correct, is that if our revenue is to grow, our costs sould not increase in relation to that. We always say that our costs grow marginally, but in compared to our revenue growth. If we did add some quantum of

revenue to our current revenue, a large part of that would go to profit. And this has been demonstrated now over 5-6 quarters. This is not a one quarter. It's been continuously happening. So, you can see the margins quarter -by-quarter over the last four quarters, and you will see that's true.

Arpit Shah: Got it. Just one last question on OLX. So, on OLX, what steps are we taking to fire up the non - auto side of the business? Like what are the things that we have been doing on the backend, and when should we start seeing great results on the non -auto side of the business?

Vinay Sanghi: Yes, so the non -auto side, there are different segments as real estate to mobile phones to bikes to electronics, household items, jobs, etc. In each of these, we're working a lot on the product side to see what the offering for the consumer is, what change we need to make on the front -end platform, how do we get the backend tech, how do we get more consu mers to pay, how do we get more businesses to pay, how do we enhance experience for them, how do we launch products for them which enhance the experience. All of that is going on, actually we have been working over the last year. It takes a little bit of t ime to make such product changes. And some of it is coming in, some of it is still happening. But we do hope, we're very excited about the non -auto side. So, tremendous potential use. It's probably the largest platform for bikes, mobile phones, electronics , household items. All of these . OLX probably has very, very strong dominance in India. If you're selling an old phone or an old washing machine, if you didn't put on OLX , how would you sell it? And I think that's the strength of the platform. It has very, very high dominance in this . So, there's probably no other way in India to sell it outside OLX. May be on a C2C basis, or sell it to a dealer or if you wanted to buy one similarly, how would you buy it? How would you find a used washing machine, except if it was on OLX? So, there's tremendous potential here. It's early days for us, as I said. It should provide growth for us for the next 10 years. It's not a one -quarter, two -quarter story. This is probably a 10 -year story or a 20 -year story.

Arpit Shah: Got it. But do you think our expenses now will grow in line with inflation or there will be still some growth on that?

Vinay Sanghi: Yes, we may not be inflation, but we see minimal

incremental cost. We see our cost even this year. The cost increase in the st andard accounts almost zero. So, we don't see much cost, much reason across the group for cost increase. I mean, there will be increments. There'll be some additions on manpower. First of all, the only real massive cost we have is manpower cost. So, there will be an increment factor and there will be probably some addition of some people. But generally, our costs are not likely to go up significantly in the future.

Arpit Shah: Got it. And on an OL X business, you think that this business is going to have a 50 crore on it, and it can move to, let's say, 100 crores -150 crore within the next couple of years. So, that is a big optionality. The group owns the right and that needs to be leveraged going ahead.

Vinay Sanghi: I don't want to put a number, but there is limitless potential in OLX. There is absolutely limitless potential. I said I don't want to put a number to it, but there is, we have just barely started working on it. I will not say 2 -3 years, I think for 10 years we can have growth.

Arpit Shah: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Harsh it Nagpal from YES Securities. Please go ahead.

Harshit Nagpal: Yes, good afternoon , sir, am I audible ?

Vinay Sanghi: Hi Harsh it.

Harshit Nagpal: Hi, So, one, if you could provide the breakdowns of the remarketing business for this quarter's revenues between Shriram , Adroit and CarTrade ?

Vinay Sanghi: Aneesha, you want to do that? Take this up? I think it must be the differe nt companies.

Aneesha Bhandary Yes, there are three different legal entities .

Vinay Sanghi: Do we file that?

Aneesha Bhandary No, as I was saying, we do not publish this in the public domain yet.

Vinay Sanghi: I understand.

Harshit Nagpal: And if we could give you the user breakup for the rural, urban and semi -urban for both CarWale and O LX if that is possible?

Vinay Sanghi: We won't have those numbers, the user numbers we said, the traffic numbers, right? Urban, semi -urban , right?

Harshit Na gpal: Yes.

Vinay Sanghi: No, we won't have that. We try and keep it, but we don't have it today available with us.

Harshit Nagpal: Okay and the advertisement revenues from the OEMs and the dealers, the split between that, if you would have it for the car?

Vinay Sanghi: Yes, that's it. That is what Aneesha said, about 65-35. I think 65 OEMs and 3 5 dealers and CarWale and BikeWale.

Harshit Nagpal: So, 65 is OEMs, it's mostly advertising revenue, right?

Vinay Sanghi: It tends to be mostly either advertisement or leads. It's not advertising. It's not the way we call advertising is not just display advertising, but it's also leads or it could even be , we are deeply integrated with the manufacturers now, so it could even be transaction in some cases.

Harshit Nagpa l: Right, thank you.

Vinay Sanghi: Thank you.

Moderator: Thank you. The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.

Siddharth Purohit: Hi Sir, Most of my question has been answered. Just two clarifications. Sir, what would be our run rate of ESOP like at consolidated level? But if you can give us …

Vinay Sanghi: ESOP like in , is it broken up , Aneesha ? You can give it. It's actually it's in a standalone. It is down by 37 % to 2.79 crores a quarter. Is that correct , Aneesha ?

Aneesha Bhandary Yes Vinay.
Vinay Sanghi: That's correct.
Siddharth Purohit: So, it will not be equally divided between the two entities, right?
Aneesha Bhandary No. It's in the respective decks. Each of the entities is displayed separately. So, the standalone reflects the consumer group, which is was wh at Vinay called out the 2.79 crores.
Siddharth Purohit: That i

s a quarterly run rate , you are saying?
Aneesha Bhandary Yes.
Vinay Sanghi: That's a quarterly, and it's 8.36 crores for nine months. Which is down 37% from last year.
Siddharth Purohit: So, any specific reason why it was lower this quarter? Maybe it was not …
Vinay Sanghi: It's the way a lot of the ESOPs cost is related to stock issued earlier 2 -3 years ago. And as the company invests the costs keep coming down. So, it's likely to keep coming down. The question is, it's likely to keep coming down even next year.
Siddharth Pu rohit: Okay , fine. And one more thing. On this auction site, if I say look at the realizations per auction, like is it seasonally it is higher during this quarter or it is because of the product mix or the… ?
Vinay Sanghi: I think it's yes it is a little bi t, normally Q3 is better than Q2 anyway, but it is also because of the repossession volume because it's much higher than last year as well same time . So, the right way to look at it is 28 % year-on-year right same period last year so it can't be seasonal. It is also because of volume increase due to a little bit more repossession in the quarter .
Siddharth Purohit: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of A astha from Pkedey advisors . Please go ahead.

Aastha: Hello, hi sir. I have a few questions. My first question is to start with, so you said that whenever our revenue increases and so that is directly going to hit a bottom line, right? So, that is across all the three segments, right? OLX, consumer and remarketing?
Vinay Sanghi: That is correct, absolutely correct.
Aastha: My actual question, second question would be, sir, what would be the steady -state EBITDA margins you expect for the consumer business? The current margins, can we consider that as a stable one?
Vinay Sanghi: We actually think that as revenue increases, it should go up. So, I don't know what steady means, but we actually think it should go up as revenue goes up. If revenue did come down, it would come down too. But if revenue went up, it would go up.
Aastha: Okay. So, currently we were at approximately 30 approximately, right?
Vinay Sanghi: Yes, 35.
Aastha: So, if the revenue goes up, so we are expecting those...
Vinay Sanghi: It should go up. Yes, the margin should go up, we feel, the other way aroun d actually.
Aastha: Got it. So, my third question is related to the remarketing segment. So, what happened in this quarter exactly? Is it growth merely because last year quarter was so softened or something fundamentally has changed in the industry level?
Vinay Sanghi: I think it's both. We did have a weak previous year where the growth was minimal in the remarketing business. So, there was a base effect there. But there is, as I said, some signs of repossession improving or increasing and us getting more v ehicles from that segment. So, it's both, I would think. But we did have a previous year, which was also weak. So, it's a combination of both factors, I would say.
Aastha: Sir, my last question would be, what is the right to win in this marketing, remarket ing segment and who are we competing with exactly?
Vinay Sanghi: The second part is , we are generally competing with a very offline methodology of sales. So, if a bank or an NBFC or an individual didn't sell vehicles in an auction format, digital auction format, they would sell it offline directly and that's probably the competition for us is offline sales. What are the right to win is a very good question. It's a marketplace. So, there are thousands and thousands of dealers which bid for inventory coming from consumers or businesses. 40% of our business or the supply which comes is single inventory, which is what we call retail, which means each individual vehicle comes there and i s sold to thousands of dealers bidding for it. So,

it's an online digital marketplace which is by itself a right to win because you have dealers coming because there are sellers or consumers or businesses selling, and sellers come because there are busines ses buying. It's a C 2B, B 2B business, that's one. So, there's a network effects

there which feeds off each other. And as I said, these dealers are thousands of, there's no single buyer would buy more than half percent on our platform. So, it's a very, very large number of

buyers would buy this inventory. They're probably the largest supplier of inventory to dealers in India, number one. Number two, there's a tremendous amount of physical infrastructure at Shriram Automall. That's one of the reasons we acqui red the company. We have 130 physical locations, or automall s as we call, each of them in the minimum of five-acre propertie s where we keep vehicles which are for sale. So, if you're a bank or an NBFC and you want to sell your vehicles, you can physically keep it with us and then we can do a digital sale for you. So, I think it's a combination that also the differentiation in India. So, it's a phygital business, mostly digital, but all these factors of network effects, marketplace dynamics, physical infrast ructure, skill and technology and product are factors why we have a right to win.
Aastha: Got it, sir. That's it from my end. Thank you.
Moderator: Thank you. The next question is from the line of Vijit Jain from Citibank. Please go ahead.
Vijit Jain: Great. Thank you so much for the opportunity again. Vinay, earlier in this call, you described your business to OEMs as performance marketing ….
Vinay Sanghi: I think we lost Vijit.
Moderator: Yes, I think we have lost Vijit. So, ladies and gentlemen, that brings us to the last question for today. I would now like to hand the conference over to the management for the closing comments.
Vinay Sanghi: Thank you, everybody, for joining in today and taking this time out. We feel excited about the last quarter. An d we also feel excited about the future of the company. So, thank you once again, and look forward to hearing from you again soon. Thank you. Bye bye.
Moderator: Thank you, ladies and gentlemen. On behalf of Car Trade Tech Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

Date: May 13 , 202 5

To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE

ISIN: INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q4FY25 Earnings Conference Call held on May 07, 2025

Dear Sir/ Madam,

With reference to our letter dated May 02, 2025 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q4 FY25 Earnings Conference Call held on May 07, 202 5.

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited Q4 FY '25 Earnings
Conference Call ”

May 07, 20 25

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 07, 2025 will prevail.”

M
ANAGEMENT : MR. VINAY SANGHI – CHAIRMAN & MANAGING

DIRECTOR , CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER , CARTRADE TECH LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of CarTrade Tech Limited.
As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" , then "0" on your touch tone phone.
Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the company which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predic t.
I now hand the conference over to Mr. Vinay Sanghi – Chairman and Managing Director of CarTrade Tech Limited. Thank you and over to you, sir .
Vinay Sanghi: Thank you and welcome to all. Welcome to all of you in this F Y '25 Earnings Call. Thank you for taking the time out this afternoon.
I want to first start with the presentation which is on Slide # 3 to start with . I want to communicate to all of you that CarTrade Tech has delivered its best ever revenue and profits in a year. It has delivered a revenue growth of 28% for the year at Rs. 711 crores. And of course , a 627% increase in profit after tax at Rs. 145 crores. I also want to highlight that three of our platforms , CarWale, Bike Wale and OLX, on a year on unique consumer basis get more than 150 million customers , which is a unique achievement to any company in India, not only in India but also all over the world. Very few companies have three different platforms getting more than 150 million unique customers per year , as I said , on three different platforms.
What is driving this growth? All our businesses have grown well this year and margins have increased as well. The consumer group during the year quarter -on-quarter grew at 30%, resulting in 100% profit growth. We also achie ved a 29% EBITDA margin, which is a benchmark of excellence. The remarketing business or Shriram Automall grew at 12% with a 47% increase in profitability, which shows again that it's on its recovery path to growth. And OLX has consistently grown quarter -after-quarter with a strong 7 2% growth in profits in Q4 last year to this year.
If I look at the next slide which is S lide #4, I just want to reiterate again that we have achieved the highest ever profit for the quarter as well at Rs. 46.1 crores. We are number one automotive platform in India , number one use d classifieds platform, number one vehicle auction platform. Across all our platforms we received more than 74 million customers every month. 95% of them come organically, which shows or drive s the mar gins of the company and shows the brand affinity of all three brands , CarWale, OLX and Bike Wale . We have 500 -plus physical locations including Automall and adSure stores as well as OLX stores. More than 1.4 million vehicles got auctioned last year.

Revenue for Q4 was at Rs. 189.5 crores, which is the highest ever in any Q4. Our a djusted EBITDA, which is almost like a cash proxy for the company is at Rs. 71 crores . Profit over tax, as I said , is Rs. 46 crores, the highest ever profit in any quarter. A nd as you see, our cash balances have gone up to Rs. 954 crores . I just want to highlight here, a year ago the cash balance was close to Rs. 750 crores, which shows Rs . 200 crores of cash profits got added by the company during the year . And also want to highlight that in Q4 itself approximately cash profit of approximately Rs. 70 crores got added. If you see the Q3 results, you will see the cash balance was close to Rs. 880 crores Note: (Note: this should be read as 885

crores) which is now Rs. 954
crores. So, it shows profitability , the unit economics of the company across all its businesses.
If I look at, the next slide , which is the consolidated results of the company . As I said, the profit of the company grew more than 6 times to Rs. 1 45 crores during the year. Overall, during the year, revenue grew 28%, EBITDA grew 90%, margins went from 16% last year to 23% this year, and 27% in Q4, which shows the continuous increasing of margins. When you look at

profitability itself , from last year Rs. 24.96 crore s in the quarter , this year is Rs. 46.1 crores in Q4. And on an annual basis, we reach ed Rs. 145 crores. So a ll in all, strong results across revenue growth, profitability growth and unit economic growth throughout the year , not only on a consolidated basis but also individually in each of the businesses.

If you look at Slide #6, which is the consumer group or CarWale and BikeWale, quarter has grown 30%, which has led to 123% growth in EBITDA. Again here I want to reiterate that, it shows the operating leverage in the business with very little cost increase. You see, the cost increase is only about 11% up in total cost, but the profitability has gone up 123% on a 30% increase in revenue. So , overall, even during the year on a standalone basis , expenses grew only 4% against a 27% increase in revenue, which led to this 279% EBITDA growth during the year.

As I said earlier, PAT has grow n at 100% for the quarter in the standalone consumer group business.

If you look at the rema rketing business , the total income is up by 12% in the quarter and the year. EBITDA is up by approximately 19% during the quarter , and profit after tax up by 47% during the quarter. I think the business has been generally back to growth, on a growth track after a few quarters of flattish performance . And we feel very enthusiastic about the prospects of the business in the coming years ahead.

If you look at OLX India, in the quarter has grown by 12%, EBITDA is up 88% , again shows the operating levels in the business. And profit after tax gone up by 72%, which is Rs. 15 crores for the quarter. It's also achieved its highest quarter ever during the last quarter. I must reiterate here that the growth of 12% is something we feel confident , which is going to change in the coming quarters and years . A lot of the product initiatives and work we have done are still to play out . And we are very, very optimistic about the future prospects of OLX.

If you look at the overall traffic, I just want to highlight that the traffic of the consumer group is actually up year -on-year by about 10%. Normally Q3 is a better quarter in terms of consumer traffic just because of the festival season , and therefore you see a slight decline from Q3 to Q4. But if you look at Q4 this y ear versus last year, there is a growth in traffic. So we feel , again ,

pretty enthusiastic about or pretty positive about the consumer traction on the consumer group platforms or on O LX.

All in all I would again reiterate that we think the current year h as been quite a landmark year for the company. Margins have grown, revenues have grown, profitability has grown, our M&A has stabilized and on the path to doing big things in the future , Shriram Automall there's bounce back. So feel generally very enthusiastic about the results of the company and the prospects of the company in the coming years. So t his is what I wanted to stress on . As I said, this has probably been a pretty landmark year for the company and feel very, very excited about the future prospects of the company.

I also want to add here that we are making a lot of investments in product s and technology across the group, things like obviously AI and various other tools for enabling new products to our customers. And that's in OLX and

CarWale and BikeWale across our businesses. And a lot of the investments we feel in new tech and new products will also help us in the coming years ahead. So , of course, all the product and tech investment we are doing is part of our operating cost. But yes, there's a lot of investment going into innovation for all our consumers across all our platforms.

This is what I wanted to start off with. I am happy to now take up questions from all of you and answer any clarification or doubt s that you might have. Thank you.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Yes. Thank you. Thank you for the o pportunity.

Vinay Sanghi: Thank you.

Vimal Gohil: Yes. Thank you for the opportunity , sir. My first question is on OLX. You acknowledged that you have taken some initiatives to bring growth back on track. If you could highlight what exactly are these initiatives , if you could detail some of them, that would be great. And also , despite lower growth we have seen OLX's margins , despite lower growth , expand, not only on a sequential basis but on a Y -o-Y basis as well. So what is causing that? I do see there is a reduction in the employee cost and other expenses , is there some more room for these reductions or is there some restructuring that is still been pending since the acquisition happened?

Vinay Sanghi: Thanks, Vimal . And thanks for the question. I think the first part is , when we took over it's been about a year and a half since we took over OLX India. And as I said in the earlier calls, a lot of the first six months to eight months was about technology tr ansition, transitioning the platform to our environment. And then in the next four to six months we spent tremendous effort in stabilizing the platform and user growth, as well as working on the current product and tech , and making improvements on the current technology and product, which is there for consumers . I think in the last four or five months, a fter having built up the entire technology and product team

and stability in the teams, we have now started developing additional features and products for all our customers on the OLX stack . You might know OLX has more than 30 million customers a month and close to 180 million to 190 million customers a year. It's a very, very strong digital brand.

And t he attempt here is now someone looking to sell a used product or buy a used product which is, as I said , in India it's the only destination or the number one destination by far to sell a used product or to buy a used product. So the features and products we are looking to add are enabl ing consumers like you and me to sell or buy a used product , and the multiple , multiple product features which are starting to get created or built for these transactions . We feel pretty confident that in the next , I mean , not only quarters but years, a lot of these value -add will get added to the platform which should help consumer experience, b ut also help monetization in the company , all of that. So that's the first part of your question.

I think the second part is , margins have gone up . There is some cost optimization done by us . Generally we do not think that there's much cost optimization opportunity in the business. The big opportunity here is to grow consumer experience and obviously then monetization etc. , etc.

Vimal Gohil: Yes. Vinay, i n terms of monetization, that is exactly what I wanted to understand. If you can give us a couple of examples or a couple of instances where you have been able to monetize a few features or you have been able to add a few revenue streams to OLX , if you could just highlight those that will help. Thanks.

Vinay San

ghi: No till now , I will be honest , there's anyways actually a sequential revenue increase continuously over the last few quarters , right, as we had shown earlier . So even the reality is that a lot of what we are doing now o r a lot of what we are monetizing right now is not products we are rolling or going to roll out. They are mostly products which existed before where it's a little more off efficiency and optimization etc., etc. So we yet haven't seen a lot of the outcomes of many of the initiatives we have been taking on the product technology side , and that should come , as I said, in the coming quarter and coming years. That's why we feel so enthusiastic about the business that the business s tability and growth in revenue and margin growth has happened before even we have gone ahead and created many more products for improving user experience on the platform further.

Vimal Gohil: Understood. Sir, the next question is just a small data point. F or FY25 if you could just give us a sense for consumer business, what would be the broad break up between the actual sales from leads and the sales from used car and the subscription model that we gave to the dealers ?

Vinay Sanghi: No, no, Aneesha, you want to take this? I think what we normally give is OEM sales and dealer sales, Aneesha, am I correct ? Aneesha, do you want give out these numbers?

Aneesha Bhandary: Yes, this is from past trend which is 65 :35.

Vinay Sanghi: Yes, 65% is OEMs and 35% is dealers, correct .

Aneesha Bhandary: Yes, in the similar range, which is what we have been disclosing, in the similar range .

Vinay Sanghi: That's right.

Vimal Gohil: So that continues for F Y '25?

Vinay Sanghi: Yes, there's not much change.

Aneesha Bhandary: There's not much change.

Vimal Gohil: Fair enough. Thank you so much. I will come back.

Vinay Sanghi: Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of V ijit Jain from Citigroup.

Vijit Jain: Yes. Hi, thanks. Hi Vinay . Congratulations , again another quarter of 30% growth in the consumer business. So my question is , now you have two quarters here in the consumer business where the growth has clearly stepped up. My first question is , is your Q-o-Q seasonality here more aligned with auto OEMs , would you say? And related to that, you said last time around I think demand-supply dynamics in the industry have shifted and you are seeing benefit of that in the dealer s advertising on your platform and all of those. So do you see the same trend as you look forward into F Y'26, more inclination from both dealers as well as OEMs to advertise more aggressively on platforms like you ? And then finally related to that, what kind of growth do you

think you can get in FY '26? S o that' s my first question on the consumer business .
Vinay Sanghi: Sure. So let me just answer that. Yes , first, I think normally we do not see much seasonality in Q3, Q4. This is a very odd year where, actually the industry saw seasonality, not just us, right, I mean , very strong seasonality . October was a very big high for the automotive industry, if you see. A nd I think we benefited from that , and Q4 has actually grown substantially with the previous Q4 anyway, right? But we did benefit from Q3 seasonality and that's shown in the consumer traffic, right, even with the consumer traffic . Even though we have grown over previous year, the number of impressions on the i nternet itself of automotive, at least what we see, seems to be less than in Q4 than Q3, which show s that there was a very high seasonality this year, more than normal .
Although in our financial s it's very marginal, the seasonality, if you see. From a profitability standpoint, we almost had highest ever numbers, right . I mean , actually we had highest -ever numbers. So , it's not material or no

t significant to us as a company on a consolidated level . But we have seen the automotive industry this time stronger than normal seasonality in Q3 , Q4, right . Although Q4 has been pretty good as well in spite of that, I mean , to be honest . That's one.
The second thing is the OEM dealer part . I think our initial view maybe year or two years ago was, seeing other examples across the world , was that the OEM business grows faster initially and then the dealer business takes over and the OEM business slows down , and eventually the dealer business is higher than the OEM business . As it happened , even the growth rates are pretty similar , if you can see the ratios are not changing. So it seems like just maybe towards India where it's early days yet , and the OEM is still heavily investing in digital, r ight. And therefore ,

the OEM and the dealer both are growing equally , it seems like that. And probably the trend, I do not see a reason why the trend would not be the same next year in terms of the OEM dealership, that's the question.
Vijit Jain: No, actually my question was more along the lines of , so this 30% growth on the consumer business that you have seen in the second half of F Y' 25, do you think the drivers are the same, so FY' 26 would look closer to that in terms of growth guidance ?
Vinay Sanghi: I cannot give guidance. But I do not think much has changed in industry, to be honest. I mean, it seems that the industry is in the 0% to 5% growth for cars, especially . And most analysts and economists are saying that the F Y '26 should be between 0% to 5% growth somewhere in the automotive industry , that's the general view. I think that might be the view , which is very similar to last year probably.
Vijit Jain: Got it. And Vi nay, within this broadly wanted to get your take on what does new launches from companies do here in terms of , so for example in the bike segment if you are seeing a lot of new launches, for example, do you see more advertising activity directly on your pl atform almost immediately on both bikes as well as car business ? And related to that , is bike segment doing better growth than the car segment for you ?
Vinay Sanghi: Actually, bikes and cars had reasonable similar growths this year . But to be fair, the new launches do help spends . I mean , people do spend more money on, OEMs do spend more money on launches . But also to be honest, the number of launches per year are not that different, I mean , you have an odd COVID year etc., but generally otherwise the numbe r of launches per year are pretty similar , it's not something which is changing.
Vijit Jain: Right. How about the new energy vehicles? Because I think in some other countries you have seen new OEMs coming up or new energy vehicles coming up.
Vinay Sanghi: They are v ery small in India, right? The y are mostly in bikes , and the y are very small in terms of market share, right , the number of vehicles being sold by them versus the entire two wheel industry is very, very small. So it's not material. If I talk about E Vs and I take out Bajaj and TVS, the rest of the lot are really , the numbers are not big compared to the two -wheeler industry in terms of size , they are very small. And therefore the spends are very small as well, relatively small, right. So yes, I do not think it's material yet, whether clean energy kind of vehicle s are getting launched. New vehicle launches as a whole , whether ICE or EV or etc., h ybrids, whatever that might be , it helps anyway , I mean , that's the point.
Vijit Jain: Got it. And my last question, so in the last month or so we have seen a couple of automotive platform websites getting acquired , Team BHP and A utocars specifically I think. So what are your thoughts on those assets ? And I do not know if you can discuss it, but did you c onsider

those acquisitions as well? I think that was my second question.
Vinay Sanghi: They are very different. I mean, I do not want to get into whether we consider ed them are not, but they are very different platforms. I mean , the ones you mentioned are more content driven

information places or enthusiast destinations, not really a transaction platform like CarWale. And the scale of CarWale or BikeWale versus them, it's not comparable actually at all. So as I said, CarWale and BikeWale both get more than 150 million customers a year, right. It is just a different level of scale. S o they are more enthusiast kind of platforms. I think CarWale or BikeWale is more a place you go when you want to b uy a vehicle.

Vijit Jain: Yes, got it. U nderstood. And one last question on the Shriram Auto mall, I was just some trying to understand the --

Moderator: Sir, sorry to interrupt, m ay we request that you return to the question queue for the follow up.

Vijit Jain: Sorry. Sure. I will just jump back into the queue.

Moderator: The next question is from the line of Siddhartha from Nomura. Please go ahead.

Siddhartha Bera : Yes. Thanks , sir, for the opportunity. And again, c ongrats on a good set of numbers , sir.

Vinay Sanghi: Thank you, Siddhartha . How are you?

Siddharth a Bera: I am good, sir . First question on this consumer business again, I mean , some color if you have in terms of industry growth, how has it been say last year or maybe last quarter ? And where is this incremental growth coming from? Because like we understand the industry structure may not change materially in terms of demand -supply like we are seeing right now , but under that construct, how should we look at the growth? S hould we expect the current momentum to sustain or some more normalization like we have seen in the last quarter? So some sense if we get will be really helpful.

Vinay Sanghi: The industry growth, as it's public information , as I said, the industry is growing at a low single digit, right. A nd generally the view is that industry is likely to grow at the same pace next year, that's the e conomist s or the analyst s view, I mean , that will be in that same range. So we do not see any basic market change, or any kind of market dynamics change across the industry at all. I think that's the first part.

The second part is , we continue to play our role, which is helping consumers to buy cars or buy bikes or manufacture the dealers who sell them . And we conti nue building products to enable it , and more so now with a lot of new tools and analytics and AI tools available, etc. , etc. So we are getting closer and closer to solving consumer problems. So we definitely see our role being the same if not increase, right, in the industry. A nd we are very optimistic about the market sentiment and the fact that there's growth in the industry itself . Yes, I would generally be quite positive about the new vehicle market.

Siddhartha Bera: Understood, sir . And we have seen a bit of step -up in the marketing expense in the current quarter, obviously , also seeing some slow down in that visitors ' run rate. So do you think this is something seasonal again and will normalize going ahead ? Or probably we will need to sort of push marke ting a bit higher to drive growth in the coming year?

Vinay Sanghi: No, I do not think . First, marketing is a very small part of our cost, right, its Rs. 7.6 crores in the whole quarter in the consumer group , which is just about over 10% of our revenue, right? So it's not significant. We do not see much variation from here, right , overall in the marketing cost. As I said, the traffic year -on-year is up 10% overall. The reason is, one would think that it's down sequentia lly by about 8%, 9% because this Q3 was a very strong

quarter this year. I think that was the main reason , it has very disproportionate growth in that particular quarter. So there's nothing here to be seen. And the marketing cost s are not significant to th e company on a whole . And that trend is not likely to change. And it's not like traffic has come down because of competitive reasons. Traffic is slightly down because the car searches are down itself, right. That's what's down. It's not that our market sha re of traffic is down.

Siddhartha Bera: Okay, got it. Sir last time on the SAMI L business, I mean, we have seen a very healthy 20% growth in the CarTrade vehicle sold, but the revenue growth seems to be a lot lesser than the volume growth. So what is sort of impacting here ? And when do you think that converges or picks up more going ahead ?

Vinay Sanghi: Yes, I think as I said, repossession seems to have gone up. My repossession share is also gone up, it's now about 54% of vehicles of our inventory is reposs essed which are being sold. So it seems like the market trend towards the cyclical part, the cyclical view of that is that it seems that repossession should grow and continue to grow over the next few quarters. Therefore, SAMIL should be able to benefit fr om that. I mean, that's the way to think about it. Of course, SAMIL , again the thing is , any revenue growth dramatically affects profitability , has very high operating leverage to its business cost. T he whole year cost growth is 7%, right , so it does help when you have low cost growth, margin and profitability shoots up.

Moderator: Thank you. The next question is from the line of Dhruv Bhatia from Edelweiss Mutual Fund. Please go ahead.

Dhruv Bhatia: Yes. Just firstly, I mean , just the data point I wanted t o get is , a bookkeeping question from the remarketing business. Could you just provide what would be the mix between the PV and CV in terms of volume in terms of for the quarter and for the full year?

Vinay Sanghi: For the remarketing, CV tends to be in the 25% range roughly, I mean , that tends to be the volume of CVs .

Dhruv Bhatia: Okay. And secondly just on OLX , the last six months there was a lot of investments since the acquisition in terms of reducing scams on OLX in terms of starting to verify dealers . And if you could just talk a little bit about what all investments are already done and what all are required to be done to accelerate growth from where we are ? Because from a profitability standpoint, I think we have reached a fairly good number. But from here on to drive incremental growth, what are those things that you need to do to get O LX to the next scale?

Vinay Sanghi: Sure. I think the product tech investments I was saying earlier, a lot of investment s in product tech are across different areas of the platform. The first is stability of the platform , imagine there is a platform where 1 80 million, 190 million Indians come every year, right. It's a massive

number. I think it's probably one of the largest in the world of its k ind, right , very few platform s in the world get this number of users . So obviously the kind of investment we do on stability and product and technology has got to be of global quality and global standards, right , probably the best in the world at what we d o. Number one .

Number two, when you look at safety or security in the platform or trust and safety as we call it, there's continuous effort to make sure, like every other platform in India does , is making investments in providing an environment where cus tomers can trade or buy products from each other in a trustworthy manner, r ight, and that's a continuous effort. There are lots of AI tools technology which we implemented over the last few months , enabling or improving further security or trust and safety on the platform. So, it's something we continue to do, and tha

t's

obviously helping the platform itself. We also are looking obviously in the coming months to , as I said earlier, a lot of other tools and features so that customers can interact and sell an d buy used products in a free and easy manner. So that's the intent. And that’s just continuous innovation going on there to improve or enhance the number of transactions done on the platform.

Moderator: We request you to return to the que ue for a follow up question. Thank you. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi, Vinay. Congrats on the recent set of results. My first question is on basically new auto business side , obviously the growth has been good, industry growth is whatever, but the dynamics are favoring you. I wanted to understand competitive dynamics, right , relatively do you think you are gaining market share over the competition ? If yes, what do you think is driving? Are you doing some sort of strategic initiatives where you are creating new products, new benefits for your OEM and dealer partners?

Vinay Sanghi: Yes, obviously we are continuously working on improving our product so that we stay ahead of any other way to buy a vehicle , right, whether it's our auto finance product which is gaining interaction on our platforms, whether it is other features we add for consumers. Our focus mostly, Sachin, honestly is to add things on helping consume rs. If we help consumers then the dealers and manufacturers automatically benefit, right . So we mostly add more and more features which help you as a consumer to buy a car or a two -wheeler in a simple, easy manner, right. A nd like I said, one example is adding our auto finance product. We started it 1.5, 2 years ago, which has now started getting us a lot of consumer engagement .

Or every day th ere are small, small things i n a product and tech we keep adding , enabling helping consumers to find their journey a lot easier, right. And that's a permanent effort. And as I said , now with all the data and all the analytics in our business, how do we add AI as another way of helping a consumer buy a product or buy a vehicle online. So this continuous i mprovement and effort is going on the technology product side . One of the biggest efforts for the year for us internally is further working on our product tech across that group, not just in the consumer group.

Sachin Dixit: Understood. On the same line, basically are you also looking to cater to, let's say , some of the newer formats?
Vinay Sanghi: Hello ?
Moderator: It seems like their line disconnected.
Vinay Sanghi: We lost him.
Moderator: Yes. T hank you. T he next question is from the line of Deep Shah f rom B &K Securities. Please go ahead.
Deep Shah: Inaudible
Vinay Sanghi: Hello ?
Moderator: Yes, sir. You are audible, we can hear you. The line is not reachable; we will take the next question. The next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.
Nishit Jalan: Yes. Hi, Vinay . Congratulations on the good set of numbers.
Vinay Sanghi: Thank you, Nishit .
Nishit Jalan: Yes. So two questions. Firstly, I just wanted to get a sense on the remarketing business. You did mention th at repossession sales have started to come back. Any numbers you can share out of the total growth in auction volume around 18%, what was the growth in repossession and retain segment ? Because what I remember , see, what has been the kind of decline in repossessed vehicles that you have seen in the last three, four years? Because I remember that repossess ed vehicle volumes have been coming down consistently , while you have scaled up the retail volumes because of which your overall volumes have not suffer ed much. So if the recovery cycle plays out, just wanted to understand w hat kind of grow

th trajectory we can look in the repos sessed vehicles in the next two, three years ? So that's the reason why I am asking this question .
Vinay Sanghi: It's hard for us to predict what might happen on repossession growth or other segment growth in the future, I am not able to give any guidance . But repossession growth, generally growth rates are similar across segments . Aneesha, would that be correct?
Aneesha Bhandary: Definitely.
Vinay Sanghi: I mean , it's not like repossession is growing faster than other segments, but generally growth rates are similar across all segments.
Nishit Jalan: Vinay, w hat I wanted to mean is , if you go back in time when your auction volume s used to be 60,000 / 70,000 per quarter three, four years back , right, then what used to be the repossessed vehicles and what is it right now?

Vinay Sanghi: I do not think the repossession has fully come back. That's absolutely correct , I do not think repossession has come back to the volumes they were. It's just that from the base they started growing. It doesn't mean it's come back to where it was, that's the question I think you are trying to.
Nishit Jalan: No, it has not come back, that's what I wanted to understand , to what extent it has come back ? So what used to be the run rate earlier per quarter and what is it now right now ?
Vinay Sanghi: I understand. I do not think I have the answer to the question right now. But it did not come back , if that's the question. I mean, it definitely has not.
Nishit Jalan: Okay, no worries. I will take it offline .
Vinay Sanghi: So yes, there is opportunity to grow , even to come back to its original base it will have to grow substantially from there, yes, correct.
Nishit Jalan: So, just wanted to understand on this , our take rate in this segment has come down. Is it more of a function of the percentage of take rate coming down or is it like the ASPs in this volumes are coming down?
Vinay Sanghi: Yes, I think in ASP there's a little upsurge in two-wheeler s specifically , and Therefore, I think that's just a reflection of the industry itself. But yes, that's the reason, it's not a percentage , it's probably ASP, yes.
Nishit Jalan: And I had one more question on new cars, can I ask that or should I go back?
Vinay Sanghi: Okay. Quick ly I think, go ahead.
Nishit Jalan: Sure. So it was more of an industry question. See, when you see customers coming to your website , CarWale, BikeWale, w hat according to your understanding, are customers coming to the website? What are the top two or three things a customer is coming and spending time on your website ? What exactly are they trying to find?
And why I am asking this is, now obviously you did mention that Team BH P, Autocar, they are also car enthusiast kind of a thing, right. And if they also put on their website a lot of details around new cars comparison and all those sort of things , don't you think that some traffic will get divided and they might also start ta king a bite of the overall advertisement p ool or marketing

pool from the OEM and the dealer side?
Vinay Sanghi: Okay . The first part is , why do they come to CarWale or BikeWale ? I think people come when they are looking to buy a car or a two-wheeler . It is also a very significant purchase for anyone in their life cycle , right. I mean , when you look at your house or your car, it's probably a top one and the two purchases you ever have. So it's a highly involved decision to buy a product of this value in Indi a. And therefore you try and understand w hat car to buy , from where to buy, what price to pay. Once you go through the hurdles on a platform like CarWale or BikeWale, you will

probably try and understand how to get my loan, c an I get my loan section ed? Probably even

just my old car for sale, s o I know what that value is.
And I think right from the time you start to understand that you want to buy a product , to the time you actually get it delivered, you will be deeply integrated with CarWale and its dea ler set or its manufacturer set to run into this process. A s I said, we are probably trying to move , over the years we have move d more from an information provider to more a transaction enabler, right . And I think the next transition of CarWale, BikeWale will be through a transaction doer , when she will probably say listen to press a button by a car and we will deliver to you. So we are moving from an information provider to a transaction enabler to a transaction doer , and that's the transition we are all making .
The other couple of places you mentioned are mostly like, as I said, enthusiast / places of content , right . And they have been around forever. I do not think it changes CarWale' s market dynamics because they are not new, both of them. B oth of them have been around for many, many years . And also then the scale of users is very, very different for reasons . CarWale gets the user it does over many, many years because it provides a certain role when someone buys a vehicle. A nd Team BHP or Autocar provide a different or play a different role. So I do not see that competitive just because they have been acquired , I do not see those dynamics changing at all.
Nishit Jalan: Okay. Thank you so much, Vinay . And all the best.
Vinay Sanghi: Thank you. Thanks.
Moderator: Thank you. The next question is from the line of Sagar Arya from Xponent Tribe . Please go ahead.
Sagar Arya: Sir, just a couple of questions. First on the consumer group business, now you have spoken about the inherent operating leverage that is present in our business economies, right . And if you look at the classified business outside of India, so dominant classified business in car classifie ds operator at north of 40%, 50% EBITDA margin . Even in other categories where there are businesses which dominate in classified s business, they operate at significantly higher margins, right? So if we were to continue to grow at the 20% rate or slightly higher tha t we are anticipating, would you say that we are quite far from saturation of EBITDA margin s in our business ? And if you were to look at the number, say three, four years down the line, what would be a realistic target of EBITDA margin that you would have in the car classified s business?
Vinay Sanghi: Yes, I think not only the car classified s business, I think across the group with Shriram Automall or OLX India, we have tremendous operating division in our business . Our cost s do not go up in relation to our revenue. Our major costs are only manpower costs which are mostly fixed in nature, not var iable. It is fair to say that our margin is already getting best in class in India. We also believe that our margins will get better in the coming years . Whether it will probably get best in class, not only India and best in the world, just as the operating levels we have in our business . So feel very confident about margin growth . And actually we have talked to this the last two, three years as well. I think what we have been able to demonstrate as a company is that

margin growth has happened over two, three years continuously quarter -by-quarter. And we do not see any reason why that would not continue to happen in the future.
Sagar Arya: So best in the world is quite an aspiration, right, l ike you said, the best in the world are operating at signif icantly higher , so good to know this. S econd on the OLX piece, while we have a very large base of users who come and use our platform, at least one big challenge in India has been monetization of users, right , where the average revenue per user has been fairly low fo

r a lot of
platforms. What kind of challenges do you anticipate in monetization of your traffic on OLX ? And what are the things that you are doing to improve that? If you could just give us specific examples , that would be very helpful. Thanks.

Vinay Sanghi: I think on OLX we monetize two sets of users, the monetize consumers and we monetize d ealers. It is the ARPUs per user or the ARPU per dealer is something which is , in our opinion , only likely to go up in company number one, on both cases . And the way we feel the ARPU will go up, I mean , is principally around providing more products and services to same user , whether it is a consumer who's coming to sell or buy a product or whether it's a dealer who is coming to sell a product. The more we off er, the more ability we give you to perform transactions , the greater the ability to monetize , right, as far as we are concerned. So we believe that monetization is going to grow , monetization is going to g row with increased products and services delivered to the user , ARPU's will go up as well. On the other hand, we also believe the number of users will go up. So , it's a combination of all these things put together.

Sagar Arya: But is there a specific number you have in mind, s ay, if you are looking at used cars as an example here, i s there a specific number that you have in mind that you will be able to monetize, say, X percentage of the sale value or of that transaction ?

Vinay Sanghi: No, we do not think that. We obviously want to be very cost effective for the dealer to sell cars on our platform , but we do not have a specific target or goal in mind. We just feel that by offering more and more services , helping dealers sell more cars which we do , we are keeping our ARPU s as well as our number of users , both. We actually think there's a limitless opportunity, both on used cars or used products on OLX at this point. There's no target in mind . You could continuously do this for many, many years ahead. P lus you got to remember the industry itself, the use d car industry itself is growing. And also, the ARPUs of cars itself is growing , the ticket size of cars are growing. So there are a number of market indicators also which should help and benefit OLX on used products itself.

Sagar Arya: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Sachi n Dixit from JM Financial. Please go ahead.

Sachin Dixit: Sorry , my line faced issue earlier . So I had just one more question which was on OLX , right . So something seems to be not working on OLX , clearly , right . So at the time of acquisition we talked about this entity historically has grown around 20% in the last couple of quarters, we are around 15% , this quarter we have droppe d to 10%. Can you detail more of it like so that we as

investor community like get understanding of what is happening , why are we where we are, and why do you think that we will recover ? Because otherwise the trend does not suggest that way.

Vinay Sanghi: No, no , the trend actually suggests that . Because if you see the financials of previous year to this year, on a yearly basis OLX has grown at 16% , 12% quarter -on-quarter and year -on-year in the quarter, but annually it's grown at 16 % So we actually feel very optimistic about OLX and we are actually think that it's absolutely the right path to where it needs to go. I think what we are also saying is that it takes time to build products and services on a platform of 200 million, 190 million people coming. So what's taken us time is adding products and services to what we do. We feel actually really optimistic about the revenue potential, monetization potential, even the consumer potential on number of consumers coming.

There's a lot of work done on the 18 months from an M&A . Just to tell you also , OLX has a

chieved its highe st ever profitability in history , and it came from a many years of loss making background, right , many years of it. So the re were a lot of things which we had to do to get it right a nd ge t it here. A t the same time, grow users, grow monetization and grow revenues, they have always grown . So optimistic , I think we feel a lot of work on product and technology will be done for building future products and services which is underway , and then adoption of that . But very, very optimistic about where it's going and where it needs to go.

Sachin Dixit: And on the same line basically our employee expense in OLX has dipped by almost 25% when compared to 2Q of this year itself , what is the nature of this drop ?

Vinay Sanghi: I do not know the exact percentage.

Sachin Dixit: I mean, it was roughly Rs. 20 crores in 2Q it's now Rs. 15 crores.

Vinay Sanghi: The cost. Yes, it i s just optimization . Because when you do an M&A, you do not know what you need or not. I think we are all new to it in the first year or so , so it's just a little bit of optimization, nothing more than that.

Sachin Dixit: Understood. Thank you and all the b est.

Vinay Sanghi: Thanks. Thanks.

Moderator: Thank you. The next question is from the line of Sindhu Jha from LKR A dvisory. Please go ahead. Sir, your line is unmuted, please go ahead with your question. Seems like the line is not audible , we will move to the next question. The next question is from the line of Palak from MIV Inves tment Management. Please go ahead.

Palak: Hi Vinay. Congrats for the good set of results .

Vinay Sanghi: Thank you.
Palak: Sir my question is again on OLX India . What I understand from the previous conversation is that last six months there have been a lot of effort in improving the platform , and now they are

thinking about the monetization. But what I am not able to understand is that now there are two ways where we can increase the monetization of the platform. First, as the existing a venue that we have fo r the revenue that is the ad listing fees and subscription maybe. But sir, can you help me understand what is our strategic plan, whether we are thinking of the first step that is to increase the monetization from our existing revenue stream, that is the advertisement or listing fees?
And the next part is , what are we thinking about the new avenues? Can you give me a specific example? I mean , you gave us the example of what are the efforts that we are taking , but how it is going to get converted into the monetization. And specifically, when we are talking about such a huge user base, s o what is stopping us from increasing the monetization part? Do you think that the customer stickiness will get impacted or the re are other platforms that are performing well on this aspect, I mean , because of the competition aspect we are not increasing the monetization ?
Vinay Sanghi: Okay . The first part is, O LX is very dominant in used product selling or buying for consumers like you and me or dealers for selling used products. I do not think from a competitive standpoint there's any platform in the country which is even close to what OLX does. As I said, OLX has more than 30 million customers a month and 190 million a year, which is just unique to itself . And it’s a brand. So that's the first part of the competitive side was your question.
The second part is , what are we doing to increase the growth of revenue you have seen continuously over the last 15 to 18 months is grow th in the current monetization models, which are listing fees for consumers and dealers. We have not added any new revenue streams , it's mostly the growth coming from what we have acquired and the current revenue stream and products and services which we o ffer. I think our objective is of course to add new revenue streams to

the business and continue to grow existing streams. The new revenue streams are products which we are still creat ing. There are multiple products which anyway help you and me to sell a product on OLX or buy a product on OLX . And those are underway, we are still under product development. So , in a next few quarters they will start rolling out and we obviously expect increased monetization from them.
Palak: Perfect. Sir the 17% growth that we are talking about , is it just purely from the increase in the monetization ? Because I assume that the --
Vinay Sanghi: Which growth, s orry, what number did you say?
Palak: It has to be a mix of user base increase for monetization. So could you help me understand that how much percentage was due to the user base increase and how much percentage due to the increase in the monetization?
Vinay Sanghi: I mean, we normally have very marginal rate increases , they are mostly increases on more user engagement or user increases itself. The rate increases are very minimal.

Palak: Sir, the only thing that we should start accelerating and charging users more because eventually when we will provide them better services, we will have to start monetizing that part also. So there has to be a slight acceleration in terms of growth of the amount that we are charging to users.
Vinay Sanghi: No, I think what we are trying to do here is add products and services and monetize that. We do not necessarily think the best way to mo netize is just keep increasing rates. T he intent here is to keep on giving more and more to the user to do more and more transactions and therefore increase our revenues. I think that's the intent here.
Palak: Okay. Thank you.
Vinay Sanghi: Thank you.
Mode rator: Ladies and gentlemen, we will take this as our last question. I would now like to hand the conference over to the management for closing comments.
Vinay Sanghi: Thank you all for joining this afternoon. A nd we feel very enthusiastic and happy about the year gone by and also very optimistic about the year coming ahead. So thank you for joining and look forward to talking to you again soon. Thank you. Bye , bye .
Moderator: On behalf of CarTrade Tech Limited, that concludes this conference. T hank you for joining us .

And you may now disconnect your lines.

Call: Aug 2025

Date: August 04, 2025

To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza , Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE

ISIN: INE290S01011

Dear Sir/ Madam,

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q1FY26 Earnings Conference Call held on July 28, 2025

With reference to our letter dated July 23, 2025 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q 1FY26 Earnings Conference Call held on July 28, 2025 .

The above information will also be available on the website of the Company at www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a
Page 1 of 16

“CarTrade Tech Limited
Q1 FY26 Earnings Conference Call ”
July 28, 2025

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

MODERATORS : MS. NIDHI VIJAYWARGIA – MUFG INTIME INDIA PRIVATE LIMITED

CarTrade Tech Limited
July 28 , 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the CarTrade Tech Limited Q1 FY '26 Earnings Conference Call organized by MUFG Intime India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Vijaywargia from MUFG Intime India Private Limited. Thank you and over to you, ma'am.

Nidhi Vijaywargia: Thank you, Palak. Good afternoon, ladies and gentlemen. I welcome you all to the earnings call of CarTrade Tech Limited to discuss the Q1 FY '26 business performance. Today on the call, we have from management, Mr. Vinay Sanghi, Chairman and Managing Director; and Ms. Aneesha Bhandary, Executive Director and CFO.

Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For more details, kindly refer to the Investor Presentation and other filings that can be found on the company's website. Without further ado, I would like to hand over the call to the management for their opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, Vinay sir.

Vinay Sanghi: Thank you. Good afternoon, everybody, and welcome to this first quarter earnings call. And I really want to thank all of you for joining this call. We have, of course, put up a presentation, and I'd like to start by referring to Slide 3 in the presentation. As many of you can see, CarTrade has delivered in the first quarter, its highest ever profits at 106% growth to INR 47 crores and its highest ever revenue at INR 199 crores.

We are quite excited and -- about the quarter gone by and the future prospects ahead and really feel optimistic on the business situation the way it is today. We have almost more than 150 million users on each of our platforms, CarWale, BikeWale, OLX that we've talked about earlier. And our traffic, as you can see in the slides ahead, continues to grow. If you look at the businesses itself, the consumer group has grown by 32%, which resulted in a 79% growth in profit and achieved a 29% EBITDA margin, which is getting close to a benchm ark for the entire industry.

Our remarketing business has gained momentum and delivered a 36% growth, which has led to almost 258% growth in profits, growing the leverage in the business. And OLX has achieved its highest ever revenues with a 71% surge in its profits. If you look at Slide 4, I want to reiterate that we achieved the highest ever revenue and prof its in the quarter.

We are the number one autom otive platform in the country, number one used class ified platform in the country, number one vehicle auction platform in the country. Approximately 75 million consumers come to all our platforms every month. And what is more remarkable is 95% of these come organically.

We have 500 -plus physical locations. We auction at the rate of 1.4 million vehicles a year. Revenue, as I said, is INR 199 million in the last quarter, which is the highest ever. Adjusted EBITDA is almost INR 73 crores, which is a cash proxy for the company and profit after tax is INR47 crores.

And as you can see, the cash has tossed to INR 1,024 crores, which is approximately INR 70-odd crores more than the last quarter. So the company continues to be healthy with margins and healthy with its profits and cash generation. If you look at next slide, Slide 5, revenue from operations and total income is up 27% at INR 199 crores. If you see our cost base is up by onl

y
8%.

And normally, as you know, all our increments are done in the first quarter. This cost increase, which we see in employee cost at 7%, we expect to be quite stable now for the rest of the year, considering all the increments are factored in, in the first qu arter this year. EBITDA is up 98% as a result of the leverage in the business, as you can see.

And EBITDA margin has gone to 25% on a consolidated basis from 15% a year ago. So margins continue to grow. PBT is up by 132% at INR 57 crores, which is our highest ever PBT in the quarter as well. And then that is -- PAT is up 106% to INR 47 crores. The PAT is up 106% in spite of INR 5.5 crore s deferred tax.

As you know, that's a noncash tax cost as per the accounting standard. So in spite of the tax being up from INR75 lakhs to INR 5.5 crores, PAT is still up 106% in the quarter. If we go to the next slide, which is the consumer group, as I said, revenue is up 32%, profit after tax up 79%.

The 32% is on the back of an automotive or a car industry, which has barely grown in the first quarter. It's been flattish. And in spite of that, the business has grown by 32%. Costs up 9%, which is mostly on a very low base, marketing costs up a little bi t. As you see employee cost is up only 4%. The one thing I'd like to also call out on the consumer group or -- is, again, the leverage in the business.

The margins have gone to 29%, which is probably close to our highest ever margins. As you can see, PBT is up 115%. And because of the deferred tax, PAT is up 79%. The one thing -- the other thing I'd like to call out is normally Q1 is the weakest in terms of revenues. And obviously, we expect this to grow as the season picks up from July onwards.

If you go to Slide 7, and this is the remarketing business. The remarketing business is up 36%. This is something we've been working on for 2 to 3 years, as we called out in many, many earnings calls in the past. We had talked about how repossession in the Indian automotive industry had been going down.

There has been a slight bounce back in repossession, but also our retail businesses have grown. And collectively, and that's resulted in this massive 36% growth. And again, here, you can see the leverage in the business. Margins have shot up from 14% to 23 %, EBITDA is up 120% and of course, PAT is up 258%.

In Shriram Autom all also or the remarketing business, Q1 tends to be normally a sluggish quarter. So we do expect things to still improve from here as we go on for the rest of the year. If you look at OLX on Slide 8, it's up by about 2% to 3% and operating revenue, total revenue up by 12% and profits up by 71%. We do -- we've done a lot of work on product tech in the last quarter.

We've seen some early results of the growth momentum as the growth engine starting to fire. We're very optimistic about OLX during the next few quarters of the year. We definitely feel that all the product initiatives we are taking are starting to pay off. We launched an Elite Buyer program earlier this month, and we really feel -- we've got 3 more launches this quarter itself in July, August, September. And the existing products have also started to grow.

So we feel pretty confident about the OLX growth prospects in terms of revenue or even traffic and other user metrics over the current quarter and then in the following quarters in the year.

The rest is the segmentation results, which is on Slide 9. The only thing I want to highlight there, this question comes often.

If you see the share-based expense or ESOP cost, if you see it is also down 36% this year in the first quarter. It's down from INR 6 crores a quarter last year to about INR 3.85 crores a quarter. So we've had ESOP costs come down as well. So this is what I had to say. I'm happy to answer all your questions and doubt and clarify anything you might want to ask. Thank you.

Mode

rator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Congrats on a good set of results.

Vinay Sanghi: Thank you, Siddhartha.

Siddhartha Bera: Sir, first on the OLX. So like you mentioned that you have already taken a few initiatives, which should sort of start helping the growth momentum going ahead. So if you can provide some more color about how to sort of see the improvement? I mean, will ret urning to that double -digit 15%, 20% take some more time, probably a year because of the initiatives will proba bly take some time to roll out o r how do you see in terms of the impact on the revenues from a growth perspective given the initiatives which you have taken?

Vinay Sanghi: Sure. One is we normally don't give guidance on any growth percentage. But the first new product we launched was earlier this month, the Elite Buyer program, which has had really good response. We're launching 3 new products probably by the end of Septembe r or beginning October.

We definitely feel that some of the initiatives will kick in and deliver some growth to our revenues in the current year. But we also believe that the earlier initiatives, there has a lot of work on product and technology are starting to get some results, and we do feel pretty confident of a reasonable growth in the next few quarters in OLX.

Siddhartha Bera: Got it, sir. And in terms of the remarketing business also, we have seen a pretty strong step-up in the current quarter. You mentioned that you believe these trends should ideally continue given

that Q1 is generally a seasonally low quarter in terms of rev enues. So some more thoughts there
from where have we seen the pickup?
And if -- on the mix side also repo and consumer where was the bigger sort of delta? So some
more insights into how the growth has played out?
Vinay Sanghi: Sure. The growth has come across segments. It's come in repo, it's come in our retail business.
Our retail repo rate is about 45% and 45%, it's almost the same in percentage of volume. But the
growth across segments, you're right, normally, April, June, normally our numbers are the weakest. It shows the strength of the business.
And we've done a lot of work. I mean if you see in the last few years, we've talked about this a lot. And many earnings calls where we've told you that when repo comes back, we'll come out
much stronger because the amount of work we did then is actually pa ying off now. So not only
repo grown, but other businesses have grown as well, and that's the result of this.
We're actually quite optimistic about the year in the remarketing business. We see no reason why this should not continue. So if that's the question. I mean, as I said, normally, April, June is
the weakest volume. It should only pick up from here for the r est of the year.
Siddhartha Bera: Got it, sir. I will come back in the queue.
Moderator: Thank you, sir. The next question is from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: So on the marketing piece, right, so what we noticed in your metrics is that the volumes have actually dipped Q -o-Q and that too a significant dip is there, while revenue has grown Q -o-Q as
well. So can you explain like what is the nature of this? What is happening? How are we driving this?
Vinay Sanghi: The volume, actually, if you look at Y -on-Y, I mean there's an appreciable volume in Y -o-Y in
terms of the volume itself, if you see year -on-year. Normally, March -- if you look at the
numbers, March is normally a more buoyant period than any other quarter . And obviously, as
we get towards the end of the year, volumes will increase.
But if you really look at year -on-year, I mean, if you look at the year -on-year, the volumes are
up, actually, th

e listing is up 35%, the volumes up 29% so we feel pretty optimistic. As I said,
even there's a good mix of repo bouncing back and retail growi ng as well. There's pretty much
growth across segments. So we see a reasonably buoyant kind of situation.
Sachin Dixit: Yes, I agree Y -o-Y, the trajectory is easier to see, but I just wanted to understand the Q -o-Q
trajectory, right? Is it that the...

Vinay Sanghi: There is a 2 -wheeler bias, I'll be honest you're right. There is a little 2-wheel bias. I think that
just the nature of repossession in India. There is a little bias. But to be honest, I think the way to
compare volumes is really year -on-year, not Q -on-Q. I think that's the right way to compare it.
Sachin Dixit: Understood. And my second question is on OLX, right? As you were highlighting that there are
certain initiatives that you have already pulled off, three more expected to come in the coming
few months, right? So is that the one that is getting reflected in a very sharp like 24%, 25% Q -
o-Q rise in employee cost, that's where the investment is going in?
Vinay Sanghi: There is some tech product investment, but I'll be honest, one -- there are also increments which
have come in, in April, all our increments are factored in the first quarter. From here, you'll see very little cost growth across the group, not just in OLX, but there is an increment which has
come in the first quarter as well. And therefore, you're seeing the wage costs go up. And if you look at actually employee cost year -on-year, it's actually the right way to look at it, not Q -on-Q.
Sachin Dixit: Understood. And just a follow -up on this one, right? There is also a rise in other income OLX,
which I think is coming from some liabilities, which don't need to be written back. Can you just
explain ?
Vinay Sanghi: There were some provisions which we had made, which, of course, they w ere not required to be
made. So, obviously, we've taken that back into income.
Sachin Dixit: So that will revert back in the -- that will normalize in the coming quarter, I guess?
Vinay Sanghi: That's right. At this point it would, yes, at this point it would unless there are addi tional as such.
Sachin Dixit: I mean are there any more provisions or liabilities that need to be written back in the coming quarters or...?
Vinay Sanghi: Aneesha, you want to answer that?
Aneesha Bhandary: Yes, Vinay, we are currently evaluating that. So there is some amount of cleanup that we've done in this quarter, but we could anticipate another set of cleanup in the coming quarter. We're
evaluating as a company.
Sachin Dixit: Thanks. All right. Thank you and all the best for the coming.
Moderator: Thank you, sir. Th e next question is from the line of Vijit Jain from Citigroup. Please go ahead.
Vijit Jain: My first question is just looking at the traffic growth, right, 7% Y -o-Y is slightly lower than the
trend we've seen recently. So do you think this is broadly reflective of the overall automotive

market in general in terms of the demand trends? And I know for you, the business is also a
function of whether advertisers and OEMs in this case, want to advertise.
So it doesn't directly flow through necessarily from this immediately. But how does this impact
you on a more rest of the year basis here?

Vinay Sanghi: Sure. Yes, you got to remember the 7% growth in traffic in India is on a factor of the fact that
the industry has actually slightly very marginally degrown, right? So it is a big factor on growth
of traffic. That's really growth of the industry a reflectio n, if you ask me, on interested buyers. I
think the two things happened.
One is obviously our market share of traffic has grown is bound to have considering the industry has not grown, right? That's one. The second is if industry ha

s not grown and we've grown 30%
or more, it shows that people have shifted from any form of spend to us, which I mean the market
share there has grown as well, whether it's digital or total.
And that's what we always say that when -- in industries like this, which are competitive or when
the growth rates -- when demand is more than -- when demand is less than supply, which is
always the case normally in any industry, where supply is more than demand, we thrive then.
And I think last 2, 3 years have shown continuous growth here, just looking -- and the industry
has grown as well, actually, automotive industry, even though it's flattish, it's not that it is at a 0
point of scale, and we continue to grow with that. And I think that's a -- it's a very good position
to be, right?
I think most people are estimating the automotive industry to stay as it is for the next 3 quarters, right, for the end of the year, maybe like 0% to 3% growth, probably somewhere there. We feel
that's where we make the most contribution to manufacturers and dealers, and that's where we
become the most relevant to everybody. We've always said we are the lowest cost of customer
acquisition for any manufacturer or dealer. And this is the time when they need us the most.
Vijit Jain: Got it. And then my next question is on the employee costs in general and 2 parts to that. One
is, so a bit higher in OLX versus in stand-alone consumer. And I guess that is in line with where
your product development efforts are going? And second, related to that, the ESOP expenses, is
this the new normal going ahead?
Because on a total employee cost basis, I think the increase is fairly modest here, right? I mean,
so I'm just trying to get a sense of whether this is -- including the ESOP cost, the comment you
made was th at this is going to be the base?
Vinay Sanghi: Yes. First, employee cost on a group level basis is 7% up Q -on-Q, right? Sorry, year -on-year,
7% up and we actually think now because this is mainly a factor of increments, right? So the
chance of -- it's very unlikely employee cost will go up from here for the rest of the year, number
one.
There may be marginal changes in number -- we may hire a few people, et cetera, et cetera, but
no significant change in employee cost going forward, number one. In OLX, just to correct,
employee cost is actually down 5% year -on-year. So it's not up, number one. I think that's in
spite of increments being factored in. So that's the second part.
The third is the ESOP cost. ESOP costs, as we've always said, it keeps coming down because --
and we don't think -- it could come down further in the coming years, actually, to be honest. So
we don't think that there's going to be any significant ESOP cost . Even now if you look at INR 3.8

crores a quarter, it will become insignificant on total cost anyway now. So -- but if at all, it will
come down or remain stable. It's not likely to go up.
Vijit Jain: Got it. So Vinay, the ESOPs are largely being given into the OLX employee base? Is that the...
Vinay Sanghi: No, these are ESOP costs. These costs are pertaining to costs which of ESOPs are granted in the
past. They're not a current grant. Normally, when you issue an ESOP, you issue it -- is granted
and then vest over a 4-year period or 5 and you are amortizing t hese costs over a 4 -year period.
So some of these costs are ESOPs granted in the past, not being granted now. So I mean a large
part of the cost is past grants, right? We actually in the last quarter, Aneesha, you can correct
me, we haven't granted any ESOPs.
Aneesha Bhandary: No.
Vijit Jain: Okay. Got it. Understood. The last question...
Vinay Sanghi: And then that is why we keep coming down because a lot of the grants 3, 4 years back are --
have not fully vested. So this cost will keep coming down.

Vijit Jain: Got it. Understood. The las

t question I had was on the remarketing business. I heard your
comment on April, May. I mean, in general, the seasonality in this quarter is very well understood, and it's still a pretty remarkable set of numbers. So is it that -- is your optimism
being driven by, in general, what we see in the industry in terms of -- or what is being seen in
the industry in terms of NPAs in used vehi cles and the new vehicle space? Is that something that
you can see is going to rise gi ven what you see in April and May?
Vinay Sanghi: No, I actually can't predict it's going to rise, but I do see NPAs higher than t hey have been in the
past. I t's hard for me to predict what might happen in the future. But definitely, repossession is
up. The volume coming to us is up, our market share may have gone up as well.
But -- and also, by the way, during the last 2, 3 years when repossession was down, we built
other segments, which have also grown. So I think it's a combination of all of that. But it -- even
I would -- I would just think repossession will be where it is right now. We are not projecting it
to go up or down. We're just thinking it is what it is. It's hard for us to predict whether it will go
up or not.
Vijit Jain: Got it. And if you can disclose those metrics that you used to disclose earli er, share of repo,
remarketing?
Vinay Sanghi: It's -- as I said upfront, it's about 44% and 45%, retail is 44%, repo 45% in volume.
Vijit Jain: Okay. Got it. And new and used dealers and OEMs?
Vinay Sanghi: Aneesha is new and used 84% in CarWale and 16% and what's the third one you wanted?
Vijit Jain: OEM and dealers ?

Vinay Sanghi: Is it -- Aneesha, you want to say I can't completely...
Aneesha Bhandary: See, the OEM is about 69% and retail is 31%.
Vinay Sanghi: 69%. Yes, 69%- 31%.
Moderator: Thank you, sir. The next question is from the line of Deep Shah from B&K Securities. Please
go ahead.
Deep Shah: So, Vinay, actually, I wanted to understand a bit on nature of our employee cost ex ESOP. So
when I see our, say, consumer business, they have been growing pretty much in single digits Y -
on-Y, of course, other than 4Q. So what would be the split between, say, fix ed cost and variable
cost here b ecause I assume some of it would be incentives based on the kinds of?
Vinay Sanghi: No, it's not. We don't -- in the consumer group, actually, we -- our incentives are very low. And
we've talked about it earlier, a large part of our people costs are fixed costs. You should think
about the tech. And that's where you see the employee costs i n the consumer group or across the
group, actually, I would say.
If you go and look at the last couple of years, the cost escalation is very, very low. And it's because of fixed cost. So as revenue grows, almost a large part of it gets added back to profit. And I think we've demonstrated that in our margins over the las t many, many quarters that as
revenue has grown, a large, l arge part of it just goes to and that's the beauty of the model .
And the leverage we have in our business that a lot of the cost of wage increase of that 7% or
8% is done in the first quarter. If our revenues were to grow in quarter 2 or quarter 3 or quarter 4, a large part of that would go to profit straight away. I think that's just the nature of our business.
Deep Shah: Correct. So then it would be very logical to assume that the incremental EBITDA margins for
the business as a whole will keep on improving even from these levels akin t o what typical
Vinay Sanghi: We've always said that. We've always said that our margins are normally -- if you look at the
historic last year or the year before, in Q1, our margins or EBITDA margins are the weakest.
Deep Shah: Correct.
Vinay Sanghi: So if it is 25% consol e or 29% the consumer group, we all, of course, anticipate it will go up in
the next few quarte

rs, absolutely if revenue grows. The chance of significant cost escalation in
the next few quarters is lower. The chance of cost escalation.
Deep Shah: Perfect. Thanks, Vinay.
Moderator: Thank you, sir. The next question is from the line of Kunal Vora from White Whale Partners.
Please go ahead.
Hardik : This is Hardik here. I just had a question on OLX. If you take out the other income, then actually
the revenue from operations is up about 2% year -on-year and our EBITDA would have probably

degrown a bit. So can you just talk a bit about when we can expect some kind of momentum on this front and also on the expenses front, where are we kind of investing back?

Vinay Sanghi: Sure. we've been doing a lot of work on OLX over the last, I would say, like 18 months or so or 19 months. And a lot of our work is done in product and technology. As we said, we launched a product earlier this month, and we're launching three more in this quarter. That's taken 4 to 6 months of work to bring these products out.

We actually have started first signs of seeing growth in OLX coming around. And we actually believe through the rest of the year, I mean, we should be able to deliver reasonable growth in OLX and revenues. And of course, if revenues do grow, profitability would grow at a much faster pace because the costs are unlikely to go up. So we feel very optimistic about it.

I think we also attached this time and we, of course, had put it up to the markets even a few weeks ago, the OLX strategy deck is part of the current presentation, where you can see the potential of OLX as we think it is and the TAM for the used product ma rket -- for entire used products in India, whether it is cars or electronics or other used products.

And therefore, that gives us a lot of optimism with OLX being a market leader by far, we're now having 180 million people a year coming entirely driven by brand. We don't advertise at all at OLX, which is 180 million people a year. So we feel very optimist ic about all of this. We've shared a lot in the presentation which attached here.

And we think that the growth engine, we can see early signs of it. Like we talked about SAMIL for the last 2 years. We feel this is also a place where we're in a reasonably good stable place, and we see a tremendous opportunity in the next 3 quarters and m any quarters after that.

Aneesha Bhandary: Just one thing to clarify Hardik. Hardik, just to clarify, the EBITDA has not degrown. EBITDA is without the other income. So the EBITDA, which is disclosed on the screen is revenue from operations minus the costs. So the EBITDA is excluding that.

Hardik : Okay. No, no. Sorry, my mistake. And just a follow -up on the OLX part, right? I mean in the past calls, we used to always talk about how within OLX, we want to focus on just the car opportunity, the used car opportunity, which has got a long runway for growth and that we would take the other segments, let's say, electronics and mobile as and when we've got things figured out. So I just want to understand a bit in terms of your thinking, what kind of was the catalyst for us to now look beyond just th e used cars and expand into the other categories as well?

Vinay Sanghi: Yes. So some of the other categories have also grown and the product creation, which we've launched is not just in automotive. So we launched an Elite Buyer program earlier in the month, it's, of course, on cars, but it's also on bikes and electronics and other used products. And all the products we launch now are actually aimed at all the used products OLX deals in, not just cars. So those are some of the things we've done here where our first initial objective was to stabilize product and technology, then grow cars, then the other categories. I think we've taken up everything together. And as much as we work on cars, we work on the other categories as

well.

Hardik : Okay. Got it. One last question on the traffic front. I -- as somebody already mentioned on an absolute basis, traffic is growing at about 7%. And if I look at it even from 3 quarters, like from December quarter, has even degrown. Now I just want to unders tand how much of a correlation is there between, I guess, industry demand and traffic and how much of it is -- like should be the secular growth given it's still underpenetrated, right?

Vinay Sanghi: Yes, there is no -- there's not much correlation between traffic growth and revenue growth. I mean you can see that in the results in the last few quarters. Traffic has actually got 7 -- revenue is up more than 30%. That itself says something. I think traf fic is a reflection a little bit about the industry on the whole of how many people out there are searching for cars. It's not such a reflection of our revenues. So I would not correlate traffic growth with revenue growth in the company, I wo uld not I think for us we have -- yes.

Hardik : No, sorry, I was actually asking about traffic growth with overall auto motive industry demand growth?

Vinay Sanghi: See, it's a reflection -- there's probably a reflection, yes. So the industry grew by 20%, the traffic may grow faster. But the industry has actually been flat over the last quarter. So you see a traffic growth of 7%, which also means we've gained market s hare a little bit from others.

Hardik : Okay. So I mean, if industry demand was to accelerate, then this traffic growth would go into like, let's say, the high teens or 20% as well?

Vinay Sanghi: It's possible. I think when the industry grows faster, the traffic is bound to grow faster.

Hardik: Got it. Thanks so much.

Moderator: Thank you, sir. Th e next question is from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Thanks guys and c ongrats on a good set of numbers.

Vinay Sanghi: Thank you.
Vimal Gohil: My question is on the classified industry, which you just discussed. So you mentioned the industry may have been weak this particular quarter, and it's quite encouraging that you mentioned that you've gained share. But given the fact that or rather the size of the industry as
such versus the overall spend that our end customers do on other platforms, why should our
industry degrow? Shouldn't we be sort of growing at least or remain flat ?
Vinay Sanghi: Sorry, what has degrown, sorry?
Vimal Gohil: The industry, the car classif ied industry as you mentioned?
Vinay Sanghi: No, no, car classified has not degrown. Nobody said that. The car industry is flat, not car
classified industry. In fact, car traffic has grown, so I don't think that's correct. Our traffic has
grown 7%. The industry is down by, I think, 1% or something this quarter, right, the car industry

itself. In fact, the reality is digital adoption is going up in respect to the industry. And our
revenues are growing at 32%, which shows the adoption actually.
Vimal Gohil: Understood. And the second question is on OLX. You mentioned that you are already seeing
signs of pickup from new initiatives. And this year, could be -- you're expecting reasonable
growth. Is this growth or confidence of growth coming from the new initiat ives that you've taken
or the business as it is showing a good amount of traction because the newer initiatives we
assumed that?
Vinay Sanghi: The new initiative is very early. It's only a month old, but we're seeing it across both. We're
seeing new initiatives -- the first new initiative work out well, but we're also seeing growth or
the early signs of growth in the -- our current products and se rvices we already offer.
Vimal Gohil: Understood. And on the reported margins for OLX, if my assumption is that once the growth
comes back,

should we be looking at the margins coming back to the previous levels?
Vinay Sanghi: Yes, the margins will keep going up as revenue grows in this company as well. It's -- whether
it's OLX or Shriram Auto mall or the consumer group, which is CarWale and BikeWale, it
continues to grow as revenue grows, of course.
Vimal Gohil: Thank you. All right. Thank you so much. All the very best.
Moderator: Thank you, sir. The next question is from the line of Huseain Bharuchwala from Carnelian
Capital.
Huseain Bharuchwala: So I just wanted to understand on the OLX side, like one thing which I wanted to understand is
on real estate front. You've not mentioned how much we can scale it up on the real estate. So
can you give some color on real estate? Can it become big? How mean ingful that can be?
Vinay Sanghi: Yes. Real estate is one of our second largest categories after auto. We are in a specific place in real estate
where we don't -- most of the business is of people's houses or commercial properties
or rentals. It is not on new development. So a lot of the other real estate players focus on new
development, which are new properties or new sites.
We are mostly on people's own premises. And in that, we have a reasonable market share. So
we feel very optimistic about the real estate side as well. It's a high -margin business for us,
something which has also done well in the past for OLX and is very st rong in Tier 2, Tier 3
cities, especially reasonably medium -sized, low -cost properties.
Huseain Bharuchwala: Got it. And you have focused players like Nobroker.com or the other players which are there in
the market. So how do you see the competition in this landscape?
Vinay Sanghi: We're actually very different because a lot of NoBroker -- I think some of these are buying and
selling properties. We are not doing that. We're a platform where sellers and buyers directly connect. So if you're a real estate
-- if you're a consumer who's g ot your own house, you use
OLX or if you're maybe even a real estate broker who's got properties, you might list them.

We generally -- OLX is a platform, which is an asset -light platform. Some of these others are
trying to get transactions done and make money, which they could be even taking positions on
them. We don't do that at all. We're just a marketplace.
Huseain Bharuchwala: Got it. Okay. Thank you.
Moderator: Thank you, sir. The next question is from the line of Rohan Nagpal from Helios Capital Asset
Management. Please go ahead.
Rohan Nagpal: Congrats on a great set of numbers.
Vinay Sanghi: Thank you.
Rohan Nagpal: So on OLX, you talked a lot about the optimism. I mean, you've talked about growth and your

optimism about it sort of accelerating from here on. Could you just provide some color on like the signs of growth that you're seeing? Are you seeing more traffic? Is it more listings? Is it more paid listings or I mean, advertising on the platform? Are you seeing more people getting -- signing up for the Elite Buyer program? Just some like...

Vinay Sanghi: Yes, these are normally the indications -- yes, normally the indications we look at our daily active users or our listing, paid listings, conversion buckets, conversion flows, collections. These are some of the metrics we look at. And we see many signs of that now going up. So we feel pretty confident that this growth engine will start and start driving growth in revenues in the coming quarters and coming years for sure.

Rohan Nagpal: Could you provide -- I mean, is that -- can you quantify some of these? Like what is the sort of uptick you're seeing year -over -year, quarter -over -quarter?

Vinay Sanghi: We have not -- at this point, we're not able to disclose the exact -- all these metrics and the growth rates of the future. We don't normally give guidance around this. But the early signs are -- I me

an, like we talked in the past of Shriram Autom all, the early signs are that it looks like the growth engine or the growth in metrics as well as revenue should start from now.

Rohan Nagpal: Okay, thanks. That's it from my end.

Moderator: Thank you, sir. Th e next question is from the line of Sashi Rajan from Anadhin Capital . Please go ahead.

Sashi Rajan: Congratulations. Just can you understand that -- can you just help me understand the traffic that is we are getting from the Tier 2 and Tier 3 cities, as far as services and products are concerned?

Vinay Sanghi: As far as which? What's the last part of the question, traffic from Tier 2, Tier 3 cities and...?

Sashi Rajan: Tier 2 and Tier 3 cities, how much traction we're getting in the car segment and the electronic segments from Tier 2 and Tier 3 cities?

Vinay Sanghi: If you talk about OLX specifically on used products, a large part of OLX's traffic comes from Tier 2, Tier 3 cities as well. One of the reasons why OLX has remained strong over the last few

years is availability of data or penetration of 5G and 4G in some of these towns, which is what provided some level of growth in OLX as well and by -- that's also some of the growth coming in CarWale and BikeWale because we find that Tier 2, Tier 3 is driv ing some of this growth. As we go on, as penetration goes -- the Internet penetration grows in these towns, obviously, the beneficiaries will be platforms like CarWale, BikeWale and OLX. But that penetration already started to happen in the last 2 to 3 years, and we're already seeing growth coming from these towns.

Sashi Rajan: Thank you, Vinay. That answers my question.

Moderator: Thank you, sir. Th e next question is from the line of Ankit Kanodia from Zen Nivesh. Please go ahead.

Ankit Kanodia: Congrats on getting good set of numbers.

Vinay Sanghi: Thank you.

Ankit Kanodia: So most of my questions related to the current business scenario has already been covered. So I'll just ask a forward -looking question in the sense that not asking for any numbers, but how do we see us growing our revenues in the next, say, 2, 3 years? And why I'm asking this question is that because the market we are in is still very, very, very nascent and probably still -- if we don't take the OLX part, if we just take our CarWale seg ment.

I think most of our traffic would be metro and metro also, there would be a few metros who would be giving us most of the traffic. So any color on how do we long-term approach this and how to penetrate the market further going forward because we are still at a very nascent stage?

Vinay Sanghi: Sure. No, I agree with the fact that we are all in early days of this in India. There are two, three growth drivers here. If you look at the industry itself, the automotive industry itself is underpenetrated in India, number one. Number two, the digitization of it itself, only about 15%, 16% of all advertising in India comes with digital platforms like o urs.

So in most other countries, that's 30% to 40%. So that's also at a very early stage. If you look at the TAM, whether you look at used products or new products, we've got such a big universe. In fact, I think CarTrade Tech after the OLX acquisition, the TAM is almost limitless. It's only -- our growth is completely dependent on what we can execute and what we can deliver.

So we feel very optimistic about growth in volumes, growth in market share, growth in revenues, growth in profitability and margins over the next few years and quarters, whether it is used cars, whether it is new cars, whether it is new bikes, whether it's used products, whether it is auctions, we feel very optimistic about -- as I said, the TAM for the group is almost limitless.

There's a lot to do and there's a lot for us to work on. There's a lot of new technologies to build. In fact, what we've no

t talked through is the amount of AI intervention in the company itself at
the front end, back end. There's a large amount of work going on, which, of course, is not evident

to everybody on the amount of technology innovation and intervention we're doing on all our platforms and products.
As we talked about the fact that also the brands, BikeWale, CarWale and OLX, we are probably one of the only company in the world, which on 3 different platforms, we see more than 150 million customers a year on three different platforms. And I think that itself makes us feel r eally optimistic about all the three brands, OLX, CarWale and BikeWale, and we feel really optimistic about the future because of that reason itself.
So there's technology, there's brand, there's TAM, many, many reasons why we feel optimistic about revenues and profitability and margin growth in the future.
Ankit Kanodia: Okay. And second question would be any color onto -- I'm not asking for any particular competitor, but any color on competition as to what -- where the industry is going, what other players are doing in general and how we are maybe ahead of them or maybe d ifferent from them?
Vinay Sanghi: As you know that OLX has no direct competitor. OLX is a very strong market leader on used products, which is used cars and other products. Shriram Auto mall also has no direct competitor, very, very strong in auctions. For us, a lot of what we need to do in the future is just focusing on our execution.
As I told you already, the TAM is limitless. For us, it's about building really good technology and products for our consumers and continuously growing. Competition is not a limitation. Our limitation is our own execution capabilities. And as we develop th em and grow and build new technologies, obviously, keep growing the revenue and growing with the margin of this company. We don't think competition is a limitation in the company.
Ankit Kanodia: I was not talking from the perspective of limitation. I was just trying to understand that -- as in there are other players also, and they are also fairly large players ?
Vinay Sanghi: I think most of them are customers of ours. We -- as I said in used products, we have really no competitor, direct competitor. Most of the other players whom people perceive as competition are full stack players. They buy vehicles, sell vehicles. So actual ly customers who list on our platform, they're not really competition for us.
Ankit Kanodia: Got it. Thank you so much and all the best for the future.
Moderator: Thank you, sir. The next question is from the line of Anuj Kapil from Taurus Mutual Fund. Please go ahead.
Anuj Kapil: Sir, I just wanted a little bit color on your current cash position and if you can throw some light on the possible capital allocation plans that you would be having for M&A or capex or platform development?
Vinay Sanghi: Sure. The current cash position we've put in the deck is INR 1,024 crores. It's grown approximately INR75 crores over the last quarter. We -- there's a figure on adjusted EBITDA, I

mean our cash seems to be a reflection of that mostly. It's all surplus. We -- as you know, we generate cash every quarter, so this is surplus.
The use of the cash is likely to be M&A in the future or if we find a target company, which -- where we can exploit the synergies or where we can grow our current businesses, and that will be one use of cash. I think otherwise, obviously, the other use of cash is distributed to shareholders and -- as and when we can or as and when regulation allows to do so.
Moderator: Ladies and gentlemen, due to the interest of time, that was the last question. I now hand the conference over to Ms. Nidhi Vijaywargia for closing comments.
Nidhi Vijaywargia: Thank you, Palak. I would li

ke to thank the management for taking the time out for this conference call today and also to all the participants. If you have any queries, please feel free to contact us, we are MUFG Intime Investor Relations Advisors to CarTr ade Tech Limited.
Vinay Sanghi: Thank you, everybody.
Aneesha Bhandary: Thank you.
Moderator: Thank you. On behalf of CarTrade Tech Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Date: November 04, 2025
To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
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Scrip Code: 543333 Scrip Symbol: CARTRADE

ISIN: INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q2FY26 Earnings Conference Call held on Tuesday , October 2 8, 2025

Dear Sir/ Madam,

With reference to our letter dated October 23, 2025 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q 2FY26 Earnings Conference Call held on Tuesday October 2 8, 2025 .

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited
Q2 and H1 FY '26 Earnings Conference Call ”
October 28, 202 5

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 28, 2025 will prevail.”

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

MODERATORS : MR. ARYAN SUMRA – MUFG INTIME INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CarTrade Tech Limited Q2 and H1 FY '26 Earnings Conference Call , organized by MUFG Intime India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Sumra from MUFG Intime India Private Limited. Thank you, and over to you.

Aryan Sumra: Thank you, and good afternoon, everyone. I welcome you all to the Q2 and H1 FY '26 Earnings Conference Call of CarTrade Tech Limited. To discuss this quarter's financial and business performance, we have from the management Mr. Vinay Sanghi, Chairman and M anaging Director; Ms. Aneesha Bhandary, Executive Director and CFO.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand the call to the management for their opening remarks and then we can open the floor for Q&A. Thank you, and over to you.

Vinay Sanghi: Thank you, and Happy Diwali and Happy New Year to all of you, and thank you for joining this quarter 2 earnings call of CarTrade Tech. I'm Vinay Sanghi, and I'm the Chairman and Managing Director of the company. I want to start with telling you that this h as been an extremely good quarter for the company. If you see Slide number 3, which we've circulated, profits, as you know, have surged 109% to INR64 crores during the quarter.

CarTrade Tech has delivered its best ever performance. In fact, not only at a consolidated level, but every vertical has achieved its highest ever revenue and profits during the quarter and of course during the 6 months as well. At a consolidated level, we have achieved the highest ever revenue of INR222 crore s for the quarter, which is a growth of 29%.

Profits have grown exponentially to INR64 crores, which is a growth of 109% . And not only is it grown 109% year -on-year, but if you see sequential quarter growth, Q1 to Q2, EBITDA is up by 46%, showing the strong momentum in our business as well as our unit economics. As you all know, CarWale, BikeWale, OLX, all our 3 consumer platforms get more than 150 million yearly active users, which is unique by itself.

If you go segment -wise, the consumer group has grown year on year for the same quarter by 37%, resulting in 82% profit growth. Our EBITDA margin has come to 40%, which is now getting best -in-class. Many of you have asked these questions over the last quarter -- few quarters, and now you see that the margins are getting best -in-class on an EBITDA basis.

When you look at the remarketing business, it is back on its growth path clearly with a 23% revenue growth and a 30% profit growth. And OLX India has now consistently grown quarter

by quarter . achieved its highest ever revenues in its history, also is back on the revenue growth path of the 17% growth and a 213% profit growth. Also, OLX now with its unique unit economic model and leverage has reached a 30% EBITDA margin in quarter 2.

If we look at the key metrics, as you know, we are the number 1 -- on Slide number 4, we're the number 1 automotive platform in the country. We're the number 1 used classified platform in the country. We're the number 1 vehicle auction platform in the country. Across our platform, we've crossed 85 million MAUs as an average for this quarter. 95% o

f our traffic, as you know,
comes organically, and that's one of the reasons for our high margins of the company.

We have 500 -plus physical locations now with all our locations expanding, especially abSure and OLX outlets. 1.8 million vehicles at a rate I think were auctioned in the last quarter -- annual rate were auctioned last quarter. Revenues are INR222 crores.

Adjusted EBITDA , which is a cash proxy , INR96 crores for the quarter . So we normally give this number because that's the generation of cash. INR64 crores PAT for the quarter on a consolidated basis and our cash balance is now INR1,080 crores , up from the last quarter.

If you look at Slide number 5, which is also the consolidated results of the company. As I said, revenues were INR222 crores, up 29%. Revenues are also up from INR198 crores in the last quarter sequentially. Half yearly revenue growth is 28%.

EBITDA is up 94% to INR64 crores -- INR63.59 crores this quarter, up from INR43.5 crores sequentially and of course up from INR32 crores last year. So it's almost doubled from last year. On a half yearly basis, EBITDA has come to INR107 crores, up from INR 54 crores last year. The margins that you see here from last year, the margins -- same period, the margin has gone from 21% to 33%, which shows a massive margin growth on a consolidated basis. And as you can see below, profit after tax has -- is at INR64 crores, which is 109% up from the previous year; and on a half yearly basis, 107% up from the previous year.

I think the one thing to also note here is the cost, this is something -- there have been many questions on our leverage in our business. If you see the cost structure, if you look at quarter -on-quarter, the June quarter or September quarter, even though t he revenues have grown, the cost is exactly the same at INR129 crores. And if you look at year -on-year, the cost escalation is only 8% in spite of a 28% increase in revenue, which shows the leverage in the business.

If you look at the standalone accounts of the consumer group , which is BikeWale and CarWale, the growth has been extremely strong, 37% growth in revenues, operating revenues of the company, which, of course and again, here the leverage, you see the cost escalation year -on-year, only 3%. In fact, quarter -on-quarter, the costs have actually marginally gone down, which is the result in a 174% increase in EBITDA for the 3 months and 172% over 6 months.

So it shows the huge leverage in profits. EBITDA has actually almost tripled in the first 6 months of this year. And even if you take quarter -- sequential quarter -on-quarter, from 19.42 cr the previous June quarter, it's gone to 30.68 cr, which shows the leverage in the cost when revenues grow. Profit after tax, we've grown at 82% for 3 months and 81% for 6 months.

If you look at the remarketing business, the half yearly results, growth is 28%. The 3 months growth is 23%. EBITDA is up 65% for the 6 months and 89% profit after tax for the 6 months. For the 3 months , EBITDA is up 37% and 30%. But EBITDA margins here have grown as well from last year 23% to 26% for 3 months and from 19% to 25% for 6 months.

If you look at OLX , OLX is up 17% year -on-year to achieve our highest ever revenue in a quarter. If you look at the total income is up 39%. EBITDA is up 93%, again showing the leverage. If you see cost escalation is zero during the year -on-year. And of course, margins have reached 30% in the quarter, which shows again the leverage in the business. And of course, profit after tax has grown by over 2 13%.

The one thing I want to highlight here, the 17% growth for last quarter is the beginning of the growth journey for -- even though we've grown Q -on-Q for the last 2 years, this is we feel a growth which we can surpass or rate of growth we can surpass in the coming quarters. So we feel very optimistic ab

out the next few quarters for growth in OLX.

A lot of questions in the last analyst call had come around the drivers and levers of the growth, which I'll be happy to answer, but we feel very optimistic about the growth for this quarter, coming quarter and the quarters after that at OLX. This is what I had to start off with on the brief financial overview.

I'm happy to take up any questions and clarify all your doubts. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vijit Jain from Citi.

Vijit Jain: Thank you and Congratulations on yet another terrific results. My first question is on OLX obviously. And so good to see now that the business is accelerating in growth and thanks for providing that update for the next few quarters as well. Could you give a sense of whe re this growth is coming from? How much of it is driven by the new initiatives you've spoken about recently versus the existing monetization channels?

And to your comment on the next few quarters, any metrics or any color -- additional color on where that will be coming from and which initiatives are panning out better than expected? And any other color you can give on OLX would be super helpful.

Vinay Sanghi: Sure. A lot of the growth come in the last quarter -- or most of the growth coming in the last quarter has come from existing initiatives. I think, as you know, we monetize consumers and businesses for selling used products on OLX and a lot of the growth has come from there. We've seen a lot of the product initiatives we took in the last six to nine months have started to pay off. User experience has got better, conversion ratios have got better. Traffic metrics have got better. And that is -- and we gave that guidance even in the last quarter that we had the first signs of visibility of greater metrics or better metrics in the company, which continues to be so. And you've got to remember, this is a July, August, September number. I just want to say one more thing that it is accelerating. So it is not necessary that the growth rate for all the three months is the same.

So we're obviously able to also predict that in the next few quarters, the increase in these funnels and conversion ratios, etcetera, etcetera, the growth rates will increase in our existing businesses. This is in the existing B2C businesses. The new produ cts we've launched have actually taken off extremely well. It's been very early days. There will be additional monetization opportunities for us, especially like the Elite Buyer Program in the coming quarters and coming years actually.
I think in OLX we monetize two sides of the business, one is sellers and buyers. Right now, almost all the monetization from the seller side, the Elite Buyer aims to monetize buyers. And of course, buyers are 3x the numbers of people than sellers on the platform. But this product has been launched. It's actually had fantastic early adoption.
We feel very optimistic about the Elite Buyer Program for the next few quarters. We've also discussed earlier that we're launching a new trust verification program, which will probably get launched by end of this quarter. And that will become an additional monetization opportunity for mostly the next quarter and the quarters after that.
Vijit Jain: Got it. Thanks Vinay, for that color. And any thoughts within this in terms of the metrics that you can share on OLX that can help us track this would be super helpful , the way you've disclosed certain metrics around other businesses in the past. My second question is on the Consumer business. Two questions there. One, I am mindful that you lap one full year of growth acceleration from 3Q of last year in the current quarter.
So if you could talk about how one should think about the growth for the Consumer business

from here on? And within that, if you can talk about the mix between 2 -wheeler and 4 -wheeler platforms? And I'll just add my second question into this as well. I saw your recent updates on how Google's AI search mode highlight a lot of CarTrade results . My question is from AI mode, do you see lower site visits to your platform versus from 10 blue links, if you have any color on that part? Those are the questions on t he Consumer.
Vinay Sanghi: Sure. I think the first part is that the consumer growth has been extremely strong in the last quarter. You have to remember that the last quarter, the automotive industry itself, because the announcement of GST had a very tough quarter, to be honest, beca use in July and August, if you will see it, sales were muted and then there was some acceleration of sales for the last part of September.
But generally, what we've also shown in the past and over the last many years is that we're a little agnostic to the industry as such. No matter whether it grows at a slower rate or a higher rate, we tend to grow faster, right, which is a trend -- which is a secular trend going on because more and more money is getting spent on digital, I think, number one.
Number two, more and more money is spent on automotive advertising as well. So I think we are gaining there. We're gaining in market share versus competition as well, other digital players as well. And therefore, you see us completely outpacing any industr y growth, whether car sales growth or digital sales -- digital advertising growth, right? We continue to see this trend or we do believe that this trend will continue.

In fact, we've also given guidance earlier that normally April to June is normally the most muted quarter of the year. July to September is better. But the October, March -- October to March period is even better than that normally. So we do see that trend continuing. We don't see any reason for that to change. If there is acceleration in car sales growth due to GST or other reasons, then that should help us even more than this, right? But we do see the Consumer Group accelerating growth even further or gr owing over the next quarter, a few quarters and definitely years as well, number one.
Number two is the whole AI question which you had around AI Mode for Google or other such LLMs. As we've also discussed earlier and the reality is a lot of the AI engines or the AI LLMs draw information or content, all these things from our platforms. Ther efore, whether the user uses AI Mode or Search Mode, either way they are directed by some of these elements to our platforms. The reality is also in India, the usage of these AI mode versus search is very low at this point. However, the chances of someone coming on AI Mode is even greater than Search Mode.
Having said that, CarWale is also on Google Trends and other places, if you see on direct traffic, extremely strong. So I think whether someone comes directly, which is a large percentage of our users or someone use Search Mode or AI Mode, we feel pretty confident that we have relevant information and con tent and capability for all those users.
Moderator: Next question is from the line of Shubham Tamrakar from Alturas Investment Management

LLP.
Shubham Tamrakar: First of all, great set of numbers, so congratulations for that. Sir, my question is that how we are like the incremental growth coming in our OLX business in your earlier -- you have answered regarding the monetization and high conversion ratio. Anything else we are doing something new, which will drive the incremental growth?
Vinay Sanghi: Yes, of course, there are lot of work we do on user experience to convert more users. And as I said earlier in the previous question that almost all our revenue comes from people who sell products. People who sell products are consumers like you and me. We go

t more than 2 million consumers a month selling products on OLX and we got more than 6.5 million buyers every month on our platform. So we currently monetize these 2 million, 2.5 million consumers who sell products every month.
We also monetize the tens and thousands of businesses. We sell cars or 2 -wheelers or electronics, other things on -- or properties on OLX. And obviously, building more and more capability to help them sell products and therefore, improve our conversion fun nel, which is what is leading to the growth in revenue. I think at the end of the day, someone like you or me listing a product for sale is being served better or the likelihood of them selling a product or the response they're getting on OLX is going up. And that's one of the reasons why our monetization is going up. And we're continuously improving on this. There's a lot of work to be done and continuously improving on this to enable our B2C revenue. So if a consumer today listed for free, our attempt is to convert this consumer to pay to list so that the chance of th em selling the product goes up.

And I think those -- that's getting better every day, number one. There's a long, long headroom to grow there.
Number two is we are building products like the Elite Buyer program, where if you're a buyer and we have 3x the buyers than sellers, how do we monetize by giving a better buying experience so that the chance of you buying a product goes up. And the multipl e products, the Elite Buyer Program has got launched last quarter and obviously, our objective is to over the next quarters and years, make that a significant monetization opportunity for us and a whole new monetization opportunity.
I think the third part is that when you're buying a used product, you want a certain amount of verification trust on the platform. And we are building a product today, which will get launched sometime this quarter, which will monetize all buyers and seller s. So -- and then there are 3, 4 more initiatives will come in the quarter after that.
So there are multiple monetization opportunities. It's about existing sellers, consumers and dealers. It's about existing buyers. And then it's across the platform for other value -added services plus trust and safety, et cetera, et cetera.
Shubham Tamrakar: Okay. And is there any employment cost will be increased as we increase our business, or it will be stabilized like this only . Like this year we have like flat… ?
Vinay Sanghi: I would say, our cost in the Consumer Group or in OLX are likely to be very stable. We don't really see any real cost escalation for all these initiatives.
Shubham Tamrakar: Okay. So we'll enjoy operating leverage. Okay.
Vinay Sanghi: Yes.
Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services Limited.
Yashowardhan Agarwal: Thank you for the opportunity. Congratulations on good set of number. So my question is on the Consumer business, which is a marketplace model. So in my understanding, the growth could either be driven by the increase in number of dealers or the cars or bikes posted by them or the yield generated. So the growth that we are witnessing now of all these factors, which of them is actually driving growth for us?
Vinay Sanghi: So in the Consumer Group, our revenue comes from manufacturers and dealers. The revenue is being driven by incremental spend on leads, advertising transactions by manufacturers and dealers. And that's coming from manufacturer allocating more of their money to digital and within digital, more of the money to us versus other digital platforms. So I think the growth is coming from there.
As you know, the car industry over the last many months has been close to zero percent to 2% growth. So it is not coming as yet from incremental industry sales. It's coming mostly from manufacturers and dea

lers allocating more money to platform like us, wh ich gives them more

returns. I think as -- one of the things we've always talked about that we are the lowest cost of
sale for any manufacturer, dealer in the country and we pride ourselves on that. So when
manufacturers need to sell vehicles, the number one platform, they co me to is us.
Yashowardhan Agarwal: Okay. Just wanted to understand first of all is the situation where supply is more than demand
would be more favourable one. But since we are seeing picking up in the auto sales, is it possible
that there could be a slowdown in the growth that we are witne ssing now? Are there any chances
for that and…?
Vinay Sanghi: I think we've shown data and performance over many, many quarters that even when the industry
has grown at large numbers or large percentages, we've grown faster. So I think we are
witnessing the fact that platforms like CarWale have a tremendous amount of -- tremendous
amount of traffic growth, number one. And consume – and dealer -- dealers and manufacturers
irrespective of whether they're flat or they grow at high rates, need to use platforms like CarWale,
BikeWale, or CarWale and BikeWale for incremental sales or sales of their products.
I think all over the world also, it's seen that platforms like this are used as places to sell vehicles
by manufacturing dealers just because consumers love coming here and that's the main thing. So
it's -- as I said, whether that -- and we're witnessing t hat in the last month or so with car sales
growing, our sales have actually grown even further.
Yashowardhan Agarwal: Got it, sir. Pretty helpful. Sir, just wanted clarity on how abSure and OLX Auto is shaping up.
So even in abSure where we do partnership with the dealers where we are providing our brand
of abSure, so which helps them more customers trust these dealers. S o how is that shaping up?
And how do we track the number of cars which are sold on them and how is their revenue
reported in which of the segments?
Vinay Sanghi: Yes. It's actually both OLX trusted outlets or abSure outlets are our franchise stores where we
provide our services and brands and technology to dealers. And obviously, it's an asset -light
business for us. The number of stores have dramatically grown. Num ber of sales have
dramatically grown. It's a newish business maybe in the last three years or so.
We think in the long -term, it helps us as the business -- as the whole buying process of cars gets
more digital, it's a platform we're building so that we have the capability to provide a digital end -
to-end experience for consumers like you and me, which means that if you want to buy a car,
you can come online to one of the abSure or OLX trusted outlets and buy a car on one click. So
that's our attempt.
It's actually done very well. It's grown extremely well. I think the number of stores now is over
400-odd stores. Sales continue to accelerate there. The revenue is reported in OLX revenue and
then separately and for the OLX stores and CarWale is revenue i n the -- abSure and the
Consumer Group revenue independently.
Yashowardhan Agarwal: Got it. And sir, how big is the opportunity in this because we are solving the problem of the
trust, right? So if anyone is buying a second -hand product, so if they are seeing the surety of the
abSure, so which can help the dealers as well? So...

Vinay Sanghi: For us, we have, as I said, over 400 outlets. This will accelerate in our opinion in the next three
years, four years. And I think more than accelerating, it will provide another curated experience
for our consumers where they can get a one click like envi ronment to buy a used car online and
that's the attempt. And I think for us, it's a very strategic part of our business, which will continue
growth.
But you've got

to remember, this is part of another large used car business where we have
thousands of dealers listing products on OLX and CarWale. So it's part of that, but this is a
curated business within that. We see a big opportunity in helping used c ar dealers, the
fragmented set of used car dealers sell cars on OLX or CarWale, but we also see an opportunity
in OLX and abSure outlets selling vehicles on CarWale and OLX, so.
Yashowardhan Agarwal: Got it, sir. Just last question on the utilization of cash. Currently, we are having more than
INR1,100 crores of cash on our books.
Vinay Sanghi: Yes.
Yashowardhan Agarwal: Sir, how do we intend to utilize it?
Vinay Sanghi: As we've said this before that, if we get any, I mean opportunity, which, of course, is strategic
enough, we will use the cash for that purpose. And of course, as our tax shelters go away, we
will also distribute -- if we do not use it for M&A, we probably distribute it out to shareholders.
We've said this before.
Yashowardhan Agarwal: Got it. And…

Vinay Sanghi: We have no -- the business doesn't require -- the business -- the current businesses don't require cash. They're all generating cash.
Moderator: The next question is from the line of Shrenik Mehta from Indoalps Wealth.
Shrenik Mehta: Good afternoon, Mr. Sanghi.
Vinay Sanghi: Good afternoon.
Shrenik Mehta: We have built the CarTrade technology business is a very strong and sustainable business given that you have a strong turnaround in the last few quarters. However, our ROE last year was below the cost of capital at 6%. I'm sure you're looking at increasing this further to maybe at least 20%, 25% levels in the next few years. Can you share your vision when you see this happening?
Vinay Sanghi: Yes. Yes. It is correct. If you see the ROE itself over the last three years has dramatically gone up. If you look at -- if you just annualize the current profits, you already see it's likely to maybe double, close to double this year. But we do see…
Shrenik Mehta: Yes.

Vinay Sanghi: Over the next two years to three years and as you already know, our margins at 33% on a consolidated basis. So with very little use of cash in our current businesses or cash generation coming in, we do see that our ROE will get best -in-class in the next fe w years.
Shrenik Mehta: Okay. You want to put a frame to it, like…
Vinay Sanghi: No. We don't give guidance on timeframe. We don't give guidance on this. But as you can already see, it's dramatically improved in the last year and likely to get even better and better. If you take -- if you just annualize the current quarter's PAT, you w ill find that it's already -- it's already more than doubled from last year, so.
Moderator: The next question is from the line of Hardik Doshi from White Whale.
Hardik Doshi: Yes. I want to ask about the expenses -- on the expenses side. If I see absolute expenses have increased by about 7%, but pretty much all of it has been driven by the employee costs on the remarketing side, which went up 35%. So firstly, can you just talk a bit about what drove that increase?
Vinay Sanghi: Sure. Yes. That's...
Hardik Doshi: And s econdly is if you -- okay.
Vinay Sanghi: No. Go ahead. Go ahead. Go ahead. Sorry.
Hardik Doshi: No. And just secondly, I mean, I know you mentioned there's more operating leverage going forward. But on an absolute basis, excluding this employee cost increase, I mean, the expenses are essentially flat. So do you expect expenses to remain stagnant at t hese levels or will they start accelerating and in what areas?
Vinay Sanghi: Yes. I'll just take the second question first. We see the expenses to be exactly the way they are, I mean, with minor differences or changes. That's just the nature. If you look at the financials over the last two years to three years, you'll find the same trend wh

ere expenses tend to grow marginally, but revenues tend to grow faster. And therefore, the leverage in the business is such that when revenue grows, almost all of it goes to profit. I think that's just been the trend over the last tw o years to three years. So that's the first -- that's the second question.
The first question is the growth of cost or employee cost in the remarketing business. Actually, what's happened is that if you see six -month growth about 28%, but we had an increment cycle, which we changed. Most of the increments for the business last ye ar came in the third quarter. But this year, we did it earlier. So I think the change in increment cycle from last year to this year has just had a base effect.
Over the course of the year, you will see -- you won't see the growth rate of expenses in Shriram Automall. It is just -- because the increments last year were done on 1st October, so it didn't come in the first two quarters. This year, they were done much earlier. So I think that's the change you're seeing.
Hardik Doshi: Okay. So, I mean, the number of employees have not increased significantly in the remarketing?

Vinay Sanghi: It's not significant. There has been some increase, but not significant. No.
Hardik Doshi: Got it. Got it. Okay. And the second question is, at the end of your presentation, you used to disclose metrics around traffic and MAU, etcetera, which you stopped now. Any reason for that?
Vinay Sanghi: I think we've given the traffic upfront in the first half. Aneesha, you want to just clarify?
Aneesha Bhandary : Yes. It's on Slide 4, Hardik. So if you look at the footnote, I believe it's covered over there. So

the 85 million, we have split in the footnote below on what belongs to the consumer g roup and OLX. Similarly, the 1.8 million auction listings, the footnote carries the listing volume and the auction volumes.

Hardik Doshi: Okay. Got it . Great. Thanks a lot.

Moderator: Thank you. Th e next question is from the line of Nilabja Dey from Ashmore Research . Please go ahead.

Nilabja Dey : Sir, first of all congratulations on a very good set of number. Sir, actually, I have a very personal things to share and I want to -- see, my question is related to how you are leveraging AI. And because see personally I was searching for to buy a new car. And I went to ChatGPT and I found that most of the questions -- I visited your site. But I found most of my questions and when I'm giving the prompts, it is giving the ChatGPT already throwing.

And except for the viewing the car and seeing some competitive prices, I may not -- I did not need to have to go through extensively to your website. That's a little worrying for me. Like I was following your answers regarding the AI part and you are telli ng that they are monitored, they are scrapping through your website and getting the data.

So how you are handling this particular problem? Because this is going to accentuate further because most of the stuff people who are maybe throwing some data and getting all the things and they may not need to visit, they will directly visit the dealers, say, Hyundai or Maruti and see the products live in front of. So how you are handling -- this is a little worrying for me. Can you please answer this?

Vinay Sanghi: Sure. So first is first the fact that since any LLM, ChatGPT, Google or Google AI Mode or others have come, our traffics have grown at faster rates. I think that's the first part you must know.

And I think the one thing you have to keep in mind when you bu y a car of a new car average price about INR10 lakhs, it's a very involved purchase.

I think you might want a certain very superficial kind of questions answered by somebody, which could be a friend or a relative or even ChatGP T or CarWale, it doesn't matter, b ut eventually, when you go down to buy a car, you're going to go o

n a deep involvement in terms of understanding the quality of the car, what other people think about it, finding the car, what price to pay, how do you get a loan approved.

Today, on CarWale, we have 25 banks giving approvals for loans or getting a discount on the car or connecting to a dealer or buying it online, etcetera. We call that the journey from discovery

to purchase. I think we are working on all segments there to create a differentiated service from -- and that's been a 15 -year journey. It's not a 1 -year or a 6 -month journey, for the last 15 years, people come to CarWale because they find a difference bet ween a horizontal like Google and us.

And that is why we get a large, large percentage of the traffic today, which is coming through also a direct source. So people use CarWale or BikeWale on an app or directly come to us. So that's the reason why. The second, I think the second part is how we're using AI is a massive opportunity for us in our group. A la rge part of our resource of technology and product go into producing AI -driven tools and products for our own use, our consumers use, our dealers us e, our manufacturers use.

We are in that phase of launching multiple AI products out there for you and for dealers and for manufacturers as well and for our own people to make our business far more intelligent on various test bases, on multiple platforms, AI tools have got launched . We obviously believe when you look at AI, if you look at the LLMs, which are like, say, Google for that matter and you look at us, Google surfaces our information.

So there are four levels of data sitting here. The first, Google can only surface public information, which means the data we expose to public is something Google can surface. The layers of data we have are, of course, public data. We have our own private data. We have customer data. So when you look to buy something, we are able to use three, four levels of data, whereas Google can only use what is public. And I think that becomes a differentiation of experience automatically.

And I think we feel extremely excited about the opportunity. By the way, like I said in the earlier question which came, the chance of you coming through ChatGPT or Google to us is very, very high because they're using all our information. If you see when you search ChatGPT, the source will always be CarWale, so -- or OLX for that matter for used products.

So the reality is that it's more evident that you will come to us through that because the information surface is really superficial . I mean you buy INR10 lakh product, you need to go deeper in the journey and come to a platform like CarWale and BikeWale. So actually, our throughput has gone up because of these people.

Nilabja Dey : Sure. Just one question more. So maybe I'll split it. So are you -- many websites, consumer -based websites now are trying to directly integrating with some of these -- I'm not pre -empting your products, but are you thinking in that line like they are integrating the ChatGPT or Google in their product -- in their website itself for quick answers ?
Vinay Sanghi: No, I don't think we need to integrate the information on the content because they take information and content from us. In India, where CarWale or OLX are so dominant on used cars and new cars, they are using our information. So we don't need information from them. We are integrating on various other parameters for various other users, but the information is going from us to them, not from them to us. In fact, as I told you, they can only take from us information, which we publicly show on ou r website. They can't take all the backend private data we've got,

which is very, very valuable to us, which is why their information always is short of the information we provide to you

.
Nilabja Dey : Sorry. And last question, I'm really sorry making it hard, please. Last question is that, is there any way you are trying to monetize ...
Vinay Sanghi: Anyway trying to ?
Nilabja Dey : Monetize with this because this ChatGPT or other LLM also AI...
Vinay Sanghi: So it's very -- just to tell you , ChatGPT they say -- they claim in India, they have less than 20 million users. Google has over 800 million on search. So it's very early days for users today in India. We on a daily basis building on our technology and so me of them available to users on all our platforms. It will become a monetization opportunity maybe in the future. Today, I think we're all building technology, understanding what we're doing and providing a better experience, but I think monetization of AI will take some time.
Nilabja Dey : Great. Thanks a lot.
Moderator: Thank you. T he next question is from the line of Sachin Dixit from JM Financial. Please go ahead.
Sachin Dixit: Congratulations on great set of results. So my first question was on consumer group basically on the growth traje ctory that we have seen. So the group has grown 30% plus for the last four quarters. And does that give you confidence of a sustainability of growth of maybe above, I don't know, 25%, which earlier used to be more like a 20% growth trajectory sort of a business? I'm thinking more long -term, not looking at any near -term guidance. So think of like next 3 to 5 years, can we build a sustainable growth ra te of 25% -ish in this business o r this is still 18% to 20% growth business according to you?
Vinay Sanghi: The one way to think about it is that we obviously believe that the t hreefold driving factors. One is obviously the growth of the industry and advertising spend per car. The second is the shift to digital and our market share within that. Third is what products we build so that we move our market share of spend further to us, which is a ll part of the strategy. If you look at the last 3, 4 years CAGR, we're much higher than 25% today.
So we obviously feel very confident with -- and the industry actually in the last 18 months , 20 months has seen very minimal growth. We believe that the growth rates when I'm giving guidance will be strong. We also believe that our ability to build products for users will shift market share of digital spends towards us. So we feel confident abou t growth rates in the future in the consumer group business, whether it's for car or bikes, both of them actually, so.
Sachin Dixit: Understood. Sur e. we feel so obviously, as you see that our cost base is largely fixed in natur e, it doesn't grow as rapidly as revenue growth. And so if we build, let's say, whatever somewhere between 20%, 22% -odd growth rate for the consumer group for the next 3 years , 4 years, margins tend to reach, assuming the growth rate in cost remains what it is, margins tend to reach almost

55%, 60%. Do you believe at some point OEMs or w hosoever the customer bases, which includes dealers as well, will try to ask for their f air share out of these margins o r do you think sustainably this business can operate at like 50% -plus margins?
Vinay Sanghi: It's at 40% last quarter. So even in the coming quarters, you'll see it higher than that automatically. It's bound to be…
Sachin Dixit: Yes.
Vinay Sanghi: Unlikely not go up. So you'll see immediately go up in the next few quarters actually. It doesn't require much time or years for that, number one. Number two, I don't think manufacturers and dealers are connected with our margin structure. They will look at what it costs to sell a car

through CarWale or BikeWale or a bike.
And I think that's where we pride ourselves that our ability to make sure that we are a very economical cost of customer acquisition or sale for OEMs or dealers is our strength. And that comes from

the millions of customers we have and that also comes from the 95% organic traffic we have. It's a combination of all of that.
And it comes from the fact that we have a fixed cost structure and not a variable cost structure.
So the business architecture, the unit economics, the brand leads to the fact that we can offer manufacturers and dealers the lowest cost of acquisition, num ber one. And number two also leads to the fact that our margins keep growing.
Sachin Dixit: Sir, margins -- so by that logic…
Moderator: Sorry to interrupt.
Sachin Dixit: Margins can potentially...
Vinay Sanghi: Sorry. Go ahead.
Sachin Dixit: Sure. Go ahead.
Moderator: Mr. Dixit, sorry to interrupt. Should you follow -up…
Sachin Dixit: Yes. That's okay. I'll get back in the queue.
Vinay Sanghi: It's okay. It's okay. It's okay. Yes. Just finish your question. That's it. Just finish your question. It's okay.
Sachin Dixit: No. I was just following up on the same piece, right? So by that logic, we can sustainably do a 55%, 60% margins as well in terms of growth?
Vinay Sanghi: I just see no reason why not. I don't see any reason why the margins will not continue to grow.
I think all of you would have this question about a year back, where you said will you get to 40%? Now that we got to 40%, you say will you get to 55%, right? I mean that's the question.

Moderator: The next question is from the line of Anjali Bajaj from Naredi Investments.
Anjali Bajaj: Good morning, sir. Congratulations for your good set of numbers. All of India profit after tax grew by 213%, while revenue increased only 17%, showing a strong profit growth. Could you explain what efficiencies that led to this sharp rise in profit?
Vinay Sanghi: Sure. I think one is, as we said, the cost has been zero increase in cost. So in business like ours, which grow at 17% or 20%, when you have no increase in cost, it almost all goes to profit. In this case, all has gone to profit, which is the reason why pr ofit has grown at a sharp rate. There's also been an increase in our other income, which has led to it. But as I said, the primary driver of this is that all the revenue has gone to profit. There's just so cost escalation.
Anjali Bajaj: Okay. And my last question is other income went up by 59% year -on-year basis this quarter.
Since company hold large cash balance, please specify the bifurcation of the other income?
Vinay Sanghi: Sure. It's a combination. Aneesha, you want to explain this? Hello?
Aneesha Bhandary: Yes.
Vinay Sanghi: Hello? Aneesha, do you want to explain this or do you want me to take it? I think that Aneesha is not able to hear me. But I'll give an -- there's combination of other income, which is based on…
Aneesha Bhandary: Hello? Can't hear you.
Vinay Sanghi: Yes, Aneesha. Aneesha, go ahead.
Aneesha Bhandary: I think there is a problem in the line. I think you're referring to the consolidated set of results where you see a 59% growth, Anjali. So like you rightly said, there is treasury income in this company where the income has gone up because of the treasury balance also being accumulated.
Apart from that in the segmental results also we have disclosed, there is a write -back in OLX of provisions which are no longer required. So it's a combination of both, which is disclosed in Note Number 4 o f the accounts.
Moderator: The next question is from the line of Nishit Jalan from Axis Capital.
Nishit Jalan: Yes. Hi, Vinay. Hi, Aneesha.
Vinay Sanghi: Hi, Nishit.
Nishit Jalan: Congratulations on good set of numbers.
Aneesha Bhandary: Hi, Nishit.
Nishit Jalan: Hi. Hi. Yes. So, Vinay, there are two questions. First question is on OLX. I think you made an interesting point that you have started monetizing -- you are monetizing sellers right now, but looking to monetize buyers also. So my question here is when you a

re saying yo u're monetizing sellers, are you able to monetize individual sellers as well or is it just the dealer sellers you are able to monetize? And if yes, what are the ways by which you are monetizing the sellers of used vehicles on OLX website?

Vinay Sanghi: Yes. So we monetize -- we've been able to monetize consumer sellers and dealer sellers. And by the way, it's not just for cars, but it's for all products across categories, which is where the selling of -- I also disclosed market share numbers across categ ories. 25% of almost all mobiles sold in India listed on our platform.

So there's a large, large number of consumer sellers on the platform for all products, not just cars. Cars, of course, is 60% -odd of all listings, but it's also high in many other categories, electronics, mobiles, furniture, etcetera, etcetera. So we are monitoring consumers and businesses across all categories.

We are heavily working on improving the consumer funnel and we've had very good -- we've had decent success on that. I think OLX over the many years, last maybe like maybe 10 years - 15 years, has mostly tried to monetize dealers. We are actually in the last six months, eight months, thinking or we do believe that monetizing consumer sellers by giving them better products and better conversion capability is a massive opportunity for us . As I said more than 2 million consumer sellers come every month, which is a big, big number.

So the intent is to go after unmonetized consumer sellers. Dealer sellers, the intent is also to monetize, as I said earlier, buyers, which has just started now and they are 3 times the buyers as much as sellers. And then we intend to monitor the entire pl atform by building trust and safety, and as well as value -added services, etcetera, etcetera.

Nishit Jalan: So basically, what you are saying is right now, you are monetizing the dealer sellers, not the consumer seller, but the intent is to monetize…

Vinay Sanghi: No. No. No. I didn't say that. No. No. No.

Nishit Jalan: Okay.

Vinay Sanghi: I didn't say that. I said we are monetizing consumer sellers and dealer sellers already.

Nishit Jalan: Okay. So just want to understand like how are you monetizing consumer sellers? So let's say if I want to sell my vehicle…

Vinay Sanghi: Sure.

Nishit Jalan: Used vehicle…

Vinay Sanghi: So you can…

Nishit Jalan: On your website, you charge me...

Vinay Sanghi: You can -- yes, we would charge you when you list. Currently, the platform rule is when you list a car, it's for free. But it's not necessarily you may just list the car. You might want to put a featured listing. You might want to get a certain amount of r esponse. You might want a

guaranteed sale product. So there are multiple value -added services built to you as a user to pay, number one.

Number two, if you're a consumer seller and you have a great experience, your first car is free. The second car, if you list within six months, you'll have to -- or three months or eight months, you'll have to pay. So multiple people come back…

For the second car in the family or second 2 -wheeler or second refrigerator and pay. So there are multiple models to monetize the consumer seller, not just -- as I said, we -- our platform for you principally on the first product is free. But we started h aving…

A large number of customers paying for value -added services, as we call, or more prominence or…

As I said -- and there are multiple products, by the way, coming out here. We're just going to launch…

an Elite Seller Program, which you as a consumer seller get a status or a capability to obviously not only get more response, but get more visibility to close the transaction. So there are multiple such programs coming out to make sure that even a consumer who lists for free is w

anting to pay to get more response to convert the product they're selling.

Nishit Jalan: Okay. So basically the visibility of the ad, which a consumer seller is putting, that increases.

Vinay Sanghi: Yes.

Nishit Jalan: And for that, you have to pay for the value -added services and that's how...

Vinay Sanghi: It is partly visibility, but there are multiple other value add. Visibility is the first thing, but there are multiple other things there.

Nishit Jalan: Okay. Okay. Okay. Got it. And second and the last question is on the consumer -- on the -- sorry, the auction business, Vinay.

Vinay Sanghi: Yes.
Nishit Jalan: So now we have started to see after a few years of slow growth, now we have started to see the auction business kind of picking up. So is it because now we have started to see the repossessed vehicles market growing or where is this growth exactly coming f rom or? If you can give some color...
Vinay Sanghi: It's across all segments. When you look at our data of repossessed vehicles, retail vehicles, generally the growth is across all segments. There was a 16 -month to 18 -month slowdown in repossession. That was about year and a half ago. But obviously…
Nishit Jalan: Okay.

Vinay Sanghi: We have seen that change and repossession is, of course, growing. But our retail and other segments are growing as well. The segment growth is almost -- it's a growth across almost all segments for us.
Moderator: The next question is from the line of Mayank Babla from Enam AMC.
Mayank Babla: Yes. Congratulations on a great set of numbers. Could you please shed some light on the competitive landscape in each of the verticals that you are present and how do you see that evolving in the next sort of two years to four years?
Vinay Sanghi: Sure. If you look at each of our segments, like first look at OLX India, which is a used product marketplace, generally, we see no other digital -- as I said, we got 180 million users a year on -
- which is a large part of India's population on OLX. And gen erally, OLX has no direct like -to-like a digital platform, number one.
Number two is on Shriram Automall, it's an online - offline auction company where we can keep vehicles physically and there is an online sale for retail users, and as well as businesses. Even here, on a phygital model, we really see no direct like -to-like competitor.
CarWale and BikeWale is a new -- is 85% new vehicles, new cars, new bikes and 15% used cars. On the new product side, there is one competitor. And then there's, of course, Google and Facebook and even offline advertising is a competitor for that. So that's the landscape.
We've never been worried about in the coming few years about competition. It's about us getting better with our consumers and building better products , so that we can create more value for our users and keep growing our consumer base . And then subsequently, of course, growing our conversion metrics and revenues and profits.
Mayank Babla: Sure. And the likes of Spinny would be a competit or…?
Vinay Sanghi: Yes, so someone like Spinny buys used cars from platforms like ours and then sells them also on platforms like ours. If you go to CarWale and see or OLX, you'll see a lot of Spinny cars listed. So , Spinny is more and we have, in fact, an alliance with them. So , they're more asset -heavy used car business. We know we are not asset -heavy.
So thousands of dealers list their cars on -- used cars on OLX or CarWale for sale. Spinny, like those dealers also list their cars on CarWale or OLX for sale. So , they're almost complementary in a way because we don't buy and sell used cars ourselves. We are more market -- we are marketplace -driven and they're more like a dealer.
Mayank Babla: Okay. Okay. Sure. Sure. Thank you so much. Thank you and best of luck.
Vinay Sanghi: Thank you.
Moderator: Than

k you. T he next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, thank you for the opportunity. Congratulations, Vinay and team. Vinay, I just wanted to check on the consumer piece, CarWale and BikeWale, as to how the OEM and the dealers, both these segments have done. Separately, if you could just highlight both of them briefly on how they have done this quarter and for the full year?
And Vinay, you mentioned and it's a pretty well -known fact that incremental spends on ads will go to digital mediums and within digital medium, it will come to platforms like us. So , these incremental spend, do you expect them to come from -- more from dealers? Or do you expect the OEMs to ramp up spend here? Thanks.
Vinay Sanghi: So, first of all, both are growing. And for us, the only thing different in OEMs and dealers is that some OEMs aggregate all the dealers and come to us. Some OEMs say, listen, why don't you go to a dealer and let them list products? But generally, across the board, there's been growth.
If you look at the future, the reason we believe that digital spends or the amount of money

manufacturer and dealers spend to sell vehicles will go up on digital or platforms like ours is because we provide a larger number set of users.
So our consumer base is growing rapidly, as we've shown earlier. And as a result, the most relevant customers, whether you're a manufacturer or a dealer is with platform like CarWale or BikeWale. So , obviously, we see that spend being shifted towards platform like ours. Also, as I mentioned earlier on the call that we are the lowest cost of customer acquisition for manufacturers and dealers, so they tend to put more money towards us.
Vimal Gohil: So, you do expect both these to grow simultaneously. It will be very difficult for us to differentiate which will grow higher?
Vinay Sanghi: We expect -- no. I don't think you should think about it that way because even if you're a manufacturer, you're doing it on behalf of a dealer. So the manufacturers sometimes come directly, sometimes they go through the dealer. But eventually, it is a very similar thou ght process. So we do expect both to grow, yes.
Vimal Gohil: And, Vinay, last thing . I mean, traffic growth has been a strength on both these websites, and that's been growing phenomenally well. How do you make sure because -- and most of it is not paid for. So going forward, how do you expect this momentum to keep going?
I'm talking specifically for the traffic growth on CarWale and BikeWale. How do we make sure that we keep the customer -- we keep a lot of mindshare from the customers, from the dealers, from the car makers, etcetera ?
Vinay Sanghi: Yes, sure. So , 95% of our traffic is organic, as you -- as mentioned. We obviously, the first is the brands CarWale, BikeWale, number one, and keeping the brands going. Number two is the products we build for consumers to bring back repeat users or bring back reference u sers or keep getting new and new customers, right?

So for us, there is no easy answer to your question. I think it's about every day building better products for the consumer. For example, a few years ago, we built a loan marketplace, which is a completely new feature for all our consumers and they come for that now.
So it's about every day adding not only new features, but improving existing features so that consumers get a better experience and going deeper and deeper in helping the user right from a discovery of a product they want to buy to the time they buy it. An d that's the philosophy.
We are primarily first a technology product company, which is why so many consumers come to us. We obviously expect users to keep coming and growing on the platform. We also expect the aut

omotive industry to keep growing. So , I think a combination of that and combination of more and more market share.
Vimal Gohil: Understood. And lastly, any acquisitions ? Do you have anything in mind, any segment, product -- I mean, of course, the subsegment remains -- the prime segment remains the same, but what kind of subsegments are you eyeing this time around? Are you finding good assets at good valuations? Where are we in terms of allocating capital to acquisitions? Thanks. That was my last question.
Vinay Sanghi: Yes. Obviously, we keep looking at opportunities. We haven't at all at this point come to an opportunity which we can talk about. But you know what, we've got a lot of potential left in our current business -- businesses. The TAM has expanded dramatically with the acquisition of OLX. The automotive industry is again poised to grow. So there's a lot to do internally.
I think while we keep looking at M&A opportunities, and at appropriate time, we'll come back if we find such opportunities. But at this point, it's also very important that we've got a limitless TAM , so just keep organically growing, which is what you're seeing as well, the growth within the organic frame of things.
Vimal Gohil: Understood. Thanks, Vinay, and all the very best.
Vinay Sanghi: Thank you. Thank you.
Moderator: Thank you. T he next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Yes. Thanks, Vinay. Thanks for the opportunity. Sir, first question again is on the consumer business. So just a quick clarification. I mean, we also had an element of early festive this time.
Do you think there has been some benefit because of that in the growth as well? And now going ahead, as we sort of go into the second half of the year, we can sort of sustain this type of growth in the consumer business ?
Vinay Sanghi: Sorry, just I couldn't hear the last. Can you repeat the question again, sorry?
Siddhartha Bera: So, I was just mentioning that we had also an early festive this time, so festive season, which started during the end of quarter 2. So has there been some benefit because of that as well with spends getting sort of preponed ?
Vinay Sanghi: Is the question about GST? Is that the question? I mean I'm not getting -- is it about...

Siddhartha Bera: No. On the festive season we usually have in …
Vinay Sanghi: Ohh the festive?
Siddhartha Bera: October and November, this every year yes.
Vinay Sanghi: That's -- I mean, that's probably every year, it doesn't really matter. I don't think the last quarter growth is completely festive -related. There may be small elements of it, but I don't think we've seen some different hockey stick because of festivity. I think this is a very normal -- a normal situation, if that's the question.
Siddhartha Bera: Okay. Okay. Okay. So largely this sustainable, this growth is sustainable as per you r recording. Within the second half of the...
Vinay Sanghi: I mean, the festival, just to clarify, the festival is 9 days in the whole quarter out of 90. So I don't think it can be attributed to that.
Siddhartha Bera: Okay. Okay. And second thing is on the cost side also on the consumer business . We have seen marketing spends sort of being quite low in the quarter. So , again, I think here also, just wanted some understanding about this is probably the lowest level we have seen in many, many quarters. So does that sort of normalize sometime going ahead? Or do you think the demand. ..?
Vinay Sanghi: Cost is normal. No. No. I think cost is -- because I'm -- the voice is smudging a little bit. The cost is just normal. I don't see any difference in cost escalation or deduction or increase either way.
Siddhartha Bera: Okay. Okay. And I was talking only within the marketing expenditure, which has...
Vinay Sanghi: No, marketing also,

we don't see -- yes, I think it goes a little , I mean, marginally up and down.
I mean, 9.5 % in a quarter is really nothing on a revenue base, right? So , it may marginally change a little bit, but don't see any significant increase or decrease.
Siddhartha Bera: Understood. Sir, lastly, on the OLX, I think on the Elite Buyer Program also, I do see that it has already got launched. So in quarter 2, has there been some benefit because of that? Or it is mostly in quarter 3 and second half, we can see a benefit out of it ?
Vinay Sanghi: A small revenue benefit. There's some small revenue benefit. But really, you know, when you launch a product like that, it's about -- not about quarter 2 or quarter 3. It's about a very long - term initiative to monetize or offer services to 6 million users a month. It's a very -- for us, it's like a very long -term thing. You'll see benefits of it in, of course, quarter 3 or quarter 4, but incrementally and I think the large benefits will come in the future.
Siddhartha Bera: Understood , sir. Thanks a lot, sir.
Vinay Sanghi: Thank you. Thank you. Thank you.
Moderator: Thank you. T he last question comes from the line of Jinesh Gandhi from Oaklane Capital. Please go ahead.

Jinesh Gandhi: Yes. Hi. A quick question on the consumer business. Would it be possible to share both of the growth between the digital ads versus listing how growth has been between the two subsegment of this?
Vinay Sanghi: Your voice is smudged, it is smudged. We're not getting clearly. Aneesha, did you get the question?
Aneesha Bhandary : No. I lost it in between.
Vinay Sanghi: Can you go ahead again?
Moderator: Mr. Gandhi has been disconnected from the line.
Vinay Sanghi: Okay. Okay. Hello?
Moderator: Ladies and gentlemen , as Mr. Gandhi has been disconnected from the line, I would now like to hand the conference over to Aryan Sumra.
Aryan Sumra: I would like to thank the management for taking the time out for the conference call today. And I would also like to thank all the participants. If you have any queries, feel free to contact us via MUFG Intime Investor Relations Advisors to CarTrade Tech L imited. Thank you so much.
Vinay Sanghi: Thank you for everybody joining. Thank you, and thank you for joining today.
Moderator: On behalf of CarTrade Tech Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Aneesha Bhandary : Thank you.

Call: Feb 2026

Date: February 03 , 202 6

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Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q3FY26 Earnings Conference Call held on Wednesday , January 28, 202 6

Dear Sir/ Madam,

With reference to our letter dated January 22, 202 6 intimating about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of the CarTrade Tech Limited Q3FY26 Earnings Conference Call held on Wednesday , January 28, 202 6.

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

“CarTrade Tech Limited
Q3 and 9 Months FY '26 Earnings Conference Call ”
Wednesday, January 28, 202 6

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED

MODERATORS : MR. ARYAN SUMRA – MUFG INTIME INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CarTrade Tech Limited Q3 and 9 Months FY '26 Earnings Conference Call, organized by MUFG Intime India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recor ded.

I now hand the conference over to Mr. Aryan Sumra from MUFG Intime. Thank you, and over to you, sir.

Aryan Sumra: Thank you. Good afternoon, everyone. I welcome you all to the Q3 and 9 months FY '26 Earnings Conference Call for CarTrade Tech Limited. To discuss this quarter's financial and business performance, we have from the management, Mr. Vinay Sanghi, Chairman a nd Managing Director; Ms. Aneesha Bhandary, Executive Director and CFO.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that ca n be found on the company's website.

Without further ado, I would like to hand over the call to the management for the opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, sir.

Vinay Sanghi: Thank you, and good afternoon to everybody, and welcome to the Q3 FY '26 Earnings Call. I'd like to start by Slide 3, which has been shared on the investment deck, which talks about the company over the last 3 years.

As you can see here, over the last 3 years from FY '23 to FY '26, if you look at the company, the revenue CAGR has been 32%, EBITDA CAGR has been 112% and the profit CAGR has been 83% over 3 years.

So you can see the consistency in performance and that's why we want to bring it out. Quarter -after-quarter, 3 years, almost 12 quarters, and you can see the consistency in the company's delivery , performance and the execution capability.

If you look at the center block, it shows that our cash reserves have gone back to INR1,145 crores. And for the first time you can also see the return on equity reached double digits, which is a very strong business performance by the company from where it was.

And if we look at the last block for the shareholder value, the EPS CAGR has been 92% over the last 3 years. And of course, the share price is up 94% in the last 3 years during this phase.

So the numbers to look for are the PAT CAGR 83%, EPS CAGR of 92% and the share price CAGR of 94% over the last 3 years.

If you look at Slide 4 for our Q3 results , you'll see CarTrade has achieved its highest ever revenues at INR228 crores in any quarter ever in our history. EBITDA has gone up by 56% to

INR78 crores. It's by far our highest ever EBITDA. Not only highest EBITDA by far, it's also almost INR15 crores more than the previous quarter. EBITDA is up 23% even sequentially from the previous quarter . So there’s a 56% year -on-year growth, 23% sequential QoQ growth to INR78 crores.

We've been talking about margins for many quarters with you. And you can see now margins have gone up to 37%, which is getting best -in-class in the country now, and it shows the unit economics and the leverage we have in our business.

If you go to the revenue, EBITDA, exponential growth in profit after tax has come at INR62 crores, which is up 35% year -on-year, and this is primarily due to an extraordinary item of the Labor code provision as per the new regulation being provided INR6.5 crores during the quarter. Otherwise, profits will be up by 49% if you look at after you include the Labor Code impact.

We continue to have

150 million yearly users in all our 3 platforms. The consumer group has grown by 27%. EBITDA is up 55%. And of course, we achieved a 43% margin on EBITDA in the consumer group , which is is currently operating at significantly higher margin levels .

And we've talked about how we have the unit economics and the leverage in this business over the last few quarters. The remarketing business profit is up by 68%, revenue is up by 12% , *EBITDA is up 23% as well, and our margins in the remarketing grew at 30% now. OLX has reached the highest ever revenue in the history in this quarter. It's up 18%. PAT is up 37% . andOLX also now reached a 37% EBITDA margin ratio.

*Note - EBITDA is up by 47% as well, and our margins in the remarketing grew to 30% now.
If we look at Slide 5, we can obviously continue to be the number 1 automotive platform, used platform, vehicle auction platform in the country. Traffic is up to 85 million MAUs during the quarter, 95% organic traffic continues. Vehicles auctioned at a rate of 1.9 million vehicles a year. We talked about the revenue at INR228 crores, it's highest ever in our history.
Adjusted EBITDA reached INR101 crores. It's a cash proxy. It's the first time it's crossed INR100 crores in the quarter. So you can say INR101 crores of cash generation during the quarter. PAT is INR62 crores. As I said, the PAT would be at INR68 crores, if Labor Code impact was taken out . And our cash balance continues to be about INR1,145 crores as we've talked earlier.
If we go to Slide 6 and look at the consolidated results of the company, revenue is up 18%. Operating revenue is up 19%. EBITDA is up 56%. Margin out here on a consol idated basis at 37%, up from 33% last quarter sequentially. If you see there is a 400 basis point increase in margins sequentially, just quarter -on-quarter. And from last year's margin of 28%, we have landed up at 37%. PBT is up 58% before exceptional items. PBT post exceptional items is up 46% and PAT is up 35%.
If you look at the 9 -month results of the company, revenue is up 24%, EBITDA up 77%. The 9 - month margins come at 32% and the PAT is at 74% . PBT is 87% up for the 9 months. So you

see the growth in both margins, profitability, and the revenues over a 9 -month period, which shows the consistency in the performance of the company.
If you go to Slide 7, look at the consumer group . For the quarter, revenue is up 27%. We spoke about EBITDA at 55%. EBITDA margin has reached 43%. And even sequentially, if you look at EBITDA is up INR6 crores just in this one business. And margins have gone from 40% to 43% sequentially. Over last year, margins has gone from 35% to 43%.
PBT, as I said, is up 43%. And if you look at the 9 -month numbers, the consumer group has done extremely well with a 32% growth in revenue, 106% growth in EBITDA and a 74% growth in PBT, with a 51% growth in PAT.
If you look at the remarketing business, there's a 12% revenue growth and a 68% profit growth during the quarter. Margins for the first time crossed 30% in the remarketing business. And if you look at the 9 -month figures, 22% up in revenue, 57% increase in EBITDA and an 80% growth in PAT for the year. So the remarketing business had a very good year in the first 9 months of the year.
If you look at OLX, it has had its highest ever revenue in any quarter. It's crossed INR61.7 crores and INR58 crores in operating revenue, which is up 18%. Profitability or EBITDA is up 70%. OLX margins reached 37% now and PAT is up 37%. And PBT is up 73%. There will be taxes included as OLX has exhausted its carryforward tax shelters. And now in this quarter, tax has been paid in OLX as well. But yes, PBT is up 73%.
If you look at the 9 -month data, OLX's EBITDA is up 63% and profit after tax is up 92%. So it's been a very strong quarter for us. We feel very optimistic about all the 3 bus

inesses. Just to
highlight, all 3 businesses achieved the highest ever revenue. All 3 businesses achieved the highest ever margin. So we feel very optimistic.
Business has been very strong in all the 3 businesses. We are even more optimistic about the current quarter, Jan uary to March and feel very optimistic that obviously, our numbers will get better and better from here. The business or the market especially the new car industry or the used car industry or the used product industry seems to be growing. And naturally, we feel optimistic about the current quarter and the quarters coming ahead. This is what I have to say. I'm happy to take any questions now and clarify all your questions and doubts.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Sachin Dixit from JM Financial.
Sachin Dixit: My first question is with regards to this EU FTA, So there is obviously some chatter about how it can potentially impact Indian auto industry. Do you have any views on that? Like how does it impact CarTrade's consumer business, if at all?
Vinay Sanghi: Yes, are you talking about the EU 40% tariff on vehicles? Is that the question?

Sachin Dixit: No, no, no. This mother of all trade deals that we have signed with EU in terms of free trade agreement

Vinay Sanghi: I've not obviously studied in great detail. It's only been a day old. But the one thing which might affect or help the consumer group are 2 things. One is if tariffs or duties on imported European vehicles comes down, it could lead to further demand in the new car industry, which, of course, could benefit the consumer group.
And the other there could be opportunities to bring other such vehicles in, directly even by -- it could be a business opportunity for the consumer group considering the reach of consumers and the distribution of CarTrade Tech as a group.
So obviously, we'll try to examine if there are opportunities where consumers here wanting cars from the EU could use platforms like CarWale or others for that need. So it's something we'll have to watch and see what the potential of this is, but it's too early to say at this point.
Sachin Dixit: My second question is on OLX business side. Obviously, you did highlight in the previous earnings call that momentum is picking. We saw that we improved growth rate by roughly 150 basis points. If I look on a Q -on-Q basis, 16.6% gone to 18.1%. Do you see f urther momentum here? And on the same line, on cost side, we saw that actually both employee and other costs declined Q -o-Q. What is resulting in this decline, if you can highlight?
Vinay Sanghi: Yes. You're talking about OLX cost or overall cost?
Sachin Dixit: Overall , OLX cost.
Vinay Sanghi: Yes, we definitely see the growth rate of OLX going up from the current growth rate in this quarter. So we do feel you will see that even further, and more amplified, the growth rates going up in OLX, number one. We feel very strong about the business, both the automotive and the non-automotive side of it.
So yes, you will see, in our opinion, a higher growth rate on OLX, in the revenue side. Costs are, I would just say, stable. There may be some minor fluctuations on manpower and other costs, but generally stable. We don't see any real serious decrease in costs or we don't see any increase in costs either. They're just stable , I would say, in OLX.
Sachin Dixit: Understood. Just one final question on the new auto side, if I can take that, right?
Vinay Sanghi: Sure, go ahead.
Sachin Dixit: Last quarter, obviously, we had, I believe, 37 -odd percent growth on this business. This quarter, that has dropped to 27%, but still very, very healthy, no doubt. There must have also been some base effect that would have played out compared to 3Q FY '25. How do we look at this ah

ead ?
Do we still believe this is roughly a mid -20s to maybe or 30 sort of a growth? Or there is potential for this to maybe inch down further by, let's say, a few percentage points?
Vinay Sanghi: The growth rate actually in the first 9 months is 32%, right, in this business.

Sachin Dixit: Right.
Vinay Sanghi: There is a bit of base effect of last year to Q3 to Q3 in the previous year. But generally, it's 32% over a 9 -month period. We see no reason and we're quite confident. Actually, the new car industry in the last 2 months has done extremely well.
And like we said, we are obviously beneficiaries of the car industry itself. So we do see that definitely sustaining the growth rate. I'm not able to give guidance whether it's higher or lower. But yes, we don't see any reason for the growth rate to come down at all. We feel very optimistic about the new car business.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, first question is again on the OLX side. We had talked about multiple initiatives on the growth side, which we had taken in quarter 3 across Elite Buyer and 2 or 3 more product initiatives getting rolled out. So can you just talk about how has been the acceptance? What percentage of our user base have accepted that? Just to understand sort of how the growth momentum should pick up in the coming quarters, some more details on that?
Vinay Sanghi: Yes. The Elite Buyer actually done extremely well in the last quarter. It was really commercially fully launched in the last quarter, and we feel very good about the adoption of the Elite Buyer program. We also feel that this will become a very large reven ue opportunity for OLX in the many coming quarters and years. We're already seen very high traction in the last 30 -40 days of the Elite Buyer program.
And it will, in our opinion, as I said, in the coming quarters, impact the revenues very favorably, number one. Other products like Verification, is likely to be launched in the next 30 days or so, it is completely a new product to further enhance customer experience on trust and safety on the platform. So that will get launched sometime in the next 30 days. So we feel optimistic about that as well.
But the growth rate continues also to be in existing products on B2C charges for deal ers or C2C charges for consumers , etcetera. So overall, we feel very optimistic about the revenue potential of OLX and the growth rates, which are going to come in the quarters there.

Siddhartha Bera: Got it, sir. But if I look at the monthly visitors for OLX, it sort of has seen some softness compared to last quarter. Is it something more seasonal? Or anything more here to look at?
Vinay Sanghi: There was a very slight seasonality, I would say, in September and a little bit of end of December. But generally, traffic has been stable of OLX. User engagement has been stable, traffic has been stable, very stable.
Siddhartha Bera: Got it, sir. And sir, lastly, on this margin profile for the OLX, we have seen a lot of cost benefits also coming in, in the current quarter. So is there any onetime cost thing which has come? Or do you think this 35% - 36% margins which we have done for the quarter, as we see a pickup in growth...

Vinay Sanghi: Yes, we think the margins will probably improve . Like in all our businesses, the leverage is higher, right I don't think cost will increase . So if revenue goes up, margins will improve, as we've said quarter after quarter in all our businesses.
Moderator: The next question is from the line of Hardik Doshi from White Whale Partners.
Hardik Doshi: Yes. Sir, this is Hardik here. Just a couple of questions. First one was on during the quarter, we were pursuing the CarDekho deal and then kind of did not

pan out. So can you just maybe spend a few minutes just explaining the rational and thought process and how we walked away from it?
Vinay Sanghi: Yes. I think we did announce that we were pursuing the transaction, and we then after studying it, at that point, decided to put it on hold. I think the reasons mostly were around understanding, obviously, the potential in our own business seems so high that we said, is this the right time for that or not. We continue to be very optimistic about the new car industry, which is what the acquisition was about.
And we obviously continue to be optimistic about OLX and all other businesses. So the amount of opportunities within the company itself, we felt it is better to hold any inorganic opportunity at that point. And yes, that's one of the reasons why we studied it and then we said it's better to put around wait at that point of time.
I just want to also highlight in the earnings call and we have also mentioned in our results that, we have provided some diligence cost, which is also factored into the quarter 3 results, which you've seen. The results and the margins are after some diligence costs which got incurred. It's in the expenses of the company already accounted .
Hardik Doshi: Yes. Okay. Got it. And then just on the previous question in terms of the consumer growth, I think you maintained you said that you expect to sustain this kind of growth level that you've seen over the 9 months. I just wanted to understand a little better in terms of the drivers of this growth.
When there's a slowdown, the OEMs and the dealers need to kind of push more and so the increase in marketing expense. But when the industry is going through a better phase, would that kind of marketing expenses sustain? And so to that extent, can we still maintain this kind of growth or not?
Vinay Sanghi: So the industry has gone through a very good phase in October to December , number one . And also the entire last 3 months, industry has grown rapidly. It's had unprecedented growth and volumes in the car industry. I'd just like to highlight that we're beneficials of growth in car sales. Obviously, we will benefit. We're also beneficial when manufacturing dealers spend more money on digital, which has been a long secular trend. We also benefit in car ARPU when prices go up in terms of ARPUs, which means people move towards a bigger vehicle like an SUV.
So we benefit in multiple ways. We also gain market share because we're the most cost -effective way for a dealer, a manufacturer to sell a car. We also have a large number of almost all car buyers in the country coming to our platforms. So clearly, there's a dependence and high

relevance the industry has towards platforms like CarWale and BikeWale or OLX for that matter for used cars.
So in any situation, whether the industry is down, which we've seen over the last 1.5 years or when the industry is growing rapidly as in the last quarter, our growth rates have been maintained and grown further even. So we've also shown and disclosed in the previous quarter, the last 3 - year trend of growth where the industry goes up and down, and we found that irrespective of that, CarWale out of the consumer group growth rates have stayed extremely robust during all those phases.

Hardik Doshi: Got it. So I guess this is more of a structural shift from offline to digital spend and then within that away from, let's say, Google towards platform related sites.
Vinay Sanghi: It is offline to digital spend. It is growth in the industry. It is growth of ARPUs in cars. It is different kinds of cars being sold, like if you see today, more than 50% of cars sold is SUVs.
So it's many, many things altogether. But by and large, there's a big shift to spending on platforms like CarWale, where the relevance for manufacturers and dealers who spend is ve

ry,
very high.
Hardik Doshi: Understood. Just one last question was on the operating leverage. So now if I were to just look at our consumer and OLX, I mean, I think we average around 40% plus margins. How are you seeing like if you continue with this 25% -30%, growth rate, Your expenses have pretty much not grown for the 9 months. Is there any kind of areas you need to invest into? Or will expenses remain at similar levels in terms of...
Vinay Sanghi: We think expenses are stable. They're not likely to see any fluctuation or any incremental change at all. So they're not likely to change. We've always said that our margins will keep growing, right? And I think we've reached 37% as a group, 43% as a consumer group. We think they'll go further.
Hardik Doshi: Got it. So essentially, all the growth that comes through a very large part of it will continue to pass through, as a clarity?
Vinay Sanghi: That is correct. That's just the nature of the business.
Moderator: The next question is from the line of Nishit Jalan from Axis Capital.
Nishit Jalan: Congrats on good set of numbers. My question is, obviously, industry tailwinds are there. And now that you have studied CarDekho also, just wanted to understand on consumer side of the business, do you think a part of the growth is also driven by market sh are side of the things, right? How is it panning out ?
And while operating leverage will be there in our business for sure, globally there are companies which makes 50% plus margins also. So will it be incorrect to assume that in the next 2 -3 years, if the growth continues, you could also be a 50% plus kind of a margin business?
Vinay Sanghi: Sorry, what's the last part? I didn't get the last part.

Nishit Jalan: Basically, what I was saying was that if the growth rate continues over the next 2 -3 years, these margins could expand from 40 -odd percent to 50% plus. Basically, what should we look at as the incremental EBITDA margin on the revenues ? Because your incremental costs are lower in a way, right? So how should we look at especially the OLX and the consumer business because that's where the benefits will be much more substantial?
Vinay Sanghi: Yes, two parts. One is the first part, which is the growth in the car industry itself. After since reduction of the GST, we've seen the car industry grow. Our growth rates, if you see 32% , were even before the GST reduction took place. So clearly, we're beneficiaries of car growth rates.
We also benefit when growth rates have been more muted for the car industry itself . So because our growth rates have been high in both cases. We see that the reason for this is because consumers come to a platform like CarWale or others to fulfill a need of buying a car or finding a car, etcetera.
And because of the number of consumers and the relevance to consumers, which a platform that CarWale has, manufacturers and dealers need to be obviously spending more on platforms like ours compared to others. That could be offline advertising, that could be Google, it could be Facebook or other horizontal platforms and also direct vertical competitors because we feel we are far more efficient than our competitors are. So I think you're seeing a fact of that, that we are gaining market share, number one. N umber two, you've also seen a factor of industry level growth and move towards digital.
And like I said, number three, it's also a product mix where, as you've seen in the last 3 -4 years in India, there's a huge shift towards SUVs by itself . So the ARPUs of cars have basically gone up as well. All these factors do matter. And clearly, our job is to make sure that the consumer coming on our platform, our product and improvements or development cycle continues so that consumers keep coming and growing on the platform, and that's what we are focused on. So that's the

first part of the question.
The second was over the last 10 -12 quarters, we've demonstrated to you that costs in companies like this are stable. We see no reason for that to change in the coming quarters. And therefore, a lot of that revenue will go to margin. And I think if you see the last 3 years, margins has gone from 9% to 37% as a company , as a consolidated company. So I don't see a reason for that. I think the trend will just continue. Margins will continue to grow.

Nishit Jalan: Yes. Maybe just one follow -up. You did talk about the ARPU going up, right? So ARPU going up, the benefit is indirect as in the industry revenues goes up and the ability of OEMs to spend more on A&P goes up. Is that the indirect benefit that comes to you o r there's something else which is there?
Vinay Sanghi: It does benefit where the car prices go up , suppose the average rather than small cars or sedans, SUVs, which are higher price sell, it benefits all stakeholders . Anybody in the chain, it benefits.
Nishit Jalan: It benefits because the industry revenue goes up and the ability of the industry...
Vinay Sanghi: And the industry spend goes up, I would say, yes, absolutely.

Nishit Jalan: Yes. And sorry, I think you answered it, but I missed out. On the OLX side, you have started to take a lot of initiatives to monetize the Elite Buyer and seller and all sort of things. Sorry, if you have commented earlier, I missed out, but where are we in...
Vinay Sanghi: No. Actually Elite Buyers has done extremely well in the last quarter for us. We feel very, very optimistic that this will become one of our flagship revenue earners in the coming quarters and years ahead, number one. Number two, even existing revenue drivers have gone up or improv ed. UX has improved. Customer engagement has improved. The growth rates of revenue have grown, we will see the highest revenues. But on top of it, we feel the growth in revenue s will go even up further ,and margins in OLX will also increase further. We feel pretty confident of that.
Nishit Jalan: And on the used car side of the business, right now, you are monetizing more from dealer subscription and now very recently Elite Buyer , Elite Seller program. Any plans to get into more value -added services also like a financing or an insurance or a service or some warranty?
Vinay Sanghi: Financing is something we're working very closely on a fintech perspective. But like I said, we'll be a marketplace company. We're not likely to take any risk, balance sheet risk or lending risk ever. So this is like a marketplace model where we're working very closely with a couple of very big banks and NBFCs on launching products, on used car financing. I think in the next few quarters, you'll see products like that launched for used cars where our relevance is very high. If you see data which we've disclosed in the past, where 65% of all used cars sold in India are listed on OLX. more than 1.5 million used car buyers come to OLX and CarWale together. In the last quarter, actually earlier this month we publicly disclosed that as well. We, for the first time, combined the CarWale OLX offering for all dealers in India.
So we launched a subscription for dealers, which is combined of OLX and CarWale to increase the base for both companies. So there are many used car initiatives going on, and you'll see a lot of the results coming in the next few quarters around the used car side of the business, both in fintech side as well as in the core used car business.
Moderator: The next question is from the line of Amit Agicha from H.G. Hawa.
Amit Agicha Sir, with INR1,145 crores of cash on the balance sheet, how should investors think about capital allocation priorities in the next 2 years?
Vinay Sanghi: Yes, it's a good question. At this point, we are also generating, INR100 crores a qua

rter .. We
showed you the adjusted EBITDA number. So it's INR1,145 crores in the bank plus INR100-odd crores of cash every quarter at this rate, as profitability grows, even the cash generated would grow. We have almost no capex in the company and almost no need from an investment standpoint in our current business, all our businesses are high -margin businesses.
So the intent would be, to look at whether any inorganic opportunities come in the future. And we've been very good at acquisitions in the past. We've done multiple successful acquisitions. So part of the use, if at all, we come across an opportunity would be that. And obviously , the long-term intent would be to return money to shareholders.

Amit Agicha And sir, one more question, connected would be employees, like are there any talent constraints in data science, AI pricing models or data analytics that could require higher future investments?
Vinay Sanghi: We've actually made a lot of investments. It goes in our operating cost. A large part of our manpower cost is product engineering, design, AI talent, etcetera. So a lot of investments are being made. These margins and these costs are after making those investments. We are first a technology company before everything else. So this is part of what we do every day.
A large part of our team is product engineering, design and AI talent. So we're building products for OLX, CarWale, SAMIL every single day and new products as well. We also created CarTrade Laboratories, which builds only new cutting -edge products few mont hs ago. So these investments are done, and they're part of the operating cost in the company.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, a quick question on the remarketing business. If I look at the volumes for CarTrade and the auctions, seems that the conversion has dropped a bit compared to the last quarter. Any particular reason what is happening here?

Vinay Sanghi: No, it is only in the last quarter. And I'll tell you, specific ly in the used car industry or the used vehicle industry, new vehicle prices came down in September with the GST reduction. Used vehicle pricing took some time to correct itself. I think it took 2 -3 months to correct because those are more subjective by nature. So a lot of the sellers tend to be waiting back and saying, listen, am I going to get a better price?

And when they realize that used car pricing has changed forever, then they start selling. So it's a bit of a delayed process, and maybe that's why you're seeing a slight conversion difference. That's primarily due to price reduction on the new car side, w hich affects and impacts the used car industry as well.

Siddhartha Bera: So this conversion then in normal scenario should pick up in the coming quarters?

Vinay Sanghi: Yes, absolutely. It's already better. So yes, that's correct .

Siddhartha Bera: Okay. And on the growth side for the remarketing also, I think the last few quarters, we had seen a very strong growth, obviously, with the low base. But now going ahead, do you think there can be further acceleration to this? Or this is a run rate we shou ld assume for this business?

Vinay Sanghi: No, I think we should continue to grow. We feel strong about the business. And we do believe that normally, Q4 is much better than Q3 for this business. So we do feel the growth rates and the absolute numbers should get better.

Siddhartha Bera: Understood. And sir, last clarification, I think you have mentioned about INR1.8 crores of due diligence cost in the stand -alone consumer business.

Vinay Sanghi: That's correct.

Siddhartha Bera: So that should be there in the consol idated numbers as well, right?

Vinay Sanghi: It's in both numbers.

Moderator: The next ques

tion is from the line of Anjali Bajaj from Naredi Investments.

Anjali Bajaj : Other income from OLX India business declined sequentially in the quarter 3 compared to quarter 2. Could you please explain the key reason for this drop?

Vinay Sanghi: Sure. Aneesha, do you want to explain this? Do you want to explain the other income in OLX?

Aneesha Bhandary: Yes. So as we had disclosed in the previous quarter, the quarter 2, we had an other income writeback in OLX, which was disclosed in a detailed note in the financial statement itself. In Q3, we do not have any write -back, which is there, which is why there is a dip in the other income.

Vinay Sanghi: The way to look at it also is that Q3 is a normalized other income. And in Q2, because the writeback there was a special item in there.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: Congratulations on a super set of numbers, great expansion on margins across all businesses. Just wanted to understand, over the years ahead, what kind of incremental revenues now would straight pass on to profits? Would it be 80%, 90%? How should we look at that?

Vinay Sanghi: Yes. that's been the track record, Arpit. I don't see any reason why that will change.

Arpit Shah: Got it. And you just mentioned that we're going to be launching something like an OLX verified for Elite Buyers in the next 1 month or so. How big do you think that opportunity would be for revenues going ahead? Because I believe if I just see for Meta, ma ybe Instagram, Facebook that opportunity is about $2 - $3 billion every year in terms of just selling verified subscription. But how big that number could be for OLX ?

Vinay Sanghi: I don't want to give a revenue guidance around it, but it's a very important product for OLX and dramatically enhances user experience. It's very innovative, the way it's been brought out at OLX, and you'll see it in a few weeks. But we feel very good about the product and very optimistic about it. The revenue upside will be significant. But we also see that it's a big feature for all users on OLX. It changes a lot on how they interact with the buyer or seller on the platform.

Arpit Shah: Got it. And how should we look at the r emarketing business growth because the growth has reaccelerated from what was earlier to, a couple of quarters back, and it's now moved to 12%. The margin offset for that kind of revenue growth. But how should we be reading revenue growth for remarketing business?

Vinay Sanghi: I think we've had a 22% 9 -month growth . And I think that's the way to look at it. Sometimes the quarter is a base effect of the previous year. But yes, I would think of it a lot of the business over a 9-month period. And the business actually is a good situation, both the retail side and the repossession side. So I see some of this growth is continuing. I don't see much change. In fact, the markets are quite favorable for Shriram Automall as they are for OLX or CarWale.

Arpit Shah: Got it. And structurally, the classifieds business, the growth should keep improving now quarter -on-quarter.
Vinay Sanghi: I feel OLX growth rates will go up. And I think consumer group, which is 32% in the first 9 months, has already been very strong, the growth rate. So I think you'll see a positive growth rate from what it is in OLX, the 18.5% will get better. In CarWale, as I said, 32% growth rate is already seen in the first 9 months. So it's been very strong anyway.
Arpit Shah: And this growth will keep coming despite the margins that we are at, right .? We wouldn't have to spend a lot in getting that growth, like to 37% that already exists...
Vinay Sanghi: We don't see much change in the cost structure of the company.
Moderator: The next question is from the line of Aditya Yadav from Transient Capital.
Aditya Yadav:

Congratulations, sir, on a great, great execution. Congratulations to the team as well. My question so yes, this has been talk of the town, but my question was regarding the AI wave. And so there are 2 parts to it, sir. One is there like, there was talk of threat of disintermediation where like the site visits go down hypothetically where the LLM itself generates the answer to the query of the user. And the second part was the use of AI tech within the company itself. So I would ask you to like provide color on both the sides.
And with the first part, we are seeing some evolving models globally also where they are the data owners like us are moving into a licensing agreement with the LLM organization where you are charging a licensing fee of that sort and not providing unlisted access. And we are seeing some of those kind of models evolving. And so yes, I would urge yo u to provide color on both things like outside the organization and inside the organization both.
Vinay Sanghi: Sure. The first way we see AI in the group is at multiple levels . I think and the first thing which we work on is to improve user experience, right, is if you come on to our platforms, how does our data and intelligence help you perform a task better. So lots of work is going on and being done and launched even around helping y our experience on CarWale or OLX or BikeWale to get better, number one.
And like I said, the one thing we've always prided ourselves on is going deep into the journey so that it's very hard for LLM to duplicate what we do. For example, if you come to CarWale and you want to get a loan approved in a second, our tools help you ge t an approval from multiple banks within 1 second. I don't think any LLM would be able to do that . So our task is always to go deeper into a process of the journey of what we do so that no horizontal platform or an LLM can replicate or duplicate what we do.
And the strength we've got is when we look at AI products within our experience for users . We obviously have our own public data , our own private data, and we have our own private consumer data or customer data . All of that is being used for giving you a better response to the user. The LLM is only a public data.

They don't get to see all the other 3 levels of data . As much as we are a technology company, we're a data warehouse for the automotive industry and in all the other industries we cater to. So for example, today, millions of mobile phones are sold on OLX or hundreds and thousands and millions of furniture it ems are sold on OLX .
So the amount of data around that helps us serve our customers better. 65% of used cars listed in India are inventory in OLX today, right . So I think we feel that all of this data, which we've got a consumer or products or price gives us a differentiated advantage on the AI front to help serve our customers better, right . I think that's what we believe.
On licensing and sharing content, no, we don't share our proprietary content or our own data with LLMs at all in any licensing arrangement. We think the data we've got and the brand we have and the platform we have is a differentiator or is differentiated, and we would not want to be licensing or sharing it with anybody else.
Aditya Yadav: Understood. And sir, regarding the consumer group, what other optionalities you see that you've been talking about like going deeper into the user journey, facilitating loans is one such part of that. And do we see other optionalities also in the business where we could be trying to get a larger revenue share of the user car buying journey
Vinay Sanghi: There are multiple journeys going on. There are multiple helping a person -- in the car buying journey, helping a person sell a car , to get a loan , to buy a car to buy other value -added products, too. In OLX, the re are multiple journeys whi

ch help us serve the customer better and give them
a better experience and go deeper in the process of buying or selling a product.
Aditya Yadav: Could you provide some color on that?
Vinay Sanghi: In which business? I mean, are you talking about OLX or CarWale, which one?
Aditya Yadav: CarWale, the c onsumer group.
Vinay Sanghi: In the consumer group. So in CarWale, one of the things we help consumers do is how do they sell a car or when they buy a car, and how they trade in manage . For us, buying a car is a journey.
It's not about just buying a new car. It's about all the surround activities around it.
And for building technology of products, which help a user do all those tasks in what we call a one-click environment is what we work towards. And for that, we need to work with the ecosystem, dealers, manufacturers, banks, etcetera, to provide products like this. So that's an example of how we're thinking.
Moderator: The next question is from the line of Vijit Jain from Citi.
Vijit Jain: Sorry, I joined a little bit late in the discussion, I apologize.
Vinay Sanghi: No worries.
Vijit Jain: My question is this quarter, we saw all the GST rate cuts that happened on cars, and a number of other categories, too. Two questions. One, at OLX level, did you see any surge in listing

activities, as people might have replaced at a higher pace than they would have done earlier on both cars and other categories? So did you see any indicators there?
And how should we think about that as it impacts your business going forward? And second, also how the car price changes affects your business across all 3 categories, if you could give me a broader color on how you think about these things?
Vinay Sanghi: Yes. We partly answered before, in the start, the new car side. The reduction in the new car prices of GST had an immediate benefit to the new car industry, obviously. And we saw over October, December, new car industry go rapidly. Resale scale, highest ever numbers we've ever done. And obviously, CarWale and the consumer group are obviously beneficiaries through that immediately, I would say. Consumer demand, traffic demand, buying demand, all that automatically went up on CarWale.
I think what we saw, is very normal, when prices fall sharply in the new product industry the used car industry is almost in a status quo mode where people are wondering whether they sell an old item at a lower price or not because if the new car prices come down by 10%, the used car price necessarily has to come down by 10%. I mean this is th e way the economics work.
So I think for people who are selling a product, it takes some time to digest that understanding that what I have is going to fetch me 10% less . And that takes 1 to 3 months to adjust itself. So OLX's growth and a lot of that, towards the end of December you find that people are becoming more accepting to realizing that the asset value has gone down in the used product they own, because the new product itself come down. And you found that starting to happen in December onwards in the used car industrial or the used product industry.
I think in Jan, we're seeing a little more of that where people who have used products are now saying, listen, this is a new norm of pricing. Generally, as you've seen over the long periods of time in multiple cycles like this, as the new product industry pricing goes down, the new product demand goes up, the used car demand goes up with a lag because when the used car product prices start going down, you'll start now finding demand for the used products going even higher.
So you'll see a massive growth in the used product industry in the n ext 12 to 15 months, which follows typically the new product price decreases.
Vijit Jain: Okay. So there's usually a lag there of a quarter...
Vinay Sanghi: There's just lag beca

use it takes time people mentally to adjust to the new prices. But when they do, then the demand dramatically goes up because the affordability of the used product goes up.
Vijit Jain: Right. Makes sense. Second question, within the OLX business, right, if I look at the last quarter, and you launched obviously a lot of products here, Elite Buyer, Su per Series, et cetera. And there was a big quarter -on-quarter jump in the last quarter. And if I use that exit rate that you might have had in September quarter, would you say that these GST -related changes minus them, OLX would have been higher than this in this quarter , and this is why you're guiding to a much better growth rate than 18% Y -o-Y going forward because that...

Vinay Sanghi: No, I am not linking the GST at all with OLX. I don't think OLX is positively or negatively affected by the GST. I just feel like OLX is getting better at everything it does every day . It's an

M&A, which is a little more than 2 years now and the product changes, the product improvements and new product launches. By the way, Super Series was launched in Jan, not in December, it was announced in Jan. So we feel like a lot of what we're do ing is starting to pay off.

And of course, at the center of it is user experience and transaction volume on OLX is getting better. And we obviously have visibility towards the end of quarters on how the next quarter is going to be because there's a rate and the run rate .. So that's why I've given a guidance earlier on the call saying that the growth rate of OLX will go up automatically, in this quarter of Jan uary to March, and that's the guidance we'd given.

Vijit Jain: Last question. On the consumer business, right, on the consumer business now, we can see your trends on traffic across CarWale and BikeWale. In terms of revenue market share apples -to-apples, would you say it's roughly on par with your traffic share or would you say...

Vinay Sanghi: Sorry, Vijit, I lost the last part. Just repeat the question? I believe you said revenue shares. The revenue and traffic, are you comparing the revenue and traffic growth. Are you saying that?

Vijit Jain: Yes. So roughly, if you have a certain traffic market share among classifieds and you have a certain revenue market share, would you say your revenue market share is above or below the traffic market share is what I'm trying to understand.

Vinay Sanghi: I don't want to get into competitive market shares at this point. But the reality is that CarWale, if you look at the traffic market share, is very dominant in the business it's in . And that comes from the number of users which come itself. Clearly, the dominance is displayed in all facets of its busines s. All its engagement calls, and how we serve our customers, manufacturers and dealers. We also feel very strong about the revenue growth at CarWale . I have a 32% growth in 9 months. And if we look at the last 3 years CAGR of growth of CarWale, it's been extremely strong. So I would like to keep it at that. But really, we see that CarWale is becoming clearly a dominant new car platform.

Vijit Jain: Got it. Understood. Just last question for Aneesha. If you can give me the split/mix between new and used and OEM versus dealers?

Aneesha Bhandary: Sure. Similar, Vijit, to what we have disclosed previously. The used continues to be like 15% versus new being at 85%. The OEM dealers at ballpark 70 -30 kind of ratio, OEM being 70 and dealer being 30.

Vijit Jain: And within the remarketing business, what will be the split between retail and those 3 categories that you split remarketing into?

Aneesha Bhandary: So repo is about 4 9% of our business, retail continues to be about 40% of the business and the balance is corporates.

Moderator: The next question is from the line of Deep Shah from NV Capital.

Deep Shah: Sir, my first question is on the consumer business again. I just wanted to understand over a 2 -year horizon, do you see growth kind of tapering down? Because firstly, during the IPO, you all had mentioned that the penetration of like digital ad spend is ar ound 19%, that currently would have increased to around 35%, 40%. So it's much closer to global peers.

Secondly, it's largely a duopolistic market. So do you use pricing as a conscious lever, so just a thing like the base would also catch up. So just wanted to get an understanding of the consumer business over 2 years. How do you see growth coming in here?

Vinay Sanghi: Sure. I think the first thing is that spends of manufacturers are in the 18% to 20% range on platforms like our s. I think the 30%, 40% you may be referring to, if you include OTT platforms and television, like YouTube and other things like that, there's a huge headroom for advertising from the offline world to grow in the online world in the automotive industry. So t he 17%, 18%, 20%, we think obviously will grow much larger over the next few years, number one.

Number two, we also feel among digital advertising platforms, whether if a manufacturer is advertising on us or other horizontals, we feel we offer a far of value to dealers and consumers. So we see a clear increase in our market share in spends.

Number three, we definitely see the automotive industry growing at a particular rate for the next 5 years. And we've shown that even if the industry growth is more muted, we continue to grow because of the shift towards spending on platforms like ours.

And number four, we definitely see as prices and ARPUs of cars and the mix of cars changes, we benefit from that. So there are multiple, multiple factors, I think, right from user growth to all these 4 factors, which is why we see that the consumer group has continued to grow on over the last 3 years. Even this year, it's grown at 32% for the first 9 months. We see no reason for this change for the coming few years at all.

Deep Shah: Sir, the 20% penetration you said is on the auto portal side, right?

Vinay Sanghi: No, no, no. It's on automotive plus all other such digital platforms.

Deep Shah: So would like Meta, Instagram, all of that would come in here or...

Vinay Sanghi: That will come in that, yes.
Deep Shah: Okay. And on pricing, do you see that as a conscious steward to, I mean, increase or support your top line?
Vinay Sanghi: Your prices change based on product change and mixes too . I think we're not a company which charges more for doing the same thing. We normally try and increase value to our users to manufacturers and dealers when their prices change or when we provide more services to them. I think that's the way we think about it.
Deep Shah: Okay. Got it. And just in addition to the previous question on mix on the remarketing group, the 10% corporate that you mentioned, how would you differentiate between the retail and the corporate, what do you include in the corporate piece?

Vinay Sanghi: Retail, a single user. Corporate is someone who's got bulk vehicles, it is different. I mean a corporate would be a vehicle company...
Aneesha Bhandary: Ola, Uber.
Deep Shah: Fleet owners would be corporates?
Vinay Sanghi: Yes, fleet owners could be corporate, yes. Individual is a single individual.
Deep Shah: Okay. And the last question was on OLX. You mentioned that the group would pick up from them. Could you just elaborate on the non -auto portal? I mean when you had acquired this, the focus was largely on the auto piece of the business. How are we scaling up the non -auto piece? And could you just explain it?
Vinay Sanghi: I think the non -auto piece has also grown rapidly. I think, in this period, the non -auto growth has been slightly ahead of the auto growt

h. So it's been pretty strong. There are multiple parts of it from electronics to goods to mobile, furniture, bikes, jo bs, real estate, so multiple parts of it. We feel very optimistic about all those. In fact, in mobile phones, almost 25% of all phones sold are listed on OLX. We've shared that market share data as well publicly.
And even in furniture, if you, today in India, are selling a table or a chair or anything else, OLX is a single destination where 180 million, 190 million Indians come every year to sell something or buy something. So it's a very strong platform for used products from a non -auto standpoint. Of course, in auto, 65% of cars are listed on OLX. But even on non -auto, we find that the traction and the adoption is extremely high and very optimistic about the non -auto side.
It actually fulfills a very major need for the population of India that if you ever want to sell something, I think this is the only methodology you can use to sell what you have. It could be a piano. It could be anything. And we said before that a lot of this operates hyper -locally. So if you are listing an item in a particular geography, within a 5 -kilometer geography, there's a buyer for you. So very strong platform, very strong transaction metrics and extremely strong adoption by users.
Moderator: The next question is from the line of Shrenik Mehta from IndoAlps Wealth .
Shrenik Mehta I have two questions. Number one was on the ROE. So you have a fairly strong glidepath to the growth here. When do you think in the next 2 -3 years, you can come to a more ROE, which is closer to, say, the growth that we want to take, which will be in the range of 20% -25%?
Vinay Sanghi: I don't give a guidance on when that will happen, but clearly, we see the ROE going up because as profit goes up and the lack of capex or other big investments being made, we clearly see the ROE going up in the company.
Shrenik Mehta Okay. And second, I was thinking a little bit about the AI. So do you have some AI case which you've utilized in your company and has been very successful to bring the business growth to you, any one user case?

Vinay Sanghi: So multiple interventions of AI. I think the one which is already live, which all users use even today is if you list a product on OLX and let's say you list a car and you put a photograph or something else, our AI tool will immediately will check on it, and obviously guide you to say, listen, this is our product. So there are multiple small interventions like this, but AI is being used across to enhance user experience on CarWale or OLX.
There's a lot of pricing information. So we go to CarWale today when you're buying a used car, it will immediately guide you, tell you what price you should pay, which is all intelligently as you know, used car pricing is an extremely complicated item and this is all through AI, so multiple interventions, but there's a long, long way to go with. This is the beginning of the AI intervention in the business.

Moderator: Thank you . Ladies and gentlemen , we will take that as the last question for today. I now hand the conference over to Mr. Aryan Sumra for closing comments. Over to you, sir.
Aryan Sumra: Thank you. I would like to thank the management for taking their time out for this conference call today. And I would also like to thank all the participants. If you have any queries, feel free to contact us via MUFG Intime, Investor Relations Advisors to CarTrade Tech Limited. Thank you so much.
Vinay Sanghi: Thank you, everybody.
Aneesha Bhandary: Thank you.
Moderator: Thank you. On behalf of CarTrade Tech Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: May 14, 2026

To, To,
Department of Corporate Services, Listing Department,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange plaza, Plot No. C/1, G Block
Dalal Street Bandra Kurla Complex, Bandra East,
Mumbai - 400001 Mumbai – 400051
Scrip Code: 543333 Scrip Symbol: CARTRADE
ISIN : INE290S01011

Ref: Regulation 30 read with Schedule III Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of the CarTrade Tech Limited Q4FY26 Earnings Conference Call held on Thursday , May 07, 2026

Dear Sir / Madam (s),

With reference to our intimation dated May 0 4, 2026 informing about the Analyst / Investor Call with Analysts/Investors, please find enclosed the transcript of CarTrade Tech Limited Q4FY26 Earnings Conference Call held on Thurs day, May 07, 202 6.

The above information will also be available on the website of the Company: www.cartradetech.com .

This is for your information & record .

Thanking You.

For CarTrade Tech Limited

Lalbahadur Pal
Company Secretary and Compliance officer
Mem. No. A40812

Enclose: a/a

"CarTrade Tech Limited
Q4 and FY26 Earnings Conference Call "
May 07 , 202 6

MANAGEMENT : MR. VINAY SANGHI – CHAIRMAN AND MANAGING DIRECTOR – CARTRADE TECH LIMITED
MS. ANEESHA BHANDARY – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – CARTRADE TECH LIMITED
MR. VARUN SANGHI – CHIEF STRATEGY OFFICER – CARTRADE TECH LIMITED

MODERATORS : MR. ARYAN SUMRA – MUFG INTIME INDIA PRIVATE

Moderator: Ladies and gentlemen, good day, and welcome to the CarTrade Tech Limited Q4 and FY26 Earnings Conference Call, organized by MUFG Intime India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportu nity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aryan Sumra from MUFG Intime India Private Limited. Thank you, and over to you, sir.
Aryan Sumra: Thank you. Good afternoon, everyone. I welcome you all to the Q4 and FY26 earnings conference call for CarTrade Tech Limited. To discuss this quarter's financial performance, we have from the management, Mr. Vinay Sanghi, Chairman and Managing Director; Ms. Aneesha Bhandary, Executive Director and CFO; and Mr. Varun Sanghi, Chief Strategy Officer.
Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.
Without further ado, I would like to hand over the call to the management for their opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, sir.
Vinay Sanghi: Thank you and welcome to everybody to the Q4 FY26 earnings call. And thank you for taking the time out today. I just want to start off by saying we've completed a year which has been a very strong for the company. Its growth in revenues, profits and its obviously its growth in margins.
If we look at the investor presentation shared with all of you, if we go to Slide 3, which is you know really looking at the last three -year story of the company. At the center of our company is innovation that drives our growth and profits. If you look at the three -year growth story and if you look at the compounding of the company from a revenue standpoint, the three -year CAGR is 29% of revenue. EBITDA is at 98% three -year CAGR and the PAT CAGR is 82%.
As you all have seen over the last many quarters, margins have continuously gone up. Margins have now gone from 9% to 33%. And if you look at the strength of the company in terms of the capital , we've now got INR1,244 crores of cash reserves. Last year , we added a cash balance of approximately INR300 crores based on profitable growth. And as you can see , the return on equity is getting better and better.
If we look at the real growth on various other metrics, EPS is up 86% CAGR over the last three years , . The earnings per share now is actually INR47 a share. And if you also look at the profit after tax has jumped to INR244 crores. It's among India's most profitable listed digital platforms.
If we go to the next slide and look at the consolidated accounts, which is Slide 4, as you can see here, revenue growth is 22% for the year, 20% operating growth for the quarter , EBITDA growth

is 70% for the year , margins are 33% for the year. For the quarter, margins are 35% and the EBITDA is up 55%.
If we look at profit after tax is up 54% and first time crossed INR70 crores , it’s INR70.84 crores in a quarter , so our PAT is up 54% . And PAT for the year has jumped from INR145 crores to INR243 crores, which is up by 68% for the year. So it's been a very strong yearly performance and we obviously feel very optimistic about not only the year gone by , but we also feel very optimistic about the years going ahead.
So we feel our competitive dynamics have improved for the company. Overall customer engagement has improved. And as you can see , there ha

s been improvement in revenues ,
margins and profitability has dramatically gone up as well. So we feel very strong and in a good position to really guide the future of this company.
If we go to Slide 5, which is the consumer group, as you know BikeWale, CarWale these brands, it has had a really strong year at a growth of 30%. And not only has it grown revenue at 30% for the year, it's grown EBITDA by 96% and profit after tax at 55% due to the increase in the deferred tax provisions of the company.

If you look at the quarter, revenues up 25%, EBITDA is up 72% and profit after tax is up 64%. So it's been a really strong quarter for the consumer group as well. If we look at the remarketing business, and I want to highlight here that in the year gone by, every company of ours, all the three businesses have achieved the highest ever revenue, the highest ever margins and the highest ever profits, all of them.

So it's been a really, really strong year for us gone by. So you look at the remarketing group, it's up 22% on yearly revenues, EBITDA is up 57%, margin has jumped to 28% and profit after tax up 66%. And if you look at for the quarter, revenue is up again 22%, EBITDA is up 56% and profit after tax is up 42%. So it's really been astrong quarter for the remarketing business as well. If you look at OLX India, for the year total income is up 22%, EBITDA is up 54% and profit is up 77%. And for the quarter it's 16%, EBITDA 34% and profit after tax 44%. So they've had a strong year as well. You know these are the high -level financial metrics which I wanted to share with all of you. Obviously , I'm happy to take all your questions and clarify all the doubts you might have as well. So we can take questions now.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. First question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Yes, thanks for the opportunity and congrats sir on a good set of numbers. Sir, first question is on the classified business. I mean , we have taken quite a few initiatives in the last few quarters and have rolled out new products as well on both Elite Buyer as well as Verification, but the growth momentum seems to be taking longer to sort of see an acceleration.

So if you can share some more color on where are we in terms of monetization, how is the response for some of these products which we have launched and how should we expect the growth to be for the next few years?

Vinay Sanghi: Sure. I think you mean in the OLX business. It has grown by 16% in the quarter – both Elite Buyer and Verification, Verification was launched in the last few weeks of the quarter and Elite Buyer has been around for a few months.

The adoption of both these products is extremely strong. I think you will very soon maybe this quarter start seeing the impact of it , in fact it's been in almost very rarely in platforms like these are buyers monetized and I would say we've actually had strong success in the both products, Verification and Elite Buyer.

And like I said you'll start seeing these numbers play out immediately in my opinion. And we can already see it on a daily basis . But I think from this quarter onwards , you'll start seeing the impact of these products. When you look at OLX as a whole, we feel very optimistic about the monetization opportunities within OLX. Last quarter , we've launched a couple of other AI initiatives as well in OLX.

And as we go on this year , there will be a series of launches of new products. So we feel very confident about Elite Buyer, Verification , and the other B2C and C2C initiatives being done by the company. I think you should see some this momentum of monetization step up now immediately .

Siddhartha Bera: Sir, any more products can you sort of elaborate what are we planning to do for th

e coming years
which you said that we should see a pickup?

Vinay Sanghi: Sure. within Elite Buyer itself, it is a suite of products for us . So we started off with visibility, bringing in trust with Elite Buyer. We're moving to agentic AI with Elite Buyer. So it's got a very unique matchmaking tool which has gone live. So if you are looking to buy a product, it helps you find that product and match makes it to exactly what you want, which enables you to do transactions.

It's of course using what we call a matchmaking agent which has been built grounds up. It is moving also as we've disclosed earlier presentations to various other agents . Suppose you're buying any used product, it will help you price it. So if you don't know what price to pay, it will instantly tell you what price you should pay for it.

And in many products , it will also give you a condition check. So what we're able to do today with photographic image recognition, we're able to judge condition . So I think what we are trying to do is when you buy a product, the Elite Buyer program with multiple agents now which will get launched and as I said you'll see them one after the other as consumers to use, you will be able to buy a used product by understanding how to find and match make a product, a seller, understand the price, understand the condition.

So that's one family of you know initiatives. There's another family of initiatives that if you're looking to sell your product and this is also you know got rolled out there's a matchmaking on that side too. So if you're looking to sell a car or a bike or a refrigerator or something, how do we instantly give you a customer waiting for this product, right? And that also requires a matchmaking agent which has been built.

Also When selling your product, you recognize the significance of pricing , and are you able to negotiate price? So there's pricing agent, negotiation agents on the other side as well. These are various AI initiatives which are using OLX core proprietary data to give you a better experience. These are at various stages of rollout. So the matchmaking in a very small way has already rolled out to consumers on OLX.
And as I said these are all at various stages of this launch. There's also a Verification product which we've talked about on which brings further trust and safety in a platform like this. So it tells you know it tells you who can be tru sted. And you know it also comes on the fact that a very large number of OLX users are more than five years old. So from their behavio ur we are able to analys e intelligently who can be trusted at this point.
So that's another family, that we've talked about building fin -tech and we're at various stages of development of building a financing product for people who want to buy used products. And then there are multiple such initiatives. But the intent is to keep building products , which help transactions on the platform and obviously help us monetize in a far better manner.
Siddhartha Bera: Understood, sir. On the consumer business, good performance here as well. Can you just elaborate a bit more on the OE dealer mix, how has it changed in the quarter? And in terms of outlook, given some of these rising steep cost pressures we are seeing across the industry, how do you see the growth, going from here for the next year? Do you see any risk of deceleration or do you think this growth momentum can continue for you? So some thoughts there.
Vinay Sanghi: So one is that the car industry in the last seven months has had steep growth, including April as well. As you know that the car industry grew approximately 20% in April itself. We feel very optimistic about growth in the year ahead for the consumer business. So any growth rate which we've already shown last year or the year before or the year before that, we obviously fe

el very
optimistic about the next year or the years ahead as well.
We also feel reasonably optimistic about the car industry itself, that there should be some growth momentum just looking with the GST tax reduction and demand escalation which is taking place post that. We continue to see that, so I don't completely feel very optimistic about the growth in the car industry for all the bike industry for that matter for the next year or two -three years ahead actually.
So nothing has changed, we feel as optimistic as we did, you know three months ago or five months ago. Market conditions in the car industry are quite favo urable or the two -wheeler industry for businesses like ours. Aneesha, you want to give the break -up of this dealer and OEM ?
Aneesha Bhandary: Sure, V inay. So it's about 70 -30, OEM being 70 and dealer being 30 of our revenue.
Siddhartha Bera: Okay, sure. Thank you. I'll come back in the queue.
Moderator: Thank you. Next question is from the line of Vijit Jain from Citigroup. Please proceed.

Vijit Jain: Yes, hi. Thank you. Hi Vinay . My question is on Super Dost. So first off, good to see a unified C2B product. Do you need to spend on advertising and promotions to popularize Super Dost?
Vinay Sanghi: So Super Dost is already launched. It is in the initial phase launched for all the dealers in India. As you know OLX and CarWale has almost all used car dealers in India listing or buying vehicles from the platform. So it's already live and what it does today is if you're a dealer looking to sell your car and the dealer can just take a photograph of a car they want to sell and instantly match makes customers around in a in a local environment which can buy that car.
So it is basically something we promised in an earnings call earlier as well. It's something called instant sale . Which basically uses AI to align customers to a particular kind of car and does it instantly so that if a dealer keeps inventory for 60 to 90 days, how do you bring that inventory stock down to five days . Because it gives you customers immediately.
And I think it's been very well received. It's just been launched about 30 odd days ago. So it's done extremely well and very well received. It i s early days as yet. So we are using AI in that form and Super Dost will get more functionality as we go on.
For dealers , they are the consumer version of that which I talked about in the previous question, which is really matchmaking , but pricing and condition check will come with matchmaking and it'll come to consumers too. So Super Dost for consumers will get launched very soon where they can instantly do the same as dealers can. If someone like you and me is looking to buy a

car, you'll get a feature like this available to you with the Elite Buyer program.
Vijit Jain: Understood. So essentially right now from what I can understand this works on WhatsApp, so the idea being a dealer gets onto WhatsApp or a consumer gets onto WhatsApp and they put those messages and get those matches . To what you're mentioning, it seems like you would build this out into a full -fledged platfor m?
Vinay Sanghi: It won't be built as an independent platform, it's rendered on WhatsApp, the underlying technology , WhatsApp is the communication tool at this point. So you could put a photo on WhatsApp and it'll instantly give you three customers. The backend technology is being built at OLX and CarTrade .
So it can be rendered across on any platform. It'll go live on OLX, CarWale, or it could go live on any platform we have to render it. We've just started WhatsApp because that's been very convenient for consumers and dealers, but it'll go across all our platforms.
Vijit Jain: Understood. And then when you in the presentation you mentioned that there are 2 million plus buyers and sellers, so is this the count of people who h

ave already engaged with or messaged
Super Dost as of now?
Vinay Sanghi: No, the 2 million buyers and sellers are people who come every month to buy or sell cars on OLX or CarWale. These involve only used cars, not new ones. . It is a significant scale every month , and not one off .

Vijit Jain: Right, a nd so sorry just to get back to that question, would you, do you think you would need to, kind of pr omote Super Dost ?
Vinay Sanghi: No, you don't need to actually because as you know we have almost like 31 million people on OLX every month and, 50 million on CarWale, BikeWale. It'll be available to the 80 million people. So it's right now available for dealers for cars. By the way a version of it, a matchmaking going to be available for all our products on OLX, not just cars. That'll go live soon. Yes, so it's started at cars but even if you're buying a a refrigerator, it would apply the same way. It goes across everything.
Vijit Jain: Understood. And then you know just imagining that, you know, people use this for cars, for refrigerators, everything, and then if they're engaging with this on these different platforms, the proposition here is not that, people can hold an account on Super Dost separately as such? That's not the proposition you're making?
Vinay Sanghi: No, you actually have to buy something on OLX to get onto Super Dost. Even today that is the case. Super Dost is a brand of a tool which assists you. You have to buy something on OLX to be able to have access to that anyway. So if you are an OLX Elite Buyer, you might get access, but you have to buy something on OLX to become, even today by the way to get access to Super Dost. It's not a free product.
Vijit Jain: Okay, understood. My next question is on the remarketing business, so you know there are two components to it . One is of course the institutional sellers, the corporate sellers where you can have these macro -cyclical driven growth momentum and the other is obviously the retail one. Any broad sense you can give me on, what is the underlying growth that you think you can sustain in the retail segment? I'm not necessarily asking for the next quarter, but maybe just to kind of visualize and help understand, how much of that cyclicality has been blunted by retail from an ongoing basis?
Vinay Sanghi: Sure, I think the first thing is the institutional is not cyclical. I think there was a period for about a year in between post COVID where repossession dropped because loans were not given at COVID time. That was a one -off. It was not a cyclical, where it goes up and down every quarter or every year.
So that's the first correction. Even the institutional business is not necessarily cyclical, but I actually think both the repossession side and the retail side will keep growing is our view . The retail side is of course small dealers, small owners coming and buying or selling vehicles. The institutional side is just the inventory coming in bulk. That's the difference. But we actually see strong momentum of growth in both areas, to be honest. We don't see any reason not to believe that for the next few years ahead. Like I said , as long as new loans are being given in India, which is happening for any automotive product, I think you're going to have repossession . There was just a period in COVID when that went down for about a year and a half that it did not happen.
Vijit Jain: Understand. Then Vinay one last question from my side, any thoughts on, you know, acquiring the AutoMall business 100%? , would that help anything.

Vinay Sanghi: No, I don't think so. I think for us the partners we've got they are fantastic to have. So I think nothing to update on it or nothing to say on it at this point . But having them obviously is a huge, huge advantage for the

company and for us.
Moderator: Thank you. Next question is from the line of Nishit Jalan from Axis Capital. Please proceed.
Nishit Jalan: Yes, Hi Vinay, hi Anee sha. Congrats on a very good set of numbers today. Just two questions from my side. On OLX, this initiative of Elite Buyer, Elite Seller has been is doing well and you've now introduced Super Dost. Just wanted to understand in OLX, can you share some break down in terms of revenues coming from advertisement and subscription. Subscription as in used car dealer taking a subscription, and advertisement . Versus from these new initiatives like Elite Buyer, Elite Seller or Super Dost where buyer and seller needs to pay . Because this could become a much bigger opportunity.
And my second question is on remarketing. Just wanted to understand what would be the broad mix now on repossessed and retail segment and if you can throw some light on remarketing in terms of which segment is witnessing stronger growth compared to others . In terms of retail or repossessed or anything And if you can also add apart from take -rate. We do offer some value -added activities in remarketing. So what would be the share of revenues coming from that value -added activities and is it on the rising trend?
Vinay Sanghi: Sure, I think the first part is whether it's Elite Buyer, Verification, what part of the revenue is it and what is the traditional revenue. The traditional revenue is pretty much most of it. Elite Buyer very insignificant at this point the , I mean it's really kicked off in the last two -three months, so it's very insignificant in the last year.
But one thing is going to change is that from this year I feel in the next few quarters you'll see Elite Buyer and Verification becoming significant for the company. We're very optimistic about definitely Elite Buyer in terms of monetization in the very ne ar term, so you start seeing that significant. It is not , it would be when I say insignificant probably be, I don’t understand correctly probably less than 5% last year for sure.
So but it's going to become significant in our opinion this year which you'll start seeing maybe from this quarter or the next quarter. We can already see that trend as I said in the last month or so. That's one.
The se cond question is around the new, what are the new segments apart from repossession or retail in Shriram Automall. We feel really optimistic like your focus heavily on is commercial vehicles, for example, where we feel we're right now working closely with an OEM on trade -in for all their commercial vehicles .
So if you want to buy a new commercial vehicle and you want to trade in your old one, we're building a partnership and a product with one OEM right now where the vehicles can come back to Shriram Automall for auction . All the trade -in vehicles. So there are multiple such initiatives on commercial vehicles side. I also feel very optimistic about the farm equipment side apart from repossession, retail and all the other things we do. So these are some of the initiatives o n new supply sources we are building.

I think the third question was around what is the value -added service income versus the auction income. The value -added service and the auction income here are co -related . In a way, so because if you have a buyer fees or buyer management fees or you have some small clients paying little bit of parking fees, they're very co -related with the auction revenue. So I would take it and really say these are all co -related with each other. So ver y large percentage of these fees are auction related in a way because all bunched together. I think the one area of fees which is slightly outside, which is about 10% or less, is the inspection fees. But otherwise all these other are very auc tion related by itself.
Nishit Jalan: So thanks for answering Vinay, my thought

process to understand on remarketing was like I
asked from the OLX side, is the share of value -added revenue in remarketing going up . Because there is always a limit to how much take -rate can you take from consumers, right?
Vinay Sanghi: I think the growth in it comes from two different places. If you're talking about take -rate, it's to be answered slightly differently where , if the take -rate has to grow, like for example one of the initiatives we're thinking about is financing dealers who buy on our platform, Not ourselves again, a marketplace model.
So thousands of people buy vehicles every month. In fact, the total turnover is almost , transaction turnover almost INR4,000 crores to INR 5,000 crores. Is a question that can you finance some of

those? That would be value -added financing. So we think value -added is not the core auction fees or related, we think value -added is completely a new line of fees . So those are the kind of fees we'd work on. Inspection is completely a new fees which I've told you which is about less than 10% or so. But we think value -added is not related directly to an auction of a vehicle, it's something people need when they aucti on a vehicle, buying or selling.

Nishit Jalan: Yes, that's the reason I'm askin g

Vinay Sanghi: Actually I think marketplace financing is something we're looking at very closely there, to increase margins .

Nishit Jalan: So what I was also trying to understand was like you mentioned inspection is 10% of revenues . Similarly, are there any other big value -added activity that has already started contributing into revenues apart from take -rate and parking fees?

Vinay Sanghi: No, I wouldn't say anything significant at this point . It's mostly auction fees.

Nishit Jalan: Okay . And on e question on OLX side again in terms of follow -up, When you talk about that active buyer -seller will becom e significant, right? So let's not talk in quarters 1 -2-3 quarters, Let's say three years' time, In three years' time, where do you see this segment, meaning , can it contribute like a 30 % to 40%?

Vinay Sanghi: No, I would say , It could be more than that. because just remember one thing that I think one data point which is very important is that there are six times buyers to sellers on the platform which is obvious. If someone is selling there are many buyers, So the bulk of the users on this platform come to buy, on a daily basis. So the monetization opportunity is multiple -fold there. Which is why it's such a significant initiative for the company.

Nishit Jalan: Okay. sorry just to harp on it and maybe just to ask one more follow -up. Obviously this Elite Buyer can become really big for you in the next three years. What kind of growth should we assume in the traditional channel in terms of advertising or in terms of the subscription fees that you charge from used car dealers? That will be more linked to inflation or whatever annual increase that you ask them ?

Vinay Sanghi: No, there are so many new products for sellers which are being built today and the seller base is growing, so it is to me there is no inflation or any growth rate which you could apply. It can be completely disproportionate in the years ahead the way the pro ducts being created. I don't want to give a guidance but I would not , think that this is going to be inflation, we're just way too early in the day to look at the number of seller products or buyer products being created right now that like I said the growth could be any percentage. There's just no limit.

Moderator: Thank you. Next question is from the line of Sachin Dixit from JM Financial. Please go ahead.

Sachin Dixit: Hi Vinay and team, congrat ulations on another decent set of results. I had two questions, both on OLX. The first is obviously I think you have explained already that there are some

initiatives

which will work out well in the near future. I just wanted to understand what happened this quarter . Because you had guided very clearly about there being higher momentum in the coming quarter and when we were discussing this same result last quarter. I mean, why did it drop from 18% odd growth to 15 .5% this quarter? What happened?

Vinay Sanghi: I think it was pretty sim ilar. First of all, this quarter is two days less and for some of these online platform it does matter.

Sachin Dixit: So we are talking about Y -o-Y growth anyways.

Vinay Sanghi: No, y-o-y it's anyway grown 16%, So that's one. I think it is normally Q3 for us is a slightly better quarter, it's just the October phase of consumer products in India. Honestly Sachin, it's not much difference and we feel pretty similar to what we felt the previous quarter. Some of the initiatives like Verification was launched two months later than we thought.

Sachin Dixit: The reason why I'm pushing on this Vinay is I m ean OLX obviously has had a chequered track record. Finally in the last couple of quarters we noticed that Yes we are seeing some momentum pick up and which is what you highlighted in the last earnings call as well. Again y -o-y growth has dipped, which is why I'm asking, Is it a sign of something falling apart for us or was is my question?

Vinay Sanghi: I don't think. I actually feel the other way around. I feel more optimistic than I was last quarter. So in my opinion, it's the other way around . And like I said, we did launch verification like about 45 days later than we thought. It is a completely new product and we wanted to go out with it completely done. So a lot of these things sometimes in product development may take a little longer. But we feel extremely optimistic as we did the previous quarter. Not hing has changed for us at OLX.

Sachin Dixit: Understood . And just one more question on OLX only and which is on the employee cost side . There is a lot more variability in OLX employee cost compared to what we see in new auto for example or on the consumer.
Is there a significant portion of our employee workforce here which is slightly more variable that revenue goes up revenue goes down , compared to most of the other businesses where it's largely fixed sort of employee base?
Vinay Sanghi: No, the employee base is same . In fact, the employee cost year -on-year up 4%.
Sachin Dixit: No, I'm just talking about quarterly right so I do understand that there will be appraisals in certain quarters but every quarter it seems to be like moving up INR1-2 crores on a INR19 crore s base so seems a decent sort of movement.
Vinay Sanghi: No, it's up f or the whole year at 4%,
Sachin Dixit: And last year we had a lot more variability.
Vinay Sanghi: So if you see here, employee cost for the year's up 4%. It's INR73 crores to INR75 crores. So the movement, it could be in a provisioning, but the other way to answer the question is the cost of people or the kind of people are very similar to other businesses, especially CarWale.
We also don't see much change in employee cost next year, if that's the question, t hat I can give you guidance on.
Sachin Dixit: No, that's fair enough. So the rise in employee cost is not a concern Vinay, I was just trying to understand if there is a significantly more variable component i n OLX .
Vinay Sanghi: The variable component least in OLX because it's a very online tech -driven busi ness, so it would be the least.
Sachin Dixit: Yes, got it . Sure. Thanks, thanks so much.
Vinay Sanghi: The way I would think almost is ye s, if you look at the cost growth of OLX it's actually 1% for the year, and 4% in employee cost.
Sachin Dixit: Yes, and that's what I was saying, cost growth is not a concern, I was just trying to understand the nature of the cost itself.
Vinay Sanghi:

Yes, It's not different . In fact, as I said, it's even less variable than in other companies. And I think that's one of the reasons the margins are also up . year-on-year margins, have gone from 23 to 31%. I think that also shows.
Sachin Dixit: Yes, great. Thank you .
Moderator: Next question is from the line of Hardik Doshi from White Whale Partners. Please proceed.

Hardik Doshi: Yes, thanks for taking my question. Last fiscal year and even going into FY '27 the business momentum is very strong. But I just wanted to kind of ask more from a let's say medium -term perspective. The big elephant in the room i s AI and I appreciate all these.
The initiatives that you've taken to embed AI into our business. But from a more larger picture perspective, how do you view the risk of ChatGPT, Claude, Gemini kind of the traffic shifting from Google to the to these platforms and thereby circumventing the traffic that comes onto our platform?
Vinay Sanghi: Yes, so the first part is we are 95% organic . So as a company. For example, OLX, almost all its traffic comes on an app directly. So 100% of its traffic actually is organic. So you have to remember that when you when you look at the opportunity ahead for us, the first thing is people come to our plat form because the brand and the trust in those brands.
The second is because there is differentiated IP and platform experience. Buying a used car on OLX or finding a used car on OLX or finding the price for the car you need to buy is almost impossible in any third -party pl atform, horizontal or vertical.
A lot of our data sits behind, which is not publicly available. So the underlying data, whether it is customer data, vehicle data, other data, which we have, sits behind which obviously LLMs and others cannot access. And therefore, the fact that the brand trust, the IP of technology platform services as well as the data is proprietary makes A I for us a massive opportunity.
That is why when you're looking to sell your car, we can in one second match three customers right for you in your locality because of the data we carry. We're able to matchmake and understand the car you're selling, what price people should pay, what the condition of the car might be through all the data we carry and then you know how do we give you three customers which suit you or 10 customers which suit you.
So to me AI is a massive opportunity. What we're doing this year is building a series of agents. Like Matchmaking agents, pricing negotiation agents, condition checking agents, tomorrow it'll be listing agents, buying agents, loan agents, which will use all our proprietary data and technology.

And make the consumer experience , this platform even better than what it is today. So for us it's
a massive opportunity for the next few months, few years ahead as well.
Hardik Doshi: Got it. So I appreciate that on remarketing and OLX and on used car platform you know it's a
bit difficult. But on the consumer side, however are you viewing the potential risk of the people
using agents and kind of directly dealing with dealers and not c oming onto your platform?
Vinay Sanghi: Yes, so there are two parts here . First is when you're looking to buy a car, you it's a 12 lakh car,
it's not like booking an airplane ticket for 20,000 rupees . So it's not commoditized. You're
looking to buy a car, the process may take 30 to 60 days depending you know what your s ense
of urgency is.

But you're going to a deep amount of work to buy that car. I think when you see Google 7 AI
Mode or anything come out, search has gone up, but the relevance to platform like ours has gone
up even more. Our traffic has grown up as search has gone up in fact during this phase of the
last 18 months as well.
As you can see the numbers always our traffic is continuo

usly gone up in this phase. Number
one. Number two is a lot of the data we carry on platform like CarWale or BikeWale are
proprietary to us and to our users. It's not available on third -party platfor ms at this point, right?
Or not likely to be available.
Number three, the integration we have with OEMs and dealers, for example if you want to know
the exact price or the discount on the car or you want to get a loan immediately approved or you
want to get a trade -in price for your car, these are not accessibl e to third -party horizontal
platforms .
So there's enough differentiated data, enough differentiated depth of experience which makes us
feel very optimistic obviously of greater use of platforms like ours . And that's exactly what is
happening. As you use Google AI Mode which is probably the larger used platform in the
country .
You come to CarWale even more because it may answer one question, but when you buy a car
you want more than one answer, you want you want to go to a series of immersive experiences
to really decide what you want to do with it and then where you want to buy it from and what
price you want to pay. So we feel actually this is actually work heavily in our fav or in the last
16 to 18 months.
Moderator: Thank you. Next question is from the line of Ritvik Agarwal from 3P Investment Managers.
Please go ahead.
Ritvik Ag rawal: Thank you for the opportunity. I had two questions. First was on the lines of quality of dealer
leads. Are there any measures that we are planning to take or we have taken to improve the
quality of dealer leads in t he consumer business?
And additionally anything on the pricing side for the leads? Any sense on the value proposition
that you're hearing from dealers?
Vinay Sanghi: No. There's a continuous effort at the company every day to work closely with dealers to
improve conversion ratios . Whether the conversion ratios involves improvements in our
platform or improvements in dealer follow -up and closing.
It's a permanent exercise which has been going on for years and years and we continue to do
that. We obviously have lots of metrics in place to track this and measure this. But this is
absolutely important initiative for the company. And we keep doing this every single day. What
was the second question sorry?
Ritvik Ag rawal: Yes, basically just wanted to get a feedback on the pricing ?

Vinay Sanghi: The pricing is pretty static . We mostly focus on volume increases and depth of the impact we
make with the dealer. There are price increases, but they're more inflationary in nature. The bulk
of the growth comes from higher relevance and volume.
Ritvik Ag rawal: Okay. One more question on the AI aspect. Is there any change in discussions that you're having
with OEMs? Basically that from the onset of AI. Is there any change in the discussions or the
tone of OEMs regarding their marketing e xpenses being diverted ?
Vinay Sanghi: Yes, there's a lot of initiative from our side and with OEMs too on how we can we can improve
the experience using AI for consumers which come on our platform . So can we have agents
which give us more data from an OEM which helps a customer buy.
Can we have agents which integrate the consumer us and the OEM and the bank even closer . So

there are every day discussions on how we can improve experience for our users on our platform with the help of the OEM sometimes on our own, sometimes with bank helps, with all our partners actually.

It's a very central conversation across all our companies to improve consumer experience on the platform or enhance it with multiple AI tools and that also involve integrating deeper w ith banks and OEMs and dealers.

Ritvik Ag rawal: Understood. sorry last question just on the traffic on the website. Across the websites, was there any dip or any seasonality that you saw in this quarter, maybe i

ncrease in the volume or a decrease?

Vinay Sanghi: We saw traffic grow over last year actually in this quarter , so there 's y-on-y grow th. The Q3 is the highest in traffic for the year always. So slightly decrease from Q3 but y -on-y we saw traffic increases actually.

Moderator: Thank you. Next question is from the line of Deep Shah from NV Capital. Please go ahead.

Deep Shah: So my first question is again on OLX, sorry for harping on this again, but I mean just want to understand monetization a bit better. So if you just could give me some metrics as to how much, revenue is from like consu mers, how much is from dealers? And currently like do we only like monetize dealers currently or I understand we've launched new products like Verification, Elite Buyer, so consumers also are being monetized?

But just over a medium like two -three year period you said this could be the new verticals could give you 30 % to 40% of the revenues . So just want to get like more understanding on wha t drives you have what products?

Vinay Sanghi: Yes, sure. There are we got two basic sets of customers, the sellers and the buyers, right? In sellers, there are consumers and their dealers. We monetize both today. Sellers like you and me can also come for free, but many times sellers like you and me come and pay f or more visibility or other services or if they want multiple .

I mean I think the first time for a lot of consumers who come and list a car or any other product it's free. But the second time it's chargeable, so many people come multiple times and therefore we charge consumer sellers even today. We charge dealers at a ll times when they are selling.

The Elite Buyer program is aimed at charging for consumers and dealers for buying services . So as a consumer, if you come to buy today it's completely free unless you use an Elite Buyer service. The Elite Buyer service is superior to obviously buying without those services. And that product is getting better and better every day and th at's another monetization tool.

Verification is really for consumers like you and me again. So there are dealer initiatives and consumer initiatives across all these spectrum of activities. At this point, the consumer listing business which is people like you and me selling a product the revenue is quite high actually from that business.

And as you go on, we think even the Elite Buyer program primarily right now is monetizing consumers like you and me , more than dealers at this point. We actually think the consumer side of monetization, buyers or sellers, will beco me a large part of the company.

And even within that consumer buyers which is the largest population of people on the platform is going to become extremely significant in this year and probably very large in the next two to three years.

Deep Shah: Got it sir. And secondly on margins . For the consumer platform , I think , for the full year we did I think 38% EBITDA margins and OLX we did around 31%. So I mean just speaking ne xt. I mean do you see this trend con tinue for the consumer business. I would say we are at a pretty high 38% margin.

Vinay Sanghi: Yes, margin will expand this year

Deep Shah: And for OLX do you see coming across all businesses

Vinay Sanghi: Yes I think so, margins across all businesses will expand. I do see OLX is already close to consumer business but it will probably get there , if not go ahead even. I think margins across the businesses will go up in the current year. Cost s are likely to be quite stable.

And also here even when you look at the three, four, five year how we think about the business, we have got our profit after tax as you as you've seen is INR243 crores this year. We're pretty, I mean one of the goals we've set ourselves is to get to approximately INR1,000 crores profit in the next four-five years which is 4X. So w

e'll see margins shoot up in all these businesses as we head towards that INR1,000 crores objective in the next four - five years.

Moderator: Thank you. Next question is from the line of Shrenik Mehta from Indo Alp Wealth Gmb H. Please proceed.

Shrenik Mehta: So I had only one question, this was about your ROE. So your EBITDA has already gone up to 33%, margins are looking healthy, but still the ROE is very low at 10%, which is below the cost of capital. One of the reasons is obviously your cash.

Vinay Sanghi: Yes the major reason for the ROE being at 10 is because the cash in the company.

Vinay Sanghi: Yes. I feel like in in due course, whether it is you know returning money to shareholders or other modes is something we will consider. I think at this point, the current regulation because of our tax shelters and carry -forward loss es prevents us from doing that. But you're right, I think the ROE is at 10% because of the cash balance. If the cash balance didn't exist, the ROE would be much higher .

Shrenik Mehta: Yes, so when do you think that possibility would come in from your regulatory

Vinay Sanghi: Aneesha you want to answer that question? I think maybe two to three years. I think we've also got tax shelters that the company benefits from, but I think we're going to be two to three years, Aneesha is that correct?

Aneesha Bhandary: Yes, yes Vinay, absolutely right.

Vinay Sanghi: Yes.

Shrenik Mehta: Okay, so you're not looking at any acquisition in the meantime or any other way of utilizing this cash

Vinay Sanghi: No, there's nothing at this point to report on a prospective M&A or utilization of cash at this point. We obviously keep looking at M&A, but there's nothing at a level where we can at this point you know give feedback on or report.

Moderator: Thank you. Next question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please proceed.

Vimal Gohil : Yes, thank you so much and congrats on a good set of numbers. Sir, I just wanted to make sure one aspect whether we have any seasonality in our consumer business which is CarWale , BikeWale in the March quarter?

Vinay Sanghi: There's always seasonality actually not in the March quarter, there's a seasonality a little bit of seasonality in the October to December quarter because of the festivities in India . Diwali, Dussehra, the automotive market tends to be far more buoyant, a lot more launches going on. So there's a little bit of uptake, which is higher then. So it then tends to be quite even actually after that. It's only the one quarter which tends to be slightly different.

Vimal Gohil : Understood. And just on your comments on OLX, you mentioned the Elite programs both buyer - seller may contribute roughly five or maybe less. Given the fact that you were seeing an immediate impact of these from Q1 onwards, is it a fair argument that the contribution may double in '27?

Vinay Sanghi: The revenue might double is your question? Is that your question?

Vimal Gohil : Yes, from Elite only.

Vinay Sanghi: Oh Yes, from Elite it will, Elite's very small base, so I don't think we should think of it doubling or tripling or anything because the base last year is very small.

Vimal Gohil : Okay, fair enough. A couple of data points sir. If I may have the auction listings for this quarter and the auction volumes?

Aneesha Bhandary: Sure. The auction listings about INR1.7 million and volumes is about INR3 lakhs.

Vimal Gohil : INR3 lakhs. Okay. Fair enough. Thank you sir and all the very best.

Moderator: Thank you. Next question is from the line of Ujjwal Sil from ANR Capital. Please go ahead.

Ujjwal Sil: Congratulations on the good set of results. Almost all of your questions have been answered. I just wanted to re -confirm about the ROE

s because act ually my line got disconnected. I just wanted to be confirmed that there are no acquisition plans or utilization plans in the near future and you're looking at like giving back to the shareholders after 2 or 3 years ?

Vinay Sanghi: Well at this point as I said there is nothing which we can report about any M&A. Obviously our attempt would be that if there's no utilization of cash and we of course are generating as you know last year we generated INR300 crores of additional cash. S o we obviously we obviously believe that there will be a significant cash generation for the next 2 to 3 years as well. And obviously based on that , at that point we'll have to take an appropriate decision whether there is an M&A in play or the natural thing would be to when possible return money back to shareholders .

Ujjwal Sil: Got it. So next question was again on OLX, just a follow up question on one of the previous

questions that was asked. I just wanted to understand ?
Vinay Sanghi: I think this is an important question. It's an important question becau se one of the things, which it's very evident also is the company has also generated an EPS has gone to INR47 a share. So I think one should keep in mind that there's a significant cash generation in the company and obviously profit creation pool in the company. Just further to your return money question.
Ujjwal Sil: Right, exactly. That was the main thing that is why I asked that question because a lot of cash generation and ultimately that is why ROE was depressed. Secondly I want to ask about again on the OLX side that we have taken a lot of initiatives in the last few quarters and shouldn't we have seen like a quar ter-on-quarter growth as well because we were very optimistic in the quarter three con -call as well? So I just wanted to understand like is there a seasonality?
Vinay Sanghi: Yes, there i s October like I said earlier in the call, in October -November there tends to be some seasonality in any buying whether it's a new car, used car . So it tends to be every year. We feel very optimistic about the growth I'll be honest and all the product creation and even the consumer traction to this to the platform. So we feel in the next few quarters ahead you will start seeing the growth momentum dramatically changing.
Moderator: Thank you. Next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes, I just wanted to understand revenue aggregation, from the Verification product and the Elite Buyer product. What kind of revenues are we currently and what kind of growth are we seeing month -on-month? Since we launched it in Feb and March and can it add up let's say INR5 crores, INR 10 crores of revenues every month? Do you think that is possible or is already happening in the month of April? Jus t wanted to understand that bit?
Vinay Sanghi: Yes, as I said, it's growth is impossible to say because it's very early. I mean it's obviously rapidly growing, but it's impossible to give a growth rate.
Arpit Shah: I just wanted to understand what are the early trends that you seeing right now, let's say because you ju st launched?
Vinay Sanghi: Very strong. I would say both on Elite Buyer Verific ation the early trends are really strong. very strong consumer traction.
Arpit Shah: How strong is that I just wanted to understand that?
Vinay Sanghi: I can't. A s I said right now the revenue is just insignificant. I think we'l l all have to wait out maybe this quarter to actually be able to give you some stable answer to the question. But like I said the ear ly signs are very strong t hat I can put it this way. And like I said this year it'll be significant to the company. A s we go on in the next it'll be significant. Last year it was not significant because it was launched very late. But in the next year yo

u'll find it significant and
I think in the in the years ahead we also get this guidance that'll be probably one of our largest sources of revenue.
Arpit Shah: Got it. Given the acceleration in revenues from the new products and consumer business still growing very strong. Do you think INR350 crore s of conservative PAT estimate accordi ng to you?
Arpit Shah: INR350 crores PAT is a conservative estimate according to you for FY27?
Vinay Sanghi: I don't want to comment and give you a guidance. Actually I just gave you a view that our goal of course is to get from the INR243 crores last year to about INR1,000 crores of profit in about 4- 5 years. So that's the line we're drawing. We don't want to give a year by year guidance, but we have told yo u over the last next within 4 - 5 years we want to get to this INR1,000 crore s number which is a little more than 4X today .
Arpit Shah: Got it. And the kind of momentum that you were seeing in the new products, you think the OLX revenue can start stepping up from here on instead of what we saw last quarter was about 18%?
Vinay Sanghi: We believe that, absolutely right. Correct.
Arpit Shah: Do you think th is number can start crossing 35%, 40%
Vinay Sanghi: I don't give a guidance but obviously we believe the growth rate will be stronger than what it is today.
Arpit Shah: Or are you seeing that early trends in April?

Vinay Sanghi: I don't want to give a guidance for this quarter either. So but directionally we would see.
Arpit Shah : Just want to understand what you're seeing already. I don't want a guidance, just wha t you are seeing I want to know?
Vinay Sanghi: Yes, like I said it's only 1 month over. We definitely see April better than obviously some of

the other months because new products have also got launched, but it's early days and I don't
want to give a guidance for this quarter or this year. I've given you a 4- 5 year profit objective
of the company and the group as a whole and we've definitely given also a guidance that we feel
very optimistic about monetization and the consumer traction at OLX .
Amit Jeswani: Hi Vinay, this is Amit Jeswani here. So would that be right that for us to go 4X in profit our
revenues will have to go 3X and by that point of time OLX which is a INR200 crore s product
will become like a INR1000 crore s kind of product like a 5x -6x kind of?
Vinay Sanghi: I don't want to give a revenue gui dance.
Amit Jeswani : That will be the driver of growth ?
Vinay Sanghi: I think it'll come across all our three platforms to be honest. We feel optimistic about all three. I
don't want to give you a revenue guidance whether it's 3X or 2X or 4X I feel our margin structure
is strong and therefore we feel optimistic that in all the work we do that normally when we add
a rupee of revenue a very large part goes to profit, which continues and our margins , they're
already best in class.
And they'll even better in the next 3- 4 years s ahead, which will contribute to getting us to this
longer-term goal of the company, but Yes this is where we're at the journey at this point. So I
don't want to give a further guidance on revenue. But generally we feel good about the fact
there's enough opportunity and time in the company that we can aspire and get to this goal what
we've given to you today.
Amit Jeswani : And at this point of time there is no - see the our stock price has fallen 40% odd only because of
the AI. At this point of time Vinay you look at do you not see AI as a risk, you see it as an
opportunity for us?
Vinay Sanghi: Of course we believe AI is a massive opportunity for the company. I think for us because of just
the brand, trust, technology, platforms, differentiated IP, data, we it's a massive opportunity for
the group across all its businesses actually.
Moderator: Thank you. Next question is from the line of Re

han Saiyyed from Trinetra Asset Managers.
Please go ahead.
Rehan Saiyyed : Yes good afternoon to the team and thanks for taking my question. No, so I have two questions.
First of all is over the last few quarters we have observed the trend where overall auto industry
growth was relatively muted, so the company advertisement platform revenues continue to grow
strongly. H owever with auto sales now recovering after GST related benefits, so advertising
growth appears to have moderated slightly. So is there any counter -cyclical behavior in this

business model, or is this more related to changes in OEM marketing spends and campaign
timing?
Vinay Sanghi: I think over the last many years we've shown growths in the consumer business in CarWale,
BikeWale across all kinds of markets . There were times when the market did not grow for 18
months and we grew at a rapid rate. There are times when the market we grew at a rapid rate.
So I like to think we are completely agnostic to beyond a level to new car growth or new bikes
growth sales. We benefit when car and bike sales grow, we're seeing that trend also in the last
60 months which we've shown to you in both the quarters. We also feel op timistic with the GST
cut rate that the two -wheeler and the car market should have a reasonable headway to grow for
the next one, two, three years ahead.
So it's become far more affordable for every consumer. So naturally we feel optimistic in this
market situation where car sales, bike sales grow, we normally always grow but even when they
slow down we grow, but it is always better when the industry grows and that growth for us is far
more impactful I would say.
Rehan Saiyyed : So just wanted to confirm if you think is there a correlation between the GST cut sale s and the
gain momentum of October?
Vinay Sanghi: Sorry, are you saying the growth rate of the car industry is because of that? is that the question?
Rehan Saiyyed: Yes.
Vinay Sanghi: The car industry growth rate has changed from the GST cut. So that is clear. That's from the
October sales of automotive cars I mean new cars in India or new bikes in India the growth rate
is obviously impactful because of the excellent decision to cut tax es on cars and bikes. So it has
had that impact in India of course.
Rehan Saiyyed : Okay. And my second question is around the company has built a very large physical auction
infrastructure across India. So how difficult is it for a new player to replicate this network today
and are you seeing any additional pricing or aggressive competition in the auction business?
Vinay Sanghi: It is I mean we carry I think a lmost 130 auction sites where a lot of our customers park vehicles
and then we do an online sale. I think in a country like India the defensibility for us in that
business in our remarketing business is multiple. It is of course the physical infrastructure, it's

impossible to rec reate.
But it's also the technology, the underlying IP in the platform, it's the buyer and seller, the network effects of buyer and seller, thousands and thousands and millions of buyer and seller across the platform. So it's many things which create a defensibil ity. It is difficult to duplicate the physical infrastructure, but there are many more defensible I mean or many more moats in that business.
Moderator: Thank you. Next question is from the line of Nikhil Gupta f rom Vaayu Capital . Please go ahead.

Nikhil Gupta: Hi. Thank you for the opportunity. Can you please provide the percentage of our revenue from advertisement in our consumer business?
Vinay Sanghi: It's insigni ficant. I would say advertisement's less than from normal Google advertising or third party other less than 5%
Aneesha Bhandary : Yes, Vinay.
Nikhil Gupta: So is it a fair understanding that in all our thr

ee segments the revenue share from advertising is
almost insignificant
Vinay Sanghi: No, I said in Shriram Automall it doesn't exist. In CarWale it may be less than as I said very insignificant and OLX also would be less than 10%. That is correct,
Nikhil Gupta: Okay. And you already mentioned that you do not have any plans to use the cash to maybe acquire some other business. Why is it so because we have in fact if I see all the three segments we operate in, we have acquired almost all three businesses. So why the strategy has changed and do we not see any significant value in the market?
Vinay Sanghi: What we said at this point we did not have anything to report back on. It doesn't mean we're not looking at acquisitions or we won't do acquisitions or anything of the sort. We just said at this point there's no update to be given. And I think at this point we also have to remember that we are a company which has done M&A very successfully over the last many years.
We've had three major M&As, all have been extremely successful. We always conti nue to look out for M&A, which is strategic in nature, where the teams are good, where we feel there's synergy value, where we feel we can add value to our own customers. These are things we do every day. So it's part of our whole CarTrade Ventures initiative.
We're normally very picky and choosy. S o obviously valuation has to match and many things have to match, but when we do come out with something then we aggressively go after it like an OLX. So it's not like we're not looking or we don't look, it's just that we haven't got something which we feel at this point we can close on. That's what the point is.
Nikhil Gupta: But we're actively looking for M&A, whenever we'll find op portunities we will go about it?
Vinay Sanghi: I don't want to say we're actively or non -actively or looking or not, I just think that it's something we do, we do well. If something came around, we would definitely look at it if we felt it could add value to our customers or our shareholders or there' s some synergy value or strategic value.
Of course we would look at it.
Moderator: Thank you. Ladies and gentlemen we will take this as a last question for the day. I now hand the conference over to Aryan Sumra from MUFG Intime for his closing remarks. Over to you, sir.
Aryan Sumra: Thank you. I would like to thank the management for taking the time out for the conference today. And also I would like to thank all the participants to join the call. If you have any queries, feel free to contact us. We are MUFG Intime Investor Relations Advisors to CarTrade Tech Limited. Thank you.

Vinay Sanghi: Thank you everybody. Thank you.
Aneesha Bhandary: Thank you.
Moderator: Thank you, sir. On behalf of CarTrade Tech Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.
Aneesha Bhandary: Thank you.